



United Nations

Financial report and audited financial statements

for the year ended 31 December 2024

and

Report of the Board of Auditors

**Volume I
United Nations**

**General Assembly
Official Records
Eightieth Session
Supplement No. 5**



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Note

Symbols of United Nations documents are composed of letters combined with figures. Mention of such a symbol indicates a reference to a United Nations document.

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Letters of transmittal

Letter dated 31 March 2025 from the Secretary-General addressed to the Chair of the Board of Auditors

In accordance with regulation 6.2 of the Financial Regulations and Rules of the United Nations, I have the honour to submit herewith the financial statements of the United Nations, volume I, for the year ended 31 December 2024, which I hereby approve. The financial statements have been completed and certified by the Controller as correct in all material respects.

Copies of these financial statements are also being transmitted to the Advisory Committee on Administrative and Budgetary Questions.

(Signed) António **Guterres**

**Letter dated 23 July 2025 from the Chair of the Board of Auditors
addressed to the President of the General Assembly**

I have the honour to transmit to you the report of the Board of Auditors, together with the financial report and the audited financial statements of the United Nations (volume I) for the year ended 31 December 2024.

(Signed) Pierre **Moscovici**
First President of the French Cour des comptes
Chair of the Board of Auditors

Chapter I

Report of the Board of Auditors on the financial statements: audit opinion

Opinion

We have audited the financial statements of the operations of the United Nations as reported in volume I, which comprise the statement of financial position (statement I) as at 31 December 2024 and the statement of financial performance (statement II), the statement of changes in net assets (statement III), the statement of cash flows (statement IV) and the statement of comparison of budget and actual amounts (statement V) for the year then ended, as well as the notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the operations of the United Nations as reported in volume I as at 31 December 2024, and its financial performance and cash flows for the year then ended in accordance with the International Public Sector Accounting Standards (IPSAS).

Basis for opinion

We conducted our audit in accordance with the International Standards on Auditing and the International Standards of Supreme Audit Institutions. Our responsibilities under those standards are described in the section below entitled “Auditor’s responsibilities for the audit of the financial statements”. We are independent of the United Nations, in accordance with the ethical requirements relevant to our audit of the financial statements, and we have fulfilled our other ethical responsibilities in accordance with those requirements. We believe that the audit evidence that we have obtained is sufficient and appropriate to provide a basis for our opinion.

Information other than the financial statements and auditor’s report thereon

The Secretary-General is responsible for the other information, which comprises the financial report for the year ended 31 December 2024, contained in chapter IV below, but does not include the financial statements and our auditor’s report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, on the basis of the work that we have performed, we conclude that there is a material misstatement in the other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of management and those charged with governance for the financial statements

The Secretary-General is responsible for the preparation and fair presentation of the financial statements in accordance with IPSAS and for such internal control as the Secretary-General determines to be necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Secretary-General is responsible for assessing the ability of the operations of the United Nations as reported in volume I to continue as a going concern, disclosing, as applicable, matters related to the going concern and using the going-concern basis of accounting, unless the Secretary-General intends either to liquidate the operations of the United Nations as reported in volume I or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the financial reporting process of the operations of the United Nations as reported in volume I.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance as to whether the financial statements as a whole are free from material misstatements, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with the International Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with the International Standards on Auditing, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- (a) Identify and assess the risks of material misstatement in the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than the risk of not detecting one resulting from error, as fraud may involve collusion, forgery, intentional omission, misrepresentation or the overriding of internal control;
- (b) Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the internal control of the operations of the United Nations as reported in volume I;
- (c) Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Secretary-General;
- (d) Draw conclusions as to the appropriateness of the Secretary-General's use of the going-concern basis of accounting and, on the basis of the audit evidence obtained, whether a material uncertainty exists in relation to events or conditions that may cast significant doubt on the ability of the operations of the United Nations as reported in volume I to continue as a going concern. If we conclude that a material

uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the operations of the United Nations as reported in volume I to cease to continue as a going concern;

(e) Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Report on other legal and regulatory requirements

Furthermore, in our opinion, the transactions of the operations of the United Nations as reported in volume I that have come to our notice or that we have tested as part of our audit have, in all significant respects, been in accordance with the Financial Regulations and Rules of the United Nations and legislative authority.

In accordance with article VII of the Financial Regulations and Rules of the United Nations, we have also issued a long-form report on our audit of the operations of the United Nations as reported in volume I.

(Signed) Pierre **Moscovici**

First President of the French Cour des comptes
Chair of the Board of Auditors

(Signed) Hou Kai

Auditor General of the People's Republic of China
(Lead Auditor)

(Signed) Vital **do Rêgo Filho**

President of the Brazilian Federal Court of Accounts

23 July 2025

Chapter II

Long-form report of the Board of Auditors

Summary

The Board of Auditors has audited the financial statements and reviewed the operations of the United Nations as reported in volume I for the year ended 31 December 2024. The audit included an examination of financial transactions and operations at United Nations Headquarters in New York, the offices at Geneva, Vienna and Nairobi, and other entities, including selected special political missions, from March to May 2025.

Audit opinion

In the Board's opinion, the financial statements present fairly, in all material respects, the financial position of the operations of the United Nations as reported in volume I as at 31 December 2024 and its financial performance and cash flows for the year then ended, in accordance with the International Public Sector Accounting Standards (IPSAS).

Overall conclusion

The overall financial position under this volume as at 31 December 2024 remains sound except for the protracted liquidity challenges for the regular budget and related funds. Consequently, approximately 92.96 per cent of the regular budget was used in 2024, leaving a substantial underexpenditure of approximately \$254.51 million. The Administration continues to strengthen core business processes in budget, finance, assets and human resources management. The Board also identified areas for improvement in the areas of procurement, development, peace and security, humanitarian affairs and information and communications technology.

Key findings

Accounts and financial reporting

Financial overview

Total revenue for the year 2024 amounted to \$7.73 billion, a slight increase of \$0.14 billion (1.9 per cent) compared with \$7.59 billion in 2023, which was due mainly to the increase of \$0.09 billion in voluntary contributions and \$0.05 billion in investment revenue. With regard to expenses, the total amount was \$7.76 billion in 2024, a slight decrease of \$0.15 billion (1.9 per cent) compared with \$7.92 billion in 2023, which was due mainly to a decrease of \$0.43 billion in grants and other transfers.

Net assets decreased by \$0.1 billion (2.4 per cent), from \$4.19 billion as at 31 December 2023 to \$4.09 billion as at 31 December 2024, which was due mainly to actuarial losses on employee benefits liabilities (\$0.08 billion) and the deficit for the year (\$0.03 billion).

Liquidity management

The overall financial situation for the year 2024 remained stable and the major financial ratios remained stable over the past three years. However, for the regular budget and related funds, the cash ratio stood at 0.69, 0.11 and 0.31 at the end of 2022, 2023 and 2024, respectively, indicating persistent liquidity challenges. Through a dynamic analysis of the cash flows for the regular budget in 2024, the Board noted

significant cash shortages in March and from May to October, which were attributable mainly to the fact that assessed contributions had not been paid in full in a timely manner. Outstanding assessed contributions represented 22.36 per cent of the amounts receivable in 2024, with one Member State accounting for \$674 million, or 86 per cent, of the total outstanding amount.

To address the liquidity crisis, the Administration borrowed a total of \$606.88 million in 2024 from working capital, Special Account and closed tribunal reserves, reaching a historical peak, and ending the year with approximately \$350 million in cash only through hiring restrictions and delays in procurement to avoid payment default. Various measures were implemented to address assessed contributions in arrears, including daily updates through an online portal, reminder letters and briefings on the liquidity situation. Those efforts resulted in 96 Member States paying their assessed contributions in full within the first quarter and 152 Member States paying in full by the end of 2024. The total number of Member States paying in full by year-end increased by 10 compared with 2023. Those measures notwithstanding, the total amount of outstanding assessed contributions remains persistently high, with no substantive improvement in the financial situation.

Cost-recovery services

Need to ensure \$198.07 million legacy balance clean-up is concluded by the fourth quarter of 2025

As at 31 December 2024, the cumulative fund balance (net assets, excluding property, plant and equipment, inventory and staff liabilities) of the cost-recovery fund (10RCR) totalled \$446.14 million, and United Nations Headquarters had the largest portion (\$241.71 million). Of the \$198.07 million legacy balance from the Integrated Management Information System conversion, \$125.12 million (63 per cent) had been identified and distributed to appropriate fund centres to offset the corresponding deficit or cover staff liabilities reserve, leaving a remaining balance of \$72.95 million, with potential refunds to Member States to be determined upon completion. The Administration indicated that the Secretary-General would report on the above in the context of the forthcoming cost-recovery report, to be presented to the General Assembly at its eightieth session.

Update on the General Assembly request for a review of allocation options for 10RCR investment revenue

10RCR investment revenue totalled \$51.64 million during the period 2020–2024, with corresponding expenses of \$5 million, resulting in an accumulated balance of \$46.64 million. Investment revenue increased significantly, from \$8.52 million in 2022 to \$22.21 million in 2024. The Administration updated the cost-recovery policy and guidelines on 1 April 2025, with the provision that interest income would be managed centrally by the Office of Programme Planning, Finance and Budget to support cost-recovery management activities, as previously recommended by the Board. The Administration indicated that the Secretary-General would report on the use of investment revenue in the context of the forthcoming cost-recovery report, to be presented to the General Assembly at its eightieth session.

Trust fund management

Management of programme support cost reserves needs further improvement

As at 31 December 2024, the operations of the United Nations as reported in volume I had 50 programme support cost funds with a total amount of \$290.19 million in net assets. The predetermined reserve level of 20 per cent in line with

administrative instruction [ST/AI/286](#) amounts to \$35.77 million. Pending the finalization of the updated administrative instruction, the Administration issued new comprehensive guidelines on the management of programme support costs in April 2025 in response to the Board's prior recommendation. The guidelines extended the reserve requirements beyond the original 20 per cent operating reserve (currently at \$35.77 million) to also include a 12-month contingent reserve (currently at \$153.77 million). The new guidelines specified that the corporate programme support cost fund should maintain a minimum reserve, currently at \$253.7 million. In addition, the programme support cost net assets of implementing entities totalled \$169.18 million, which is more than the current minimum required reserve level of \$132.37 million.

Untimely clearance of outdated commitments and closed country-based pooled funds, resulting in elevated cash balances

As at 31 December 2024, cash balances of humanitarian trust funds, excluding the Central Emergency Response Fund (32DDN) managed by the Office for the Coordination of Humanitarian Affairs, totalled \$1.44 billion, representing an increase of 56, 29 and 21 per cent compared with the cash balances at the end of 2021, 2022 and 2023, respectively. The Board noted that \$107.44 million in outdated balances had not been cleared in a timely manner, including \$94.01 million in outdated commitments related to 1,402 closed, closing or cancelled projects, with the earliest dating from 2015, and \$13.43 million belonged to closed country-based pooled funds and old accounts, among others.

Budget management

Preparation of special political mission construction projects in need of improvement

In 2024, construction projects of special political missions were excluded from section 33 and reported under their relevant mission budgets. The information presented in some special political missions' budget submissions for construction projects is less detailed than is typically required for projects under section 33.

In the Board's view, the United Nations Assistance Mission in Somalia's Dhuusamarreeb project (\$8.50 million), without having had a proper review done to assess mission transition risks, had proceeded to near completion before the Mission had to discontinue it in 2025 and coordinate with other United Nations entities for a facility transfer owing to mandate changes, pursuant to the decision from the Security Council in its resolution [2753 \(2024\)](#).

Asset management

Multi-year construction projects require more refined management practices to address delays and cost increases

A review of the schedule execution and cost implication of six major construction projects revealed that five were delayed (with the longest delay being 48 months) and three experienced budget increases beyond their original estimates projected more than one decade ago (with the highest cost increase being 87.5 million Swiss francs (10.4 per cent), observed in the strategic heritage plan at the United Nations Office at Geneva). Key issues identified in project management included the unclear use of cost escalation provisions and inadequate contractor assessments.

Human resources management

Delays in the implementation of staff selection 2.0 and a policy review

The Board noted significant delays in the implementation of staff selection 2.0. No detailed implementation plans or timelines indicating the key milestones and activities had been developed, running the risk of the target date of the end of 2026 being missed. This may have a negative impact on achievement of the envisaged benefits of overcoming the shortcomings of the current recruitment process, which are systemic and structural in nature, as well as the envisaged benefits in terms of diversity, agility and accountability through improvements in the recruitment process, as indicated by the Secretary-General in his related report ([A/77/590](#)).

Shortcomings in the management of liens

The Board noted shortcomings in relation to the management of liens. A total of 945 staff members in the Secretariat were granted a lien and 254 of them had maintained liens for more than two years, including 21 for five years or more.

Travel management

Expenditure stemming from ticket cancellations due to avoidable circumstances

In 2024, 4,610 trip cancellations (approximately 5 per cent of total trips) were recorded in Umoja for volume I entities. The Board reviewed the reason for the cancellations in relation to eight categories with a total expenditure of up to \$2.52 million and noted that the reasons for the cancellations included avoidable circumstances, representing potential opportunities for cost savings.

Supply chain management

Professional services: a bespoke category framed by strategic initiatives that require updating

In June 2024, the Office of the Supply Chain Management established classification criteria based on factors such as spend/volume, the need for specialized expertise and guidance and the need for standardization, among others, and identified 15 core and 25 bespoke categories of supply chain management. Professional services falls into the bespoke category. Since its strategy for the professional services category was developed in December 2022, before the development of the classification criteria, the Office may have included some unnecessary initiatives. In 2022, nine initiatives in the professional services category for its three subcategories (business and management consulting, audit and legal services) were approved with a deadline of the end of 2023; however, only two were fully implemented by the time of the audit.

Market outreach towards priority businesses should be developed

The Secretariat expanded the number of women-owned and disability-inclusive businesses in its vendor register and achieved a significant proportion of registered companies originating from developing countries, least developed countries and economies in transition.

Limited number of competitors and vendors

There was limited competition in the solicitation process for the provision of professional services. When necessary, the Procurement Division relied on additional or market information to assess whether the proposals received represented best value

for money, regardless of the extent of price benchmarking that was possible through the limited number of offers reaching the financial evaluation stage.

Need to strengthen the effectiveness of implementing global system contracts for hybrid electric vehicles

The Department of Operational Support entered into two system contracts for hybrid electric vehicles with two vendors in March 2022 in order for client entities to reduce their environmental footprint. Notwithstanding having only two vendors to choose from when bidding for hybrid electric vehicles, given that few models were available and there was a limited geographical scope of delivery, 295 vehicles were expected to be purchased over five years. However, as at 25 April 2025, no orders had been placed with one vendor and only three Secretariat entities had purchased six vehicles under the contract with the other vendor.

Management reform

Monitoring of the improper use of low-value acquisitions should be strengthened and blanket purchase orders should be properly implemented

The Board noted some instances of the improper use of low-value acquisitions and blanket purchase orders based on the results of the Business Transformation and Accountability Division's monitoring of repeat purchases from the same vendor. In 2023 and 2024, 608 low-value acquisitions (3.1 per cent of total low-value acquisitions by volume) amounting to \$4.23 million (7.6 per cent of total low-value acquisitions by value) should have been consolidated to ensure a more appropriate procurement process in order to potentially achieve economies of scale. A total of 14 blanket purchase orders, totalling \$3.44 million, each exceeding the threshold of \$100,000 per year, should have gone through a formal solicitation process. A total of 23 blanket purchase orders totalling \$2.49 million were awarded by splitting orders to the same vendor, leading to the circumvention of a formal bidding exercise. The Board noted that performance improved in 2024 and that enhanced monitoring and follow-up efforts should continue.

Development reform

Deficiencies in the resident coordinator performance appraisal framework

The Board noted that, since 2019, there has been a transitional, resident coordinator performance appraisal system, in which only two overall ratings (fully meets performance expectations and exceeds performance expectations) have been used. For the period 2019–2023, all resident coordinators were rated in this manner. The Administration indicated that, while only two ratings were used, the appraisals took into account the entire performance of resident coordinators. The Administration stated that some resident coordinators were not reappointed owing to performance-related issues. However, the Board was not provided with the number of resident coordinators who were underperforming during the period in question. While the Board welcomed the new administrative instruction on resident coordinator performance management and appraisal system, released in April 2025, it noted that the performance framework lacked defined measurement standards to differentiate performance (e.g., exceeds, successfully meets, partially meets or does not meet performance expectations), which may lead to a lack of consistency, clarity and transparency.

Improvements needed in the integration of structural reviews and resources into the resident coordinator system

The integration of 44 United Nations information centres into the resident coordinator system faced significant challenges owing to various interpretations of resident coordinator roles, a lack of a structured coordination mechanism and dual reporting lines, all of which have reportedly caused confusion, operational inefficiencies and staff stress.

Operations related to peace and security affairs

Weakness in disclosing and reviewing outside activities of full-time experts of sanctions committees

The Board noted that, in 2024, 17 of 62 experts serving on Security Council sanctions committees might have engaged in external activities without disclosing them to the Secretariat and obtaining prior approval, some of which may constitute a conflict of interest. This could run the risk of having a negative impact on their independence and impartiality and adversely affecting the reputation of the United Nations.

Backlogs in financial closure for the Peacebuilding Fund

As at 31 December 2024, 257 projects had not been financially closed in a timely manner, and the average delay was 1,428 days. Unspent project funds totalling \$6.78 million were not returned in a timely manner.

Humanitarian affairs

Additional preventive measures need to be taken against partners implicated in fraud

As at 30 April 2025, \$9.75 million in unrecoverable financial losses resulting from fraud involving partners of the country-based pooled funds between 2011 and 2024 had been written off with the approval of the Controller. Of that amount, \$6.06 million related to projects implemented from 2011 to 2013. Between 2015 and 2024, a total financial loss of \$12.40 million resulted from fraud cases involving implementing partners of Office for the Coordination of Humanitarian Affairs-managed country-based pooled funds, among which \$3.11 million (25 per cent) had been recovered by the end of 2024 and an unrecoverable loss of \$3.69 million (30 per cent) was written off by the Controller in 2025. The Board also noted that some partners were still using the logo of the Office and some country-based pooled funds on their official websites, even though they had been involved in serious fraud and their eligibility suspended one or two years earlier. This may have a negative impact on the reputation of the United Nations. The Administration explained that those three cases were not yet closed, given that recovery efforts were ongoing.

Information and communications technology

Insufficient consolidation of information and communications technology procurement demands and lack of system-wide contracts, leading to price disparities and inevitable higher costs

The Board was informed by the Office of Information and Communications Technology that, during a market solicitation, a vendor indicated that it had already provided 22,727 software licences to United Nations system-wide entities, with unit prices ranging from \$195 to \$979.20 in 2024. Such notable price disparities relating to a widely used client relationship management software may result in missed opportunities for economies of scale and volume discounts for the entities within the

Secretariat and throughout the United Nations system. In 2024, the Office of Information and Communications Technology acquired a software product from that vendor at a price of \$432 per licence, while the Office for the Coordination of Humanitarian Affairs purchased the same product at \$299 per licence. Meanwhile, the United Nations Office for Project Services paid \$204.30 per licence for the same software. In addition, the United Nations Relief and Works Agency for Palestine Refugees in the Near East spent \$941 per licence for another software product (with similar functions to the other software product) from the same vendor. Notably, the licence of the first software product is typically priced higher than the licence of the second one from the vendor under the same usage volume. This calls for improved coordination and cooperation among Secretariat entities, or even in the United Nations system, in order to achieve economies of scale.

Prolonged reliance on a single vendor undermined bargaining power and posed a risk to the continuity of critical services

The Board noted instances of the reliance on a single vendor, which jeopardized the cost structure and operational continuity of information and communications technology (ICT) services. The Secretariat had relied on a vendor for virtualization software since 2007, and that vendor abruptly increased annual costs from \$2.30 million to \$4.89 million in 2022, imposed commercially detrimental terms in the most recent service renewal, including product bundling and forced conversion to subscription-based services while mandating that all payments be processed through a designated distributor, and issued a notice of a further price increase to \$8 million annually for post-2025 services, coupled with non-negotiable “take-it-or-leave-it” terms. The expenditure relating to procuring the software had risen from \$2.54 million in 2023 to \$4.92 million in 2024.

Follow-up on previous recommendations of the Board of Auditors

Insufficient progress in the implementation of long-standing Board recommendations

The Board noted that there were 187 outstanding recommendations for the operations of the United Nations as reported in volume I up to the year ended 31 December 2023, of which 84 (45 per cent) had been implemented, 86 (46 per cent) were under implementation and 17 (9 per cent) had been overtaken by events. Among those 86 audit recommendations raised by the Board in its prior reports and that remained under implementation, 47 were overdue (originally scheduled for implementation between 2017 and 2024), including 41 that have been postponed more than once in terms of implementation, with the longest one being postponed for eight years.

Main recommendations

The Board has made recommendations throughout the report. The main recommendations are that the Administration:

Trust fund management

(a) **Add the net asset balance, including the required target reserve balance, of the category 62 funds in the current internal control dashboard to further enhance the monitoring of the management of extrabudgetary resources;**

(b) **Expedite the clearing of outdated pending commitments and cash balances of closed country-based pooled funds to improve the performance of the funds;**

Budget management

(c) **Strengthen its role and capacity to provide guidance on construction projects of special political missions and expedite the development of appropriate threshold criteria and evaluation methods for those construction projects that would be subject to the review of the Global Asset Management Policy Service;**

Assets management

(d) **Establish a lessons learned exchange process, with an emphasis on cost and schedule management, to help project owners to improve future project management by drawing from experiences in the cases examined by the Board;**

Human resources management

(e) **Prioritize the implementation of the staff selection 2.0 programme by formulating detailed implementation plans and timelines with a view to addressing the shortcomings in the current recruitment process;**

(f) **Finalize the forthcoming policy provisions on the management of liens, indicating clearly the definitions, types, conditions, applicability and duration, among others, in order to ensure clarity, consistency and compliance;**

Travel management

(g) **Enhance Organization-wide guidance on trip cancellations and modifications and the recovery of costs, where applicable;**

Supply chain management

(h) **Assess the strategic initiatives within the professional services category by prioritizing, validating and refining them, as needed, while discontinuing those with a low potential for success, and, specifically, when assessing the effectiveness of guidelines for roster use and secondary competition in audit services, evaluate their impact on the Organization's expenditure;**

(i) **Encourage vendors that have been invited, but declined, to participate in, solicitation processes to provide feedback on the reasons for declining to participate;**

(j) **Provide guidance to end users encouraging them to use hybrid vehicles, where possible, and strengthen discussions with suppliers of hybrid vehicles and conduct targeted outreach activities prior to the solicitation process, with the aim of increasing vendor participation and assessing market readiness to meet technical and geographical coverage requirements;**

Management reform

(k) **Strengthen efforts to monitor the improper use of low-value acquisitions and blanket purchase orders by closely following up on and adopting a more targeted approach in the pilot response mechanisms in order to reduce the improper use thereof;**

Development reform

(l) **Provide guidance on the assessment framework to clarify the measurement standards and methods to objectively assess and differentiate performance ratings in order to implement the new resident coordinator performance management and appraisal system in a consistent and transparent manner;**

(m) Review the integration of United Nations information centres, as requested by the General Assembly, with a view to establishing a sustained and structured mechanism for the Development Coordination Office and the Department of Global Communications, clarify the line of reporting and command, align strategic and programmatic planning and ensure that mandates, programmes and activities are developed in order to accommodate the mandates of both Offices to fully reap the envisaged benefits of the development reform;

Operations related to peace and security affairs

(n) Review the potential outside activities of experts of sanctions committees to ensure that prior approval is sought and follow up on the 17 cases of potential conflicts of interest and take appropriate action;

(o) Work with the Multi-Partner Trust Fund Office, as the administrative agent of the Peacebuilding Fund, to expedite financial closure processes to better utilize the Peacebuilding Fund balance;

Humanitarian affairs

(p) Take additional preventive measures against partners implicated in fraud, indicating to organizations that had their contracts suspended or terminated because of fraud that they are prohibited from using the Office for the Coordination of Humanitarian Affairs and country-based pooled funds logos;

Information and communications technology

(q) Strengthen the consolidation of demand requirements for enterprise ICT services across all Secretariat entities;

(r) Have the High-level Committee on Management foster deeper coordination and collaboration among the United Nations organizations in all matters related to ICT, including through shared procurement, in order to realize cost savings;

(s) Conduct a comprehensive assessment of the dependency on a single vendor for ICT contracts with a high value and assess the feasibility of adopting an exit strategy to mitigate operational risks to best protect the interest of the Organization;

Follow-up on previous recommendations

(t) Review all recommendations for which the target implementation dates have changed and report on the reasons and action that will be taken in the next report of the Secretary-General on the status of implementation of the Board's recommendations.

Key facts

\$7.73 billion	Total revenue
\$7.76 billion	Total expenses
\$0.03 billion	Deficit for the year
\$11.90 billion	Assets
\$7.81 billion	Liabilities
\$4.09 billion	Total net assets
\$3.43 billion	Employee salaries, allowances and benefits

A. Mandate, scope and methodology

1. The United Nations, founded in 1945, provides the main forum for its 193 Member States to meet and take collective measures through its principal organs: the General Assembly, the Security Council, the Economic and Social Council, the Trusteeship Council, the International Court of Justice and the Secretariat. Under the Charter of the United Nations, the Organization can take action on a wide range of vital and complex issues. The Organization comprises a Headquarters in New York made up of multiple departments and offices, as well as entities and offices away from Headquarters and projects across the globe.

2. The financial statements for the operations of the United Nations as reported in volume I encompass the full range of activities, entities and programmes falling under the auspices of the Secretariat and include all funds other than those of the peacekeeping operations, the International Tribunal for the Prosecution of Persons Responsible for Serious Violations of International Humanitarian Law Committed in the Territory of the Former Yugoslavia since 1991, the International Residual Mechanism for Criminal Tribunals, the United Nations Human Settlements Programme (UN-Habitat) and the United Nations Environment Programme, among others, which are reported separately.

3. The 2024 financial statements were prepared under the International Public Sector Accounting Standards (IPSAS) and comprise five separate primary statements supported by explanatory notes.

4. The Board of Auditors has audited the financial statements of the United Nations as reported in volume I for the year ended 31 December 2024 in accordance with General Assembly resolution 74 (I). The audit was conducted in conformity with the Financial Regulations and Rules of the United Nations, as well as with the International Standards on Auditing and the International Standards of Supreme Audit Institutions. The latter require that the Board comply with ethical requirements and plan and perform the audit to obtain reasonable assurance as to whether the financial statements are free from material misstatement.

5. The Board conducted the audit at various offices and departments at United Nations Headquarters in New York and the offices in Geneva, Vienna and Nairobi, as well as selected special political missions. The Board coordinated its work with the Office of Internal Oversight Services (OIOS) to avoid unnecessary overlap of effort and to determine the extent of reliance that could be placed on its work. The Board's report was discussed with the Administration, whose views have been appropriately

reflected. The present report covers matters that, in the opinion of the Board, should be brought to the attention of the General Assembly.

6. The audit was conducted primarily to enable the Board to form an opinion as to whether the financial statements presented fairly the financial position of the United Nations as at 31 December 2024 and the results of its operations and cash flows for the financial period, in accordance with IPSAS. This included an assessment of whether the expenses recorded in the financial statements had been incurred for the purposes approved by the governing bodies and whether revenue and expenses had been properly classified and recorded in accordance with the Financial Regulations and Rules of the United Nations. The audit included a general review of financial systems and internal controls and a test examination of the accounting records and other supporting evidence to the extent that the Board considered necessary to support its audit opinion.

7. The Board also reviewed the operations of the United Nations under regulation 7.5 of the Financial Regulations and Rules, focusing on areas of fundamental importance to the capability, effective management and reputation of the United Nations, in particular finance, budget, asset and human resources management. The Board also identified areas for improvement in the operations of procurement, development, peace and security, humanitarian affairs and information and communications technology (ICT).

B. Findings and recommendations

1. Follow-up on previous recommendations

8. The General Assembly, in its resolution [79/245](#), reiterated its request to the Secretary-General and the executive heads of the funds and programmes of the United Nations to ensure full implementation of the recommendations of the Board in a prompt and timely manner, to continue to hold programme managers accountable for the non-implementation of recommendations and to effectively address the root causes of the problems highlighted by the Board.

United Nations operations as reported in volume I

9. There were 187 outstanding recommendations up to the year ended 31 December 2023, of which 84 (45 per cent) had been implemented, 86 (46 per cent) were under implementation and 17 (9 per cent) had been overtaken by events (see annex I to the present report). The status of implementation of recommendations by report is shown in table II.1. It can be seen from the table that the earliest pending recommendations pertain to the report for the year ended 31 December 2015 ([A/71/5 \(Vol. I\)](#)).

Table II.1
Status of implementation of recommendations

Audit report year	Report	Recommendations pending as at 31 December 2023	Implemented	Under implementation	Not implemented	Overtaken by events	Recommendations pending as at 31 December 2024
2015	A/71/5 (Vol. I)	6	3	2	—	1	2
2017	A/73/5 (Vol. I)	1	—	1	—	—	1
2018	A/74/5 (Vol. I)^a	4	2	2	—	—	2
2019	A/75/5 (Vol. I)	10	5	3	—	2	3
2020	A/76/5 (Vol. I)^a	17	5	7	—	5	7

<i>Audit report year</i>	<i>Report</i>	<i>Recommendations pending as at 31 December 2023</i>	<i>Implemented</i>	<i>Under implementation</i>	<i>Not implemented</i>	<i>Overtaken by events</i>	<i>Recommendations pending as at 31 December 2024</i>
2021	A/77/5 (Vol. I)	39	19	15	–	5	15
2022	A/78/5 (Vol. I)^a	38	18	16	–	4	16
2023	A/79/5 (Vol. I)	72	32	40	–	–	40
Total		187	84	86	–	17	86

^a Excludes the recommendations made in the section on the strategic heritage plan of the report of the Board for the year ended 31 December 2018 ([A/74/5 \(Vol. I\)](#)), 31 December 2020 ([A/76/5 \(Vol. I\)](#)) and 31 December 2022 ([A/78/5 \(Vol. I\)](#)), which were presented in the relevant reports of the Board on the strategic heritage plan ([A/73/157](#), [A/75/135](#), [A/77/94](#) and [A/78/166](#)).

10. With regard to the ageing of the 86 pending recommendations, 15 (17 per cent) had been pending for more than three years, 15 (17 per cent) for three years, 16 (19 per cent) had been made two years ago and 40 (47 per cent) had been made one year ago. The Board also noted that 47 recommendations, originally scheduled for implementation between 2017 and 2024, were not implemented within the time frame set by the Secretary-General in his reports on the implementation of the recommendations of the Board. The Board sampled the recommendations' initial and revised target dates, noting that 41 recommendations had been postponed, with the longest delay being eight years.

11. The Administration informed the Board that management took the Board's recommendations seriously. During the period 2015–2023 (see table II.1), the Board issued 732 recommendations, of which 709 (or 97 per cent) were closed. This fact should, according to the Administration, provide assurance that, in addressing areas identified by the oversight bodies, the Organization was committed to continuously improving. The Administration also noted that complex recommendations could take more time than originally planned once implementation was under way. Priorities could also change in response to new mandates or external events.

12. The Board recommends that the Administration review all recommendations for which target implementation dates have changed and report on the reasons and action that will be taken in the next report of the Secretary-General on the status of implementation of the Board's recommendations.

13. The Administration accepted the recommendation, noting that the status of implementation of oversight recommendations was routinely reported to the Management Committee, the Independent Audit Advisory Committee and Member States through the reports of the Secretary-General on the subject. In addition, a module on the Board's recommendations was launched in the management dashboard in June 2025 to increase internal visibility.

Other reports of the Board of Auditors

14. Of the 17 open recommendations relating to the Umoja system as at 31 December 2022, 12 (70 per cent) had been implemented, 2 (12 per cent) were under implementation and 3 (18 per cent) had been overtaken by events (see annex II to the present report).

15. Furthermore, of the 13 outstanding recommendations relating to the ICT strategy as at 31 December 2020, 9 (69 per cent) had been implemented and 4 (31 per cent) had been overtaken by events (see annex III to the present report).

16. Lastly, there was one outstanding recommendation relating to the capital master plan, which had been implemented as at 31 December 2024 (see annex IV to the present report).

2. Accounts and financial reporting

(a) Financial overview

17. Total revenue for 2024 amounted to \$7.73 billion, a slight increase of \$0.14 billion (1.9 per cent) compared with \$7.59 billion in 2023, which was due mainly to the increase of \$0.09 billion in voluntary contributions and \$0.05 billion in investment revenue. The increase in investment revenue was attributable mainly to the investment income from cash pools. With regard to expenses, the total amount was \$7.76 billion in 2024, a slight decrease of \$0.15 billion (1.9 per cent) compared with \$7.92 billion in 2023, which was due mainly to a decrease of \$0.43 billion in grants and other transfers.

18. Net assets decreased by \$0.1 billion (2.4 per cent), from \$4.19 billion as at 31 December 2023 to \$4.09 billion as at 31 December 2024, which was due mainly to actuarial losses on employee benefits liabilities (\$0.08 billion) and the deficit for the year (\$0.03 billion).

(b) Liquidity management

19. In its resolution [78/252](#), the General Assembly urged all Member States to fulfil their financial obligations as set out in the Charter of the United Nations on time, in full and without conditions.

20. The Board continued its review of the liquidity situation of United Nations operations as reported in volume I through a ratio analysis and noted that the major financial ratios had remained stable over the past three years, while the solvency ratio showed a deteriorating trend, as shown in table II.2.

Table II.2

Ratio analysis for United Nations operations as reported in volume I

<i>Financial ratio</i>	<i>31 December 2024</i>	<i>31 December 2023</i>	<i>31 December 2022</i>
Cash ratio^a			
Cash plus short-term investments: current liabilities	2.49	2.36	2.31
Quick ratio^b			
Cash plus short-term investments plus accounts receivable: current liabilities	3.37	3.37	3.05
Current ratio^c			
Current assets: current liabilities	3.48	3.52	3.28
Solvency ratios^d			
Total assets: total liabilities	1.52	1.56	1.68

Source: Data provided by the Administration.

^a The cash ratio is an indicator of an entity's liquidity by measuring the amount of cash, cash equivalents and invested funds there are in current assets to cover current liabilities.

^b The quick ratio is more conservative than the current ratio because it excludes inventory and other current assets, which are more difficult to turn into cash. A higher ratio indicates a more liquid current position.

^c A high ratio indicates an entity's ability to pay off its short-term liabilities.

^d A high ratio is a good indicator of solvency.

21. Through a structural analysis of the financial situation of United Nations operations as reported in volume I by fund group, the Board noted that, for the regular budget and related funds, the quick ratio and the current ratio had been approximately 1 in the past three years. The recent improvement notwithstanding, the cash ratio remained weak, standing at 0.69, 0.11 and 0.31 at the end of 2022, 2023 and 2024, respectively, indicating a liquidity challenge, as shown in table II.3.

Table II.3

Ratio analysis for the regular budget and related funds

<i>Financial ratio</i>	<i>31 December 2024</i>	<i>31 December 2023</i>	<i>31 December 2022</i>
Cash ratio^a			
Cash plus short-term investments: current liabilities	0.31	0.11	0.69
Quick ratio^b			
Cash plus short-term investments plus accounts receivable: current liabilities	0.90	1.09	0.87
Current ratio^c			
Current assets: current liabilities	0.99	1.22	0.97
Solvency ratios^d			
Total assets: total liabilities	1.34	1.49	1.44

Source: Data provided by the Administration.

^a The cash ratio is an indicator of an entity's liquidity by measuring the amount of cash, cash equivalents and invested funds there are in current assets to cover current liabilities.

^b The quick ratio is more conservative than the current ratio because it excludes inventory and other current assets, which are more difficult to turn into cash. A higher ratio indicates a more liquid current position.

^c A high ratio indicates an entity's ability to pay off its short-term liabilities.

^d A high ratio is a good indicator of solvency.

22. Given that effective liquidity management depends mainly on a well-matched cash inflow with cash outflow in a specific period, the Board also conducted a dynamic analysis of the cash flows (in and out) for the regular budget in 2024 and noted cash shortages for the regular budget in March and during the period from May to October 2024, as shown in table II.4. The shortages could be attributed in part to the sharp downward trend in cash inflow during the period.

Table II.4

Monthly analysis of cash flows for the regular budget

(Millions of United States dollars)

<i>Month</i>	<i>Cash flow in</i>	<i>Cash flow (out)</i>	<i>Net cash flow in/(out)</i>
January	803	208	595
February	821	284	537
March	58	259	(201)
April	645	226	419
May	62	247	(185)
June	87	215	(128)
July	14	245	(231)
August	18	234	(216)
September	46	235	(189)

<i>Month</i>	<i>Cash flow in</i>	<i>Cash flow (out)</i>	<i>Net cash flow in/(out)</i>
October	18	408	(390)
November	296	234	62
December	522	325	197
Total	3 390	3 120	270

Source: Data provided by the Administration.

23. The Administration indicated that the downward trend of cash inflows of 2024 was attributed mainly to the fact that assessed contributions had not been paid in full in a timely manner. The Board reviewed the processing of payments of assessments in recent years and noted that the percentage of outstanding contributions of the amounts receivable had remained consistently high in December 2023 and December 2024, standing at 26.42 and 22.36 per cent, respectively, as shown in table II.5.

Table II.5
Trend in outstanding assessed contributions
(Millions of United States dollars)

<i>Year</i>	<i>Contributions receivable from Member States</i>	<i>Contributions outstanding at year-end (non-cumulative)</i>	<i>Percentage of outstanding amounts receivable</i>
2022	2 934	279	9.51
2023	2 990	790	26.42
2024	3 220	720	22.36

Source: Data provided by the Administration.

24. The Board also conducted a trend and ageing analysis of the assessed contributions receivable over the past three years (from 2022 to 2024) and noted that the assessed contributions receivable totalled \$784.6 million as at 31 December 2024, an increase of 122 per cent compared with 31 December 2022, as shown in table II.6. Of the total amount of \$784.6 million in assessed contributions receivable as at 31 December 2024, one Member State had an amount due of \$674 million, accounting for 86 per cent of the total outstanding amount and an increase of 3 per cent compared with 31 December 2023.

Table II.6
Assessed contributions receivable
(Millions of United States dollars)

<i>Year</i>	<i>Amount outstanding for less than two years</i>	<i>Amount outstanding for more than two years</i>	<i>Total</i>
2022	125.0	229.0	354.0
2023	633.0	250.0	883.0
2024	530.4	254.2	784.0

Source: Data provided by the Administration.

25. As provided for in regulation 4.3 of the Financial Regulations and Rules of the United Nations, the Working Capital Fund was established by the United Nations to manage liquidity issues for the regular budget. The United Nations Special Account was established in 1965 pursuant to General Assembly resolution [2053 A \(XX\)](#) and is

also used by the Administration to manage liquidity issues for the regular budget. In addition, as a last-resort measure, funds were borrowed from the surplus cash of closed tribunals in 2024. The borrowed amount reached \$606.88 million in 2024, with \$250 million, \$226.88 million and \$130 million, respectively, from the Fund, the Special Account and the closed tribunals, reaching a historical peak. The Board was informed that the loans from Special Account and closed tribunals had been returned during December 2024 (see table II.7) and that the loan from the Fund had been returned in January and February 2025.

Table II.7

Trend analysis of cross-borrowing by regular budget from the Working Capital Fund, the United Nations Special Account and the closed tribunals at year-end, 2023 and 2024

(Millions of United States dollars)

<i>Funding source</i>	<i>2023</i>	<i>2024</i>
Working Capital Fund	250	250
United Nations Special Account	217	–
Closed tribunals	–	–

Source: Data provided by the Administration.

26. Beyond the above-mentioned borrowings, it was indicated in the inter-office memorandum on managing the 2024 regular budget liquidity crisis issued by the Office of the Controller on 31 January 2024 that approximately \$350 million in cash would need to be conserved in regular budget operations to avoid a payment default throughout the year. Each entity was provided with a reduced budget ceiling in order to reach the conservation target and with instructions to not exceed their budgets. That approach afforded programme managers with flexibility in managing within their ceiling to minimize the negative impact of liquidity constraints on programme delivery and personnel. In addition to the hiring restrictions, entities were advised to use cash conservation measures such as delays in procuring goods and services and minimizing the hiring of consultants and experts.

27. In addition, the Administration has taken measures to address the arrears in assessed contributions, including updating the status of outstanding contributions daily and making it available to Member States through an online portal, issuing reminder letters, communication from the Secretary-General informing Member States of the Organization's deteriorating financial situation, and conducting briefings on the liquidity situation, among other methods.

28. The Board noted that, as at the end of 2024, 152 Member States had paid their dues in full for the regular budget, an increase of 10 Member States compared with the 2023 year-end number of 142. However, notwithstanding the measures implemented, the total amount of outstanding assessed contributions remains persistently high, and no substantive improvement has been observed in the financial situation and continued liquidity challenges.

Multilingual press release should be enhanced in response to the request of the General Assembly

29. In its resolution [78/330](#), the General Assembly emphasized the importance of making use of all the official languages of the United Nations, ensuring their full and equitable treatment in all the activities of the Department of Global Communications, and regretted that, to date, coverage of meetings and daily press releases were issued

only in English and French and highlighted the importance of these being issued in all official languages, in full respect of the principle of parity of all six official languages. In its resolution 78/252, the Assembly decided to establish 20 general temporary assistance positions for global communications as part of a pilot study.

30. The Board noted that the Department of Global Communications set the multilingual target as one of the performance deliverables in 2024. At the beginning of 2024, the Department established the above-mentioned 20 general temporary assistance positions but did not initiate the recruitment process, including the issuance of the temporary job openings, owing to the liquidity situation. The United Nations held more than 280 General Assembly and nearly 300 Security Council meetings in 2024. However, the Board noted that all press releases were issued only in English and French and had not been expanded to all official languages pursuant to the request of the Assembly.

31. The Administration indicated that, owing to the reduced financial ceiling, the Department of Global Communication received only the equivalent of 86 per cent of the 2024 approved budget. Consequently, it had to put in place a few measures to manage the liquidity situation, including the non-recruitment of the 20 general temporary assistance positions.

32. The Board is of the view that, considering the importance of the mandate of multilingualism, as well as the liquidity challenges, options could be explored within the approved resources to ensure that multilingualism is achieved, in line with the General Assembly's resolutions on the matter.

33. The Board recommends that the Administration carry out a pilot study, to the extent possible, within funds available and implement the mandate of multilingualism by concentrating on the most critical deliverables to ensure that its mandate for creating comprehensive communication outputs in multiple languages can be fulfilled.

34. The Administration accepted the recommendation.

Absence of a formal risk-based prioritization process at the United Nations Office at Vienna in response to liquidity constraints

35. According to the letter of the Secretary-General dated 25 January 2024, emergency cost-containment measures were instituted, including hiring restrictions and reductions in travel, consultancies, procurement, maintenance and non-critical security expenditure. In that context, the United Nations Office in Vienna received 96.2 per cent of its approved budget allocation and, for non-post expenditure, only 91.3 per cent, leading to operational constraints and a year-end deficit.

36. Notwithstanding the current situation and the expectation that it may persist, the United Nations Office at Vienna did not establish a formal risk-based prioritization process to guide decision-making under budgetary constraints. While some prioritization measures were taken in response to immediate liquidity pressures, there were still some impacts on the operation of the Office. For example, regarding staffing and service delivery, 11 regular-budget posts remained vacant as of December 2024, representing 13.25 per cent of the total authorized staffing of the Office, which negatively affected key functions, in particular within the Information Technology Service and the General Services Section. In addition, the budgetary constraints led the Office to delay until October 2024 the payment of \$791,116 to the common fund for financing major repairs and replacement, which was originally due in January and mandated under the 1977 memorandum of understanding and the 1981 tripartite agreement between Austria, the United Nations and the International Atomic Energy Agency. The delay marked the first missed deadline in more than four decades.

37. The Board is concerned that the absence of a formalized process may reduce transparency and consistency in resource allocation and limit the ability of the Organization to respond strategically to future financial constraints. It is imperative that the United Nations Office at Vienna implement proactive operational adjustments to avoid the risk of service disruption.

38. The Board recommends that the Administration formalize a process of allocation of priorities at the United Nations Office at Vienna, in consultation with its services chiefs, to address the United Nations liquidity challenges.

39. The Administration accepted the recommendation.

Identify the means for organizational and budgetary optimization at the United Nations Office at Geneva in a context of liquidity pressures

40. The budget implementation was constrained by the actual availability of funds, as determined by the financial allotment ceilings. While the approved budget of the United Nations Office at Geneva amounted to \$89.4 million in 2024, including \$50.6 million for staff costs, total committed expenditure amounted to only \$80.1 million, resulting in an overall implementation rate of 89.7 per cent, compared with 102 per cent in 2023.

41. In order to measure and mitigate the impact of the liquidity constraints on the services provided, the United Nations Office at Geneva needed to identify the key functions and optimization methods that were aimed at strengthening the resilience of the Organization while preserving continuity of services.

42. The job descriptions reviewed were outdated for the most part because they were updated only when vacancies occurred; in the majority of cases, the generic job profiles were used, with some modifications. In addition, there was no formal mapping of positions considered critical, which limited the ability to prioritize tasks under resource constraints, plan redeployments or anticipate key departures. The Administration commented that, without guidance from the General Assembly on the prioritization of activities and the insistence by the Assembly that the Secretary-General did not have the authority to prioritize the approved mandates, the Secretariat had no basis for prioritizing activities and thereby determine which functions were deemed critical.

43. The Board also noted that there was a lack of monitoring and forecasting tools for projecting how seniority, retirements or promotions affected staff costs.

44. The Board recommends that the Administration strengthen its organizational resilience at the United Nations Office at Geneva by launching a comprehensive structural review aimed at identifying critical positions and strategic functions, prioritizing essential tasks in a context of constrained resources and anticipating the management of numerous upcoming staff departures.

45. The Administration accepted the recommendation.

3. Cost-recovery services

46. In its resolution [79/245](#), the General Assembly noted the findings of the Board regarding cost-recovery resources and requested the Secretary-General to submit a comprehensive report on cost recovery, covering all the issues identified, at the main part of the eightieth session of the Assembly. At the time of the audit, the Administration was in the process of implementing the previous recommendation ([A/78/5 \(Vol. I\)](#), chap. II, para. 133), and preparing the report of the Secretary-General requested by the Assembly.

(a) Need to ensure \$198.07 million legacy balance clean-up is concluded by the fourth quarter of 2025

47. According to the cost-recovery policy and guidelines updated on 28 April 2024, an entity supplying a service should fully recover all costs that are properly associated with providing that service. Profit or loss should be avoided because United Nations entities are not-for-profit organizations, and profit or loss in such a scenario leads to a redistribution of funding between entities, contrary to donors' intentions. For individual funds, the overall fund balance should not exceed one year of expenses based on the average of the past three years.

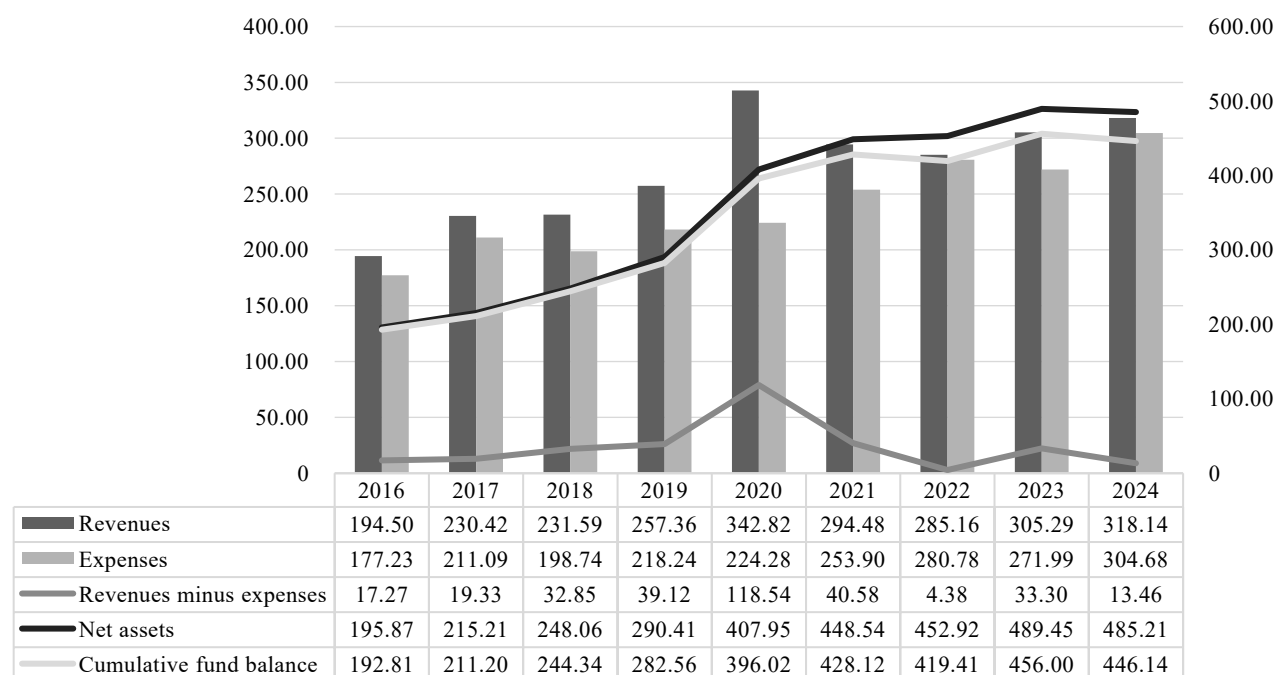
Trend analysis of the 10RCR cumulative fund balance

48. As indicated by the Administration, the 10RCR cumulative fund balance, which excludes property, plant and equipment, inventory and the staff liabilities reserve from net assets, would present an accurate picture of the funds that were available for use, and the monitoring of it has been developed. The Board performed a trend analysis of 10RCR net assets (i.e., accumulated surplus used in previous reports) and the cumulative fund balance and noted that the cumulative fund balance as at 31 December 2024 was \$446.14 million, representing a 2 per cent decrease from the balance of \$456 million at the end of 2023, as detailed in figure II.I. The Administration indicated that the decrease was due to several entities using some of their fund balance and the staff liabilities reserve being set aside.

Figure II.I

Trend of 10RCR revenues, expenses, net assets and cumulative fund balance, 2016–2024

(Millions of United States dollars)



Source: Data extracted from Umoja Analytics.

Structural analysis of 10RCR cumulative fund balance and reserve ratio

49. Through a structural analysis of business areas (i.e., entities), the Board noted that United Nations Headquarters had the largest portion of the 10RCR cumulative fund balance (\$241.71 million as at 31 December 2024) the past five years, ranging from 49 to 55 per cent in each of those years. Other top entities with a significant amount of the 10RCR cumulative fund balance as at 31 December 2024 included the United Nations Office at Nairobi (\$63.15 million, or 14 per cent), the United Nations Office at Geneva (\$45.54 million, or 10 per cent), the United Nations Assistance Mission in Afghanistan (\$25.65 million, or 6 per cent) and the United Nations Economic and Social Commission for Asia and the Pacific (ESCAP) (\$24.90 million, or 6 per cent), as detailed in table II.8.

50. The Board also conducted a trend analysis of the 10RCR reserve ratio (i.e., year-end cumulative fund balance divided by average annual expenses of the past three years) and noted that the ratio had been reduced to 1.56 at the end of 2024 compared with 1.7 at the end of 2023. Furthermore, the 2024 reserve ratio among entities varied significantly, ranging from 0.34 to 2.52, as detailed in table II.8.

Table II.8

Top 10 entities with a high 10RCR cumulative fund balance, 2020–2024

(Millions of United States dollars)

Entity	2020		2021		2022		2023		2024	
	Cumulative fund balance	Reserve ratio	Cumulative fund balance	Reserve ratio	Cumulative fund balance	Reserve ratio	Cumulative fund balance	Reserve ratio	Cumulative fund balance	Reserve ratio
United Nations Headquarters	218.10	2.09	225.71	1.94	206.02	1.69	226.23	1.85	241.71	1.93
United Nations Office at Nairobi	35.18	1.35	37.64	1.39	46.35	1.63	61.72	2.00	63.15	1.83
United Nations Office at Geneva	51.83	1.15	57.16	1.24	61.88	1.29	58.36	1.07	45.54	0.75
UNAMA	14.61	1.32	14.80	1.30	22.33	1.75	26.57	1.81	25.65	1.47
ESCAP	21.02	2.73	22.37	2.72	24.59	3.06	27.50	3.29	24.90	2.52
UNAMI	17.46	2.55	21.22	2.56	23.36	2.71	21.82	2.17	17.37	1.92
United Nations Office at Vienna	12.50	1.95	15.19	2.58	16.21	2.55	16.81	2.20	14.85	1.61
ECA	4.88	1.23	4.62	0.83	5.35	0.73	4.85	0.67	4.72	0.85
ECLAC	1.36	1.57	1.33	0.91	1.75	1.12	2.14	1.27	2.86	1.73
ESCWA	3.00	3.13	5.89	4.65	3.99	1.14	2.22	0.42	1.95	0.34
Total cumulative fund balance	396.02	1.85	428.12	1.84	419.41	1.66	456.00	1.70	446.14	1.56
Proportion of United Nations Headquarters (percentage)		55		53		49		50		54

Source: Data extracted from Umoja Analytics.

Abbreviations: ECA, Economic Commission for Africa; ECLAC, Economic Commission for Latin America and the Caribbean; ESCAP, Economic and Social Commission for Asia and the Pacific; ESCWA, Economic and Social Commission for Western Asia; UNAMA, United Nations Assistance Mission in Afghanistan; UNAMI, United Nations Assistance Mission for Iraq.

Clean up of \$198.07 million legacy balance under the 10RCR fund

51. The Board reviewed the clean-up activities of the Administration and noted that the \$198.07 million legacy balance was composed mainly of three funds: SAN, OJA and JUA.¹ The Board noted that the Administration had identified and distributed \$125.12 million (63 per cent) of that amount to appropriate fund centres to offset the corresponding deficit or cover the staff liabilities reserve, leaving a remaining balance of \$72.95 million that was pending further analysis. That remaining balance included mainly \$56.04 million from the OJA legacy fund, \$13.46 million from the JUA legacy fund and \$3.45 million from some other legacy funds. As indicated by the Administration, part of the revenue of OJA and the main funding source of JUA came from the regular budget, while the remaining surplus of those two legacy funds would be returned to Member States when the clean-up process was finished.

52. The Administration also explained that an analysis on the remaining legacy accumulated balance was ongoing and expected to be completed in the fourth quarter of 2025. The Secretary-General will report on progress in the forthcoming cost-recovery report, to be presented to the General Assembly at its eightieth session.

53. Considering that the Administration is progressing with the related recommendation of the Board (A/78/5 (Vol. I), chap. II, para. 133), the Board will not issue a duplicate recommendation in this regard.

(b) Update on the General Assembly request for a review of allocation options for 10RCR investment revenue

54. In its previous report (A/79/5 (Vol. I), chap. II, paras. 62–67), the Board highlighted the issue of the absence of an allocation mechanism for 10RCR investment revenue. In its resolution 79/245, the General Assembly requested the Secretary-General to expedite the review to propose options to the Assembly for the allocation of the generated interest revenue.

55. The Board continued its review in that regard and noted that the 10RCR investment revenue totalled \$51.64 million during the period 2020–2024, with corresponding expenses totalling \$5 million, leading to an accumulated balance of \$46.64 million for the period, as detailed in table II.9. Specifically, the investment revenue saw a large increase in 2022, 2023 and 2024, with revenue of \$8.52 million, \$16.15 million and \$22.21 million, respectively. The highest expenses during the period totalled \$1.85 million for 2024.

56. The Administration reiterated to the Board that there was no direct correlation between the interest earned on the 10RCR cash balance and the expenses related to administrative support for cost recovery. The level of investment revenue depended on the prevailing market interest rates. Expenditure levels for administrative support would vary from year to year depending on the planned activities, which could include large one-off costs such as actuarial reviews, computer systems development and consultancies. The Administration reiterated that all the administrative costs were funded from the interest revenue, given that there was no assessed funding resources for cost-recovery activities.

¹ SAN: multi-year special account for insurance recovery and expenditure relating to damage of aftermath of storm Sandy; OJA: legacy fund used to account for services (medical, security and mail) provided by United Nations Headquarters to external agencies and some Secretariat entities in New York; and JUA: Special Account for Information Technology and Telecommunications Services Costs at Headquarters.

Table II.9

Revenues, expenses and annual surplus of 10RCR investment revenue, 2020–2024

(Millions of United States dollars)

	2020	2021	2022	2023	2024	Total
Revenue	2.98	1.79	8.52	16.15	22.21	51.64
Expenses	0.30	0.47	0.88	1.50	1.85	5.00
Annual surplus	2.68	1.32	7.63	14.64	20.37	46.64

Source: Data provided by the Administration.

57. The Board also analysed the funding sources and noted that the regular budget and related funds (i.e., 10UNA), as well as peacekeeping missions, were the two largest users of cost-recovery services. However, they accounted for only 19 to 23 per cent of the revenue during the period 2022–2024, as detailed in table II.10. The majority of the revenue generated under 10RCR related to services provided to external parties, which accounted for 77 to 81 per cent of the revenue. Table II.10 reflects primarily services provided by the Office of Information and Communications Technology, the Department of Operational Support and corporate costs.

Table II.10

Revenue generated from assessed users of cost-recovery services

(Millions of United States dollars)

Funding source	2022		2023		2024	
	Revenue	Percentage	Revenue	Percentage	Revenue	Percentage
Regular budget and related funds	51.63	18.0	49.43	16.0	43.52	14.0
Peacekeeping mission funds	14.80	5.0	14.36	5.0	15.40	5.0
Total	66.43	23.0	63.79	21.0	58.92	19.0

Source: Data provided by the Administration.

58. In response to the Board's recommendation, the Administration updated the cost-recovery policy and guidelines on 1 April 2025, which provided that the interest income or loss for the cost-recovery funds was centrally managed by the Office of Programme Planning, Finance and Budget. The Administration also indicated that the interest revenue was critical in supporting the cost-recovery team and its work, including the daily tasks of reviewing all submissions for service rate approvals across the Secretariat, the review of yearly cost plans, the issuance of allocations, the training of hundreds of staff across the Secretariat and dashboard development.

59. The Board noted that the General Assembly endorsed its previous recommendation (A/79/5 (Vol. I), chap. II, para. 66) and requested the Secretary-General to expedite the review to propose options to the Assembly for the allocation of that generated interest revenue. The Administration is progressing with this request and will provide an update at the eightieth session of the Assembly.

60. Upon the issuance of the report of the Secretary-General on cost recovery, the Board will continue to keep matters related to cost recovery under review and report thereon in its future reports in accordance with General Assembly resolution 79/245.

(c) Liquidation of the United Nations Assistance Mission for Iraq 10RCR fund balances

61. The Board reviewed the 10RCR fund balances of the United Nations Assistance Mission for Iraq (UNAMI), which, in accordance with Security Council resolution [2732 \(2024\)](#), is scheduled for closure on 31 December 2025. As at 31 December 2024, the Mission's 10RCR net assets totalled \$17.90 million, comprising \$18.65 million in cash, \$9.59 million in fixed assets (less accumulated depreciation) that was offset by \$7.75 million in internal payables due to United Nations Headquarters (arising from military contingent expenses² apportioned to the Mission), \$1.41 million in revenue reduction adjustments and \$1.18 million in net current accounts payable. After excluding fixed assets, inventory and reserves for staff liabilities, the actual cumulative fund balance available as at 31 December 2024 was \$8.19 million.

62. The Board also noted that, in December 2024, UNAMI had prepared its transition and liquidation plan, which addressed personnel withdrawal and asset disposal in Iraq in accordance with the liquidation manual issued by the then Department of Field Support on 28 December 2012. However, the transition and liquidation plan lacked the analysis and action plan necessary for cleaning up the 10RCR accumulated balance.

63. The Board noted that, in April 2025, the Administration updated the cost-recovery policy and guidelines, which provides that, when an entity ceases to be a service provider or when a field mission closes, the cumulative fund balance should be returned to Member States after temporarily retaining 10 to 20 per cent to cover potential liabilities until they are settled in full.

64. The Board recommends that UNAMI follow the instructions from United Nations Headquarters, prepare an action plan and expedite the clean-up process for the cumulative fund balance in the cost-recovery fund during the transition and liquidation process.

65. The Administration accepted the recommendation and emphasized that the closing of cost-recovery activities was an integral part of financial closure at the end of a mission, when the balance sheet was liquidated. The Administration also highlighted that, during a rapid mission closure, the operational liquidation, including asset disposal and separation of staff, would take precedent over the financial closure of the accounts. Any funds remaining after associated expenses were settled would be reviewed for accuracy and returned, as appropriate.

(d) 10RCR cost-tracing regime in need of improvement

66. According to the cost-recovery policy and guidelines updated on 28 April 2024, "all United Nations service providers must understand the cost of providing services. When they charge for these services, they must calculate costs and attribute these to specific and clearly defined service activities. They must also of course be directly attributable to the users".

67. Among the operational departments with significant fund balances, the Office of Information and Communications Technology maintained a cumulative fund balance of \$32.78 million, with a 10.05 per cent surplus ratio in 2024, while the Department for General Assembly and Conference Management showed \$24.08 million in cumulative fund balance, with revenue nearly equalling expenses in 2024. On the basis of these significant balances and operational patterns, the Board carried out a detailed examination of those entities.

² Military contingent expenses include mainly cost reimbursement, major equipment, facilities infrastructure fire prevention, predeployment of coronavirus disease (COVID-19) tests and medical costs.

68. As at 31 December 2024, the net assets of the Office of Information and Communications Technology's cost-recovery business amounted to \$33.37 million, of which the cumulative fund balance amounted to \$32.78 million, as detailed in table II.11. Further analysis revealed that, in 2024, the annual surplus (revenue minus expenses) was \$3.96 million, with a surplus ratio (annual surplus/revenue) of 10 per cent, representing a decrease from 2022 (23 per cent) and 2023 (21 per cent), which indicated an improvement in annual surplus management.

Table II.11

Revenue, expenses, net assets and cumulative fund balance of the Office of Information and Communications Technology, 2020–2024

(Millions of United States dollars)

<i>Year</i>	<i>2020</i>	<i>2021</i>	<i>2022</i>	<i>2023</i>	<i>2024</i>
Revenue	36.39	38.70	36.90	36.09	39.39
Expenses	30.45	33.00	28.40	28.51	35.43
Revenues minus expenses	5.94	5.70	8.50	7.58	3.96
Surplus ratio (percentage)	16.32	14.73	23.04	21.00	10.05
Net assets	4.80	10.50	19.00	26.58	33.37
Cumulative fund balance	4.46	9.67	17.78	25.67	32.78

Source: Data extracted from Umoja Analytics.

69. The Board noted that the high surplus ratio in recent years could be attributable mainly to the deficiencies in the cost-tracing regime of cost-recovery services in the Office of Information and Communications Technology. For example, one functional area of the Office's cost-recovery services, namely, operations, accounted for the largest portion and includes hardware, network accounts, software distribution, cloud storage and licensing, representing some 90 per cent of the total cost-recovery revenue of the Office during the period 2022–2024. The Administration commented that, while the cost-recovery revenue was recorded under one cost centre (Operations Support Division), it was allocated across other cost centres in the Office from where the support elements of the centralized ICT services were provided and associated expenditure recorded. The annual surplus ratios of the Office's operations ranged from 31 to 34 per cent during that period. There was no one-to-one relationship between the revenue collected for a specific activity and the expenditure incurred to support the ICT service and activities.

70. The Office of Information and Communications Technology explained that it was making progress in the review of the total costs of ownership for various categories of services. The expected outcome would offer greater clarity and transparency regarding charge rates and enable the efficient and timely cost recovery for centralized services.

71. Similar analysis was conducted for Department for General Assembly and Conference Management headquarters. As at 31 December 2024, its 10RCR cumulative fund balance amounted to \$24.08 million. The surplus ratio had seen a continuous decrease, from 82 per cent in 2020 to 19 per cent in 2023. In 2024, revenue of \$6.34 million was nearly equal to expenses of \$6.32 million. The Administration commented that only the costs of conference management services in relation to extrabudgetary meeting requests, documentation processing and technology services (for conference management systems provided to Department clients on the basis of service-level agreement arrangements) were funded from the 10RCR fund. The progressive reduction in the surplus ratio achieved by 2024 was a result of the careful

attribution of incremental costs (expenditure) of conference services to cost-recovery revenue in relation to services for which provision was not made under the Department's programme budget under section 2.

72. On the basis of an analysis of the cost-tracing regime and comprehensive review, the Board noted that the high surplus ratio in recent years could be attributable mainly to the difficulty in matching expenses related to 10RCR services to related revenue. The Department for General Assembly and Conference Management explained that a one-to-one correlation between a fund centre in which revenue was recognized at the service level and expenditure, which was distributed and recorded on the basis of actual resource, could not be established with 100 per cent precision. For example, the Department did not assign core interpretation staff to serve the regular budget meetings only and extrabudgetary or temporary short-term interpreters to serve the extrabudgetary meetings only, which was the same case when it came to documentation services. To address the issue, the Department's working group on harmonization and standardization of the notional cost methodology was established in 2023, with the objective of aligning a notional cost methodology with the legislative mandates, in order to recognize and incorporate it so that the Department could better account for incremental costs and allocate it to revenue collected for the same category of services.

73. The Board, while acknowledging the efforts undertaken by both the Office of Information and Communications Technology and the Department for General Assembly and Conference Management, is of the view that enhancing the matching of revenue and expenses with the appropriate detail (e.g., service and functional level) would enable the more effective monitoring of actual revenue, expenses and surpluses related to 10RCR services. This would allow for timely and appropriate service rate adjustments, when necessary, to avoid an excess accumulation of surpluses or deficits.

74. The Administration emphasized that, in the case of the Department for General Assembly and Conference Management, it had made all reasonable efforts and had optimized its notional cost methodology in June 2025. The Board will review the progress made in that regard during the next audit cycle.

75. The Board recommends that the Administration ensure that the Office of Information and Communications Technology expedites the new review of the full category of services and continues to enhance oversight to match revenue against expenses at the service or functional level, as appropriate, to ensure that the full cost of each category can be measured realistically and objectively.

76. The Administration accepted the recommendation.

4. Trust fund management

(a) Management of programme support cost reserves in need of improvement

77. Programme support costs is a charge levied as a fixed percentage on direct expenditure, including commitments, incurred in the implementation of voluntary contribution activities. The programme support cost charge covers the additional administrative and operational costs (indirect costs) incurred in support of voluntary contribution activities. The corporate programme support cost fund (62RPS) is managed by the Department of Management Strategy, Policy and Compliance. For the other programme support cost funds (62PSC funds), the heads of entity are delegated with the authority to manage their own programme support cost fund.

78. As provided in the administrative instruction on programme support accounts ([ST/AI/286](#)), an operating reserve at the level of 20 per cent of the estimated annual programme support income should be set to protect against unforeseen shortfalls in

delivery, inflation and currency adjustments or to liquidate legal obligations in cases of the abrupt terminations of activities financed from extrabudgetary resources.

79. In its previous audit ([A/78/5 \(Vol. I\)](#), chap. II, paras. 184–192), the Board highlighted the increase in the programme support cost net assets of the Secretariat and recommended that the Administration expedite its review and revision of relevant administrative instructions to ensure the effective utilization of the programme support cost funds. The Board continued its review in that regard and noted the issues below.

Net assets of \$290.19 million for programme support cost funds

80. As at 31 December 2024, the operations of the United Nations as reported in volume I had 50 programme support cost funds, with \$290.19 million in net assets as shown in figure II.II, of which \$90.81 million was attributed to 62RPS (corporate programme support cost fund). The operating reserve level of 20 per cent in line with administrative instruction [ST/AI/286](#) amounted to \$35.77 million. Pending the finalization of the updated administrative instruction and in response to the Board's prior recommendation, the Administration issued new programme support cost guidelines in April 2025.

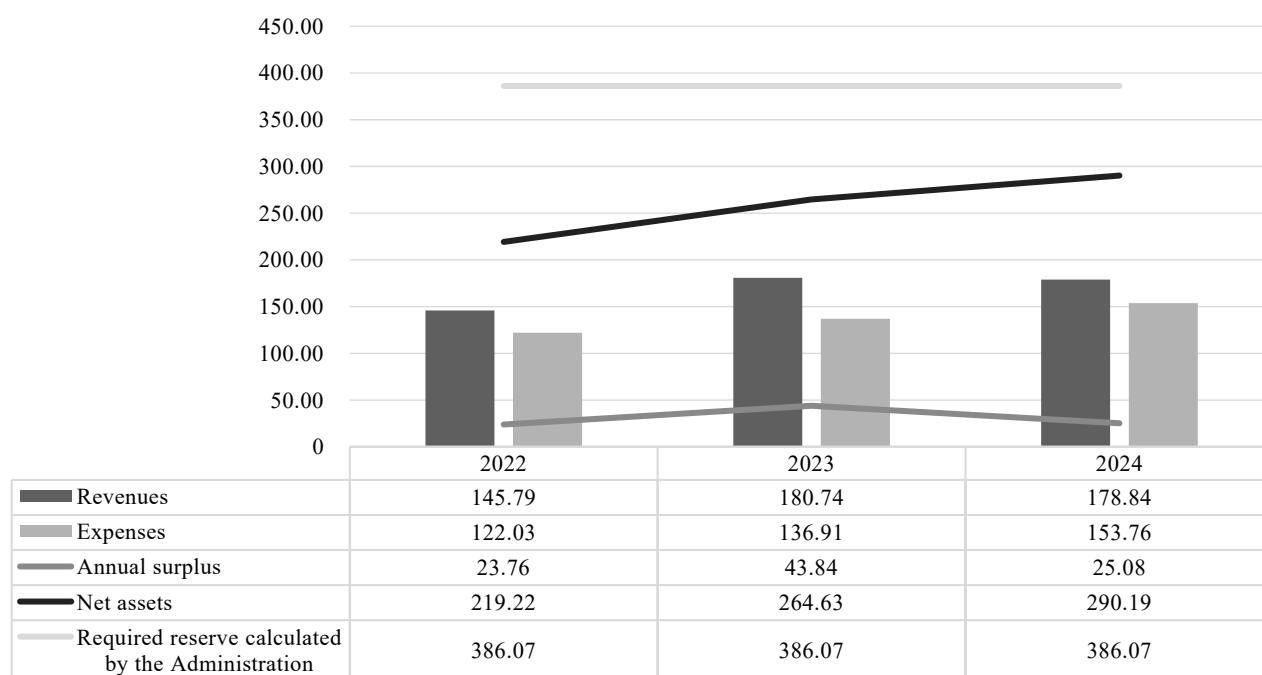
81. The Administration indicated that the guidelines augmented administrative instruction [ST/AI/286](#), ensuring consistency and clarity in the application of principles and practices across the Secretariat. They also addressed various areas pertaining to the effective and efficient management of the programme support cost funds and included a dedicated section on reserves with a three-tiered approach for operating, contingent and corporate reserves to mitigate risks and prevent the cross-subsidy of voluntary funded activities by the assessed resources. The guidelines extended the reserve requirements beyond the original 20 per cent operating reserve (currently at \$35.77 million) to include a 12-month contingent reserve (currently at \$153.77 million). It is specified in the new guidelines that the corporate programme support cost fund should maintain a minimum reserve, currently at \$253.7 million. The target reserve is \$386.07 million.

82. As regards 62RPS, \$30.22 million was withheld for other offices as indicated by the Administration, of which \$13.23 million was for the Department of Economic and Social Affairs, \$3.14 million was for the United Nations Office for Disaster Risk Reduction, \$2.17 million was for the Economic Commission for Europe, \$2.10 million was for ESCAP and \$2.09 million was for the United Nations Conference on Trade and Development. Compared with \$264.63 million in net assets by the end of 2023, the 2024 year-end amount represented an increase of 9.7 per cent, as shown in figure II.II.

Figure II.II

Trend analysis of programme support cost revenue, expenses, annual surplus and net assets, 2022–2024

(Millions of United States dollars)



Source: Data extracted from the ERP Central Component in Umoja.

83. The Administration indicated that, in the absence of mandatory reserves in the underlying trust funds, which were funded at a high value of approximately \$3.2 billion per year, the current net assets (\$290.19 million) constituted the only safety net for all voluntary contribution-funded operations, falling short of the target of \$386 million. The Administration explained that, while the net assets indicated the solid financial health of the programme support cost funds, that level might not adequately mitigate risks associated with the voluntary and unpredictable nature of extrabudgetary funding and that it was critical to maintain adequate programme support cost reserves for operational sustainability.

Programme support cost guidelines on reserve management

84. As at the time of audit, the revision to administrative instruction [ST/AI/286](#) was under review by management. However, the Administration issued new comprehensive programme support cost guidelines in April 2025, which provided that implementing entities should maintain an operating reserve in their programme support cost funds at a minimum value of 20 per cent of the estimated annual programme support cost revenue in order to mitigate risks arising from unexpected events or cash flow disruptions in the ongoing operations in the programme support cost funds, which was consistent with the requirements of [ST/AI/286](#). In addition, implementing entities were encouraged to build up a contingent reserve of up to 12 months of the estimated total annual programme support cost expenditure to mitigate risks from unforeseen circumstances such as large-scale abrupt terminations, which could result in a significant shortfall in funding, necessitating the liquidation of activities and the settlement of all liabilities, including those related to the programme support cost funds. The Board noted that the 12-month contingent reserve requirement was in addition to the 20 per cent operating reserve provided in [ST/AI/286](#) and was

intended to mitigate unforeseen detrimental events by providing liquidity in order to effect payments.

85. The new April 2025 programme support cost guidelines also provided that the 62RPS fund should maintain an adequate level of reserve at the minimum amount of \$253.7 million. The Administration indicated that the 62RPS fund, as the corporate programme support cost fund, had a different nature and that its purpose was to provide adequate funding not only to cover the 20 per cent operational reserve and 12-month contingent reserve required for the operation of the fund itself, but also to provide for large-scale capital initiatives, restructuring and reorganization costs, and financial risks associated with underfunded liabilities such as the Medical Insurance Plan and after-service health insurance.

86. The Administration also indicated that the majority of the \$253.7 million in reserves was designated for future capital projects. However, because it was not feasible to predict the costs of future capital projects and related expenditure, the Administration used past expenditure incurred for cross-cutting capital projects (i.e., Umoja) as a best estimate of expenditure that was likely to be incurred in the future.

87. In addition, reserves in the 62RPS fund for the Medical Insurance Plan and after-service health insurance and short-term capital investments were based primarily on empirical judgment. The Administration indicated that those needs varied and were estimated on the basis of past experiences and trends. The amount was conservative, given that the reserve addressed the entire extrabudgetary operation. The determination of 62RPS reserve levels was based on professional judgement vested with the Secretariat, with considerations comprehensively outlined in the new policy to prevent cross-subsidies by assessed resources. The policy was a living document due for review on 7 April 2030, when components and amounts would be re-evaluated.

88. The Administration further explained that each implementing entity must maintain adequate reserves to ensure the operational continuity of the trust fund activities, including a 20 per cent operating reserve and a 12-month contingent reserve. It indicated that the implementing entity's reserves did not account for the substantial financial risks arising from large-scale organizational events, including the funding of employee termination liabilities and potential litigation costs associated with managing approximately \$3.2 billion in annual trust fund expenditure. It emphasized that the failure to maintain adequate programme support cost reserves would expose the Organization to significant financial shocks and could result in cross-subsidization from assessed contributions, underscoring the critical importance of maintaining robust programme support cost reserve levels to ensure operational sustainability, support the prudent financial management of trust funds and mitigate both financial and institutional risks.

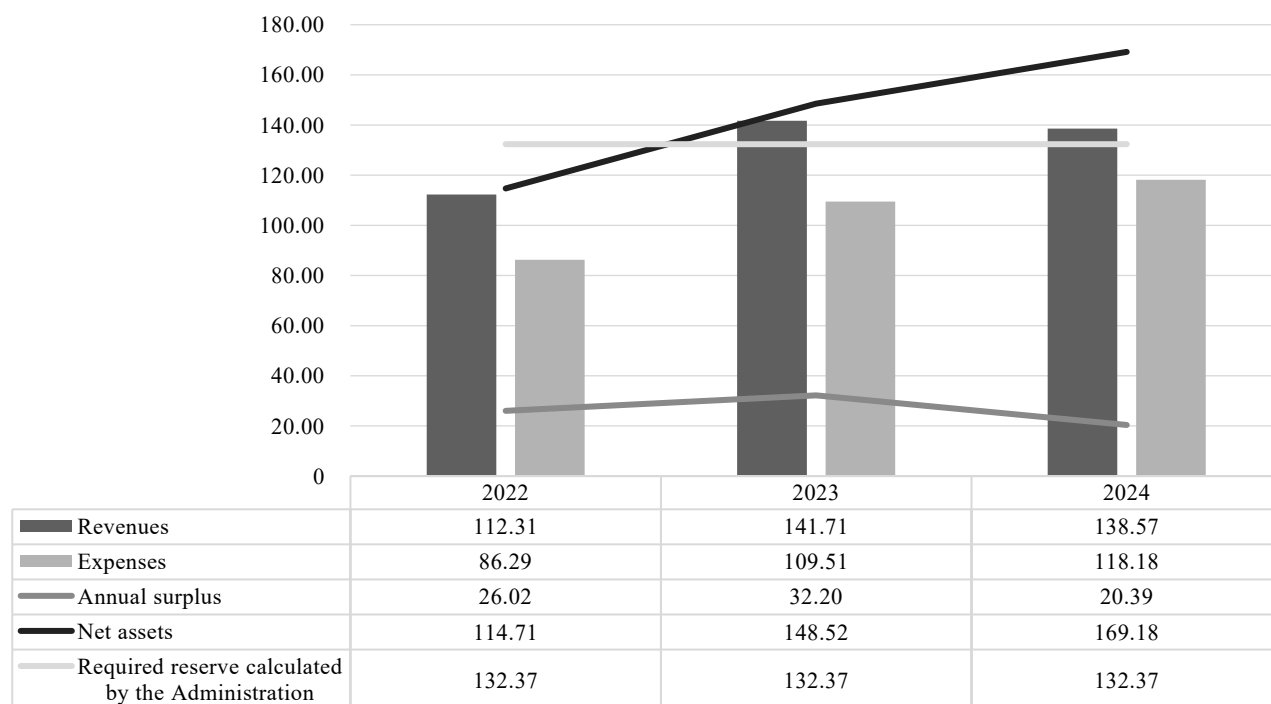
Programme support cost net assets of implementing entities need to be closely monitored

89. The Board noted that, as at 31 December 2024, apart from the 62RPS fund, the operations of the United Nations as reported in volume I had 49 programme support cost funds of implementing entities, with \$169.18 million in net assets, compared with the \$114.71 million at the end of 2022 (47 per cent increase) and \$148.52 million at the end of 2023 (14 per cent increase). With regard to the overall reserve level, the programme support cost fund net assets of the implementing entities was \$169.18 million, compared with the reserve level of \$132.37 million under the new April 2025 programme support cost guidelines.

Figure II.III

Trend analysis of implementing entities' programme support cost fund revenue, expenses, annual surplus and net assets, 2022–2024

(Millions of United States dollars)



Source: Data extracted from the ERP Central Component in Umoja.

90. Through a structural analysis by fund type, the Board noted that a couple of programme support cost funds of implementing entities had high net assets (more than \$1 million) at the end of 2024, such as 62DCD (Department of Economic and Social Affairs), 62ODA (Office for the Coordination of Humanitarian Affairs), 62OHR (Office of the United Nations High Commissioner for Human Rights (OHCHR)) and 62ODC (Central Emergency Response Fund), holding amounts of \$24.8 million, \$19.36 million, \$17.75 million and \$17.69 million, respectively.

91. The Board further analysed the programme support cost reserve level of the implementing entities based on the new April 2025 guidelines and noted that, after deducting the 20 per cent operating reserve and the 12-month estimated total annual programme support cost expenses as the contingent reserve, the remaining balance of some implementing entities remained positive, while some entities held negative balances, as detailed in table II.12.

92. The Administration indicated that the programme support cost funds related to the Office for the Coordination of Humanitarian Affairs, OHCHR and the Office of Counter-Terrorism, whose trust funds represented some 80 per cent of the entire extrabudgetary operation of \$3.2 billion, would have a shortage of net assets of more than \$31 million after deducting required reserves under the new policy.

Table II.12
Remaining balance level analysis of implementing entities

(Millions of United States dollars)

Fund	Office	Net assets	20 per cent of 2024 revenue (operating reserve)	Average annual expense for 2022–2024	Required reserve level	Remaining balance	Remaining level
		(a)	(b)	©	(d=b+c)	(a-d)	(e=(a-d)/c)
62DCD	DESA	24.80	1.73	4.44	6.17	18.64	4.20
62DOS	DOS and six other offices	8.00	0.77	1.12	1.89	6.11	5.47
62DPA	DPPA	7.60	0.63	1.73	2.36	5.24	3.02
62DPO	DPO	5.69	0.57	0.88	1.45	4.24	4.84
62OSG	EOSG	5.56	0.38	1.05	1.43	4.13	3.93
62ODA & 62ODC	OCHA and CERF	37.05	10.33	41.65	51.98	(14.92)	(0.36)
62OHR	OHCHR	17.75	6.22	27.27	33.49	(15.73)	(0.58)
62OCT	OCT	3.54	0.55	4.34	4.89	(1.35)	(0.31)

Source: Data extracted from the ERP Central Component in Umoja.

Abbreviations: CERF, Central Emergency Response Fund; DESA, Department of Economic and Social Affairs; DOS, Department of Operational Support; DPO, Department of Peace Operations; DPPA, Department of Political and Peacebuilding Affairs; EOSG, Executive Office of the Secretary-General; OCHA, Office for the Coordination of Humanitarian Affairs; OCT, Office of Counter-Terrorism; OHCHR, Office of the United Nations High Commissioner for Human Rights.

93. The Administration indicated that programme support cost funds' expenditure had been incurred and materialized later in 2024, given the long lead time associated with the recruitment of personnel and the procurement of goods and services. The expenditure was not always linear and supported not only daily operations, but also long-term costs, including unfunded staff liabilities and costs related to executive direction and management (e.g., multi-year comparative and strategic reviews, programmatic evaluations, programmatic assessments and evaluations, actuarial valuations, consultancies, engagement with donors and donor relations, pledges and multi-year appeal conferences, and fraud detection and prevention reviews). It was therefore necessary to ensure an adequate level of net assets to cover such costs.

94. The Board considers that the above-mentioned variances may indicate that the relevant implementing entities need to enhance their monitoring in this regard.

95. The Board recommends that the Administration add the net asset balance, including the required target reserve balance, of the category 62 funds in the current internal control dashboard³ to further enhance the monitoring of the management of extrabudgetary resources.

96. The Administration accepted the recommendation.

(b) Management of the cash balance for humanitarian trust funds in need of improvement

97. The 32DDN trust fund is a major funding source of humanitarian aid managed by the Office for the Coordination of Humanitarian Affairs, which accounts for country-based-pooled funds, voluntary contributions for mandated activities of the Office, special designated contributions and the operational cash reserve account. The Board conducted an analysis of cash balance for 32DDN and noted the issues outlined below.

³ The internal control dashboard is used to monitor programme support cost funds levels.

Untimely clearance of outdated commitments and closed country-based pooled funds, resulting in elevated cash balances

98. The Board noted that cash balances of 32DDN totalled \$1.44 billion as at 31 December 2024, compared with the amount of \$920.66 million at the end 2021, \$1.12 billion at the end of 2022 and \$1.19 billion at the end of 2023, showing a comparative increase of 56, 29 and 21 per cent, respectively. A structural analysis revealed that \$1.16 billion (or 81 per cent) was related to country-based pooled funds, including outstanding commitments of \$251.91 million.

99. The Board further reviewed the cash balances of country-based pooled funds and noted that some outdated commitments and closed country-based pooled funds had not been cleared in a timely manner by the Office for the Coordination of Humanitarian Affairs as at 31 December 2024, including: (a) \$94.01 million in outdated commitments related to 1,402 closed, closing or cancelled projects, of which 354 with outstanding commitments of \$26.43 million had been closed before 2021, with the earliest occurring in 2015; (b) \$5.03 million, which belonged to three country-based pooled funds closed in 2022 or 2023; and (c) an \$8.40 million outdated cash balance of closed country-based pooled funds, two old accounts and refunds from partners remaining to be assigned. The Board, in its report (A/77/5 (Vol. I), chap. II, para. 146), highlighted the issue, which had not been properly settled at that time and had a corresponding outdated cash balance that had increased 1.12 times compared with that recorded at the end of 2021.

100. The Board sampled one country-based pooled fund and noted that the lack of funding resulted in significant impacts on the ability of the Office for the Coordination of Humanitarian Affairs to provide aid to the population in need, such as the suspension of health facilities and other facilities ceasing to operate, and many children being at risk of severe malnutrition, even though the cash balance of the fund was \$82.72 million by the end of 2024. The Board is of the view that more humanitarian needs would have been addressed if the cash balance had been repurposed or reused.

101. The Office for the Coordination of Humanitarian Affairs explained that some grants that comprised advances paid to implementing partners had been allocated prior to 2020 and had not been cleared. The clearing task was labour-intensive and involved multiple steps and measures. The Office reported that it was committed to clearing those outdated outstanding commitments and cash balances.

102. As an accumulated fund for humanitarian assistance, the liquidity of the 32DDN fund is of great importance in responding to humanitarian emergencies. It is important and necessary for outstanding cash balances to be cleared in a timely manner to improve fund performance and fulfil humanitarian assistance responsibilities.

103. The Board recommends that the Administration expedite the clearing of outstanding pending commitments and cash balances of closed country-based pooled funds to improve the performance of the funds.

104. The Administration accepted the recommendation.

Lack of definite guidelines on operating reserve management

105. According to an inter-office memorandum on operating reserves for general trust funds issued by the Controller in 2015, the level of operating reserves for general trust funds can be determined by fund managers after presenting the reserve assessments to the Controller.

106. The Board conducted a trend analysis of operating reserves of trust funds for mandated activities of the Office for the Coordination of Humanitarian Affairs and

noted that the operating reserves had increased from \$147.13 million in 2022 to \$209.16 million in 2023 and then to \$223.86 million in 2024, showing an increase of 52 per cent compared with that in 2022, representing, respectively, 51, 69 and 72 per cent of its annual expenditure.

107. The Board also noted that the Office for the Coordination of Humanitarian Affairs had not formulated definitive guidelines on operating reserve management by the end of 2024 and that the methodology applied for operating reserve assessment was inconsistent from 2022 to 2024 (e.g., including an additional \$6 million for sudden emergencies in 2024, and such an assessment was not presented to the Controller, as required). Furthermore, in 2023 and 2024, the actual operating reserve was \$82.16 million and \$68.86 million higher, respectively, than the assessed level determined by the Office.

108. The Office for the Coordination of Humanitarian Affairs explained that the operating reserves were used to fund operational needs for the next financial year, cover foreseen reduction in donor contributions, fluctuation in exchange rates, reductions in interest income and build contingency reserves. The inconsistency in the methodology applied during the period 2022–2024 was attributable to a significant and unforeseen increase in the operating reserves during those years because interest income earned was considerably higher compared with previous years.

109. The Board is of the view that it is of great importance to maintain a proper operating reserve, duly taking into account operational continuity and actual requirements.

110. The Board recommends that the Administration formulate definitive operating reserve guidelines for trust funds and enhance the management of operating reserves accordingly.

111. The Administration accepted the recommendation.

5. Cash and investment management

112. To enable the centralization of cash management at the United Nations and reduce transactional costs, cash pooling was introduced, whereby funds are consolidated into house bank accounts. The United Nations Treasury invests funds pooled from Secretariat entities and other participating entities.⁴ Assets are managed in two investment pools: the main pool in United States dollars and the euro pool. There is also the United Nations Staff Mutual Insurance Society against Sickness and Accidents, whose funds are in Swiss francs. The United Nations Treasury is responsible for investment and risk management for the cash pools in accordance with the United Nations Investment Management Guidelines. An investment committee periodically evaluates investment performance and assesses compliance with the Guidelines and makes recommendations for updates thereto.

113. As part of the centralization of cash management for the United Nations and to improve efficiency, control and transparency, a house bank structure was implemented in Umoja. Each bank account serves a specific currency and location and is available for all United Nations entities, funds and missions. Cash is consolidated, and this cash pool incorporates investment pooling, which has been in

⁴ Other participating entities include the International Residual Mechanism for Criminal Tribunals, the International Trade Centre, the secretariat to the Convention to Combat Desertification, the United Nations Environment Programme, the secretariat to the United Nations Framework Convention on Climate Change, the United Nations Human Settlements Programme (UN-Habitat), the United Nations Office on Drugs and Crime, United Nations University and United Nations peacekeeping operations as reported in volume II.

place since 2001. The allocation of assets and revenue within the cash pool is determined by the principal balance of each participating entity. The United Nations Treasury is responsible for managing cash and investments and supporting the opening and closing of bank accounts worldwide. As at 20 May 2025, there were 281 active bank accounts in Umoja.

114. The General Assembly, in its resolution [79/245](#), invited the Secretary-General to examine, in the context of the performance report, the amount and use of interest generated by existing funds and mechanisms within the Secretariat, disaggregated by funding stream, including but not limited to the cost-recovery funds, and to report thereon to the Assembly, and also requested the Advisory Committee on Administrative and Budgetary Questions to request the Board to keep matters related to accrued interest under review and report thereon in its future reports.

115. As at 31 December 2024, the cash pools held total assets of \$12,091.5 million (2023: \$11,563.8 million), of which \$6,039.3 million (2023: \$5,324.4 million) was due to the United Nations operations as reported in volume I, and its share of revenue from cash pools was \$290.8 million (2023: \$241.9 million).

116. For the euro pool and the United Nations Staff Mutual Insurance Society against Sickness and Accidents, there is only one pool participant, and therefore, the revenue and expenses of both are transferred directly to the pool participant without the need for apportioning.

117. For the main pool, as at 31 December 2024, it comprised 503 pool participants (funds), including 235 funds (i.e., regular budget and related funds and trust funds) reported under the financial statements for operations as reported in volume I and 268 funds from nine other entities. The net cash pool revenue includes the interest earned on investments and any gains and losses on the sale of investments, which are calculated as the difference between the sale proceeds and book value. Transaction costs that are attributable directly to the investment activities are netted against revenue. The net revenue is distributed proportionally to all cash pool participants on the basis of their daily adjusted cash balances relative to the pool balance.

118. The realized revenue of the cash pools and the United Nations Staff Mutual Insurance Society against Sickness and Accidents for 2022, 2023 and 2024 were \$180.54 million, \$491.59 million and \$582.40 million, respectively. Of those amounts, the realized revenue of the United Nations operations as reported in volume I was \$89.34 million, \$244.75 million and \$295.26 million (as detailed in table II.13) for 2022, 2023 and 2024, respectively.

119. The fluctuation in returns is affected mainly by the rising interest rate environment and short-duration cash pool. The main pool invests primarily in money market instruments and United States dollar interest rate bonds with maturities within three years. The yields on these shorter-maturity assets are highly sensitive to the Federal Reserve's federal funds rate. In 2022 and 2023, the Board of Governors of the Federal Reserve raised the target rate from near zero per cent to more than 5 per cent. In addition, the main pool is a short-duration portfolio (the average duration of investments of the main pool was 0.77, 0.65 and 0.78 years as at 31 December 2022, 2023 and 2024, respectively) so it responds quickly to interest rate changes. These factors resulted in an increase in the overall main pool realized rate of return in 2023 and 2024 compared with 2022.

Table II.13
Realized revenue of fund groups of United Nations operations as reported in volume I for 2024

(Millions of United States dollars)

<i>Fund group</i>	<i>Realized revenue</i>
Regular budget and related	43.95
Common support	36.96
Trust funds	141.59
Long-term employee benefits	24.90
Insurance and workers' compensation	37.55
Capital assets and capital investment plan	6.31
Other	4.00
Total	295.26

Source: Based on data from the United Nations Treasury.

6. Budget management

120. The United Nations budget includes the programme and peacekeeping operations budgets. According to the proposed programme budget for 2024 and the corresponding General Assembly resolution, the total appropriations for 2024 were \$3.39 billion, estimates for other assessed resources amounted to \$395.1 million and extrabudgetary resources were \$14.6 billion.

121. In its first reports on the proposed programme budget for 2024 ([A/78/7](#)) and 2025 ([A/79/7](#)) and in its financial performance report on the programme budget for 2023 ([A/79/312](#)), the Advisory Committee on Administrative and Budgetary Questions focused on budget-related topics, including the presentation of proposed requirements, budget implementation and the clarity of information. In the light of the Advisory Committee's focus, the Board continued its review of budget formulation, implementation and disclosure and noted the issues outlined below for further improvement.

(a) Preparation of special political mission construction projects in need of improvement

122. According to the 2024 budget guide, resources for construction, alteration, improvement and major maintenance of United Nations properties and infrastructure (excluding special political missions) are to be included centrally under section 33 to ensure a coherent and systematic approach to capital expenditure requirements.

123. The Global Asset Management Policy Service is responsible for the technical review of those facility-related projects submitted under section 33, assessing project prioritization on the basis of multiple factors, including project scope and scale, benefits and risks, urgency and criticality, alignment with organizational objectives, and past requests and recommendations from legislative and oversight bodies. The Service also provides oversight and technical guidance on those major capital projects funded under the construction-in-progress special account, conducting regular coordination meetings with project teams and facilitating and finalizing annual progress reports.

124. The Board reviewed the budget submissions and supplementary information of section 33 in 2024 and noted that construction projects of special political missions were excluded from that section.

125. The Administration explained that the scope of section 33 was limited to established offices (including the Department of Operational Support, the Office of Information and Communications Technology, the Department of Safety and Security, the United Nations Office at Geneva, the United Nations Office at Vienna, the United Nations Office at Nairobi, the Economic Commission for Africa (ECA), ESCAP, the Economic and Social Commission for Western Asia, the Economic Commission for Latin America and the Caribbean, the Special Coordinator for the Middle East Peace Process and the United Nations Truce Supervision Organization), while construction projects of special political missions were all reported under their relevant mission budgets. Therefore, the Global Asset Management Policy Service was not mandated nor resourced to review project proposals under the budgets of special political missions in a way similar to how it reviewed section 33 facility-related projects. The Administration planned to add a disclaimer in the budget fascicle for section 33 to clarify that scope limitation.

126. The Board further reviewed the construction project of the United Nations Assistance Mission in Somalia (UNSOM) in Dhuusamarreeb and the Kuwait building construction project of UNAMI.

Construction project of the United Nations Assistance Mission in Somalia in Dhuusamarreeb

127. The Board noted that the information presented in some special political missions' budget submissions for construction projects was less detailed than typically required for section 33 projects. For example, in the 2023 proposed programme budget for the UNSOM construction project in Dhuusamarreeb (A/77/6 (Sect. 3)/Add.4), the Mission proposed resources amounting to \$19.51 million for "facilities and infrastructure" under "operational costs". In 2024, the proposed resources increased to \$20.12 million (see A/78/6 (Sect. 3)/Add.4), attributing the \$609,800 increase solely to construction costs for the Dhuusamarreeb field office and higher maintenance and utility expenses for cleaning and water. However, the budget submissions did not provide detailed information regarding the overall project budget, the specific scope of work or the implementation timeline for such a significant construction project.

128. The Board also noted that the project had been approved for commencement by the Mission's internal project management group according to the project charter, and the office building was estimated to cost \$8.50 million. As of April 2025, the main construction work had been completed. In its resolution 2753 (2024), the Security Council decided that UNSOM would be replaced by the United Nations Transitional Assistance Mission in Somalia (UNTMIS), whose mandate would be terminated by 31 October 2026. In the light of the transition, UNTMIS decided to discontinue the construction of the project in 2025 and is going to coordinate with other United Nations entities about taking over the facilities.

129. The Board is concerned that, without proper capital expenditure project budget reporting, UNTMIS may not be able to fully assess the possibility of mission adjustment before project launch, potentially resulting in changes in the implementation of the project.

Construction project of Kuwait building at the United Nations Assistance Mission for Iraq

130. A similar case was noted at UNAMI. The Mission requested \$2.56 million in 2023 under section 3 for repairs to the Kuwait building (A/77/6 (Sect. 3)/Add.6). In that budget document, it was stated this was for "construction, alteration, renovation and major maintenance for repair of the UNAMI building in Kuwait to ensure continuous usability of the building for the health and safety of personnel, as assessed and recommended by structural engineers", but no details on project scope and scale,

investment estimate and implementation timetable, among others, were provided. In its 2024 budget (A/78/6 (Sect. 3)/Add.6), the Mission provided this on the basis of assessments made by an independent construction firm, by which the project would change from renovating the existing building (estimated at \$2.9 million) to the construction of a new fit-for-purpose building, which was expected to save \$1.2 million while better meeting operational needs. The General Assembly approved \$1.67 million under facilities and infrastructure. The Board also noted that, in the budget submission, UNAMI applied an estimate of bill of quantities from 2019, based on the Mission's own assessment, without any feasibility study or host country permit assessment. After receiving the funds and signing the contract, UNAMI experienced difficulties in obtaining Kuwaiti authorities' approval, leading to the contract's termination in May 2024. This resulted in the \$1.67 million being left unused for more than two years before being returned to Member States.

131. The Administration explained that special political missions had historically not been included under section 33. While the Administration had planned to enhance how construction projects of special political missions were proposed, reviewed and presented, including potentially subjecting them to Global Asset Management Policy Service review, time would be needed to develop appropriate methodologies and capacity. The Administration noted that such improvement efforts were under way and that, starting from the 2025 special political missions' budgets, enhanced performance reporting would be implemented for construction projects under thematic cluster III (United Nations Assistance Mission in Afghanistan and UNAMI), which had been recognized by the Advisory Committee on Administrative and Budgetary Questions and endorsed by the General Assembly.

132. The Board acknowledges that special political missions have historically not been included in the scope of section 33 and that the Global Asset Management Policy Service has not been resourced to review proposals under special political missions' budgets. However, the Board is of the view that construction project proposals, regardless of where they are budgeted, need to be comprehensive, complete and undergo a thorough assessment to ensure robust project planning and the efficient use of resources.

133. The Board recommends that the Administration strengthen its role and capacity to provide guidance on construction projects of special political missions and expedite the development of appropriate thresholds, criteria and evaluation methods for construction projects that would be subject to the review of the Global Asset Management Policy Service.

134. The Administration accepted the recommendation.

(b) Project delays between budget proposals and implementation progress and untimely fund clearance for multi-year construction projects

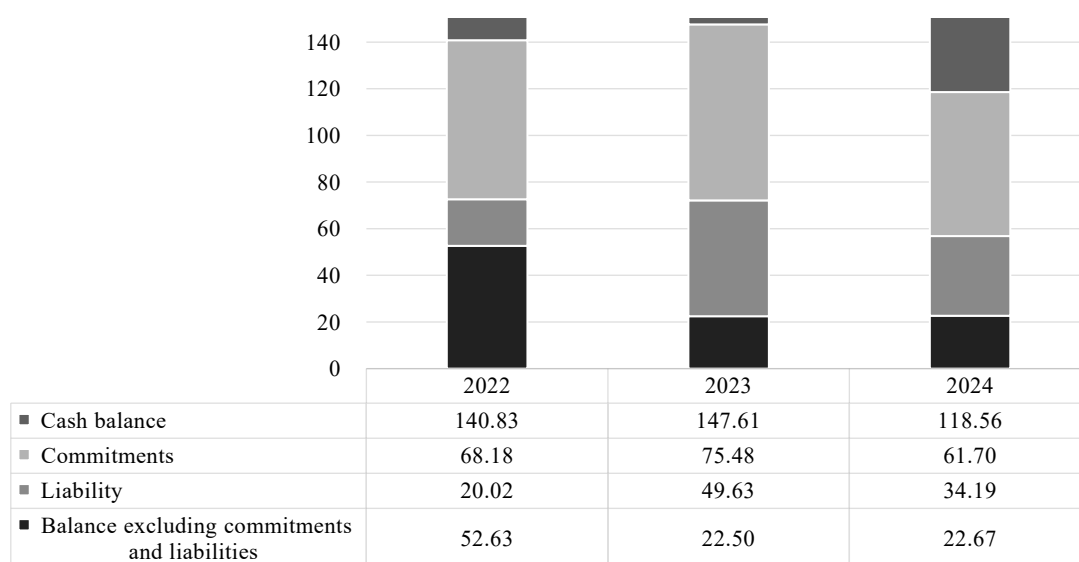
135. The General Assembly, in its resolutions 76/246, 77/263, 78/253 and 79/258, emphasized the importance of governance, effective oversight, transparency and accountability in the management of several multi-year major construction projects to ensure that the objectives of the project were achieved within the approved budget and schedule.

136. The Board reviewed the utilization of the 64CFA fund (construction fund) established by the United Nations Secretariat for major construction projects and noted that the fund had year-end cash balances of \$140.83 million in 2022, \$147.61 million in 2023 and \$118.56 million in 2024. After reducing those amounts by liabilities and commitments, the adjusted available cash balances were \$52.63 million (2022), \$22.50 million (2023) and \$22.67 million (2024), as detailed in figure II.IV and table II.14.

Figure II.IV

Cash balance, commitments, liabilities of the 64CFA fund by the end of 2022, 2023 and 2024

(Millions of United States dollars)



Source: Based on data extracted from Umoja.

Table II.14

Structural analysis of the 64CFA fund by business area at the end of 2022, 2023 and 2024

(Millions of United States dollars)

Year		UNHQ	UNOG	UNON	ECA	ECLAC	ESCAP
2022	Cash balance	12.23	68.88	22.13	19.25	6.51	11.83
	Commitments	–	39.85	4.82	14.84	0.66	8.01
	Liabilities	–	18.17	0.83	0.05	0.07	0.90
	Balance, excluding commitments and liabilities	12.23	10.86	16.48	4.36	5.78	2.92
2023	Cash balance	12.23	70.82	32.75	12.80	1.78	17.23
	Commitments	–	40.86	20.89	10.61	0.83	2.29
	Liabilities	–	41.66	2.58	2.97	0.66	1.76
	Balance, excluding commitments and liabilities	12.23	(11.70)	9.28	(0.78)	0.29	13.18
2024	Cash balance	12.23	60.89	29.84	0.36	4.26	10.98
	Commitments	–	39.69	11.90	2.41	1.90	5.80
	Liabilities	–	24.13	4.88	0.13	1.23	3.82
	Balance, excluding commitments and liabilities	12.23	(2.93)	13.06	(2.18)	1.13	1.36

Source: Based on data extracted from Umoja.

Abbreviations: ECA, Economic Commission for Africa; ECLAC, Economic Commission for Latin America and the Caribbean; ESCAP, Economic and Social Commission for Asia and the Pacific; UNHQ, United Nations Headquarters; UNOG, United Nations Office at Geneva; UNON, United Nations Office at Nairobi.

137. The Board noted that high budget balances under the construction fund in recent years resulted primarily from timing differences between budget appropriation and fund utilization. For example, for the office blocks A to J replacement project at the United Nations Office at Nairobi, the Board noted significant variations between the budget proposals and the implementing entity's capability to utilize the fund. Through

General Assembly resolutions [72/262 A](#), [73/279 A](#), [74/263](#), [75/253 A](#), [76/246 A](#), [77/263 A](#) and [78/253](#), \$65.12 million was appropriated for the period from 2018 to 2024 for the project. Further review of the implementation progress of the project revealed that the high amount of unused budget balances stemmed from timing differences between the projected budget requests and project execution schedules. For example, during 2018 and 2019, \$931,900 in budget resources was requested for early design work; however, owing to delays in those activities, only \$605,000 (or 65 per cent) of the two-year budget was utilized. In 2020, another \$10.49 million was requested for the construction of early works and the design of the new office building, early works and flexible workplace strategies, and escalation, contingency, project management and security requirements, while related work was delayed until the fourth quarter of 2020 owing to the outbreak of the coronavirus disease (COVID-19) pandemic, resulting in only \$5.17 million (or 49 per cent) of the budget being consumed. In 2022, \$3.62 million was requested for new building construction but remained unused by the end of 2022.

138. In addition, the Board noted that part of the accumulated cash balance came from completed construction projects had not been cleared promptly. Specifically, at United Nations Headquarters, \$12.23 million remained idle from 2020 through 2024. Given that no major construction projects have been undertaken at Headquarters in 10 years, these idle funds may represent surpluses from previously completed projects that were not cleared in a timely manner.

139. The Board is of the view that budget proposals for major multi-year construction projects should adequately consider actual implementation timelines with realistic fund requests in order to avoid funding remaining idle for extended periods. Meanwhile, surplus from completed projects should be cleared promptly to avoid idle resources.

140. The Administration explained that year-end balances should be measured as a budget balance (i.e., appropriation minus expenditure and commitments) rather than a cash balance. The cash balance includes amounts needed for contractual obligations, vendor liabilities such as retention payments, potential future staff liabilities and funds to be released after the completion of defect liability periods, which typically occur after construction activities are finished.

141. The Board noted that, after excluding commitments and liabilities, the 64CFA balance stood at \$22.67 million as at the end of 2024. In addition, the analysis revealed that \$6.92 million in established commitments had remained outstanding for more than two years. The Board, while recognizing the Administration's position regarding contractual obligations, is of the view that payment timelines could be better anticipated during contract signing and more closely aligned with project implementation schedules. Improving budgeting for resources needed may enhance overall resource utilization efficiency.

142. The Board recommends that the Administration issue guidance on the preparation of multi-year construction project budget proposals to related entities to ensure that project implementation schedules are duly considered when requesting new budget appropriations.

143. The Board also recommends that the Administration further review the open fund balances under the construction fund (64CFA) related to completed projects and take appropriate action to clear the balances.

144. The Administration accepted the recommendations.

(c) Ground transportation budget overtaken by developments in the operational and security environment

145. The General Assembly, in its resolution [79/245](#), requested the Secretary-General to develop a culture of efficiency and cost-effectiveness to improve financial and budget performance. The Standard Cost and Ratio Manual provides guidance on light passenger vehicle holdings while encouraging entities to right-size their fleet on the basis of actual operational demand.

146. In its proposed programme budget for 2024 ([A/78/6 \(Sect. 3\)/Add.1](#)), the United Nations Integrated Office in Haiti (BINUH) indicated that the proposed allocation of light passenger vehicles in 2024 was 47 units, under the proposed personnel of 148 in line with the staffing table. In fact, BINUH held 52 light passenger vehicles as at 31 December 2024, all of which were allocated in Haiti. The mission explained that the five additional light passenger vehicles were needed owing to maintenance delays from destroyed facilities, challenging local transportation conditions and operational requirements for contingencies and support services.

147. The Board noted that BINUH calculated the light passenger vehicle requirements on the basis of the total number of personnel listed in its staffing table. This included 118 international staff, 24 National Professional Officers and 51 United Nations police and government-provided personnel. However, only 35 international staff were physically deployed in Haiti as at 31 December 2024 owing to a temporary evacuation. On this basis, a maximum of 14 light passenger vehicles should be allocated to the mission. Considering the 8 light passenger vehicles allocated for police personnel and 7 for other functions, the Office should be operating only 29 light passenger vehicles under current conditions.

148. The Board further noted that BINUH, notwithstanding having excess vehicles, established two purchase orders totalling \$442,051.41 for 15 additional light passenger vehicles in May and October 2024.

149. BINUH explained that its budget was formulated on the basis of projected staffing levels for normal operations rather than the temporary evacuation scenario that later materialized, with limited flexibility to adjust vehicle deployment once security conditions deteriorated. The Office further explained that the procurement was done in line with the revised mandate under Security Council resolution [2692 \(2023\)](#), in which the Council directed the Office to enhance support and security capacities, and anticipated an increase of 61 civilian and police personnel. However, owing to the ongoing security situation and restricted port access in Haiti, the vehicles remained undelivered as of March 2025 and were to be temporarily stored at the United Nations Logistics Base at Brindisi, Italy, until conditions improved.

150. The Board is concerned that the BINUH vehicle budget calculations, which were based on registered rather than deployed personnel, resulted in inefficient resource allocations. Furthermore, the procurement of additional vehicles during a period of low utilization and when the recruitment of additional personnel remained on hold owing to the evacuation might have resulted in higher resources than required during the reporting period.

151. The Administration explained that the current budget preparation process of BINUH already incorporated the light passenger vehicle Standard Cost and Ratio Manual ratio framework to guide vehicle requirements in line with operational needs. This approach ensures that projections are based on anticipated staffing levels and mission activities during a financial year where all budgeted activities are taking place, rather than temporary exceptional scenarios such as evacuations. The Administration emphasized that BINUH lacked the operational flexibility to redeploy or withdraw vehicles from the mission area in response to short-term fluctuations

such as evacuations. Consequently, vehicle-to-personnel ratios might appear inflated when annual vehicle allocations were compared with temporary staffing levels during such events. Moreover, the financial and logistical cost of the frequent redeployment of vehicles in and out of a mission could also create heightened costs and inefficiencies.

152. The Board recommends that the BINUH reassess vehicle requirements in the light of operational demands in future.

153. The Administration accepted the recommendation.

7. Asset management

154. As disclosed in note 15 to the financial statements, the net book value of property, plant and equipment of the operations of the United Nations as reported in volume I totalled \$3.10 billion as at 31 December 2024, representing a 2.3 per cent increase compared with the prior year's balance of \$3.03 billion. The largest portion of property, plant and equipment comprised land and buildings, which totalled \$2.26 billion, or 73 per cent of the total property, plant and equipment, while assets under construction totalled \$0.60 billion, or 19 per cent of the total property, plant and equipment.

(a) Multi-year construction projects require more refined management practices to address delays and cost increases

155. The General Assembly, in its resolutions [76/246](#), [77/263](#), [78/253](#) and [79/258](#), emphasized the importance of governance, effective oversight, transparency and accountability in the management of several multi-year major construction projects to ensure that the objectives of the projects were achieved within the approved budget and schedule. Meanwhile, the Global Asset Management Policy Service should continue to be actively involved in overseeing the projects to ensure the central supervision of capital projects, including risk management and alignment with lessons learned.

156. According to the guideline for the management of construction projects of the Organization, the overall role of the Global Asset Management Policy Service is to coordinate and provide support to overseas duty stations or offices away from Headquarters in the area of facilities management, including monitoring and ensuring that the administrative and technical procedures and the facilities management and construction project guidelines are followed at all offices away from Headquarters.

157. The Board reviewed the schedule execution and cost implication of the six major construction projects of the United Nations Secretariat and noted that five of them were delayed and three had experienced budget increases beyond their original estimates (see also table II.15). For example, the strategic heritage plan at the United Nations Office at Geneva has been delayed for 48 months and faces a potential increase of up to 87.5 million in Swiss francs in its budget if the General Assembly decides not to reduce the approved project scope. The replacement of office blocks A to J at the United Nations Office at Nairobi has been delayed for 12 months. The seismic mitigation retrofit and life cycle replacements project at ESCAP has been delayed for 29 months, with an increase of \$1.24 million in budget approved by the Assembly. Renovation of the North Building at the Economic Commission for Latin America and the Caribbean has been delayed for 29 months, with an increase of \$4.81 million in budget approved by the Assembly. Lastly, renovation of Africa Hall at ECA has been delayed for 50 months.

Table II.15

Project schedule and cost performance statistics of the six major construction projects of the United Nations Secretariat by the end of 2024

(Millions of United States dollars)

<i>Project</i>	<i>Original completion date</i>	<i>Current scheduled completion date</i>	<i>Schedule delay (months)</i>	<i>Original estimated cost</i>	<i>Current estimated cost</i>	<i>Cost increase (percentage)</i>	<i>Increase</i>
Strategic heritage plan at UNOG ^a	December 2023	December 2027	48	836.50	924	87.5	10.5
Replacement of office blocks A to J at UNON	December 2024	December 2025	12	66.26	66.14	(0.12)	(0.18)
Seismic mitigation retrofit and life cycle replacements project at ESCAP	December 2022	May 2025	29	40.02	41.26	1.24	3.10
Renovation of the North Building at ECLAC	December 2022	May 2025	29	14.33	19.14	4.81	33.54
Renovation of Africa Hall at ECA	December 2020	February 2025	50	56.90	56.90	–	0.0
Renovation of conference services facilities at UNON	September 2029	September 2029	–	265.66	265.66	–	0.0

Source: Based on data extracted from the annual progress report on the projects.

Abbreviations: ECA, Economic Commission for Africa; ECLAC, Economic Commission for Latin America and the Caribbean; ESCAP, Economic and Social Commission for Asia and the Pacific; UNOG, United Nations Office at Geneva; UNON, United Nations Office at Nairobi.

^a Monetary amount for the strategic heritage plan is in Swiss francs.

Use of cost escalation allowance inconsistent with related guideline

158. According to article 9.6.3.2. of the guideline for the management of construction projects of the Organization (vol. 2), “risks arising from fluctuations in inflation rates should be mitigated by establishing cost escalation allowance”.

159. The Board noted that the United Nations Office at Nairobi had utilized a \$2.94 million cost escalation allowance in 2024 for the replacement of office blocks A to J project’s flexible workplace strategy component, including for the completion of the remaining 20 floors of the United Nations Environment Programme and UN-Habitat building and for a portion of the increased fit-out costs related to the new building component, in accordance with the related progress report of the Secretary-General ([A/79/267](#), para. 47 (a)). The Board noted that such use appeared to extend beyond the original purpose of mitigating inflation-related risks, as specified in the guidelines.

160. The Administration explained that the utilization incorporated necessary office redesign developments following the COVID-19 pandemic and feedback received from pilot blocks, necessitating an increase in collaborative spaces, and the use of funds was presented to and reviewed by the Advisory Committee on Administrative and Budgetary Questions and the Fifth Committee.

161. However, the Board noted that, although an earlier progress report of the Secretary-General (see [A/78/510](#) and [A/78/510/Corr.1](#)) included the proposal to utilize the \$2,938,700 remaining balance of the escalation provision, how it would be used was not specified. The detailed utilization was documented only in the subsequent progress report (see [A/79/267](#)) after the funds had already been allocated.

Improvement needed in contract management of construction projects

162. According to article 3.11.5 of the guideline for the management of construction projects of the Organization (vol. 1), project managers should ensure timely

contractor performance evaluations in cooperation with the Procurement Division. It is emphasized in the guideline that contract management is critical, requiring ongoing monitoring of contractor performance against all terms and conditions, including work completion, quality and timely delivery. The Board noted several areas in which contract management practices could be strengthened to improve project outcomes. For example, as noted in previous audits, contract management deficiencies occurred in the ECA Africa Hall renovation project (A/78/5 (Vol. I), para. 61).

Enhancement needed in comprehensive feasibility study for construction projects

163. According to article 8, annex 2 of the guideline for the management of construction projects of the Organization (vol. 3), project management teams must develop, maintain and continuously monitor a risk register with mitigation measures to prevent or reduce identified risks.

164. In addition to the six major construction projects, the Board reviewed the progress of other multi-year construction projects and noted some cases in which risk assessment and mitigation remained challenging for project implementation by the business owners. For example, for the construction project of the United Nations camp at Hero Drogo in Dhuusamarreeb of UNSOM, initial planning lacked sufficient mitigation measures for the risks posed by regional political, security and financial constraints related to the procurement of critical materials. The project was at least 13 months behind schedule according to the construction schedule adjustment plan. As at the end of August 2024, the Dhuusamarreeb weekly status report showed little activity on site, with most task orders substantially completed but awaiting United Nations-provided materials such as concertina wire, air-conditioning units, generator sets and armoured cables. Most vendors have demobilized from the site owing to supply chain disruptions.

165. The Administration explained that the delays were due to unpredictable external factors beyond UNSOM control, specifically regional political instability, security challenges and financial constraints that disrupted the delivery of critical materials to the construction site. The Administration subsequently identified measures in the project charter, including prioritizing Mogadishu equipment transport (road and air), monitoring runway conditions and establishing airport security protocols for workers and contractors.

166. The Board is of the view that the enhanced feasibility studies could assist in the development of more effective contingency plans for operating in volatile environments, and lessons learned from construction projects across the Organization could be valuable resources for improving project management practices in the future.

167. The Board recommends that the Administration establish a lessons learned exchange process, with an emphasis on cost and schedule management, to help project owners to improve future project management by drawing from experiences in the cases examined by the Board.

168. The Administration accepted the recommendation.

Project cost status and inconsistencies in the strategic heritage plan

169. The purpose of the strategic heritage plan of the United Nations Office at Geneva is the renovation of the Palais des Nations and the establishment of a new building to meet the requirements of the Organization and address health, safety and working conditions. In its resolution 68/247, the General Assembly stressed the importance of oversight with respect to the development and implementation of the strategic heritage plan and requested the Advisory Committee on Administrative and

Budgetary Questions to request the Board to provide oversight assurance and to report annually on that matter to the Assembly.

170. The Board noted that, as of March 2025, the scheduled completion date of the strategic heritage plan was 22 November 2027. However, the forecast by the risk management firm for the completion of the project was 18 April 2029, which is more than five years behind the project baseline.

171. With regard to the budget implications of the refurbishment and renovation of the programme, the Board encountered difficulties in obtaining consistent and stable forecasts. Previously, project management used to implement a bottom-up approach, which consists of defining the needs and spending as much as necessary to fully achieve the objectives. The overrun would reach 19 per cent of the initial budget according to the assumptions made by the strategic heritage plan team as of February 2025 and 18.1 per cent according to the project's risk manager. However, project management started to shift its approach towards a top-down approach, which is designed to consider the available budget and make trade-offs to achieve the best value for money, and this resulted in 14 per cent in additional costs compared with the initial approved budget.

172. The Board is of the view that, in the current context of financial constraints in the United Nations system, a complete shift to a top-down approach appears essential to keep the overrun of the budget as low as possible. The Administration emphasized that the General Assembly, in its resolution [79/297](#), outlined a revised maximum budget for the strategic heritage plan of 924 million Swiss francs, which was the result of a top-down budgeting approach based on proposals from the United Nations Office at Geneva to the Assembly for its consideration. The Board noted the Administration's commitment and will continue to follow up on the matter.

(b) Need to strengthen documentation and implementation of the United Nations pavilion at Expo 2025 in Osaka, Japan

173. The Government of a Member State and the United Nations signed an agreement, under which the Member State contributed \$8.25 million to the United Nations Secretariat to support United Nations participation in the 2025 World Exposition (Expo) in Osaka, Japan. The United Nations awarded a contract to a contractor in an amount of \$4.70 million, and the contractor would undertake the design, installation, operation and maintenance for the United Nations pavilion at Expo 2025. The Expo and the United Nations pavilion were opened on 13 April 2025.

174. The Board reviewed the first payment of \$329,000 under the terms of the contract between the United Nations and the supplier and noted that the payment lacked the required supporting documents of design and layout approval and a permit for the commencement of work, among others.

175. The Board also noted that the Department of Global Communications should have approved all testing and commissioning works before opening; however, relevant reports to that effect were not provided. Moreover, the stage of design and construction was behind schedule, with delays ranging from one to four months.

176. The Administration informed the Board that the issuance of permits and the signature of the participation contract could happen only after negotiations with the host country had been concluded.

177. The Board acknowledges the Department's early planning efforts and the challenges faced, including delays in concluding the host country agreement. However, it is the Board's view that the Department of Global Communications

should have implemented robust milestone tracking and contingency planning to mitigate delays and reputational risks.

178. The Board recommends that the Administration, in order to bring the project to successful completion, strengthen its project management and monitoring mechanisms and ensure strict adherence to all contractual conditions, including ensuring that the necessary approvals and permits are obtained and documented prior to the release of relevant payments.

179. The Administration accepted the recommendation.

(c) Improvement needed in asset transfer and disposal during mission liquidation

180. According to Security Council resolution [2732 \(2024\)](#), UNAMI will end its mandate on 31 December 2025. The Mission liquidation process will commence on 1 January 2026. The Board reviewed the proposed assets transfer and disposal process and noted some issues, as described below.

Guidance on asset allocation during mission liquidation needs to be enhanced

181. In accordance with the field entity closure guide (Ref. 2018.08), the United Nations Logistics Base has a central role in liquidation and, at the request of a liquidating entity, can provide detailed advice on environmental issues, asset management and disposal, and Umoja processing. When a field entity requests support from the Logistics Base for liquidation activities, a service-level agreement is established between the liquidating entity and the Logistics Base. The Operational Planning Service also performs a key role in covering the liquidation aspects, planning and coordination.

182. The Board noted that, in line with Security Council resolution [2697 \(2023\)](#), the United Nations Investigative Team to Promote Accountability for Crime Committed by Da'esh/Islamic State in Iraq and the Levant (UNITAD) concluded its mandate on 17 September 2024. However, during its liquidation process, UNITAD did not prepare a separate asset disposal report pursuant to the field entity closure guide, and some assets requiring further review or disposal action were transferred to UNAMI on 17 September 2024. Other disposals were undertaken, as appropriate, depending on the asset type, condition and receiving entity. The close operational integration of resources and staff between UNITAD and UNAMI was a significant factor in planning the disposal process, with the United Nations Logistics Base duly consulted.

183. The Administration explained that UNAMI had been providing mission support services to UNITAD before its closure and therefore continued to play an important role, jointly with the Department of Operational Support, in supporting the UNITAD drawdown and closure. Given that the two missions were co-located, assets were received by UNAMI to maximize the use of such assets.

184. The Board noted that the number of idle computers at UNAMI increased significantly following the UNITAD asset transfer. Specifically, before receiving assets from UNITAD, UNAMI possessed 823 computers, 10 of which were idle (1.22 per cent). As at 31 December 2024, UNAMI held 1,199 computers (including 266 of the 335 computers received from UNITAD), of which 198 were idle, accounting for 16.51 per cent of the total.

185. Meanwhile, the UNITAD asset transfer prioritized transfers to UNAMI. As provided in section 3 of the proposed programme budget for 2024 ([A/78/6 \(Sect. 3\)/Add.1](#)), the number of standard allocation and spares of computing devices for UNAMI was 732 in 2024 and the number of proposed computing devices was 919 for the same year. However, after receipt of the computers from UNITAD, the actual

inventory of 1,199 computer devices for UNAMI exceeded the standard allocation by 64 per cent.

186. The Administration explained that, according to the related guidelines, the closing entity should establish early contact with Headquarters to obtain advice and support in areas such as environmental issues and asset management and disposal. Headquarters played a central role by providing advice and guidance on the disposition of property, while the closing entity carried out operational tasks on the ground. As a standard practice, the United Nations Logistics Base would have established a service-level agreement with UNITAD. However, UNITAD understood that the support from the Logistics Base was not required beyond sporadic advice on specific asset- and processing-specific transactions in Umoja. UNITAD managed all property disposal activities under the relevant financial rules.

187. The Board acknowledges that field missions might handle the liquidation of assets in line with the relevant financial rules, as UNITAD did, and recognizes that mission leadership acted within its delegated authority. While the guidelines indicate the United Nations Logistics Base's central role in the liquidation processes, the Board considers that appropriate guidance from Headquarters could assist the mission in optimizing resource allocation and preventing unnecessary stockpiling.

188. The Administration explained that UNAMI was required to dispose of the remaining UNITAD assets, including writing off unserviceable equipment and declaring surplus assets, which made the heightened standard disposal ratios operationally necessary. To support the UNAMI liquidation process, the Department of Operational Support has appointed a dedicated focal point to coordinate the transition, and UNAMI is concluding a service-level agreement with the United Nations Logistics Base for asset disposal support to ensure effective procedures and monitoring.

189. The Board recommends that, during the liquidation process, UNAMI, with appropriate guidance from Headquarters, remain committed to a structured and effective asset disposal process, incorporating lessons learned from the UNITAD liquidation to ensure optimal utilization and prevent unnecessary stockpiling.

190. The Administration accepted the recommendation.

Finalization of the preliminary asset disposal plan

191. According to the UNAMI liquidation plan ([S/2024/966](#)), the Secretary-General mandated the Mission to prepare a preliminary asset disposal plan to guide its asset disposal process during liquidation. This plan would document all disposal activities, including transfers to the United Nations country team or donations to the Government of Iraq, ensuring transparency and compliance with the Financial Regulations and Rules of the United Nations.

192. The Board identified 66 high-value fixed assets worth \$57.92 million, including critical infrastructure, such as the Erbil office building, a solar photovoltaic hybrid microgrid system and a wastewater treatment plant, which were completely omitted from both the preliminary asset disposal plan and the stock-taking report. This discrepancy reveals a gap in the Mission's asset tracking that needs to be addressed to prevent potential financial losses and ensure proper accountability during the Mission's liquidation process.

193. UNAMI explained that the discrepancies arose because various asset categories were tracked through different systems. The preliminary asset disposal plan and stock-taking report were generated from the equipment master record but included only serialized materials. The 66 fixed assets worth \$57.92 million were classified as

real estate assets rather than serialized equipment and were therefore tracked separately. The Mission prepared the preliminary asset disposal plan for real estate assets and consumables and supplies inventory manually, and they would form part of the preliminary asset disposal plan.

194. The Board is of the view that UNAMI should expedite the inclusion of manually prepared disposal plans for real estate assets and consumables and supplies inventory in the preliminary asset disposal plan in order to fully reflect the situation accurately.

195. The Board is concerned that the preliminary asset disposal plan should capture critical infrastructure assets to guide the completeness and accuracy of the asset disposal process, ensuring transparency and accountability to stakeholders and better management of resources.

196. The Administration commented that the preliminary asset disposal plan in Umoja was configured only to track the serialized equipment. It did not include real estate and consumable items, which did not have an equipment master record but rather a separate reporting mechanism.

197. The Board recommends that UNAMI finalize the preliminary asset disposal plan to ensure that all assets of UNAMI are included.

198. The Administration accepted the recommendation.

Lack of review of whether to cancel outstanding purchase orders during the transition and liquidation phase

199. According to the field entity closure guide (Ref. 2018.08), missions approaching liquidation must systematically review their supply chain activities to “ensure minimal inventory holdings for the remainder of the mission, and to avoid purchasing additional/unnecessary stocks of assets/expendables”. This requirement is intended to prevent resource waste during the drawdown phase by adjusting procurement to match declining operational needs. In the case of UNAMI, the Advisory Committee on Administrative and Budgetary Questions had already noted that, with respect to the 2024 programme budget (A/78/6 (Sect. 3)/Add.6) “in view of recent investments in the replacement of ageing vehicles, further acquisition of vehicles should be phased out”, establishing a clear expectation that vehicle purchases should cease as the mission approached its end.

200. The Board analysed the Mission’s purchase order list and noted \$11.80 million in purchase orders with delivery dates after the Security Council’s decision of 31 May 2024 on drawdown. Notwithstanding liquidation guidelines requiring a substantive review of ongoing procurements, the purchase orders were tracked simply for status updates without a documented assessment of whether they should be cancelled. By 19 March 2025, only one purchase order had been cancelled, and this was due to supplier non-responsiveness rather than a strategic review. Sample testing further revealed three armoured buses, valued at \$436,500, ordered in November 2023 but delivered in November 2024, which was six months after the drawdown decision. The Mission provided no evidence of having conducted any justification review to determine whether those assets were still required during the transition and liquidation phase, and its failure to carry out such a review was not fully compliant with the established procedures in the field entity closure guide.

201. The Administration commented that the three armoured vehicles were ordered in order to meet immediate operational requirements and to replace vehicles that were no longer serviceable. Since November 2024, all three vehicles had been fully utilized. Furthermore, the vehicles were ordered prior to the decision to liquidate UNAMI.

202. However, the Board noted that, as at 31 December 2024, UNAMI already owned 249 vehicles (221 in use and 28 surplus vehicles either being prepared or in transit to other missions), which significantly exceeded their approved allocation of 157 vehicles for 2024.

203. The Board is of the view that, in accordance with the requirements of the field entity closure guide, it was necessary for the Mission to examine whether it should have cancelled the order for the three armoured vehicles in transit before their arrival in Baghdad.

204. The Board is concerned that focusing only on purchase orders' status tracking while neglecting a substantive review and lacking documented justification for retaining purchase orders or assets may lead to unnecessary costs and waste of resources.

205. The Board recommends that UNAMI monitor and review the outstanding purchase orders before the end of its transition and drawdown in accordance with the field entity closure guide in order to ensure that all obligations conclude with the mandate.

206. The Administration accepted the recommendation.

8. Human resources management

207. The Secretary-General, in his report on the ways forward in the implementation of human resources management reforms for the period 2023–2026, decided to launch the staff selection 2.0 programme to rectify the shortcomings of the current recruitment process, given that it had been concluded that such shortcomings were systemic and structural in nature, which made them challenging to overcome under the current selection system ([A/77/590](#), para. 47). The General Assembly, in its resolution [77/278](#), emphasized “the fundamental importance of human resources management reform in the United Nations as a contribution to the enhancement of the efficiency and effectiveness of the United Nations and of the international civil service, and encourages continued transparency in its implementation”. It noted the human resources framework and the Secretary-General's proposed ways forward in its implementation, requests the Secretary-General “to refine the parameters including clearly quantifiable targets, benchmarks and timelines for measuring impact for the diversity, agility and accountability outcomes, adjust the implementation plans accordingly, and report thereon, including progress achieved, to the General Assembly at the first part of its resumed seventy-ninth session”.

208. The Advisory Committee on Administrative and Budgetary Questions further noted the slow pace of introducing staff selection 2.0, which should be at the core of the comprehensive human resources strategy, and considered that more detailed and updated information on the timeline of implementation of the project's workstreams and the expected changes in recruitment practices and policies, in particular with regard to central and individual roles and responsibilities, should be provided to the General Assembly (see [A/79/745](#)).

209. The Advisory Committee also expressed concern at the inconsistent and excessive use of liens, which had a negative impact on the timely filling of positions and improvements in geographical representation ([A/78/578](#), para. 64), at contracting personnel through the United Nations Development Programme (UNDP) ([A/77/574](#), para. 50, and 57) and at the telecommuting policy and its implementation ([A/76/746](#), para. 41).

210. The Board followed up on the progress made in the human resources reform initiatives as outlined in the report of the Secretary-General ([A/77/590](#)), the

management of liens, the employment of personnel through UNDP, telecommuting management, geographical representation and the vetting mechanism of misconduct, and identified deficiencies as presented below.

(a) Delays in the implementation of staff selection 2.0 and in the policy review

Significant delays in the implementation of staff selection 2.0

211. The Board noted that the programme management team of staff selection 2.0 had been established at the end of 2024, representing a delay of more than one year compared with the original plan. Since then, the programme's workstreams and projects had undergone partial adjustments, compared with those outlined in related report of the Secretary-General (A/79/566). As of March 2025, five of the nine subprojects had been initiated, with the remaining four still in the planning phase. Therefore, implementation plans and the timelines indicating the key milestones and activities were affected, running the risk of the target date of the end of 2026 being missed.

212. The Administration explained that the delay was due mainly to the impact of the liquidity situation and the financial resource restrictions, and that adjustments had been made to the three workstreams and the nine projects thereunder. Concerted efforts were under way to accelerate and coordinate the various projects.

213. The Board is of the view that clear implementation plans and timelines should be developed, with resources being prioritized to advance the staff selection 2.0 programme, with a view to overcoming the shortcomings of the current recruitment process, which are systemic and structural in nature, and addressing the people, policy, process and technology changes required.

Policy review needs to be expedited, with priority given to the most strategic and transformative human resources policies

214. To ensure that human resources policies are relevant, updated and aligned with the wider policy framework, the Office of Human Resources reviewed policies requiring revision or simplification and compiled a list reflecting a high volume of policies under development, coupled with estimated timelines for policy revision. As at the end of 2024, the simplification, development or revision of 55 of 116 human resources policies (47 per cent) had not been completed as planned and 14 were rescheduled to be carried forward to 2025.

215. The Administration explained that the backlogs were due to a wide range of competing priorities that required the redeployment of resources within the Office of Human Resources in order for it to maintain a focus on other human resources mandates to bring the most strategic transformation and operational value rather than the overall update of the policy framework.

216. The Board further noted that, among 33 policies designated as high priority, 11 were delayed, with only 3 completed on time.

217. The Board is of the view that delays in policy revisions have a negative impact on achieving human resources reform targets in relation to diversity, agility and accountability. Backlogs in policy revision, updates and simplification may result in non-alignment between policy and practice or inconsistency among policies, as well as a lack of clarity, legal and reputation risks and missed opportunities for diversity and inclusion.

Insufficient progress in achieving equitable geographical distribution targets

218. In its previous report (A/79/5 (Vol. I), chap. II, paras. 273–275), the Board expressed concern over the insufficient progress made in geographical distribution. It continued to follow up on the issue and noted the following:

(a) The number of underrepresented and unrepresented countries needed further improvement. Between 2021 and 2024, the number of underrepresented countries and unrepresented countries was reduced, indicating some improvement (see table II.16). The Board would like to encourage the Administration to continue its efforts in this regard;

Table II.16

Geographical representation of Member States, 2021–2024

<i>Year/date</i>	<i>Unrepresented</i>	<i>Under represented</i>	<i>Within range</i>	<i>Over represented</i>	<i>Note</i>
2021	21	36	106	30	
2022	20	37	105	31	
2023	21	39	103	30	
1 January 2024 ^a	18	29	123	23	
31 December 2024	17	31	122	23	

Source: Office of Human Resources.

^a Changes due to an increase in the number of geographical posts.

(b) The number of geographical posts filled by nationals of some countries was significantly below the minimum thresholds. Following the expansion of geographical posts from 3,813 to 5,102 under revised desirable ranges, effective January 2024, the gap between current staffing levels and the minimum thresholds for Member States had widened significantly. The top three Member States with the largest disparities (between the minimum threshold and the actual staff on board) saw their gaps increase from 171, 86, and 26 at 31 December 2023 to 258, 122, and 113 by 31 December 2024, respectively;

(c) In 2022, 2023 and 2024, the proportion of new staff appointments from unrepresented or underrepresented Member States to geographical posts in the Secretariat remained stagnant, at 22 per cent, significantly below the 50 per cent target, with no discernible improvement in sight. Only 4 of 58 entities reached the target of equitable geographical distribution in 2024. The Administration explained that temporary special measures for the achievement of equitable geographical distribution of geographical posts were being considered, which could include requiring the heads of entities to write to the Office of Human Resources with an appropriate justification for their intention to select an external candidate from an overrepresented Member State, when the pool of recommended suitable candidates included those from Member States that were unrepresented or underrepresented or within range.

219. The Board would like to emphasize the importance of the Administration undertaking more intensified efforts to improve the equitable geographical distribution of underrepresented and unrepresented countries and enforce accountability, where necessary, as required by the General Assembly. In this regard, the Board welcomes the efforts of the Administration to devise some special measures for the consideration of the Assembly.

220. The Board recommends the Administration prioritize the implementation of the staff selection 2.0 programme by formulating the detailed implementation

plans and timelines with a view to addressing the shortcomings in the current recruitment process.

221. The Board also recommends that the Administration take proactive measures targeting those entities that do not fulfil the established targets in order to improve the representation of those underrepresented and unrepresented countries.

222. The Administration accepted the recommendations.

(b) Shortcomings in the management of liens

223. The Board noted that a lien was often used in position adjustments within the Secretariat, referring to the right of an employee temporarily assigned to a different entity or position to return to his or her original entity or position after the temporary assignment ended.

224. The Board further noted that, as at 31 December 2024, 945 staff members within the Secretariat had been granted liens, while 496 positions were vacant owing to liens. A review of the liens at the Secretariat revealed the issues noted below.

Lack of clarity on definition and conditions for granting different liens

225. The Board was informed that a lien was often used for staff movements within the Secretariat and that there were specific and general liens, with specific liens ensuring that staff members could return to the original post.

226. The Board further noted that 248 positions in Secretariat entities were blocked owing to specific liens, including 93 positions blocked for more than two years. A total of 124 of the 248 positions (50 per cent) were vacant owing to a lien.

Lack of clarity on the maximum duration of a lien

227. According to the Staff Regulations and Staff Rules including provisional Staff Rules, of the United Nations ([ST/SGB/2023/1/Rev.1](#)), special post allowance may be granted against a temporarily vacant post for an initial period of one year and extended to a total period of up to two years. For liens, there is no policy stipulating the maximum duration thereof, which leads to inconsistencies and a lack of clarity.

228. The Board noted that, of 945 staff members who were granted a lien as at 31 December 2024, 254 maintained a lien for more than two years, including 21 maintaining a lien for five years or more.

229. The Board also noted that 375 lien holders on secondment at a higher position were receiving special post allowances as at 31 December 2024, accounting for 39.7 per cent of all lien holders. Among them, 65 received special post allowances for more than two years, in a total amount of \$2.01 million, and the longest duration was for seven and a half years.

Granting liens to staff members reassigned to other position through a job opening

230. Liens are intended to address temporary assignment needs by safeguarding the right of staff to return to their original posts. However, reassignments through job openings in some instances constitute voluntary transfers initiated by the staff member and should therefore not constitute a lien. The Board noted instances in which liens were granted to staff members who were selected to other positions through job openings, and this is a practice that should have been discontinued.

231. The Board is concerned that granting a lien to staff members selected to other positions through a job opening is not conducive to position management at the releasing entity.

232. The Administration explained that the use of lien management would change in the future on the basis of new policy provisions to be included in a new administrative instruction on the administration of appointments.

233. The Board notes that the policy was originally planned to be released in the third quarter of 2024 but remains under review. This further emphasizes the need for an expeditious policy review and promulgation.

234. The Board recommends the Administration finalize the forthcoming policy provisions on the management of liens, indicating clearly the definitions, types, conditions, applicability and duration, among others, in order to ensure clarity, consistency and compliance.

235. The Administration accepted the recommendation.

(c) Improvements needed in the management of staff contracted through the United Nations Development Programme

236. The Board, in its previous reports (see [A/77/5 \(Vol. I\)](#) and [A/78/5 \(Vol. I\)](#)), identified deficiencies in relation to the management of staff members contracted through UNDP and recommended the Administration support entities in expediting the process of integrating those staff into the Secretariat in a progressive and seamless manner. The Board followed up on the implementation of the recommendation and noted the issues detailed below.

New staff still contracted through the United Nations Development Programme

237. The Board noted that, in line with the data in the management dashboard, the number of staff administered by UNDP in entities as reported in volume I rose to 1,887 as at 21 April 2025 (1,810 in December 2021), with 722 staff recruited after July 2022, when the Board's report ([A/77/5 \(Vol. I\)](#)) was issued. Recruitment remained solely managed by UNDP and did not pass through the Secretariat's central review mechanism.

238. In addition, the Board noted that the legal framework was still not clear and favourable to the Secretariat. A review of the most updated legal framework and letter of appointment template of UNDP at the Office for the Coordination of Humanitarian Affairs revealed that the revised letter of appointment template (effective 15 May 2023) was issued to all new hires as from 15 May 2023. In comparison with the old template, the new one made clear that the contracted personnel were staff members of UNDP, while the division of roles and responsibilities between Secretariat entities and UNDP remained unclear. It was stated that the Office was liable for the contracted personnel and that those staff would not be considered internal candidates of UNDP, which gave those staff members unfavourable conditions, running the risk of legal disputes.

239. The Board also noted that the national staff of OHCHR represented 23.9 per cent of the total staff and 11.3 per cent of the total employee benefits expenses (\$38.6 million for 2024). They were managed through contracts established by UNDP pursuant to arrangements between it and OHCHR. Consequently, those UNDP-contracted staff were OHCHR staff members and were subject to UNDP policies. The lack of clarity regarding the nature of the policies applicable to the staff created uncertainty regarding the legal responsibility of both OHCHR and UNDP in the event of a dispute initiated by a staff member.

240. The Administration explained that recruiting national staff through UNDP addressed critical operational needs to enhance the on-the-ground capacity of OHCHR for humanitarian emergencies. This helped to scale up crisis response while maintaining operational continuity through a planned “lift and shift” approach to address localized challenges effectively.

241. The Board, while acknowledging the necessity and cost-effectiveness of utilizing UNDP-administered staff, underscores the critical importance of clarity on the roles and responsibilities of these staff members between Secretariat entities and UNDP.

Contracting staff through the United Nations Development Programme in the context of liquidity challenges needs to be aligned with Secretariat hiring restrictions

242. The Board noted that, in response to liquidity challenges, the Administration imposed Inspira system restrictions on filling regular budget vacancies, requiring entities to periodically notify the Inspira team to have them unblock the specified posts for the final selection in order to align them with the timelines for related cash allocations, while the hiring of consultants and experts was required to be minimized in 2024. In addition, on 4 March 2025, the Administration enacted a full suspension of regular budget hiring until 31 August 2025.

243. The Board noted that 305 staff of United Nations entities as reported in volume I had been contracted through a UNDP-administered agreement between February 2024 and 21 April 2025, including 259 in the Office for the Coordination of Humanitarian Affairs, and 44 in OHCHR. Among those staff members, 296 were contracted pursuant to the rules regarding periodic notification, while 9 were contracted during the hiring suspension period.

244. The Administration stated that most of the newly contracted staff were in the Office for the Coordination of Humanitarian Affairs and OHCHR, both of which had a great reliance on extrabudgetary-funded positions, in which hiring restrictions were not applicable.

245. The Board, noting this and upon its review of the 2024 payroll sheet of the Office for the Coordination of Humanitarian Affairs, identified instances in which staff members had been contracted through UNDP for a regular budget-funded position on 10 June 2024, when periodic notification rules were in effect. The Board noted the operational requirements and that the funding sources of the relevant entities were mostly extrabudgetary, and it remains of the view that a consistent and aligned practice in this regard will contribute to better staffing and recruitment management in the context of liquidity challenges.

More supervision and monitoring needed on the management of United Nations Development Programme-administered staff at entities by Headquarter offices

246. The Board was informed that the integration of UNDP-administered staff into the Secretariat was led by the responding entities, while the Headquarters offices did not play a role in the supervision of the integration or maintain an up-to-date list of the UNDP-administered staff throughout the Secretariat. The list of staff administered by UNDP (information on whom was not available in Umoja) in the Department of Management Strategy, Policy and Compliance dashboard came from a UNDP database and was not verified, and the information from that dashboard also formed the basis for the report of the Secretary-General on the composition of the Secretariat: staff demographics.

247. The Board is of the view that the Headquarters offices could have better coordinated and supervised the integration process of staff.

248. The Board recommends that entities with UNDP-administered staff develop their transition plans by 30 June 2026, as envisioned by the Administration, duly taking into consideration all the potential financial implications and the availability of the funding in this regard.

249. The Administration accepted the recommendation.

(d) Improvement needed in management of telecommuting and the Two United Nations Plaza (DC-2) building renovation project

250. Two policies and one policy guideline have been issued to govern conditions related to telecommuting, including the following: (a) [ST/SGB/2019/3](#), which outlines flexible working arrangements, provides guiding principles and flexible working arrangements options, sets conditions for telecommuting outside the duty station for personal compelling reasons, including the maximum telecommuting duration outside of the duty station, and provisions allowing for an additional extension in exceptional circumstances; (b) [ST/IC/2019/15](#), which provides details on adjustments to benefits and entitlements while telecommuting outside the duty station, such as suspending danger pay and prorating education grants, as applicable; and (c) OHR/PG/2024/7, on flexible working arrangements and alternate working arrangements, issued in December 2024, which provides further clarification of the distinctions between flexible and alternate arrangements, including decision-making processes and impacts on benefits and entitlements.

251. The General Assembly, in its resolution [77/278](#), encouraged the Secretary-General to support managers in monitoring staff attendance to ensure organizational effectiveness and efficiency and to report on its implementation to the Assembly at the first part of its resumed seventy-eighth session. In that regard, the Secretary-General, in his note on the monitoring of staff attendance ([A/78/604](#), paras. 2 and 4) reinforced shared responsibilities thereon, in that staff must record absences and attendance accurately and managers must hold staff accountable for the correct registration of absences and attendance, review leave requests and monitor attendance and leave records, with heads of entity holding the overarching responsibility for the proper management of attendance and leave at the entity level.

Inadequate data collection and analysis of flexible working arrangements

252. The Board noted that, while flexible working arrangements were implemented by the entities and monitored by human resources offices, Umoja did not record those arrangements with sufficient detail, such as whether telecommuting occurred within or outside the duty station, which would warrant granular reporting to support the calculation of adjustments to staff members' benefits and allowances. Furthermore, the existing management systems and tools did not have the analytical and reporting functionalities necessary to support the monitoring or evaluation of flexible working arrangements by entities.

253. The Board was informed that the Secretariat was in the process of working with SAP and the Enterprise Resource Planning Solution Division on the implementation of a system-wide module for the administration of all flexible work arrangement types defined in [ST/SGB/2019/3](#), including telecommuting within and outside the duty station. Monitoring reports were part of the functional specifications of the project and would be accessible to all Secretariat entities or departments for self-monitoring.

254. The Board emphasized the importance of data collection to facilitate the improvement in attendance management and flexible working arrangements and to inform decision-making on the leasing of workspaces, and emphasized that entities

should, in accordance with requirements of the General Assembly, ensure that staff accurately and comprehensively recorded their attendance in Umoja.

255. The Administration commented that it had been working on the development and implementation of a system-wide telecommuting module for the administration of all flexible work arrangement types defined in [ST/SGB/2019/3](#), including telecommuting within and outside the duty station. This project had been under way since 2021 and monitoring reports were part of the functional specifications of the project and would be accessible to all Secretariat entities for self-monitoring. Implementation of the solution depended on the outcome of production integration and user verification testing.

256. The Board recommends that the Administration refine the relevant Umoja modules to ensure that all attendance records and information relating to telecommuting within or outside duty station are duly recorded therein and that enhanced tools are implemented to analyse and report on the telecommuting of staff with more detail.

257. The Administration accepted the recommendation because it was already in progress.

Telecommuting requests need to be closely monitored

258. Secretary-General's bulletin [ST/SGB/2019/3](#) specifies that the frequency of telecommuting within the duty station, subject to exigencies of service, will be up to three days per workweek under regular circumstances, where consideration may be given to allow staff members to telecommute more than the maximum three days for compelling personal circumstances.

259. The Board noted that there were 14,699 telecommuting requests from 5,437 staff members over "three days during the workweek", accounting for 4.37 per cent of all telecommuting requests in 2024. A total of 52 employees had telecommuted for more than 195 working days in 2024.

260. The Board is of the view that, although the current policy does not specify the maximum duration that may be exceptionally approved or extended under compelling personal circumstances for telecommuting within the duty station, there is a need to closely review, approve and analyse those telecommuting requests of more than three days during the workweek to inform future policymaking and promote better compliance with the requirement thereon.

261. The Administration stated that the policy guidance issued on 26 December 2024 provided examples of compelling personal circumstances and stated that, although some of the above-mentioned circumstances were permanent in nature, it was important to keep in mind that arrangements approved on the basis of compelling personal circumstances were time-bound, including in the case of telecommuting at the duty station.

262. The Board recommends that Administration remind entities to comply with the policy and guidance on telecommuting.

263. The Administration accepted the recommendation.

Delay in the new lease contract and renovation project of the Two United Nations Plaza (DC-2) building may negatively affect the achievement of the envisaged rental savings

264. The General Assembly, in its resolution [75/253](#), requested the Secretary-General to provide a forward-looking assessment of the workplace at United Nations

Headquarters and a strategic assessment and cost-benefit analysis of the real estate portfolio in New York.

265. The Secretary-General, in his report on the assessment of the workplace at United Nations Headquarters ([A/78/325](#)), stated that a decision had been made to sign a new lease for the DC-2 Building and renovate it into a flexible office space in order to vacate the Albano Building and the FF Building at their lease termination dates in 2027, which might yield a combined future annual cost avoidance of approximately \$25 million at the current lease rate.

266. The Board reviewed the progress of the new lease contract signing and noted that the old lease for DC-2 was due to expire on 31 March 2023. However, with the COVID-19 impact on a post-pandemic assessment of the workplace, it was not until January 2022 that the decision was made to sign a new lease contract. The formal negotiation took approximately 30 months, from July 2022 to February 2025, which was 14 months later than expected.

267. The Administration explained that more favourable rental conditions were secured at a base rate of \$51 per square foot, compared with the estimated \$70 per square foot market rate during the prolonged negotiation.

268. The Board also reviewed the progress of the DC-2 renovation project and noted that the renovation project, originally targeting completion by mid-2027, remained at the preliminary planning stage as of May 2025. The updated implementation plan for the project consisted of four phases, from 1 May 2025 to 30 September 2029. However, according to the Administration's expectation, the completion of the first two phases of the project by the end of August 2027 would allow the Organization to vacate Albano and FF buildings by their lease expiration dates.

269. The Administration explained that the delayed progress was due mainly to the landlord requiring an extended time frame to finalize bond financing for the lease. In addition, in the light of the financial liquidity constraints, the Organization aimed to avoid incurring consultant fees prior to securing the funds.

270. The Board is of the view that it is important to develop more detailed renovation plans and vacation plans for timely exits from the Albano and FF Buildings in the case of delays. The Board is further concerned that the estimate to vacate on time might be somewhat optimistic, given that only the first two phases of the project are expected to be completed by August 2027.

271. The Board recommends that the Administration draw lessons from the lease renewal and renovation project of DC-2, work out more detailed plans, including a time frame, and closely monitor the implementation of the DC-2 renovation project, to ensure that the timely vacating of the Albano and FF Buildings is aimed at achieving the envisaged rental savings.

272. The Administration accepted the recommendation.

(e) Pre-appointment vetting procedures for senior leadership appointment needs to be strengthened

273. The Board noted that all selected senior leaders, prior to their appointments, were requested to complete a pre-appointment declaration of interest for senior positions that was subsequently transmitted to the Ethics Office for vetting for conflict of interest. Upon completion of the review of submitted information, the Office provided advice to the requesting office and recommended steps to be taken by the candidate to mitigate and manage the conflict of interest and other ethical risks prior to assuming United Nations duties, if appointed. However, the Office did not

follow up on whether their recommendations had been implemented before the selected candidate was appointed.

274. The Board recommends that the Administration issue guidance to ensure that the pre-appointment vetting procedure of senior leadership is enhanced by ensuring that newly appointed senior staff members have implemented the relevant recommendations from the Ethics Office upon assuming their United Nations duties and that the implementation of relevant recommendations should be verified by the Executive Office implementing the contract of the appointed senior staff member.

275. The Administration accepted the recommendation.

9. Travel management

276. The General Assembly, in its resolutions, has emphasized the importance of strengthening travel management, including adherence to the 16-day advance purchase policy (see resolutions [77/263 B](#) and [78/252](#)) and the efficient use of travel resources (see resolution [72/262 B](#)).

277. The Board followed up on those areas and noted progress made in improving the performance against the advance purchase policy while identifying the areas below for further improvement.

(a) Expenditure stemming from ticket cancellations due to potentially avoidable circumstances

278. The Board noted that, in 2024, 4,610 cancelled trips of United Nations entities as reported in volume I were recorded in Umoja, representing approximately 5 per cent of all trips. The net ticket cost after the refund and liquidation of those cancelled tickets amounted to approximately \$3.52 million, and credits for future travel may have been provided by airlines when a refund was unavailable.

279. The Board reviewed the cancelled requests and breakdown of the cancellation categories (e.g., technical problem during trip submission, no show by the traveller, personal reason, change in operational requirement, visa or travel document issue and other factors), which had total expenditure of approximately \$2.52 million and noted that the reasons for the cancellation request included potentially avoidable circumstances (e.g., duplicate travel request, participant could not travel owing to internal authorization not being received, traveller did not have papers in order and was unable to travel, incorrect travel request, trip was duplicated and two requests were done for the same mission, incorrect date and “no show”). This represents potential opportunities for cost savings, as shown in table II.17.

Table II.17

Net ticket cost for each travel request cancellation category

(United States dollars)

<i>Cancellation category</i>	<i>No. of trips</i>	<i>Net ticket cost (after refund and liquidation)</i>
Event cancelled or postponed	1065	682 202.53
Change to operational requirement	680	651 390.72
Other	782	462 298.64
Visa or travel document issue	401	402 327.95
Health or medical concern	339	308 403.59
No show by the traveller	359	273 619.73

<i>Cancellation category</i>	<i>No. of trips</i>	<i>Net ticket cost (after refund and liquidation)</i>
Personal reason	375	237 666.10
Unforeseen situation	201	176 253.81
Security concern	161	144 286.78
Technical problem during trip submission	187	141 487.36
Budget or funding limitation	34	31 632.69
Trips provisioned by other entity	26	10 147.70
Total net cost for cancelled ticket	–	3 521 717.60
Total net cost for cancelled ticket due to potentially avoidable circumstances	–	2 518 974.48

Source: Data provided by the Travel and Transportation Section.

280. The Administration informed the Board that several situations led to cancelled trips. Many were unavoidable, such as the late cancellation of events or security concerns. Depending on the fare class, while the entities concerned might not have received a refund, they might have received a credit from the airline for future travel. This was not captured in Umoja. Credits received from the airlines for future travel further reduced the so-called cancellation cost. In addition, most of the costs resulting from change/cancellation fees were associated with non-refundable air tickets. It should be noted that only 5 per cent of all tickets were cancelled. Industry data and the Secretariat's experience affirmed that overall expenditure – even when these additional costs were incurred – remained lower than had the Organization purchased fully refundable tickets from the outset. A fully refundable international economy-class ticket could cost 60 to 100 per cent more than its non-refundable equivalent, with even higher differentials observed in premium classes. To eliminate such fees entirely, the logical alternative would be to allow for the purchase of fully refundable tickets – an approach that would assuredly increase overall travel expenditure.

281. The Board noted that the “Know Before You Go” guidelines published on iSeek issued by the Travel and Transportation Section gave instructions for travel modifications (specific to the New York section). With regard to ticket cancellation losses as a result of personal reasons, the Board was informed that some entities might seek reimbursement on a case-by-case basis.

282. The Board further noted that daily subsistence allowances issued for cancelled trips were not promptly recovered, indicating that the internal controls and recovery process needed to be refined. For example, the Office of the High Representative for the Least Developed Countries, Landlocked Developing Countries and Small Island Developing States overpaid and erroneously issued \$27,236.40 in travel allowances between 2022 and 2024, which had not yet been recovered.

283. The Board, while noting the explanation given by the Administration, would like to point out that guidance is needed on trip cancellation and modification, considering those avoidable circumstances as indicated above.

284. The Board recommends that the Administration enhance Organization-wide guidance on trip cancellations and modifications and the recovery of costs, where applicable.

285. The Administration accepted the recommendation.

(b) Overdue travel expense reporting leads to delays in the reconciliation of travel expenses

286. Pursuant to section 13 of the administrative instruction on official travel ([ST/AI/2013/3/Rev.1](#)), travellers are required to submit a travel expense report in Umoja within 14 days of completing their travel in order to settle advances issued. Failure to do so will result in the automatic recovery of advances from the traveller through a payroll deduction.

287. It is indicated in “Know Before You Go” that a travel request is just an initial plan, and the expense report will capture the actual details of the trip. Any additional costs, such as an extra daily subsistence allowance, early check-in, or late check-out fees, can also be added through the expense report.

288. The Board noted that, as at 30 April 2025, there were 1.75 million overdue expense reports in Umoja, 58.3 per cent of which were from trips initiated before 2022, as detailed in the table II. 18.

Table II.18
Number of overdue expense reports

<i>Year</i>	<i>Closed</i>	<i>Travel request closed, pending expense report</i>	<i>Cancelled</i>	<i>Total</i>
2025	35 523	6 420	1 722	43 665
2024	211 405	8 276	9 162	228 843
2023	227 580	4 916	10 848	243 344
2022	201 854	3 282	11 189	216 325
Before 2022	944 901	6 444	70 744	1 022 089
Total	1 621 263	29 338	103 665	1 754 266
Proportion (percentage)	92.4	1.7	5.9	100.0

Source: General travel statistics dashboard.

289. The Board further noted that expense reports must be completed, even for cancelled trips, to verify actual expenditure and recover any advances issued. The Board identified gaps in Umoja’s capacity to recognize advances related to some cancelled trips. Owing to travellers’ failure to submit expense reports, advances for some cancelled trips were not automatically recovered.

290. The inability to ensure the timely reconciliation of travel expenditure owing to the delayed submission of travel expense report may lead to the incorrect recognition of travel expenses in the correct accounting period and the inaccurate presentation thereof in the financial statements.

291. The Board recommends that the Administration remind all entities to expedite the clearance of overdue travel expense reports in Umoja to ensure the accurate and timely recording of travel-related expenditure.

292. The Board recommends that the Administration address system deficiencies to ensure that advances for cancelled trips are accurately recorded and fully recovered, where applicable.

293. The Administration accepted the recommendations.

(c) Total of \$1.94 million in travel expense processed outside Umoja

294. In the information circular on official travel ([ST/IC/2019/16](#)), it is stated that “All travel at the Organization’s expense for all categories of travellers must be processed through the Umoja travel module. Travel by commercial aircraft or train may not be procured via purchase order, contract or other means”.

295. The Board noted that 27 purchase orders with a total net value of \$1,940,448.47 in ticket- or flight-related expenditure were processed outside the travel management module of Umoja in 2024. That off-system expenditure was not reflected in the biennial report of the Secretary-General on standards of accommodation for air travel.

296. The Board further noted that 403 purchase orders with a total net value of \$12.55 million in daily subsistence allowance-related expenditure were processed outside the Umoja travel management module in 2024.

297. The Administration explained that heads of entities had delegated authority to procure services from United Nations agencies, including travel arrangement services, based on the mutual recognition principle signed by the Secretary-General and 22 other executive heads to facilitate active collaboration across agencies and reduce transaction costs.

298. The Board notes the flexibility and possible cost reductions while maintaining that tickets and related costs should also be processed, recorded and reported to warrant a holistic recording, monitoring and reporting to facilitate transparency, compliance and accountability.

299. The Board recommends that the Administration formulate an amendment to information circular [ST/IC/2019/16](#) to provide updated guidance on the arrangement of travel outside the Umoja travel module.

300. The Administration accepted the recommendation.

(d) Need to further improve performance against the 16-day advance purchase policy

301. The Secretariat remains committed to improving performance against the advance purchase policy. Early submission of travel requests (21 days in advance to ensure travel arrangements are finalized 16 days in advance) is the standard processing timeline and is monitored by the Business Transformation and Accountability Division.

302. The Board, while acknowledging steady improvements, noted that overall performance for trips in 2024 was 50.51 per cent. At the entity level, the Office of the United Nations Special Coordinator for the Middle East Peace Process, the United Nations Office to the African Union, and ECA exhibited performance below 40 per cent, specifically 22.7, 32.5 and 37 per cent, respectively.

303. The Board further noted that, among trips that did not comply with the 16-day advance purchase policy in 2024, 96 per cent of those travel requests were submitted fewer than 21 days in advance of travel. Some trips were approved shortly before departure, with 4,765 trips (potentially involving multiple flight tickets) approved within two days of travel in 2024 for United Nations entities as reported in volume I.

304. The Administration informed the Board that the Under-Secretary-General for Management Strategy, Policy and Compliance had highlighted to all heads of entity the requirements of the advance purchase policy and the policy’s importance. That message was reinforced by the focus given to the policy in the statement of internal control, as well as the continued access to and in-depth analysis of real-time information through the management dashboard of the Business Transformation and Accountability Division. However, owing to the nature of United Nations operations,

achieving a 100 per cent performance with the 16-day advance purchase target was not feasible, and no consensus existed on defining a reasonable performance benchmark. For example, a recent OIOS report highlighted that performance against the advance purchase policy for official travel processed at Headquarters was 72 per cent. More widely, some entities achieved 100 per cent compliance in 2024. While advance bookings remained a sound practice for supporting cost-saving strategies, systemic challenges such as unforeseen circumstances, immediate operational requirements or emergency travel highlighted the need for reasonable performance thresholds that balanced operational exigencies with fiscal discipline.

305. The Board is of the view that the advance air ticket purchase policy is not merely a procedural formality; it plays a crucial role in ensuring that the Secretariat operates more efficiently and in a cost-effective manner. The Board, while noting the progress made in recent years, is also of the view that setting a performance benchmark alongside the targeted analysis that the Business Transformation and Accountability Division is undertaking as part of its response mechanism could generate further improvements, including through the identification of lessons learned from high-performing entities.

306. The Board's previously issued recommendation on enhancing the delegation of authority monitoring framework is under implementation. The Administration confirmed that the results of the response mechanism pilot on the advanced purchase policy would be reported in the next report of the Secretary-General on standards of accommodation.

10. Supply chain management

(a) Professional services: a bespoke category framed by strategic initiatives that require updating

307. In 2020, the Organization adopted a category management approach as part of integrated supply chain management to improve the overall efficiency of the Secretariat's supply chain, including procurement, and deliver long-term value. The Board, in its previous report (A/79/5 (Vol. I)), recommended that the Administration classify strategies as either core or bespoke, in order to ensure a manageable and efficient workplan that aligned with the available resources.

308. The Office of Supply Chain Management followed that recommendation. In June 2024, the Office established criteria to define the core categories, in which it or the Office of Information and Communications Technology was mandated to lead category strategies, guidance and sourcing solutions on behalf of the entities making the requests.

309. The criteria used were spend/volume, need for specialized expertise/guidance, need for standardization, market complexity/volatility/risk, future growth potential, criticality for client operations/mandate and reputational risk. The Office of Supply Chain Management created a list of 15 core categories, and 25 other ones were defined as bespoke. Bespoke categories are those that, owing to their nature, lend themselves to tailored solutions, for which sourcing support and solutions may be offered by the Office on an as-needed basis.

310. The professional services category is a bespoke category. However, the strategy for that category was developed in December 2022, prior to the introduction of the core and bespoke category classification. Consequently, it was not designed with that distinction in mind.

311. Nine initiatives were approved as part of the strategy in 2022: three for each of the three subcategories, namely, business and management consulting services, audit

services and legal services, with an implementation deadline of the end of 2023. At the time of the audit, however, only two had been implemented in full. As regards the audit services subcategory, alongside the initial strategy of developing guidelines for roster use, a new approach was implemented: establishing umbrella agreements with technically capable vendors that would be assigned projects following a second-tier competition (“mini-bids”). Although a cost-benefit analysis to assess the extent to which this new scheme generates savings would be useful, this approach appears to be well suited to the challenges identified in this subcategory.

312. The Board recommends that the Administration assess the strategic initiatives within the professional services category by prioritizing, validating and refining them, as needed, while discontinuing those with low potential for success, and, specifically, when assessing the effectiveness of guidelines for roster use and secondary competition in audit services, evaluate their impact on the Organization’s expenditure.

313. The Administration accepted the recommendation.

(b) Market outreach towards priority businesses should be developed

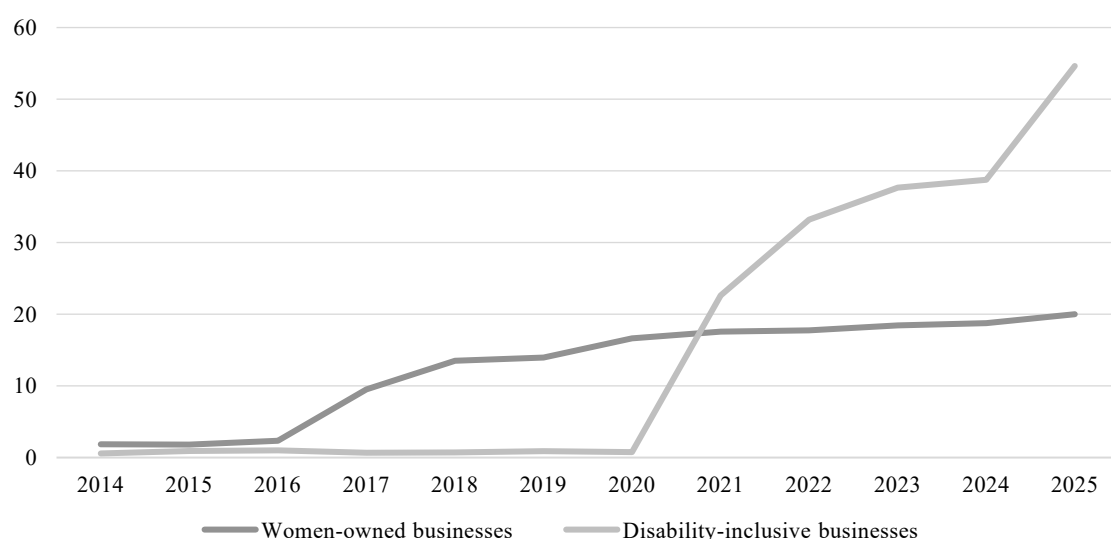
314. In accordance with General Assembly resolutions [72/234](#) and [74/144](#), the Organization should pursue gender equality and disability inclusion in its work. Moreover, according to the Procurement Manual, the United Nations shall actively work to increase its sources of supply from developing countries and countries with economies in transition”.

315. The annual registration of women-owned and disability-inclusive businesses in the United Nations Global Marketplace shows progress, as detailed in figure II.V.

Figure II.V

Proportion of new registrations of women-owned and disability-inclusive businesses in professional services in the United Nations Global Marketplace, 2014–2025

(Percentage)



Source: Information obtained from the United Nations Global Marketplace.

Note: In 2020, women-owned and disability-inclusive businesses accounted for 16.6 and 0.8 per cent, respectively, of the registrations in the United Nations Global Marketplace made during that year. The percentages were calculated on the basis of Global Marketplace data obtained as of February 2025.

316. The Board also noted that 61 per cent of the business seminars organized in 2022, 2023 and 2024 had been held in a least developed or developing country, while 4 per cent were held in a country with an economy in transition. As a result of those efforts, in 2024 the companies originating from those two categories of countries represented 68.4 per cent of all companies registered in the United Nations Global Marketplace in the professional services category.

317. However, there was no similarly positive trend in the number of responses from those companies to the Organization's solicitations, which was outside the Organization's control. Between 2020 and 2024, women-owned businesses and disability-inclusive companies each won only 3.5 per cent of the contracts in the professional services category. In 2024, the share of procurement volume awarded to companies from developing countries and countries with economies in transition was 33.7 per cent.

(c) Limited number of competitors and vendors

318. Insufficient vendor competition was identified in audits targeting related procurement categories in 2023 and 2024. In order to assess the situation precisely, the Board based its analysis on a sample of files from the professional services category, dating from 2020 to 2024, all of which were established by the Procurement Division. The sample covered some 60 per cent of the total procurement value for the category and included all the professional services contracts that were published on the United Nations Global Marketplace with a value of \$150,000 or more. A comprehensive statistical analysis was also carried out by using data provided by the Secretariat.

319. On the basis of the analysed sample, the average number of responses per solicitation process was five, representing only 6 per cent of the total number of vendors that were invited to participate in the solicitation processes, notwithstanding efforts in direct market research.

320. The reasons for the low level of competition were complex. Some non-responding vendors contacted by the Procurement Division highlighted the challenge of providing services across a wide geographical area, given that this required them to either send staff or find subcontracting companies in various countries. They also mentioned the terms and conditions of the United Nations and the specific criteria attached to the solicitation. In addition, vendors pointed out the technical complexity and the lack of an evaluation report and information on the estimated cost of the required service. With respect to the technical specifications, evidence gathered from the sample suggested that, in some cases, the highly demanding specifications set by the requisitioner had an adverse effect on the number of offers received. In one case, a requirement for 10 years of experience in the business was specified, which may have deterred some vendors.

321. On a sample basis, the Board noted that, in one case, a single company had carried out a contract for 20 years; in another, a single supplier had been awarded the contract three times since 2013, through several formal solicitation processes. Of all the cases, the incumbent contractor was awarded a new contract in 55 per cent of instances (excluding situations in which new services were required).

322. The Board recommends that the Administration encourage vendors that have been invited, but declined, to participate in solicitations to provide feedback on the reasons for declining to participate.

323. The Administration accepted this recommendation.

(d) Need to strengthen the effectiveness of implementing global system contracts for hybrid electric vehicles

324. In the proposed programme budget for 2024 for section 29B ([A/78/6 \(Sect. 29B\)](#)), it was mentioned that the third planned result of integrated supply chain management was negotiated system contracts that enabled client entities to reduce their environmental footprint, and the performance measure of the target was that client entities had access to contracts for hybrid vehicles, solar surface electric pumps and solar submersible deep well pumps.

325. The Board was informed that the Department of Operational Support did not enter into new global system contracts for hybrid electric vehicles in 2024 and had drawn up two contracts for hybrid electric vehicles with two vendors, signed in 2022, which remained valid.

326. The Board reviewed the two hybrid electric vehicle contracts and related procurement documents and noted that the Headquarters Committee on Contracts unanimously recommended approval of the proposed contract awards to the two vendors on 4 March 2022 for the provision of hybrid electric vehicles consisting of sedans and sport utility vehicles, with a total number of 295 vehicles anticipated to be purchased by entities over a five-year period. However, the Board noted that, as at 25 April 2025, no orders had been placed under the contract with vendor B, only three Secretariat entities had purchased six vehicles under the contract with vendor A and some other entities of the United Nations agencies, funds and programmes had purchased 19 vehicles by piggybacking on the contract with vendor A. A lack of utilization of global system contracts for hybrid electric vehicles was affected by the availability of local infrastructure to support the use of such vehicles, in particular road conditions, charging stations, maintenance and climate. Nevertheless, the availability of hybrid and carbon-neutral vehicles to entities allows the expansion of their use when conditions change.

327. The Board was informed that only two vendors replied to the solicitation for hybrid electric vehicles, with few models available and a limited geographical scope of delivery. This was due to factors such as vehicle homologation, concerns regarding battery disposal, limited infrastructure and/or local repair facilities in some end destinations and a limited range of vehicle models available for global deployment.

328. The Board also noted that, during contract implementation, vendor A had declined many purchase requests for hybrid vehicles from the United Nations Secretariat entities owing to the lack of national rules on the disposal of electric vehicles, which could make the disposal of such vehicles dangerous in some countries.

329. The Board is of the view that factors restricting the implementation of the contracts already existed at the time of the signing of the agreements. In particular, in the situations in which procurement demands from the Secretariat were rejected, it was indicated that there was a gap between the demand of the client entities and the market reality, in which only two vendors responded to the open solicitation published by the Secretariat.

330. The Administration explained that the contract utilization targets were estimated in advance, sometimes one or two budget years ahead, on the basis of the duration of client entities. Key assumptions changed over time, in particular in the context of the drawdown or liquidation of field missions. In addition, one variant model of the vehicles included in the contract was discontinued by vendor A after the contract had been signed. The Administration is working with vendor A to increase the geographical coverage and expects improvements in this regard in 2025.

331. The Board recommends that the Administration provide guidance to end users encouraging them to use hybrid vehicles, where possible, and strengthen discussions with suppliers of hybrid vehicles and conduct targeted outreach activities prior to the solicitation process, with the aim of increasing vendor participation and assessing market readiness to meet technical and geographical coverage requirements.

332. The Administration accepted the recommendation.

(e) Insufficient monitoring of rental payments for One United Nations Plaza and Two United Nations Plaza led to \$177.31 million in expenditure above the not-to-exceed amount

333. According to the Procurement Manual dated 30 June 2020, the procurement delegation instrument provides that the relevant delegation holders have the authority to increase the not-to-exceed amount for contracts previously reviewed by a review committee by 20 per cent, or \$500,000, whichever is lower.

334. According to the delegation of procurement authority of the Department of Operational Support dated 1 November 2023, an increase in the not-to-exceed amount of a contract of more than 100 per cent of the originally approved not-to-exceed amount should be reviewed by a review committee on contracts, provided that the original not-to-exceed amount was more than \$1,500,000.

335. The terms of One United Nations Plaza (DC-1) and DC-2, lease contracts ran initially from 21 June 1974 and 8 May 1981, respectively, to 31 March 1998, and both were extended for two additional 10-year periods, to 31 March 2018. The initial not-to-exceed amount of the DC-1 and DC-2 lease contracts was \$276.85 million and \$294.01 million, respectively. In 2016, the Headquarters Committee on Contracts approved a final five-year extension for both buildings, from April 2018 to March 2023, with aggregated not-to-exceed amounts of \$356.99 million for DC-1 and \$378.34 million for DC-2.

336. The Board reviewed the original leasing contracts and the amendments regarding DC-1 and DC-2 and noted that, aside from the basic rental costs, the total rental payments also included operating costs and administrative costs such as daily cleaning and security costs, wages and other compensation paid to administrative employees of the landlord. Although an additional not-to-exceed amount was approved for the final five years, from April 2018 to March 2023, the lease periods were continuously extended to April 2025 after the twentieth and sixteenth extension for DC-1 and DC-2, respectively.

337. However, the payment records were incomplete in Umoja. The recorded rental payment for DC-1 was \$188.92 million from February 2015 to March 2025. For DC-2, the recorded rental payment was \$144.01 million from May 2016 to March 2025. Owing to the lack of historical records, the Board made conservative estimates by using basic rental rates with corresponding areas according to contracts, excluding operating and administrative costs, which accounted for approximately 63 per cent of total costs. After combining the estimated and recorded costs, the total rental costs for both buildings reached \$503.86 million and \$408.79 million for, respectively, DC-1 and DC-2 by the end of March 2025, exceeding the aggregate not-to-exceed amount by \$146.86 million and \$30.45 million, respectively, as shown in the tables II.19 and II.20.

Table II.19

Total rental costs for DC-1 and comparison with the not-to-exceed amount

(Millions of United States dollars)

<i>Leasing period</i>	<i>Rental expenditure</i>	<i>Not-to-exceed amount</i>	<i>Excess over not-to-exceed amount</i>
January 1974–January 2015	314.93 (estimated)		
February 2015–March 2025	188.92 (recorded)		
Total	503.86	356.99	146.86

Source: Data extracted from Umoja.

Table II.20

Total rental costs for DC-2 and comparison with the not-to-exceed amount

(Millions of United States dollars)

<i>Leasing period</i>	<i>Rental expenditure</i>	<i>Not-to-exceed amount</i>	<i>Excess over not-to-exceed amount</i>
May 1983–April 2016	264.78 (estimated)		
May 2016–March 2025	144.01 (recorded)		
Total	408.79	378.34	30.45

Source: Data extracted from Umoja.

338. It is stated in the minutes of a Headquarters Committee on Contracts meeting dated 27 September 2016 on contract modification for the provision of leased space at DC-1 and DC-2 that, “noting the significant administrative and operating costs, the Committee also recommended that the Assistant Secretary-General of the Office of Central Support Services instruct the Procurement Division and Facilities Management Service to (re)negotiate the operating expenses, consider all ways and means to reduce operating costs, and closely monitor such costs, and audit them, as necessary, with a view to ensuring their transparency, reasonableness and competitiveness over the remaining life of the leases”. However, no such activities had been carried out on operating expenses and other related rental expenditure as at the date of audit.

339. The Board is of the view that, given the considerable amount of administrative costs and operational costs that were excluded from rental costs, it is reasonable to conclude that the actual total rents of DC-1 and DC-2 exceeded the not-to-exceed amounts. The excess costs should have been reported to the Headquarters Committee on Contracts for approval. In addition, the incomplete payment records hinder the accurate calculation of cumulative expenditure and effective rental payment management. The Administration acknowledged the lack of complete historical records on rental payments and agreed to strengthen the not-to-exceed amount management in the future.

340. **The Board recommends that the Administration draw lessons from previous experience in relation to not-to-exceed amount management and put in place a system to ensure that the not-to-exceed amount is duly considered during lease extensions.**

341. The Administration accepted the recommendation.

11. Management reform

342. The General Assembly, its resolution [79/245](#), reiterated that increased delegated authority must be matched by enhanced transparency and accountability. The Board continued its review in respect of the delegation of authority monitoring framework, as set out below.

(a) Need to further strengthen monitoring of the improper use of low-value acquisitions, and blanket purchase orders need to be fully implemented

343. In the first quarter of 2023, the Business Transformation and Accountability Division introduced, on a provisional basis, a key performance indicator of repeat purchases from the same vendors to monitor: (a) whether the aggregate repeat or multiple stand-alone purchases through low-value acquisitions and purchase order awards from the same vendors exceeded the low-value acquisitions threshold of \$10,000, the request for quotation threshold of \$150,000 or the entity's chief procurement officer approval level; and (b) whether the blanket purchase orders exceeded the threshold of \$100,000 or the contract duration exceeded three years, or a vendor was awarded multiple blanket purchase orders simultaneously.

344. The Board reviewed the performance report on the key performance indicators between 2023 and 2024 and noted some non-compliant procurement activities, as follows:

(a) Some low-value acquisitions should have been consolidated and undergone the most appropriate or procurement process to achieve potential economies of scale. In 2023 and 2024, there were 332 instances (217 in 2023 and 115 in 2024) of repeated purchases involving 608 low-value acquisitions, amounting to \$4.23 million (representing 7.6 per cent of the total value of low-value acquisitions under United Nations operations as reported in volume I). Those repeat low-value acquisitions should have been aggregated, and an appropriate or formal solicitation process should have been conducted. For example, in 2023, the United Nations Office at Geneva made 12 repeat purchases of audiovisual and information technology equipment from a vendor, amounting to \$85,958, which also should have been aggregated in order to enable a blanket purchase order;

(b) In 2023 and 2024, 14 blanket purchase orders (12 in 2023 and 2 in 2024), with a total value of \$3.44 million, exceeded the threshold of \$100,000 annually, and this should have resulted in them undergoing a formal procurement process pursuant to the Procurement Manual. For example, in 2023 and 2024, UNAMI expanded its original long-term air charter agreement through three blanket purchase orders, all covering jet fuel, ground handling, crew accommodation and other aircraft services. Each of those blanket purchase orders underwent several amendments, with the aggregated value reaching \$454,000, \$417,000 and \$181,200 for each blanket purchase order, which significantly exceeded the threshold for blanket purchase orders and should have resulted in a formal solicitation process;

(c) In 2023 and 2024, there were 23 blanket purchase orders (16 in 2023 and 7 in 2024) totalling \$2.49 million that were awarded by splitting orders with the same vendor. While each blanket purchase order may not exceed the annual threshold of \$100,000, the aggregate value thereof exceeded the threshold, thereby circumventing formal bidding procedures by splitting requirements into smaller contracts below the blanket purchase order threshold. For example, in 2023, ESCAP made five blanket purchase orders with a vendor and three blanket purchase orders with another vendor, both for purchasing building maintenance-related supplies and materials, and all eight blanket purchase orders were valid from May 2023 to May 2026, with a combined

amount of \$1.83 million, exceeding the threshold of \$100,000, which should have been resulted in a formal solicitation process.

345. The Administration explained that the Department of Management Strategy, Policy and Compliance had conducted outreach that resulted in a reduction in low-value acquisitions and blanket purchase orders among selected entities in 2024. For example, in 2024 the United Nations Office at Geneva implemented mitigation measures triggered by the Business Transformation and Accountability Division's monitoring, which resulted in a significant decrease in repeated purchases. No case was identified in 2024 for ESCAP.

346. The Board recommends that the Administration strengthen efforts to monitor the improper use of low-value acquisitions and blanket purchase orders by closely following up on and adopting a more targeted approach in the pilot response mechanisms in order to reduce the improper use thereof.

347. The Administration accepted the recommendation, noting that the Business Transformation and Accountability Division had intensified monitoring efforts through the response mechanism pilot project on low-value acquisitions and that, owing to the resulting remedial action undertaken in 2024, compared with 2023, such efforts had already been improved.

(b) Backlogs in formalizing the key performance indicator of the timely assessment of prohibited conduct

348. The Board noted that the Administration had piloted the key performance indicator of "Timely assessment of prohibited conduct" in the second quarter of 2024 in order to monitor whether entities completed the preliminary assessment within three months after the cases were transferred by OIOS, which is a key procedure and is crucial to implementation of the accountability framework. However, as of May 2025, the key performance indicator remained in a provisional state.

349. The Administration explained that systemic data integrity deficiencies in the Case Management Tracking System data sets, in particular incomplete case entries and discrepancies in timelines, undermined the key performance indicator's ability to monitor compliance effectively. Furthermore, while the Administrative Law Division was responsible for issuing guidance to heads of entities on Case Management Tracking System data entry protocols for prohibited conduct cases, accountability for ensuring data accuracy and completeness ultimately rested with the heads of entities.

350. The Board is of the view that enhancing the accuracy and completeness of Case Management Tracking System data sets is critical to ensuring that the timely assessment of prohibited conduct key performance indicator achieves its intended purpose of robust performance monitoring.

351. The Board recommends that the Administration enhance the Case Management Tracking System to ensure accurate data capture to enable the formalization of the timely assessment of prohibited conduct key performance indicator as soon as possible.

352. The Administration accepted the recommendation.

12. Development reform

353. Since 2016, the United Nations development system has implemented reforms to realize the 2030 Agenda for Sustainable Development that are centred on reinvigorating the resident coordinator system with independent and empowered resident coordinators and strengthened United Nations country teams. A revised efficiency road map was endorsed by United Nations Sustainable Development Group

member entities for cost avoidance and business agility. Moreover, to improve communication and coordination at the country level, some United Nations information centres were integrated into resident coordinator offices under a dual reporting structure to enhance communication strategies and efficiency, strengthen collective responses to national needs and foster a more cohesive and effective United Nations presence globally.

354. As at 31 December 2024, of the 130 resident coordinator positions, 118, 1 and 11 positions were encumbered, vacant and covered by resident coordinators ad interim, respectively. For its part, the Advisory Committee on Administrative and Budgetary Questions stressed the importance of ensuring that the structure and staffing complement of resident coordinator officers be field-oriented and that there was a need to review their structure and related budgetary requirements ([A/78/7/Add.46](#), para. 40). In addition, the Committee reaffirmed that the common back office and premises concept offered opportunities for achieving improved efficiency and effectiveness. It encouraged further efforts to expand those arrangements, including at the subnational levels ([A/78/7/Add.13](#), para. 28; see also [A/78/7](#), para. I.56).

355. The Board followed up and noted progress made, including the promulgation of the permanent performance management and appraisal system for resident coordinators and position management, among others. Notwithstanding the progress made, the Board also identified areas for further improvement, set out below.

(a) Improvements needed in position management, structural reviews and resource integration in the resident coordinator system

356. The Board reviewed key aspects of the resident coordinator system, including its structure and integration with United Nations information centres, and noted some of the issues below.

Tangible road map needed for the review of the structure and resource requirements of the resident coordinator system

357. In previous audits, the Board had noted delays in appointing resident coordinators to fill positions at some country offices. In that regard, the Board noted that 12 of 130 resident coordinator positions (9 per cent) were vacant as at 31 December 2024. Moreover, of those vacant positions, 4 had remained unfilled for more than one year, 11 were temporarily covered by resident coordinators ad interim while awaiting government clearance or deployment, and the recruitment of 2 was pending. During the period 2019–2024, 50 resident coordinators (27 per cent) vacated the position more than one year before the end of their tour of duty.

358. The Board encourages the Administration to implement its previous recommendation to expeditiously fill the vacant key posts in the resident coordinator system.

359. The Administration informed the Board that efforts would be maintained and that a 9 per cent vacancy rate represented a significant improvement, compared with an 18 per cent vacancy rate as at 31 December 2023.

360. In addition to the need for the expeditious filling of the vacancies, the Board also noted that, notwithstanding varying demands and complexities, all resident coordinator offices had adopted a standardized staffing structure, with five Professional posts funded through the special purpose trust fund. The General Assembly, in its resolution [79/258](#), mandated an office-by-office review of the “one-size-fits-all” approach to the structure of resident coordinator offices and resource requirements for the system tailored to the context and needs of the host country, in the context of United Nations Sustainable Development Cooperation Frameworks and

the size of United Nations country teams, as well as the sharing of staff and resources with relevant United Nations entities.

361. In that regard, the Administration indicated that initial discussions were under way under the leadership of the Secretary-General and that it would consult relevant stakeholders and address the elements contained in General Assembly resolution [79/258](#). The Administration added that it was preparing the analysis and reporting necessary to support the Executive Office of the Secretary-General in the preparation of the report requested by the Assembly. However, the timeline, terms of reference and scope of the review indicating key milestones and activities had not been developed, which it indicated needed to be done in an expeditious manner.

Improvements needed in structural reviews and resource integration in the resident coordinator system

362. As decided by the Secretary-General in his report on repositioning the United Nations development system to deliver on the 2023 Agenda ([A/72/684](#)), 44 of the 50 United Nations information centres operated by the Department of Global Communications in countries with a resident coordinator were integrated into the resident coordinator system. Resident coordinators then became the first reporting officers of heads of information centres and the second reporting officers of the Information Centre Services deputy director. In those locations, the communication function of the resident coordinator office would therefore be undertaken by communication officers budgeted under the Department.

363. The Board reviewed the implementation of General Assembly resolution [72/279](#) and noted that the following shortcomings, which have precluded the Organization from fully reaping the benefits envisaged:

(a) Understanding of the integration of United Nations information centres varied with respect to the Development Coordination Office and the Department of Global Communications according to the Board's consultation with both entities. Although the Chair of the United Nations Sustainable Development Group stated, in a 2019 report to Member States, that the integration of information centres into the resident coordinator system had advanced, with heads of information centres reporting to resident coordinators as first reporting officers and to the Department as second reporting officers, supported by clear job descriptions, vacancy announcements and standardized workplan templates, a divergence in institutional perspectives had emerged more clearly since 2023. While the Office viewed the information centres as part of the resident coordinator office, given the agreement that they were integrated information centres, the Department considered them independent entities providing communication support to resident coordinators. That difference in perspective led to a programmatic-style integration, by which the Department considered information centres communication providers rather than fully integrated entities, creating ambiguity regarding their roles and reporting lines;

(b) There was a lack of a structured, coordinated mechanism to align the priorities and activities of United Nations information centres between the Department of Global Communications and those of the resident coordinator offices. Different mandates and budgets, among others, for those entities contributed to fragmented planning and unclear lines of command. Such a disjointed approach caused frustration, especially given the contrasting focuses, namely, that information centres operated to raise awareness of the United Nations work, while resident coordinators were more focused on national development within specific countries. While the Department and the Development Coordination Office rolled out generic workplans for heads of information centres in 2019, in full alignment with the United Nations development

system reform, as from 2023, the absence of a joint workplan and shared understanding of priorities hampered effective collaboration at the country and regional levels;

(c) The dual reporting lines created operational and staff well-being challenges. United Nations information centres that were integrated with resident coordinator offices reported both to the resident coordinator as the first reporting officer and the deputy director of the Information Centres Service at the Department of Global Communications as the second reporting officer, which was aligned to the integration envisioned in the United Nations development system reform. In the past few years, this led to conflicting priorities and increased stress among staff, as highlighted in recent mental health surveys conducted by the Department. Of the 44 of 50 United Nations information centres operated by the Department in countries with a resident coordinator integrated into the resident coordinator system, the Administration clarified that this was because the information centres and the resident coordinator offices were, for example, in the case of Brazil, in two different locations and that, for example, in Trinidad and Tobago, the resident coordinator office communications officer was also a multi-country communications officer. There were agreed exceptions in which integration with the resident coordinator office was not feasible owing to subregional coverage. Addressing such structural and operational shortcomings was critical to enhancing coordination, reducing confusion and achieving the goals of the United Nations development system reform.

364. The Board is concerned that the lack of a structured, coordinated and established mechanism for determining the priorities and activities of United Nations information centres could lead to unclear reporting lines and lines of command, mandates not resulting in programmes of work being implemented, monitored and reported, reduced morale and productivity, and envisaged reform efficiency gains not being properly reaped.

365. The Board further noted that the Advisory Committee on Administrative and Budgetary Questions had recommended that the Secretary-General conduct an independent and impartial review of the Department of Global Communications (A/78/7, para. VII.4; see also A/77/7, para. VII.3), which should include: (a) a full and transparent accounting of all Secretariat resources dedicated to public information and communication, across all funding sources, along with an in-depth analysis and proposals aimed at optimizing the use of existing capacity, leveraging comparative advantages, maximizing impact and reach, and achieving efficiencies (A/79/7, para. VIII.25); and (b) a comprehensive data-driven assessment of the effective and efficient allocation of staff and financial resources to United Nations information centres (A/79/7, para. VIII.28; see also A/78/7/Add.46, para. 42, and A/78/7, para. VII.30).

366. In that regard, the Board noted that the Department of Global Communications had not completed the independent review. The Board is of the view that the review of the integration of United Nations information centres with the resident coordinator office could be conducted and considered together with the independent and impartial review mandated by the General Assembly in its resolution 77/262.

367. The Board recommends that the Administration review the integration of United Nations information centres, as requested by the General Assembly, with a view to establishing a sustained and structured mechanism for the Development Coordination Office and the Department of Global Communications, clarify the line of reporting and command, align strategic and programmatic planning and ensure that mandates, programmes and activities are developed in order to accommodate the mandates of both offices to fully reap the envisaged benefits of the development reform.

368. The Administration accepted the recommendation.

(b) Gaps in the resident coordinator performance appraisal framework

369. The Board noted that, since 2019, there had been only a transitional resident coordinator performance appraisal system in which only two overall ratings, namely, fully meets performance expectations and exceeds performance expectations, were used. According to this transitional approach, resident coordinators are appraised for: (a) five functions (i.e., leadership of United Nations development activities, strategic planning and programming, communications and advocacy, common services and funding/resource mobilization) outlined in the management and accountability framework; (b) management of the resident coordinator office; and (c) performance of the designated official for the security function, including the taking of informed security risk management decisions within the United Nations security management system framework, the delivery of United Nations system activities at acceptable risk levels through security risk management measures, compliance of United Nations security management system organizations with security risk management and policy requirements, and effective management, mentoring and coaching of the principal/chief/security adviser in their advisory role to the designated official.

370. The Board further noted that the resident coordinator performance appraisal system during the period 2019–2024 applied to all those who served as resident coordinator and resident coordinator ad interim for at least six months. It is mandatory for resident coordinators, resident coordinators ad interim and resident coordinators who have since left the resident coordinator track. During the period 2019–2023, all resident coordinators were rated as fully meets performance expectations or exceeds performance expectations.

371. The Administration indicated that, while only two ratings were used, the appraisals took into account the full performance of resident coordinators. It also reported that some resident coordinators had not been reappointed owing to performance-related issues. However, the Board was not provided with the number of resident coordinators who had performance issues during the period 2019–2023.

372. The Administration stated that a new administrative instruction for the resident coordinator performance management and appraisal system ([ST/AI/2025/1](#)) was issued in April 2025 and would be effective starting from the 2025 performance cycle and would include four overall ratings: (a) exceeds performance expectations; (b) successfully meets performance expectations; (c) partially meets performance expectations; and (d) does not meet performance expectations. The Administration added that integrity was one of the values of the resident coordinator leadership profile against which resident coordinators were appraised, as specified in section 9 of [ST/AI/2025/1](#).

373. The Board welcomes the new administrative instruction on resident coordinator appraisals. As informed by the Administration, the current performance appraisal system relied on relevant information from multiple sources, including common country assessments, joint partnerships and resource mobilization strategies and efficiency road maps, which were manifested as the United Nations country team deliverables and had been noted in the resident coordinator scorecard since 2022. However, the Board noted that the performance appraisal framework, namely, the scorecard in place since 2022, lacked defined measurement standards and methods to objectively assess and differentiate performance (i.e., “exceeds”, “successfully meets”, “partially meets” or “does not meet” performance expectations). This gap might compromise the consistence, clarity and transparency of the appraisal process.

374. The Board further noted that there was an allegation of misconduct relating to sexual exploitation and abuse against a former resident coordinator during his term of service, which drew significant public attention. This was not reflected in this

resident coordinator's performance appraisals for the relevant periods because the resident coordinator was put on administrative leave on 10 May 2023 after the Development Coordination Office had received the allegations, making his service duration in 2023 fewer than six months. Therefore, a performance appraisal was not applicable for that period. The allegations were substantiated after the resident coordinator had returned to his original organization, which was to initiate necessary measures against him.

375. The Board recommends that the Administration provide guidance on the assessment framework to clarify the measurement standards and methods to objectively assess and differentiate performance ratings in order to implement the new resident coordinator performance management and appraisal system in a consistent and transparent manner.

376. The Administration accepted the recommendation.

(c) Implementation issues in the efficiency road map need to be addressed

377. In August 2022, the United Nations Sustainable Development Group core group endorsed a revised 2022–2024 efficiency road map, establishing quantified targets, annual benchmarks and an extended 2024 deadline for key initiatives. The Board reviewed the progress of those initiatives in 2024 and noted the following:

(a) Only 4 of 50 targeted common back offices had been established by 2024, achieving \$0.5 million in efficiency gains in 2024, far below the goal of \$76.8 million;

(b) The number of priority global shared services decreased from 42 to 10 in 2024 on the basis of maturity and readiness for global scaling, while only 8 of the 10 services had approved business cases endorsed by the Business Innovation Group;

(c) Only 18 of 66 targeted common premises had been completed by 2024, with another 40 projects at various stages of completion, achieving \$3.9 million in efficiency gains in 2024, below the target of \$7.7 million;

(d) Owing to a procedural adjustment for reporting on matured services, the realized efficiency gains in 2024 for business operations strategies was \$100.5 million, \$4.5 million less than the projected target of \$105 million.

378. The Board reviewed the key issues underlying the continuous backlogs in the implementation of the efficiency road map and identified key challenges in relation to the following:

(a) The autonomous governance structures and distinct legal frameworks led to varying operational standards, and the differences in policy frameworks created inconsistencies in how entities operated, regulated and managed functions, weakening coordination and system-wide initiatives;

(b) Unaligned operational workflows for approvals, reporting and procurement created service delivery bottlenecks, hindering the provision of and raising the coordination costs for standardized services;

(c) Differences in operational demand and complexities resulted in divergent risk tolerances and internal control requirements, which prevented unified approaches to system-wide initiatives;

(d) A lack of mutual recognition and trust among United Nations entities hindered system-wide efficiency efforts, leading to resistance to shared services, a reluctance to change and concerns over accountability.

379. The Board is of the view that the above-mentioned issues pose systemic barriers to implementing efficiency initiatives, hindering the timely achievement of the

efficiency road map, and should be given due consideration in terms of enabling more system-wide efforts at coordination. The Administration was in the process of implementing previous Board recommendations on United Nations Sustainable Development Group governance (A/79/5 (Vol. I), para. 392).

(d) Potential duplication of functions and need for a well-structured and coordinated inter-office cooperation mechanism

380. The Board reviewed the mandates of the Office of the High Representative for the Least Developed Countries, Landlocked Developing Countries and Small Island Developing States, together with that of the Department of Economic and Social Affairs, and noted potential duplication in their work on small island developing States. Both Offices maintain dedicated small island developing States units tasked with implementing the Programme of Action for the Sustainable Development of Small Island Developing States, for which, the Office had five staff members focusing on advocacy, research and resource mobilization, while the unit within the Division for Sustainable Development Goals of the Department shares similar implementation mandates.

381. The Administration highlighted complementary roles and existing collaborations, including co-chairing the Inter-Agency Consultative Group on Small Island Developing States, serving as joint secretariats for the Steering Committee on Partnerships for Small Island Developing States and the Antigua and Barbuda Agenda for Small Island Developing States monitoring and evaluation framework, and jointly supporting the multidimensional vulnerability index as interim secretariats.

382. The Board, while noting the collaboration, stresses the need for enhanced coordination, such as establishing regular director-level communication, jointly developing terms of reference to clarify roles, sharing work programmes and providing transparent guidance to Member States on each entity's mandate. The Board is of the view that the lack of a mechanism for regular workplan-sharing or joint development, along with potential competition in resource mobilization, further underscores the gap.

383. Furthermore, the Antigua and Barbuda Agenda for Small Island Developing States contains calls for a coordinated United Nations system-wide capacity development approach. The Office of the High Representative supports small island developing States through a national focal point network but lacks in-country implementation functions, while the Development Coordination Office operates 18 resident coordinator offices in small island developing States. Although the Office of the High Representative has increased engagement with these offices, the Board is of the view that more engagement, including an annual meeting with small island developing States resident coordinators during the annual sessions held in New York, to brief them on the Office of the High Representative's ongoing efforts could contribute to better coordination among them.

384. The Board recommends the Administration ensure that the Office of the High Representative for the Least Developed Countries, Landlocked Developing Countries and Small Island Developing States, together with the Department of Economic and Social Affairs, conduct a comprehensive review of operational responsibilities to clarify roles, strengthen director-level communication, share work programmes and enhance collaboration with relevant entities, including the Development Coordination Office, with the aim of eliminating duplication, providing clear guidance to Member States on each entity's role and fostering coherent, efficient support for small island developing States through structured inter-office cooperation.

385. The Administration accepted the recommendation.

13. Operations related to peace and security affairs

386. The restructuring of the peace and security pillar is anchored in the establishment of two new Secretariat departments on 1 January 2019. The Department of Political and Peacebuilding Affairs combines political and analytical capabilities and expertise in areas such as electoral assistance, mediation and Security Council affairs with peacebuilding responsibilities, while the Department of Peace Operations provides specialized capabilities in areas such as military affairs and the rule of law. The two Departments share a single political-operational structure with regional responsibilities.

387. In its reports [A/77/7](#), [A/78/7](#), [A/78/578](#) and [A/79/7](#), the Advisory Committee on Administrative and Budgetary Questions raised concerns about the peace and security affairs pillar in relation to services provided by the Standby Team of Senior Mediation Advisers, electoral assistance, innovative approaches and disclosure of the Peacebuilding Fund, among others, which were endorsed by the General Assembly in its resolutions [77/253](#), [78/242](#) and [79/245](#).

388. The Board followed up on those concerns and acknowledged efforts made by the Administration to improve donor reporting and the selection and management of mediation experts, and strengthen Peacebuilding Fund project management, among others. The Board, however, identified areas in need of improvement, as set out below.

(a) Weakness in disclosure and review of outside activities of sanctions committee experts

389. According to the Regulations Governing the Status, Basic Rights and Duties of Officials other than Secretariat Officials and Experts on Mission ([ST/SGB/2002/9](#)) and the handbook for experts of sanctions monitoring groups, experts are required to disclose to the Secretariat the nature of the outside activity and request approval before engaging in any outside activity throughout the duration of their contracts to ensure that there is no impact on the work and no conflict of interest or impact on the Organization's image.

390. The Board noted that 17 experts serving on seven Security Council sanctions panels might have engaged in outside activities without disclosing such activities to the Secretariat as at the time of audit, some of which might constitute a conflict of interest and thereby potentially run the risk of creating a negative perception regarding the independence and impartiality of the experts, thereby adversely affecting the reputation of the United Nations.

391. The Administration explained that the role of a sanctions expert was a full-time job and that experts might undertake outside activities if such activities did not constitute a conflict of interest, did not interfere or threaten to interfere with performance of the contract of the expert and were reviewed by the Secretariat. The Administration noted some potential cases of non-compliance identified by the Board and initiated an internal review.

392. The Board recommends that the Administration review the potential outside activities of experts of sanctions committees to ensure that prior approval is sought and follow up on the 17 cases of potential conflict of interest and take appropriate action.

393. The Administration accepted the recommendation.

(b) Delays in proposing expert panels to the Security Council sanctions committees

394. The Department of Political and Peacebuilding Affairs is mandated to propose expert panels in a timely manner to assist the Security Council and its sanctions

committees. To facilitate this, the Department aims to propose the candidates for an expert panel to the relevant sanctions committee within two weeks of the renewal of the mandate of the panel or six weeks following the establishment of a new panel by the Council.

395. The Board noted that the Security Council Affairs Division did not achieve the 100 per cent target in submitting expert panel candidates to relevant sanctions committees within the set time frame. Compliance rates during the period 2022–2024 were 83 per cent (2022), 76 per cent (2023) and 85 per cent (2024). For example, the submission of the slate of experts for the Panel of Experts on Yemen encountered a 68-day delay.

396. The Board is concerned that delays in proposing the expert panels to the Security Council sanctions committees indicated challenges in the selection and pre-recruitment process and have had a negative impact on the timely reporting by experts to the Council, which may compromise the effectiveness of the sanctions mechanisms of the United Nations.

397. The Board recommends that the Administration intensify its efforts to ensure that expert panels are proposed to relevant sanctions committees in a timely manner.

398. The Administration accepted the recommendation.

(c) Weakness in the management and utilization of peace and security-related trust funds

399. The Peacebuilding Fund is the leading instrument of the United Nations to invest in conflict prevention and peacebuilding, in partnership with the wider United Nations system, national and subnational authorities, civil society organizations, regional organizations and multilateral banks. The Board identified areas in need of improvement regarding the management and utilization of two peace and security-related trust funds, as set out below.

Backlogs in financial closure for the Peacebuilding Fund

400. According to the United Nations Sustainable Development Group guidance on establishing, managing and closing multi-donor trust funds, the financial closure of the Peacebuilding Fund must be completed within 18 months after operational closure or according to the period specified in the financial regulations and rules of the participating United Nations organization, whichever one comes first. It includes the reimbursement of unspent project funds over \$250 and the submission of a certified final financial statement by the recipient organizations' headquarters to the Multi-Partner Trust Fund Office, which is due by 30 June of the calendar year after project closure. In certified final financial statements, the agencies are required to report the expenditure, which includes the correction of negative balances.

401. The Board noted that, as at 31 December 2024, 257 projects had not been financially closed in a timely manner and that the average delay was 1,428 days. Among those projects were the following: (a) 107 projects with outstanding balances larger than \$250, totalling \$6.78 million, that needed to be returned; (b) 108 projects with outstanding balances no larger than \$250, totalling \$2,999, which needed to be financially closed; (c) 42 projects with negative balances, totalling \$1.30 million, which needed to be corrected.

402. The Board is of the view that delays in the financial closure procedure could result in fund balances not being returned in a timely manner, as well as low utilization of the Peacebuilding Fund.

403. **The Board recommends that the Administration work with the Multi-Partner Trust Fund Office, as the administrative agent of the Peacebuilding Fund, to expedite the financial closure processes to better utilize the Peacebuilding Fund balance.**

404. The Administration accepted the recommendation.

Deficiency in the monitoring of interest earned by non-United Nations recipient organizations of the Peacebuilding Fund

405. The General Assembly, in its resolution [79/245](#), requested the Advisory Committee on Administrative and Budgetary Questions to request the Board to keep matters related to accrued interest under review and report thereon in its future reports. In that regard, the Board noted that, in terms of the Peacebuilding Fund, recipient United Nations organizations would apply their financial rules and regulations with regard to interest generated from the Fund. The interest accrued from those organizations between 2008 and 2023 amounted to \$3.59 million.

406. The Board noted that there was no specific provision in respect of interest written in the financing agreement between the Department of Political and Peacebuilding Affairs and non-United Nations recipient organizations. Instead, the Peacebuilding Fund follows the non-United Nations recipient organization's financial rules and regulations in relation to the treatment of interest. However, the Peacebuilding Support Office and the Multi-Partner Trust Fund Office do not request the non-United Nations recipient organizations to provide copies of their financial rules and regulations and did not know whether they allowed for the return of interest and, if so, the amount of interest and the procedures to be followed. Furthermore, they did not review the independent audit reports to follow up on the actual interest generated and how it was accounted for and managed.

407. The Board is concerned that the insufficient follow-up with the non-United Nations recipient organizations in relation to interest generated may result in missed opportunities for interest collection.

408. **The Board recommends that the Administration work with the Multi-Partner Trust Fund Office to review its guideline on interest in order to improve the mechanism on monitoring the interest earned by non-United Nations recipient organizations with an aim of collecting the interest, where applicable.**

409. The Administration accepted the recommendation.

14. Humanitarian affairs

410. The Office for the Coordination of Humanitarian Affairs is the Secretariat entity responsible for bringing together humanitarian actors to ensure a coherent response to emergencies and for managing country-based pooled funds and the Central Emergency Response Fund. The Office carries out its functions at Headquarters in New York and in Geneva, in 2 global hubs, 5 regional offices, 27 country offices, 22 humanitarian advisory teams and 7 liaison offices.

411. The General Assembly, in its resolution [79/140](#), encouraged the United Nations and humanitarian organizations to further advance efficiencies in delivering assistance through a reduction in management costs, the harmonization of partnership agreements and the provision of transparent and comparable cost structures. To duly respond to the request of the Assembly, the Board continued the review of the allocations and utilization of both the country-based pooled funds and the Central Emergency Response Fund, as well as the monitoring and compliance measures taken on the funded projects and their implementing partners, and noted the issues presented below.

(a) Additional preventive measures need to be taken against fraudulent partners

412. The General Assembly, in its resolution 79/140, encouraged the United Nations and humanitarian organizations to strengthen measures to achieve greater accountability by taking further action to reduce fraud, waste and abuse and identify ways to share incident reports and other information among United Nations agencies, where appropriate.

413. The Board noted that, as at 30 April 2025, \$9.75 million in unrecoverable financial losses resulting from fraud cases involving partners of the country-based pooled funds had been written off with the approval of the Controller, of which \$6.06 million (62 per cent) related to projects implemented from 2011 to 2013. The Board also noted that there was a total financial loss of \$12.40 million resulting from fraud cases involving implementing partners of the country-based pooled funds from 2015 to 2024, of which \$3.11 million (25 per cent) had been recovered as at 31 December 2024 by the Office for the Coordination of Humanitarian Affairs, and an unrecoverable loss of \$3.69 million was written off by the Controller in 2025.

414. The Office for the Coordination of Humanitarian Affairs explained that the losses represented a low percentage of the total amount allocated by the country-based pooled funds during the same period and that the implementing partners were monitored through a rigorous assessment and due diligence process.

415. The Board further noted that some partners had been identified as being involved in some serious instances of fraud (e.g., false quotations and procurement, forgery of bank documents, falsification of invoices and other documents, and attempted bribery of external auditors). Although the investigation of those partners had been completed by the end of 2024 and their eligibility was suspended one or two years earlier, they were still using the logo of the Office for the Coordination of Humanitarian Affairs and some country-based pooled funds on their official websites, which may have a negative impact on the reputation of the United Nations.

416. The Office for the Coordination of Humanitarian Affairs explained that the related cases were not closed because the recovery attempts were ongoing. The Office also emphasized that it had imposed administrative measures through the suspension and termination of eligibility and that final measures on the partners could be determined only upon closure of the case, depending on the outcome of the recovery and settlement processes.

417. The Board is of the view that, considering the cases of the deliberate refusal of refunds and the misleading use of the Office for the Coordination of Humanitarian Affairs logo, the current accountability measures (e.g., requirement of refund and suspension of eligibility) may not be sufficient to prevent some partners from committing further fraud.

418. The Board recommends that the Administration take additional preventive measures against partners implicated in fraud, indicating to organizations that had their contracts suspended or terminated because of fraud that they are prohibited from using the Office for the Coordination of Humanitarian Affairs and country-based pooled funds logos.

419. The Administration accepted the recommendation.

(b) Improvement needed in verifying and recovering interest income from country-based pooled fund projects

420. According to the global guidelines for country-based pooled funds issued by the Office for the Coordination of Humanitarian Affairs in 2022, interest income earned on project funds should be reported in the financial statements and non-governmental organization partners should use a separate interest-bearing bank account and reimburse interest income to the Office from 2023, with reasonable exceptional cases being authorized by the Office in advance. If, owing to the country's legal frameworks or other reasons, the partner is unable to fulfil this requirement, then it shall inform the Office in writing of an alternative arrangement that ensures that the transactions remain traceable and can be audited.

421. The Board noted that there were 5,106 completed country-based pooled fund projects from 2020 to 2024, with a total budget of \$3.41 billion, of which, 389 were implemented by United Nations agencies with no interest income reported. For the 4,675 projects implemented by non-governmental organizations, with a total budget of \$2.83 billion, only 105 (2.25 per cent) reported interest income of \$721,907, of which only 40 projects with a duration from 2023 to 2024 reported interest income, amounting to \$379,581. However, only \$27,618 of that amount had been refunded by the end of 2024.

422. The Office clarified that several factors might account for the absence of reported interest income, notably, legal restrictions in some countries on operating interest-bearing accounts, as well as the fact that some projects referenced above were ongoing and interest income could be assessed and refunded only following the submission of final financial reports with audit clearance.

423. The Office for the Coordination of Humanitarian Affairs explained the context that it faced, in which the humanitarian community remained underfunded and overstretched, notwithstanding the increasing need for humanitarian support for people in need. The Board is of the view that interest income is an important source that could ameliorate the current severe financial situation. The Office should enhance its efforts to ensure that any interest income generated from humanitarian funds is properly identified and reimbursed, in line with applicable procedures and oversight mechanisms.

424. The Board recommends that the Administration establish a process requiring partners to declare the availability of separate interest-bearing bank accounts when submitting project proposals in order to improve the reporting and reimbursement of interest income.

425. The Administration accepted the recommendation.

(c) Project budget proposals require strengthening

426. According to the global guidelines for country-based pooled funds, the core mandate of the funds is to allocate money to save lives, alleviate suffering and maintain human dignity based on humanitarian needs and priorities identified at the country level. Implementing partners are expected to provide a correct and fair budget breakdown of planned costs that are necessary to implement activities and achieve the objectives of the projects.

427. The Board noted that there were 5,379 projects with a total budget of \$4.23 billion allocated by country-based pooled funds from 2021 to 2024, with staff costs accounting for an average of 18.58 per cent of direct costs, of which 427 projects had staff costs of more than 50 per cent of direct costs.

428. On a sample basis, the Board reviewed 106 projects under the food security and nutrition clusters, with total budgets of \$51.76 million, and noted that 54 projects with a total budget of \$23.81 million did not have budgets allocated for supplies, such as medical supplies, micronutrient supplements and food, which were intended to be distributed to beneficiaries as indicated in the project agreement.

429. The Board also reviewed the final narrative reports of the 54 projects and noted that 20 of them had been affected by a shortage of supplies, resulting in an inability to carry out project activities or the failure to fully achieve project objectives.

430. The Office for the Coordination of Humanitarian Affairs explained that some projects incurred relatively high staff costs because their activities were service-oriented for the most part and relied heavily on skilled human resources to provide essential infrastructure, coordination, capacity-building and support services critical for effective and sustainable humanitarian interventions. Outcomes of the above 54 projects included essential elements on coordination, information services on safety and security, and access to humanitarian aid organizations. Supplies to be distributed were either provided in kind or purchased by the cluster United Nations lead agencies with funding from sources other than the country-based pooled funds.

431. The Board recommends that the Administration strengthen project proposals by specifying the funding sources for related project outputs.

432. The Administration accepted the recommendation.

15. Information and communications technology

433. Information and communications technology (ICT) is essential in providing accurate and timely information to support decision-making and to strengthen oversight and accountability mechanisms. In 2009, the Office of Information and Communications Technology was established to provide an Organization-wide perspective, optimize the use of resources and ensure the security, reliability and cost-effectiveness of ICT systems across the United Nations Secretariat. As part of its mandate to develop an ICT strategy for the period 2025–2029, the Secretary-General presented two reports ([A/77/489](#) and [A/79/339](#)), the most recent of which was submitted in September 2024.

434. In its recent reports [A/79/7](#) and [A/79/7/Add.17](#), the Advisory Committee on Administrative and Budgetary Questions reiterated that strengthened ICT governance and oversight mechanisms, supported by a clear and effective accountability framework, were necessary to address the long-standing weaknesses in the delivery of ICT services and were critical for the successful implementation of the ICT strategy and its objectives. The Committee recalled that the General Assembly, in its resolution [63/262](#), had encouraged the Secretary-General, as Chair of the United Nations System Chief Executives Board for Coordination, to foster deeper coordination and collaboration among United Nations organizations in all matters related to ICT. It reiterated the need to avoid duplication and the creation of additional structures and that priority should be given instead to the harmonization and improvement of practices, standards and cooperation on ICT issues, including through shared procurement to realize cost savings, as well as enhancement of the role of the Chief Information Technology Officer ([A/79/7/Add.17](#), para. 39; see also [A/79/7](#), para. VIII.72).

435. The Board, while acknowledging the efforts of the Administration to improve the ICT budget proposal review process, ICT security and ICT professional service management, identified shortcomings in relation to the ICT strategy, the procurement of ICT software, equipment and services, and related contract management thereof, as set out below.

(a) Insufficient consolidation of information and communications technology procurement demands and lack of system-wide contracts, leading to price disparities and inevitable higher costs

436. The Board observed that the Office of Information and Communications Technology did not consolidate the needs of relevant entities within the Secretariat and throughout the United Nations system in respect of a widely used client relationship management software. The lack of a system-wide contract led to variances in procurement prices and missed opportunities for economies of scale and volume discounts. The Board was informed by the Office of Information and Communications Technology that, during the market solicitation, a vendor indicated that it had already provided 22,727 licences for software A to the United Nations system-wide entities, with unit prices ranging from \$195 to \$979.20 in 2024. The Board identified notable price disparities for that software in 2024 between the Office of Information and Communications Technology (at a price of \$432 per licence) and the Office for the Coordination of Humanitarian Affairs (at a price of \$299 for the same software). The Board further noted that the United Nations Relief and Works Agency for Palestine Refugees in the Near East paid \$941 per licence for software B, while the United Nations Office for Project Services paid \$204.30 per licence for software A from the same vendor. Typically, software A is priced higher than software B under the same subscription volume.

437. As regards cloud services, the Board reviewed contracts with two service providers that adopted a usage-based floating pricing strategy, which allowed for volume discounts through aggregated demand. The Administration indicated that a 15 per cent discount for cloud services was secured in April 2025 by consolidating the usage of all United Nations system entities utilizing the same services. The Board recognized the Administration's efforts and progress in achieving the discount through a United Nations system-wide collaboration but noted that some cloud services were self-subscribed and self-managed by entities. The Board is of the view that a review of the cloud service subscription and usage at the Secretariat or in the United Nations system is needed for improved consolidation of demands and more volume discounts.

438. The Board highlighted ongoing challenges in ensuring the adoption of discount contracts across the United Nations entities in response to the request of the Advisory Committee on Administrative and Budgetary Questions to present a holistic vision of the future use of data centres and cloud services, taking into account also business continuity, confidentiality, weaknesses, risks, costs and efficiency opportunities ([A/79/7/Add.17](#), para. 29, [A/77/7/Add.22](#), paras. 36 and 38, and [A/77/574](#), para. 76), as well as the request of the Committee to utilize the resources to manage databases and take efforts to seek efficiencies ([A/79/7](#), para. II.93).

439. The Board is of the view that the proper acquisition planning and sourcing of ICT-related needs through the establishment of system contracts is a strategic imperative for the Organization to deliver its global mission with agility, coherence and fiscal responsibility. It will maximize cost efficiency by achieving economies of scale, thus reducing costs, ensure consistency, standardization and interoperability, and improve strategic vendor relationships.

440. The Board recommends that the Administration strengthen the consolidation of demand requirements for enterprise ICT services across all Secretariat entities.

441. The Board also recommends that the Administration have the High-Level Committee on Management foster deeper coordination and collaboration among

the United Nations organizations in all matters related to ICT, including through shared procurement, in order to realize cost savings.

442. The Administration accepted the recommendations.

(b) Prolonged reliance on a single vendor undermined bargaining power and posed a risk to the continuity of critical ICT services

443. The Board found that there were 20 ICT contracts with a duration of more than 10 years, indicating that the Organization's ICT supply chain had a long-term reliance on specific vendors. Among these, 10 contracts had annual expenditure of more than \$1 million, with a total contract value of \$1.43 billion and annual expenditure of \$66 million in 2024, as shown in table II.21.

Table II.21

Information and communications technology contracts with a duration of more than 10 years with annual expenditure of more than \$1 million

<i>Contract vendor initial</i>	<i>Contract duration (years)</i>	<i>Main product category</i>	<i>Contract target value (not to exceed) (millions of United States dollars)</i>	<i>2024 purchase order confirmed value (millions of United States dollars)</i>
M	24	Communications support services	299	21
C	22	Communications support services	671	14
S	12	Hardware support services	98	8
D	10	Software support services	41	5
V	19	Security software	42	5
C	11	Software support services	59	5
S	15	Software support services	154	3
O	18	Software support services	40	3
C	18	Media storage devices	23	1
D	24	Hardware support services	6	1
Total			1 433	66

Source: Data extracted from Umoja Analytics.

444. On a sample basis, the Board reviewed the contract with vendor V and noted that the Secretariat had relied on that vendor for virtualization software since 2007 that had: (a) abruptly increased annual costs from \$2.30 million to \$4.89 million during the most recent contract renewal negotiations, in 2022; (b) mandated that all payments be processed through a designated distributor; and (c) issued a notice of a further price increase to \$8 million annually for post-2025 services. The expenditure relating to procuring the software rose from \$2.50 million in 2023 to \$4.92 million in 2024. The Administration commented that, given that the vendor was acquired by another corporation, it introduced significant changes to its pricing and licensing models, including a shift to subscription-based offerings. These changes have raised concerns across the industry owing to their abrupt nature and financial impact. The contract extensions were pursued to ensure the continuity of critical virtualization infrastructure that underpinned core enterprise systems across the Secretariat. Migration to alternative platforms was considered operationally complex, resource-intensive and potentially disruptive, in particular given evolving technology dependencies and limited transition windows during major infrastructure cycles. Consequently, contract extensions were deemed the most feasible path to maintain service stability and avoid operational risk.

445. The Board noted with concern that vendor V's virtualization technology was widely deployed across United Nations enterprise data centres in Valencia, Spain, and Brindisi, supporting core enterprise applications, including Umoja. The transition from perpetual licences to subscription models created critical operational risks that a procurement suspension could immediately jeopardize service continuity.

446. The Board recognized the due diligence and proactive approach of the Administration to mitigate the risk of vendor lock-in following the price increase of more than 300 per cent on that software, including developing alternative open-source virtualization solutions and providing training to upskill personnel for their deployment and management. The Administration stated that it was assessing its existing footprint with current vendors to reduce the reliance on a single vendor by consolidating workloads to enterprise data centres and migrating to alternative platforms. In addition, the Office of Information and Communications Technology, together with the Procurement Division, was advancing a competitive tendering process to diversify the vendor base and ensure long-term sustainability.

447. The Board is concerned that the complex technical nature and intensive coordination required for such a transition would continue to expose the Organization to vendor lock-in risks and uncontrolled cost escalation.

448. The Board is of the view that broadening the contractor scope in ICT procurement is essential to reducing the risks associated with a prolonged reliance on a single vendor, which would consequently weaken bargaining power, increase vulnerability to service disruptions and lead to technological lock-in. By engaging multiple vendors, the Organization can foster competition, enhance service continuity, maintain flexibility and avoid costly transitions. This approach also supports improved contract terms, encourages innovation and allows for the inclusion of specialized or local suppliers, ultimately strengthening the resilience, efficiency and sustainability of the Organization's ICT operations.

449. The Board recommends that the Administration conduct a comprehensive assessment of the dependency on a single vendor for ICT contracts with a high value and assess the feasibility of adopting an exit strategy to mitigate operational risks to best protect the interest of the Organization.

450. The Administration accepted the recommendation.

451. In addition, the Board noted that bundle pricing of Microsoft 365 non-personnel accounts resulted in unnecessary costs. A Microsoft 365 E3/E5 service package of one vendor is the primary office software suite used across the United Nations Secretariat. In 2023, the Office of Information and Communications Technology subscribed to 65,000 Microsoft 365 E3 licences with Microsoft 365 E5 security features at an average unit price of \$242. After an Organization-wide account verification, the number was reduced to 60,000 licences in 2024, with the average unit price rising to \$252. Current subscriptions include personnel and non-personnel accounts, with the latter (3.10 per cent of the total) used for essential operations such as unified email and device management. However, both account types were subject to the same full-cost licensing fees, regardless of actual use.

452. The Board is of the view that the current practice of provisioning non-personnel accounts within the full Microsoft 365 E3/E5 suite resulted in unnecessary expenditure, given that many such accounts had incurred full licensing costs while using only the email-related services. The Board was informed by the Office of Information and Communications Technology that the total number of accounts in that case amounted to 1,880, with the potential of cost avoidance, subject to the impact that such a reduction in the number of licences would have in the total volume discount.

453. The Administration explained that technical constraints from the vendor prevented the separation of core components from the Microsoft 365 suite. This was particularly relevant, given that the Organization's current authentication system was also integrated within the same vendor. In addition, when assessing alternative licences provided by the same vendor, restricted access was imposed, thus limiting the user experience. Furthermore, introducing and managing multiple licence tiers would significantly increase administrative complexity and complicate cost-recovery mechanisms.

454. The Administration also indicated that, on the basis of negotiation experience in 2024, it had been observed that, if the United Nations reduced its subscription volume, then that vendor typically responded by increasing prices further. The Administration stated that converting current licences to a lower tier would reduce the overall number of licences, which could lead to altered pricing owing to the decreased volume. To reduce vendor lock-in, the Administration recently conducted a comprehensive assessment of a potential alternative solution and determined that the transition would significantly increase both operational complexity and costs.

455. The Board, while noting this dilemma, is of the view that a review of the feasibility of the above-mentioned potential solution is needed to reduce the lengthy reliance on a single vendor and avoid lock-in, thereby avoiding additional costs while ensuring business continuity.

(c) Lack of a detailed implementation plan and resources arrangements in the refined information and communications technology strategy

456. The Board identified gaps in the refined elements of the information and communication technology strategy (A/79/339) submitted at the request of the General Assembly, including:

(a) Lack of a detailed multi-year implementation plan, which should include timelines, milestones and performance indicators corresponding to the strategic plan proposed by the Secretary-General. In terms of the performance indicators, the submitted strategy includes only performance indicators for 2024 and none for the remaining years of the five-year cycle;

(b) Absence of an outreach component to promote awareness of human resources and vendor opportunities, in particular from developing countries and countries with economies in transition; and

(c) Lack of an estimate of resources needed for the implementation of the ICT strategy. The Board noted that current ICT expenditure represented 6 per cent of total annual expenditure of the Secretariat and that the 11 per cent industry benchmark had been mentioned by the Office of Information and Communications Technology. However, no detailed resource estimate had been given in the strategy. The Board further noted that the strategy did not include detailed proposals or initiatives towards achieving efficiencies.

457. The Board noted that the refined ICT strategy reported a total of 2,257 ICT-related staff, distributed across 158 locations and reporting to 83 entities, as of June 2024. Among them, the Office of Information and Communications Technology had the largest number of ICT staff. The top 10 entities and locations with the most ICT staff and related personnel as of June 2024 are shown in tables II.22 and II.23.

Table II.22

Top 10 entities with the most information and communications technology staff as of June 2024

<i>Rank</i>	<i>Entity</i>	<i>Number of staff</i>	<i>Rank</i>	<i>Entity</i>	<i>Number</i>
1	OICT	190	6	MINUSCA	86
2	MONUSCO	155	7	UNOG	85
3	UNMISS	126	8	UNIFIL	84
4	UNLB	120	9	OCHA	79
5	UNOV	87	10	UNCTAD	78

Source: Data provided by the Administration.

Abbreviations: MINUSCA, United Nations Multidimensional Integrated Stabilization Mission in the Central African Republic; MONUSCO, United Nations Organization Stabilization Mission in the Democratic Republic of the Congo; OCHA, Office for the Coordination of Humanitarian Affairs; OICT, Office of Information and Communications Technology; UNCTAD, United Nations Conference on Trade and Development; UNIFIL, United Nations Interim Force in Lebanon; UNLB, United Nations Logistics Base at Brindisi, Italy; UNMISS, United Nations Mission in South Sudan; UNOG, United Nations Office at Geneva; UNOV, United Nations Office at Vienna.

Table II.23

Top 10 locations with the most ICT staff as of June 2024

<i>Rank</i>	<i>City</i>	<i>Staff</i>	<i>Rank</i>	<i>City</i>	<i>Staff</i>
1	New York	435	6	Brindisi	83
2	Geneva	271	7	Juba	79
3	Vienna	118	8	Bangui	76
4	Nairobi	97	9	Kinshasa	70
5	Naqoura	84	10	Valencia	62

Source: Data provided by the Administration.

458. The Board is of the view that ICT-relevant functions and staffing could be considered for further consolidation to ensure unified or coordinated leadership, efficiencies and coherence, among other factors, although the costs of such an exercise in relation to the benefits would need to be fully understood.

459. The Board was not provided with the total number of ICT-related contractors in the Secretariat in 2024, although it notes that 235 third-party contractual personnel were funded by Office of Information and Communications Technology core funds and client-funded projects in 2024, compared with 190 staff. In addition, the Office has service-based arrangements with the United Nations International Computing Centre and the United Nations Office for Project Services.

460. The Board is of the view that the Organization needs to conduct a thorough review of the staffing model to seek more efficiencies and cost reductions, while ensuring business continuity. The non-inclusion of this information in the refined ICT strategy was a missed opportunity.

461. The Board recommends that the Administration work on a detailed implementation plan, clarify resource estimation, develop an outreach component and conduct a review of efficiency initiatives for the refined ICT strategy in line with General Assembly resolutions.

462. The Administration accepted the recommendation.

(d) Excessive duration of information and communications technology contract for networking equipment, software licences and related services

463. The Board noted that, since 2016, the Headquarters Committee on Contracts had requested that a new solicitation be initiated or expedited in at least four meetings held during the period 2016–2020 to replace a long-term contract (which was 22 years old as at the time of audit) for networking equipment, software licences and related services. In 2022, the Committee further suggested segmenting the current monolithic structure of the prolonged contract into three separate contracts. Notwithstanding projected cost savings upon implementation, no substantive action had been taken by the Administration owing to the absence of updated requirements, allowing the specific vendor's products and services to remain the United Nations standard and preference.

464. The Board further noted that, notwithstanding the repeatedly expressed concerns by the Headquarters Committee on Contracts over the length of time that it had taken for the replacement solicitation to move forward, the new solicitations remained incomplete as at the end of April 2025. During that period, the not-to-exceed amount of the contract had risen from \$449.43 million before 2018 to \$652.11 million as at the time of audit, with expenditure amounting to \$629.01 million. Moreover, there was a lack of analysis of the potential advantages and disadvantages of such a long-term contract.

465. The Administration explained that it had long been aware of the challenges and complexity associated with the new solicitation and could have initiated the process earlier; however, progress was delayed owing to a lack of technical personnel to draft the statement of work and the reduced staffing or high turnover within the communications and technology team of the Procurement Division. In the past few years, various services have undergone a transition to other vendors, and spending against the contract was reduced from more than \$40 million in 2020 to less than \$5 million in 2025.

466. The Board recommends that the Administration include, in all future submissions to the Headquarters Committee on Contracts for extensions of ICT contracts with a long duration (i.e., exceeding five years), an analysis of the potential advantages and disadvantages of such a long-term commitment.

467. The Administration accepted the recommendation.

C. Transmissions of information by management

1. Write-off of losses of cash, receivables and property

468. The Administration informed the Board that, in accordance with financial regulation 6.5, it had formally written off \$3.9 million in accounts receivable and advances, \$1 million in property (equipment and real estate assets) and \$2.3 million in inventory.

2. Ex gratia payments

469. The Administration reported that, in accordance with financial regulation 5.11, there were no ex gratia payments made during the year ended 31 December 2024.

3. Cases of fraud and presumptive fraud

470. The Administration informed the Board that the Financial Policy and Internal Controls Service had consolidated all cases of fraud and presumptive fraud received

from the entities, OIOS and the Office of Human Resources with regard to the volume I financial statements for the period from 1 January to 31 December 2024 and reviewed them for consistency and completeness before the final report was compiled, in order to ensure accuracy in reporting.

471. For 2024, the Administration reported 136 cases of fraud or presumptive fraud, with an estimated amount of \$7.31 million in 47 cases, as shown in table II.24. For the rest of the cases, the estimated amount was categorized as “undetermined or not applicable” or as having “no financial impact” in the report provided to the Board.

Table II.24

Cases of fraud and presumptive fraud

<i>Item</i>	<i>Fraud</i>	<i>Presumptive fraud</i>
Number of cases	11	125
Number of cases in which an investigation was completed	11	–
Number of cases pending/under investigation	–	125
Number of cases in which an amount of fraud/presumptive fraud was estimated	11	36
Estimated amount of fraud/presumptive fraud (millions of United States dollars)	0.55	6.76

Source: Data provided by the Administration.

D. Acknowledgement

472. The Board wishes to express its appreciation for the cooperation and assistance extended to its staff by the management and staff of the United Nations at all the locations that it visited and audited.

(Signed) **Pierre Moscovici**

First President of the French Cour des comptes
Chair of the Board of Auditors

(Signed) **Hou Kai**

Auditor General of the People’s Republic of China
(Lead Auditor)

(Signed) **Vital do Rêgo Filho**

President of the Brazilian Federal Court of Accounts

23 July 2025

Annex I

Status of implementation of recommendations up to the financial year ended 31 December 2023 (volume I)

No.	Audit report year	Report reference	Recommendation of the Board	Administration's response	Board's assessment	Status after verification			
						Implemented	Under implementation	Not implemented	Overtaken by events
1	2015	A/71/5 (Vol. I) , chap. II, para. 126	The Board recommended that the Administration review the completeness of data in the Umoja real estate module and ensure that adequate controls are in place to assure data quality.	The Administration considers this recommendation to be implemented and requests its closure. The Administration has reviewed the completeness of data in the Umoja real estate module, issued formal guidance on standardized measurements for real estate on 3 August 2023 and subsequently published, on the Knowledge Gateway platform, a document entitled "Real estate measurements", which contains guidance, instructions, a series of frequently asked questions and examples. The guidance addresses measurements of the space, capacity and occupancy of real estate assets, and indicates that the maintenance in Umoja of correct and up-to-date data for real estate objects, such as buildings and floors, is required. The analysis reports were developed in Power BI and Umoja Analytics and are utilized to ensure data completeness and quality.	Given that the Administration has reviewed the completeness of the data in the Umoja real estate module and issued formal guidance on standardized measurements for real estate, the Board considers the recommendation to be implemented.	X			
2	2015	A/71/5 (Vol. I) , chap. II, para. 135	The Board recommended that the Administration establish standard cost categories for use by each duty station to improve transparency and enable reporting of "cost of the estate per staff member" at each location.	The Administration considers this recommendation to be implemented and requests its closure. Standard cost categories are now established through commitment items and cost centres. Categories relating to facilities are now clearly defined, enabling transparent grouping under maintenance, services, utilities and consumables (materials), as well as rental (lease-in). It is, however, noted that the costs across duty stations and locations inevitably and significantly differ due to the local and regional circumstances, and therefore benchmarking and measuring costs across locations do not ensure accurate comparisons. It is also noted that,	Given that standard cost categories are now established through commitment items and cost centres, the Board considers the recommendation to be implemented.	X			

No.	Audit report year	Report reference	Recommendation of the Board	Administration's response	Board's assessment	Status after verification			
						Implemented	Under implementation	Not implemented	Overtaken by events
3	2015	A/71/5 (Vol. I) , chap. II, para. 141	The Board recommended that the Administration design a common set of performance metrics to help benchmark performance across each duty station.	depending on the contractual arrangements with the suppliers in each entity, utilities and services may be either separated or consolidated within one overarching agreement. The Administration has made progress on the estate performance through common metrics for space, space utilization, capacity and occupancy. Additional metrics not directly available in Umoja will be implemented in the future. Such metrics include energy efficiency, for which data must be collected manually and can therefore be collected less frequently, and metrics on critical incidents, for which the level of criticality is expected to depend highly on the local environment and circumstances. The Administration considers that the intention of the recommendation has been fulfilled through the continuous attention given to leveraging available data.	Given the backdrop of the current liquidity crisis, the Board considers the recommendation to be overtaken by events.				X
4	2015	A/71/5 (Vol. I) , chap. II, para. 169	The Board recommended that the Administration develop indicators for the handling of disciplinary cases. These indicators should cover: (a) the proportion of referrals that lead to a case being initiated; (b) the length of time between referral and case initiation; (c) overall case durations; and (d) case outcomes. The indicators should be used to support improvements in the processes for referring and handling cases.	The Administration considers this recommendation to be implemented. The Administration maintains a database of all pending disciplinary cases, which measures and tracks the length of time a case remains at each stage of the disciplinary process. For example, there are indicators for the time taken for a disciplinary process to be initiated, for the staff member to submit comments on the allegations and for the case to be disposed of. The tool also allows the Administrative Law Division to ensure that the most pressing cases are addressed in a timely manner, with those involving allegations of sexual exploitation and abuse, sexual harassment and racial discrimination being given priority. The status of pending cases, along with the related processing timelines, are reviewed on a regular basis by the Division with a view to addressing the	Given that there is a database of all pending disciplinary cases, which measures and tracks the length of time taken at each stage, the Board considers the recommendation to be implemented.	X			

No.	Audit report year	Report reference	Recommendation of the Board	Administration's response	Board's assessment	Status after verification			
						Implemented	Under implementation	Not implemented	Overtaken by events
5	2015	A/71/5 (Vol. I) , chap. II, para. 256	The Board recommended that the legal framework around the granting of funds to partners should be formally introduced into the Financial Regulations and Rules.	backlog of cases, where possible. The Division also uses the tool to produce a monthly report to the Office of Internal Oversight Services (OIOS) on the status of cases referred to the Office of Human Resources by OIOS. The Administration will submit to the General Assembly in 2025 a new proposal to introduce a legal framework to grant funds to partners.	Given that the new proposal is in the process of being submitted to the General Assembly, the Board considers the recommendation to be under implementation.		X		
6	2015	A/71/5 (Vol. I) , chap. II, para. 264	The Board recommended that the Administration develop a common principles-based framework for the management of partners that specifies the key procedures to be performed by all Secretariat entities. To facilitate the development of the common framework, the Secretariat should conduct an end-to-end review of the project management life cycle, including consultations with key stakeholders and a review of all current practices.	Key common procedures performed by all Secretariat entities are embedded in the Umoja Grantor Management module, which is the corporate tool used to manage implementing partners throughout the project life cycle. The functionalities of the module include the issuance of a standard implementing partner agreement and will be further enhanced with additional monitoring features. A draft policy covering the principles of implementing partner management is under internal consultation.	Given that the common policy framework is at the stage of internal consultation, the Board considers the recommendation to be under implementation.		X		

No.	Audit report year	Report reference	Recommendation of the Board	Administration's response	Board's assessment	Status after verification			
						Implemented	Under implementation	Not implemented	Overtaken by events
7	2017	A/73/5 (Vol. I) , chap. II, para. 81	The Board recommended that the United Nations Treasury formalize the participation of different entities in the main cash pool by way of written agreements with them.	The Financial Resources Management Service/United Nations Treasury is working with the various stakeholders on this matter. The list of entities participating in the main cash pool is under review to determine the entities for which an agreement is required. Once the review is completed, written agreements will be established with the entities identified.	Given that the documentation is under review and has not been established, the Board considers the recommendation to be under implementation.		X		
8	2018	A/74/5 (Vol. I) , chap. II, para. 132	The Board recommended that the Administration review the third-party administrator reporting templates for gaps in data quality and standardization and streamline the data elements in the paid claims files to enable authentication of subscribers and expenditure, help identify red flags and carry out correct and comprehensive classification of claims.	The third-party administrator reporting templates are being reviewed as a part of annual performance reviews prior to the July 2025 plan renewals. The reviews of the reporting templates address data gaps while also aiming to foster standardization of the data elements to be reported. The outcome of these reviews, along with further planned reporting and system reviews, will provide input to refine reporting provisions in contracts with third-party administrators.	Given that the third-party administrator reporting templates are currently being reviewed, the Board considers the recommendation to be under implementation.		X		
9	2018	A/74/5 (Vol. I) , chap. II, para. 142	The Board recommended that the Administration take steps to make it mandatory that all cases of fraud and suspected fraud be reported, as they come to notice, by all third-party administrators.	The incorporation into contracts with third-party administrators of the requirement for the reporting of fraud and suspected fraud is evident in the recent contract for the United Nations Medical Insurance Plan, which took effect in April 2024. It is therefore requested that this recommendation be closed.	Given that the contracts requiring third-party administrators to report fraud have been formally signed, the Board considers the recommendation to be implemented.	X			

No.	Audit report year	Report reference	Recommendation of the Board	Administration's response	Board's assessment	Status after verification			
						Implemented	Under implementation	Not implemented	Overtaken by events
10	2018	A/74/5 (Vol. I) , chap. II, para. 303	The Board recommended that the Administration upgrade the information technology resources of the Non-Governmental Organizations Branch to ensure efficient and timely processing of new applications for consultative status from NGOs, as well as processing of the increasing number of quadrennial reports. The Department of Economic and Social Affairs should also monitor the initiatives by NGOs that are related to the Sustainable Development Goals.	With regard to the civil society system replacement project, the consultant company is finalizing the data migration and fixing bugs and issues as identified during user acceptance testing. An updated version of the software will be available in the second quarter of 2025 and will be thoroughly tested again by the Department of Economic and Social Affairs. The consultant company may need to conduct several rounds of testing and issue resolution before the new civil society system can be launched. The target implementation date of December 2026 is still valid.	Given that the updated version of the software for the civil society system replacement project will be available in the second quarter of 2025 and the target implementation date of December 2026 is still valid, the Board considers the recommendation to be under implementation.		X		
11	2018	A/74/5 (Vol. I) , chap. II, para. 576	The Board recommended that the Administration focus efforts on avoiding delays in project implementation, particularly for activities identified as being on the critical path, to avoid risk of cost escalation.	Africa Hall was successfully inaugurated on 21 October 2024. Notwithstanding the delay in the project's implementation, thanks to the mitigations put in place by the Economic Commission for Africa (ECA), such as close schedule monitoring, meticulous change control and the adoption of a proactive approach to identified risks, the project was concluded without any cost escalation and within the original budget. Moreover, ECA has documented and shared lessons learned with the relevant stakeholders in order to inform the management of future construction projects. ECA requests the closure of this recommendation.	Given that the project was completed in February 2025 without any cost escalation and within the original budget, the Board considers the recommendation to be implemented.	X			

No.	Audit report year	Report reference	Recommendation of the Board	Administration's response	Board's assessment	Status after verification			
						Implemented	Under implementation	Not implemented	Overtaken by events
12	2019	A/75/5 (Vol. I) , chap. II, para. 61	The Board recommended that the Administration carry out a thorough review of cost recovery in the cost-recovery fund (10RCR) to ensure its reasonableness.	The Administration is preparing a report on cost recovery for the eightieth session of the General Assembly. The report will include a review of the cost recovery funds. In addition to this review, the Office of Programme Planning, Finance and Budget has requested service providers with fund balances in excess of the one-year threshold to provide a medium-term plan detailing the fund balance requirements, including for staff liabilities, operating costs and capital expenditure.	Given that accumulated surpluses continue to increase and differences remain among the reserve ratios of entities, the Board considers the recommendation to be under implementation.		X		
13	2019	A/75/5 (Vol. I) , chap. II, para. 79	The Board recommended that the Administration review the programme support cost framework and related instructions, in consultation with entities, to ensure the transparent and timely availability of information on income and costs and harmonized practices across entities for the preparation of cost plans.	New guidelines on programme support costs have been issued. The Administration requests the closure of this recommendation.	Given that the new guidelines on the management of programme support costs have been issued, the Board considers the recommendation to be implemented.	X			
14	2019	A/75/5 (Vol. I) , chap. II, para. 90	The Board recommended that the Administration complete the exercise of aligning Umoja objects of expenditure with budget objects of expenditure within a reasonable time frame.	The Administration is working on the alignment of budgeted and actual expenditure concerning consultants and individual contractors in order to ensure appropriate alignment for all parties using the same objects of expenditure in Umoja, except for specific cases in which the budget is consolidated to address specific demands (e.g., the presentation of consolidated resources for training). The implementation of the recommendation has been delayed because of capacity constraints in the Programme Planning and Budget Division, which experienced a vacancy rate of more than 30 per cent in 2024. The new expected implementation date is March 2026.	Given that the alignment is planned to be completed by the target date of March 2026, the Board considers the recommendation to be under implementation.		X		

No.	Audit report year	Report reference	Recommendation of the Board	Administration's response	Board's assessment	Status after verification			
						Implemented	Under implementation	Not implemented	Overtaken by events
15	2019	A/75/5 (Vol. I) , chap. II, para. 129	The Board recommended that the Administration formulate formal guidelines for the management of funds with negative cash pool balances and that it implement a mechanism for the periodic review of funds with negative cash pool balances.	The Administration conducts a monthly review of cash balances to identify any funds with negative cash balances and informs managers of those negative cash balances to enable them to take corrective action. Formal guidelines will be finalized by the end of 2025.	Given that the Administration conducts a monthly review of the cash balances of each fund, when negative cash balances are identified, managers of the funds are informed to enable them to take corrective action. Because of control mechanisms within Umoja, the instances of negative cash balances in recent years have significantly decreased. In addition, the Board received a file from the Financial Analytics and Reporting Section showing that only two funds had had negative balances at the end of 2023 and 2024. The Board considers the recommendation to be implemented.	X			
16	2019	A/75/5 (Vol. I) , chap. II, para. 142	The Board recommended that the Administration coordinate with other entities participating in health insurance plans to establish effective monitoring mechanisms for the accuracy of membership records and contributions.	The Administration requests closure of this recommendation. The Office of Programme Planning, Finance and Budget requests an opportunity to discuss this recommendation with the Board.	Given the analysis carried out by the United Nations system Task Force on Accounting Standards in prior years, the Board considers the recommendation to be implemented.	X			

No.	Audit report year	Report reference	Recommendation of the Board	Administration's response	Board's assessment	Status after verification			
						Implemented	Under implementation	Not implemented	Overtaken by events
17	2019	A/75/5 (Vol. I) , chap. II, para. 204	The Board recommended that the Administration take expeditious action to amend and promulgate the Secretary-General's bulletins to specify and enhance the clarity of the roles and responsibilities of the Department of Management Strategy, Policy and Compliance and the Department of Operational Support.	The Administration requests that the Board consider this recommendation to be overtaken by events. The Department of Management Strategy, Policy and Compliance and the Department of Operational Support have been operating without a Secretary-General's bulletin for more than six years. The mandate, functions and organization of both Departments have been set out in budget documents – approved by the General Assembly – over multiple budget cycles since the recommendation was made. Given the requirements of the policy promulgation process and the existence of other urgent priorities, the Administration requests that this recommendation be closed, because there is a need to focus resources on more urgent matters.	Given that the mandate, functions and organization of the Department of Management Strategy, Policy and Compliance and the Department of Operational Support have been set out in budget documents – approved by the General Assembly – over multiple budget cycles, the Board considers the recommendation to be overtaken by events.				X
18	2019	A/75/5 (Vol. I) , chap. II, para. 237	The Board recommended that the Administration explore how to specify and document the resources for which authority is delegated and subdelegated.	The Administration would like to request that the Board consider this recommendation be overtaken by events. The Business Transformation and Accountability Division has explored how to specify and document the resources for which authority is delegated and has concluded that linking authorities to resources with detailed master data will be cumbersome and increase the administrative burden, thereby running counter to the goal, identified in General Assembly resolution 72/266 B , of developing a simple system for delegating authority. The Division defines the resources under an entity by including master data in all functional areas in the entity parameter table. For example, the funds centre is used for budget and finance and property management, the master cost centre and the Inspira business unit are used for human resources and the purchasing group is used for procurement. These parameters are used to capture the	The Board notes that the Business Transformation and Accountability Division has specified and documented delegated resources by integrating master data into entity parameter tables and that using dedicated parameters for different resource types has enabled effective monitoring of authority. That approach aligns with the simplicity requirement identified in General Assembly resolution 72/266 B , and internal reviews have verified the accuracy of the approach in capturing all resource categories. The Board therefore considers the recommendation to be implemented.	X			

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19	2019	A/75/5 (Vol. I) , chap. II, para. 366	The Board recommended that the Administration take steps to maintain the dual structure, distinguishing between policy formulation and advisory support through the tiered structure for receiving requests and rendering advice to entities across the Secretariat and ensure the integrity and completeness of the data on advice requests in the Department of Operational Support and the Department of Management Strategy, Policy and Compliance.	financial, physical and human resources under an entity, and to monitor the authority exercised over those resources. The Administration requests that the Board consider this recommendation to be overtaken by events. The Department of Management Strategy, Policy and Compliance and the Department of Operational Support have been operating without a Secretary-General's bulletin for more than six years. The mandate, functions and organization of the Departments have been set out in budget documents – approved by the General Assembly – across multiple budget cycles since the recommendation was made. Given the requirements of the policy promulgation process and the existence of other urgent priorities, the Administration requests that this recommendation be closed, because there is a need to focus resources on more urgent matters.	Given that the mandate, functions and organization of the Department of Management Strategy, Policy and Compliance and the Department of Operational Support have been set out in budget documents – approved by the General Assembly – over multiple budget cycles since the recommendation was made, the Board considers the recommendation to be overtaken by events.				X
20	2019	A/75/5 (Vol. I) , chap. II, para. 392	The Board recommended that the Administration make a distinction between operational guidance, to be applied using professional judgment and expertise, and mandatory policies, and issue procurement guidance and policy accordingly.	The Administration considers this recommendation to be implemented and requests its closure by the Board. On the basis of the continuous improvements made since 2019 to the instrument relating to delegation of authority from a head of entity for procurement (annex A, updated in November 2023), the revised procurement manual (updated in January 2024) and the various guidelines relating to supply chain operations issued by the Department of Operational Support since 2020 (e.g., on procurement through cooperation with United Nations entities), the Administration deems that the recommendation has been implemented. The Administration appreciates the recommendation and took it fully into account while implementing the improvements mentioned, and each document was the result of close	The Board notes the progress made in the clarification between mandatory and operational guidance, especially in the most recent version of the procurement manual (June 2024). The updated guidance was disseminated through internal communication. The Board will continue to audit the implementation of the new guidance, especially the updated procurement manual, but considers the recommendation to be implemented.	X			

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				consultation between the Department of Management Strategy, Policy and Compliance and the Department of Operational Support, based on the Departments' roles as highlighted in the audit findings. Together with the fundamental parameters of procurement set out in the Financial Regulations and Rules of the United Nations (financial regulations 5.12 and 5.13 on general principles), the Administration considers that the current framework is clear to United Nations practitioners and oversight bodies, as demonstrated by the lack of subsequent related audit findings. Upon request, the Administration has, since the issuance of the recommendation, sent several memos and emails to confirm that procurement practitioners are kept fully informed of the applicable enhanced information framework, and therefore would appreciate the Board's consideration of the new update provided, in order to close the recommendation.					
21	2019	A/75/5 (Vol. I) , chap. II, para. 420	The Board recommended that the Administration put in place a mechanism for monitoring the creation and composition of local property survey boards.	The Secretariat administrative instruction continues to be under final review prior to publication.	Given that the file continues to be under review, the Board considers the recommendation to be under implementation.		X		
22	2020	A/76/5 (Vol. I) , chap. II, para. 30	The Board recommended that the Administration enhance the performance of fund utilization under the cost-recovery fund (10RCR) to contribute to improved mandate delivery.	The Administration has requested service providers with fund balances in excess of the one-year threshold to provide a medium-term plan detailing the fund balance requirements, including for staff liabilities, operating costs and capital expenditure.	Given that the Administration is in the process of reviewing all fund balances and determining appropriate reserve levels with service providers, the Board considers the recommendation to be under implementation.		X		

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23	2020	A/76/5 (Vol. I) , chap. II, para. 36	The Board recommended that the Administration coordinate closely with the Umoja Change Board regarding the approval and implementation of improvements in the Business Planning and Consolidation module to ensure that the interface among the different modules in Umoja is enhanced towards the realization of the fully automated generation of financial reports, so as to ensure efficiency in financial reporting.	In consultation with the Enterprise Resource Planning Solution Division, it was determined that the completion date of this recommendation should be revised owing to competing priorities. The Administration will further assess the feasibility of the full integration of all modules for the automation of report production, including a cost-benefit analysis. The Finance Division, together with the Enterprise Resource Planning Solution Division, will further review the scope of this recommendation and update the result accordingly.	Given that, while the initial deployment of the Business Planning and Consolidation module raised expectations for greater automation in financial reporting, practical experience has shown that manual intervention remains necessary, the Board considers the recommendation to be overtaken by events.				X
24	2020	A/76/5 (Vol. I) , chap. II, para. 107	The Board recommended that the Administration formalize the procedures for cash management under the "T+3" model, clearly defining the responsibilities of cashiers at United Nations Headquarters and local offices, and take action to accelerate the progress of modification of the Umoja cashier business roles and the development of the new payroll process model.	The new technical Umoja business roles have been developed and are pending implementation.	Given that the documentation is under review and not established, the Board considers the recommendation to be under implementation.		X		
25	2020	A/76/5 (Vol. I) , chap. II, para. 126	The Board recommended that the Administration select custodians on a more transparent and competitive basis and maintain complete documentation of the decision-making process.	The Administration considers this recommendation to be implemented and requests its closure. The Office of Programme Planning, Finance and Budget, in collaboration with the Procurement Division, is conducting a competitive solicitation exercise for custody services. This process is intended to identify and select the most qualified service providers	Given that United Nations has already posted the request for expressions of interest, entitled "Provision of global custody service for the United Nations Treasury", the Board considers the	X			

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				through a transparent and rigorous evaluation. The request for expressions of interest was issued in July 2024, inviting potential custodian banks to submit their proposals and demonstrate their capabilities. Once this process is finalized, a new custodian bank will be appointed. The Office therefore recommends the closure of this recommendation.	recommendation to be implemented.				
26	2020	A/76/5 (Vol. I) , chap. II, para. 147	The Board recommended that the Administration, in coordination with the third-party administrators, conduct an assessment of the affordability of the Medical Insurance Plan for locally recruited staff and retirees at designated duty stations, by taking into account the current financial situation of the Plan and the increasing cost of healthcare globally to ensure the sustainability of the Plan.	The overall review of the Medical Insurance Plan remains under way, with the necessary actuarial review in progress. Actuarial input is essential to determine appropriate contribution rates and reserve levels for this plan.	Given that the overall review of the Medical Insurance Plan remains under way, the Board considers the recommendation to be under implementation.		X		
27	2020	A/76/5 (Vol. I) , chap. II, para. 158	The Board recommended that the Administration, in coordination with the relevant department or office, analyse the reasons for assets remaining idle, actively use idle assets and retire unusable ones, and take more proactive measures to avoid further obsolescence in the future.	The Administration requests the closure of this recommendation, given that the root causes of the idleness of the relevant property identified at the time of the audit in 2020 have been analysed and shared as evidence, with mechanisms in place or under development to address data inconsistencies. Moreover, this recommendation has been superseded by a new recommendation on the same subject (A/79/5 (Vol. I) , chap. II, para. 214), which the Administration is implementing.	Given that there is a new recommendation on the same subject (A/79/5 (Vol. I) , chap. II, para. 214), the Board considers the recommendation to be overtaken by events.				X

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28	2020	A/76/5 (Vol. I) , chap. II, para. 297	The Board recommended that the Administration continue to work through the joint coordination committee and the Advisory Board of the United Nations Fund for International Partnerships to urge the United Nations Foundation to contribute more resources directly to the United Nations in support of the Organization's activities.	The Administration proposes that this recommendation be closed. Funding received by the United Nations system from the United Nations Foundation through the United Nations Fund for International Partnerships reached \$24 million in 2024.	Given that the annual grant amount increased by 50 per cent from 2023 to 2024, from \$16 million to \$24 million, the Board considers the recommendation to be implemented.	X			
29	2020	A/76/5 (Vol. I) , chap. II, para. 378	The Board recommended that the Administration address deficiencies in the linkages among information systems to better support the monitoring of exceptions in coordination with the enterprise resource planning teams.	The Administration would like to request that the Board consider this recommendation to be overtaken by events. Since the recommendation was made, exception log data has been exported at least once a quarter and loaded into SAP HANA to be used for assessing progress towards human resources key performance indicators and other monitoring activities. Job opening data loaded into HANA from Inspira are also refreshed daily and queried at least quarterly for analysis and monitoring. The Business Transformation and Accountability Division and the United Nations Joint Staff Pension Fund had looked into the Pension Fund interface needed to obtain information on pension benefits every quarter. The Pension Fund did not agree to develop the interface, and the low volume of staff pension benefits to confirm on a quarterly basis (ranging from fewer than 10 to approximately 25) did not justify the effort. Instead, the information is being requested from the Pension Fund every quarter, and monitoring has continued.	Given that the supplier failed to propose a workable solution, and due to financial constraints, management decided that manual operations suffice for current needs. The Board therefore considers the recommendation to be overtaken by events.				X

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30	2020	A/76/5 (Vol. I) , chap. II, para. 419	The Board recommended that the Administration review the policies on rosters, taking into consideration geographical diversity, gender parity and sunset clauses, to ensure rightsizing based on workforce planning forecasts, clarify accountability for maintaining rosters and formulate guidance for hiring managers on selecting rostered candidates.	The revised administrative instruction on staff selection is expected to be issued by the second quarter of 2025.	Given that the revised administrative instruction on staff selection has not been promulgated, the Board considers this recommendation to be under implementation.		X		
31	2020	A/76/5 (Vol. I) , chap. II, para. 438	The Board recommended that the Administration provide guidance to entities on the proper use of cost-of-living allowance exceptions, taking into consideration the nature of the allowance itself.	The recommendation has been implemented. The Human Resources Services Division of the Department of Operational Support completed and published guidance on the cost-of-living allowance in the form of a series of frequently asked questions, which are being submitted as evidence in support of the closure of the recommendation.	Given that the guidance has been released, the Board considers the recommendation to be implemented.	X			
32	2020	A/76/5 (Vol. I) , chap. II, para. 493	The Board recommended that the Administration provide support for the work of the Inter-Agency and Expert Group on Sustainable Development Goal Indicators regarding continuous improvement in the Sustainable Development Goal indicator framework.	At its fifty-sixth session in March 2025, the Statistical Commission, in its decision 56/105 , approved and adopted the changes to the Sustainable Development Goal indicator framework proposed by the Inter-Agency and Expert Group on Sustainable Development Goal Indicators during the 2025 comprehensive review. The proposed changes are contained in the Group's report to the Statistical Commission (E/CN.3/2025/6), and decision 56/105 can be found in the report of the Commission (E/2025/24-E/CN.3/2025/37). This recommendation is proposed for closure, given that it has been fully implemented.	Given that the framework has been updated on the basis of the 2025 comprehensive review conducted by the Inter-Agency and Expert Group on Sustainable Development Goal Indicators, the Board considers the recommendation to be implemented.	X			

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33	2020	A/76/5 (Vol. I) , chap. II, para. 509	The Board recommended that the Administration intensify its resource mobilization efforts to ensure adequate, predictable and sustainable funding to support the resident coordinator system.	Since March 2025, the Development Coordination Office has continued to conduct full-fledged outreach and resource mobilization, engaging at all levels and working with senior management and across teams, including the United Nations team in Brussels and the United Nations team in Washington, D.C. In order to address the chronic underfunding of the resident coordinator system, the Secretary-General, in his relevant report to the General Assembly (A/78/753), proposed to replace the volatile and unpredictable voluntary contribution funding stream with more predictable and sustainable funding for core activities of the system. The Office supported the Secretary-General and the Deputy Secretary-General in engaging with Member States on this proposal throughout 2024, which led to the adoption of Assembly resolution 79/258 , in which the Assembly decided to provide a commitment authority not exceeding \$53 million for the period from 1 January to 31 December 2025. In addition, the Office continued its daily engagement with the technical focal points in missions and capitals in order to make the case for investment in the resident coordinator system. Moreover, the Assistant Secretary-General for Development Coordination held meetings with the Assistant Secretaries-General of United Nations Sustainable Development Group members to drive forward collective efforts for an increase in quality funding. Similarly, the Office continued to follow up to ensure that the members of the United Nations Sustainable Development Group transferred their portions of the cost-sharing arrangement in a timely manner, and continued to report on the coordination levy. The Development Coordination Office is also recruiting additional staff on	Given that the Development Coordination Office has been intensifying its efforts to mobilize resources in order to reach the annual target of \$2.81 million, the Board considers the recommendation to be under implementation.		X		

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34	2020	A/76/5 (Vol. I) , chap. II, para. 516	The Board reiterated its recommendation that the Administration expand the donor base to encourage contributions, on a voluntary basis, to the capitalization of the Joint Sustainable Development Goals Fund at the required levels.	a temporary basis to further intensify outreach, resource mobilization and intergovernmental support. The Joint Sustainable Development Goals Fund achieved strong growth in capitalization during 2024, reaching \$89.9 million in deposits received, which represents a substantial (160 per cent) increase from 2023 levels. This significant growth demonstrates increasing donor confidence in the Fund's innovative strategy, which is centred on key Sustainable Development Goal transitions, and the strategy's vital role in implementing the Pact for the Future. Considering the current undercapitalization compared with the annual goal of \$500 million under the funding compact, the Fund, together with the Peacebuilding Fund and the Central Emergency Response Fund, is developing a joint resource mobilization strategy to enhance synergies and appeal to a broader donor base. While the Development Coordination Office takes the lead on resource mobilization efforts, it is important to note that the Joint Sustainable Development Goals Fund is an inter-agency mechanism that requires active commitment from its United Nations entity partners and Member States to achieve full capitalization.	Given that the Fund is developing a joint resource mobilization strategy to enhance synergies and appeal to a broader donor base, the Board considers the recommendation to be under implementation.		X		
35	2020	A/76/5 (Vol. I) , chap. II, para. 521	The Board recommended that the Administration closely monitor the ongoing recruitment process of resident coordinators to ensure that the posts of resident coordinator and the key posts at resident coordinator offices are filled in an expeditious manner.	The Development Coordination Office is continuing to closely monitor the ongoing recruitment processes for resident coordinator posts and key positions in resident coordinator offices to ensure that resident coordinators are recruited expeditiously. As at 6 November 2024, 119 resident coordinator positions were encumbered (92 per cent), 1 was vacant and 10 were covered by a resident coordinator ad interim (8 per cent), the lowest share since the reform and well	Given that the recommendation has been reiterated in A/79/5 (Vol. I) , the Board considers the recommendation to be overtaken by events.				X

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				below the average vacancy rate in United Nations system agencies. Among the 10 resident coordinator positions covered by a resident coordinator ad interim, 5 are pending government clearance, 3 are under recruitment and the remaining 2 will be placed under recruitment imminently. In terms of key positions in the resident coordinator offices, the Development Coordination Office is at 85 per cent capacity, with 4 per cent of vacancies paused as part of strategic vacancy management and another 4 per cent of positions under recruitment. The Development Coordination Office therefore requests that this recommendation be closed.					
36	2020	A/76/5 (Vol. I), chap. II, para. 684	The Board recommended that the Administration make continuous efforts to trace the refunds outstanding of country-based pooled fund projects that were already paid by implementing partners and coordinate with the Finance Division to record them in Umoja in a timely manner.	Office for the Coordination of Humanitarian Affairs: Such continuous efforts are reflected in the steady progress that continues to be made in addressing aged claims and refunds, although there will always be some pending refunds owing to the ongoing cycle of new grants and projects. The Country-Based Pooled Fund Section at Headquarters receives a weekly report on refund statistics from the Office of Programme Planning, Finance and Budget. A dedicated team has been assigned to ensure that pending incoming refunds, as well as the backlog of refunds from previous years, are being recorded in Umoja and updated in the One Grant Management System on a daily basis. For example, the materiality of these pending refunds has been considerably reduced, from \$19 million to \$6 million. Discussions on the bridge between the One Grant Management System and Umoja are ongoing with the Office of Programme Planning, Finance and Budget.	Given that the Office for the Coordination of Humanitarian Affairs receives a weekly report on refunds from the Office of Programme Planning, Finance and Budget and has made efforts to reduce the pending refunds from \$19 million to \$6 million, the Board considers the recommendation to be implemented.	X			

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37	2020	A/76/5 (Vol. I) , chap. II, para. 721	The Board reiterated its recommendation that the Administration clearly define the functions and responsibilities of each division and service within the Office of Information and Communications Technology to avoid duplication and fragmentation within the Office.	The Office of Information and Communications Technology requests the closure of the recommendation. Please see the folder containing Secretary-General's bulletin ST/SGB/2016/11 , in which the functions and responsibilities of each division and service are outlined. Please also see the report of the Secretary-General on shifting the management paradigm in the United Nations: implementing a new management architecture for improved effectiveness and strengthened accountability (A/72/492/Add.2), in whose paras. 261–274 this is described further.	Given that the supporting document provided was identified in the original audit as having unclear definitions, the Board considers the recommendation to be under implementation.		X		
38	2020	A/76/5 (Vol. I) , chap. II, para. 731	The Board recommended that the Administration formulate a policy for the ICT support model to support the Organization in continuing to have staff work remotely and safely during and after the COVID-19 pandemic.	The Office of Information and Communications Technology requests that this recommendation be closed. The revised Secretary-General's bulletin on the use of United Nations resources and data, which will incorporate the use of technology in the context of remote working, especially the use of personal mobile devices, is being issued in accordance with the relevant established process. The process of issuing a policy involves multiple offices, which may cause delays. The Secretary-General's bulletin is under revision.	Given that the coronavirus disease (COVID-19) pandemic has passed, the Board considers the recommendation to be overtaken by events.				X
39	2021	A/77/5 (Vol. I) , chap. II, para. 45	The Board recommended that the Administration expedite the integration of the meeting management system with the Umoja financial system to ensure that cancelled or postponed meetings are incorporated into the revenue adjustment process in accordance with the requirements of the International Public Sector Accounting Standards (IPSAS).	To further strengthen the integration of the meeting management system with Umoja, the Department for General Assembly and Conference Management has collaborated with the Enterprise Resource Planning Solution Division and the finance functional subgroup to synchronize transactional data between Umoja and gMeets. The enhancement of gMeets functionality and the extrabudgetary workflow now enables more precise tracking of requested services and improved reporting on extrabudgetary meetings held, postponed or cancelled. In addition, extrabudgetary	Given that the Administration has synchronized the transaction data between Umoja and gMeets, the Board considers the recommendation to be implemented.	X			

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40	2021	A/77/5 (Vol. I) , chap. II, para. 63	The Board recommended that the Administration explore the possibility of establishing a productive and economical cost-tracing regime at the service level to ensure that the full cost of each service category can be measured realistically and objectively, with a view to avoiding any excess recovery or insufficient recovery of costs.	meeting policies and requester responsibilities are codified in the One-Stop Shop, requiring requesters to acknowledge the cancellation policy before submitting a meeting request. The integration of a unique identifier in both gMeets and Umoja links meeting requests to individual events, allowing the Department for General Assembly and Conference Management to effectively track revenue and refunds by reconciling Umoja financial data with meeting cancellations in gMeets.	The Administration is working on a dashboard that will give more visibility to cost-recovery activities, but, as has been previously mentioned, there are practical limitations to establishing a cost-tracing regime.			X	
41	2021	A/77/5 (Vol. I) , chap. II, para. 93	The Board recommended that the Administration formulate additional criteria for future exceptional use of special commitments and continue to take appropriate action on the remaining balances in line with the provisions of the Financial Regulations and Rules of the United Nations.	The guidelines on the use of special commitments, which are to be used on an exceptional basis, were presented to the Fifth Committee of the General Assembly at the first part of the resumed seventy-ninth session, in the report of the Secretary-General on improving the financial situation of the United Nations (A/79/734).	Given that a dashboard is being developed to give more visibility to cost-recovery activities, the Board considers the recommendation to be under implementation.				
					Given that the guidelines on the future exceptional use of special commitments were presented to the General Assembly in the report of the Secretary-General on improving the financial situation of the United Nations (A/79/734), and that there are no remaining balances, the Board considers the recommendation to be implemented.	X			

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42	2021	A/77/5 (Vol. I) , chap. II, para. 105	The Board recommended that the Administration fully disclose and justify all general temporary assistance positions in the proposed programme budget, especially those exceeding one year in duration, and strengthen the monitoring of long-term general temporary assistance positions.	Programme Planning and Budget Division: The Administration requests the closure of this recommendation on the grounds that it has been overtaken by events, given that the recommendation was reiterated in paragraph 258 in chapter II of A/79/5 (Vol. I) .	Given that the recommendation has been reiterated in paragraph 258 in chapter II of A/79/5 (Vol. I) , the Board considers the recommendation to be overtaken by events.				X
43	2021	A/77/5 (Vol. I) , chap. II, para. 127	The Board reiterated that the Administration should continue to review the estimated number of extrabudgetary posts to ensure that the extrabudgetary resource estimates presented in the budget fascicles are as complete and accurate as possible.	The Office of Programme Planning, Finance and Budget considers this recommendation to be implemented. As demonstrated in paragraphs 10 (d) and 39 of the budget guidance for the proposed programme budget for 2026, issued in January 2025 (see supporting documentation), the Programme Planning and Budget Division has emphasized the need for extrabudgetary information to be complete by requesting that entities provide additional information on extrabudgetary resources in the budget fascicle. However, please note that extrabudgetary resources are presented in the budget fascicles for information purposes only and are unpredictable by nature. This is reflected in the Regulations and Rules Governing Programme Planning, the Programme Aspects of the Budget, the Monitoring of Implementation and the Methods of Evaluation (regulation 1.1, rule 101.1 (b)), which establishes that “planning for activities to be partially or fully financed by extrabudgetary funds shall be provisional, and such activities will be implemented only if adequate funds are made available”. On the basis of the supporting documentation provided, the Programme Planning and Budget Division respectfully requests the closure of this recommendation.	Given that the budget guide for the proposed programme budget for 2026 was issued in January 2025 and that, in that document, the Programme Planning and Budget Division emphasized the need for extrabudgetary information to be complete by requesting that entities provide additional information on extrabudgetary resources in the budget fascicle, the Board considers the recommendation to be implemented.	X			

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44	2021	A/77/5 (Vol. I) , chap. II, para. 138	The Board recommended that the Administration provide updated guidance to departments and offices to minimize risks to which the United Nations may be exposed when signing and implementing agreements with donors.	The Office of Programme Planning, Finance and Budget is finalizing new comprehensive guidelines on partnerships, which provide a detailed and clear road map to entities on ways to engage with partners, whether from the government or private sectors, and include a model template agreement and guidance for negotiations.	Given that the updated guidance is in progress, the Board considers the recommendation to be under implementation.		X		
45	2021	A/77/5 (Vol. I) , chap. II, para. 148	The Board recommended that the Administration appropriately deal with the cash pool balances of the three closed country-based pooled fund accounts, properly consolidate the old country-based pooled fund accounts and assign the refunds in a timely manner.	Of the three closed country-based pooled fund accounts referred to in the original recommendation, only the closure of the Colombia account is outstanding. The process is at an advanced stage and is expected to be completed by June 2025 with the final posting of transactions for the pass-through (P1) grants. This has taken longer than previously expected owing to the complex nature of closing P1 grants. A total of 499 P1 grants remain open; these are legacy projects created in Umoja before the introduction of the Grantor Management module.	Given that the closure of the Colombia account is outstanding, the Board considers the recommendation to be under implementation.		X		
46	2021	A/77/5 (Vol. I) , chap. II, para. 178	The Board recommended that the Administration continue its periodic review of historical purchasing patterns of relevant currencies under the regular budget and extrabudgetary resources and consider expanding the hedging scope for those currencies associated with a high foreign exchange risk.	The review of expenditure by currency and budget source is completed on an annual basis. The analysis to consider expanding the scope is expected to be completed by June 2025.	Given that the analysis has not been completed, the Board considers the recommendation to be under implementation.		X		
47	2021	A/77/5 (Vol. I) , chap. II, para. 191	The Board recommended that the Administration establish formal procedures to review the post-trade date increases in the concentration levels,	The Administration is in the process of formalizing the documentation of the circumstances and steps to be taken in the unusual situation in which concentration levels increase.	Given that the process has not been completed, the Board considers the recommendation to be under implementation.		X		

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			make a decision on the basis of the nature and risk exposure of investment portfolios and document the decision-making process appropriately.						
48	2021	A/77/5 (Vol. I) , chap. II, para. 212	The Board recommended that the Administration expedite the execution of collective negotiations and the formalization of standardized agreements.	The recent third-party administrator contract for the Medical Insurance Plan, which took effect in April 2024, was the first contract to follow the formalized standardized agreement format. Work is ongoing to complete similar contracts with the other third-party administrators.	Given that the contract has not been formally signed, the Board considers the recommendation to be under implementation.		X		
49	2021	A/77/5 (Vol. I) , chap. II, para. 218	The Board recommended that the Administration develop stand-alone performance evaluation standards and prepare performance reports for health insurance service providers that reflect the Organization's own requests and needs in order to benefit future decision-making processes.	Key performance indicators are in place for all health insurance service providers. The incorporation of standardized key performance indicators into the contracts with third-party administrators is evident in the recent contract for the Medical Insurance Plan, which took effect in April 2024. It is therefore requested that this recommendation be closed.	Given that standardized key performance indicators have been incorporated into the contracts with third-party administrators, the Board considers the recommendation to be implemented.	X			
50	2021	A/77/5 (Vol. I) , chap. II, para. 226	The Board recommended that the Administration analyse the root causes for those idle assets, update inaccurate equipment records, actively use idle assets and draw up reasonable purchase plans to ensure the improved utilization of resources in the future.	The Administration requests the closure of this recommendation, given that the root causes of the idleness of the relevant property identified at the time of the audit in 2020 have been analysed and shared as evidence, with mechanisms in place or under development to address data inconsistencies. Moreover, this recommendation was superseded by a new recommendation on the same subject (A/79/5 (Vol. I) , chap. II, para. 214), which the Administration is implementing.	Given that there is a new recommendation on the same subject (A/79/5 (Vol. I) , chap. II, para. 214), the Board considers the recommendation to be overtaken by events.				X
51	2021	A/77/5 (Vol. I) , chap. II, para. 236	The Board recommended that the Administration review the listed records and provide more guidance to relevant departments	On the basis of the supporting document provided, the Administration requests that this recommendation be closed.	Given that the Administration has provided supporting documentation relating to the expenditure, in line with	X			

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			and offices on asset capitalization to ensure that relevant project expenditure is appropriately classified and recorded in Umoja in the future.		the Board's comments, the Board considers the recommendation to be implemented.				
52	2021	A/77/5 (Vol. I) , chap. II, para. 243	The Board recommended that the Administration reassess the depreciation and amortization policies and make the adjustments necessary to the useful lives of property, plant and equipment and of intangible assets to ensure the appropriate measurement of assets, in compliance with IPSAS requirements.	The useful economic lives were updated in Umoja on 1 January 2023, resulting in the enterprise resource planning system automatically adding the correct useful life in the asset master record. Furthermore, the guidance on useful economic life by asset class has been updated in the fixed asset section of the Knowledge Gateway platform. In addition, the standard operating process for updating useful economic lives was published on the Knowledge Gateway platform in July 2023.	Given that the useful economic lives were updated in Umoja on 1 January 2023, the guidance on useful economic life by asset class has been updated in the fixed-asset section of the Knowledge Gateway platform, and the standard operating process for updating useful economic lives was published on the Knowledge Gateway platform in July 2023, the Board considers the recommendation to be implemented.	X			
53	2021	A/77/5 (Vol. I) , chap. II, para. 268	The Board recommended that the Administration develop overarching guidance on the use of general temporary assistance, in which its definition, budgeting, establishment, duration, review and reporting, reclassification and conversion, among others, are stipulated clearly.	Programme Planning and Budget Division: The Administration had already considered this recommendation to be implemented on the basis of the updated guidance of the Office of Human Resources, and had requested that the recommendation be closed. The Programme Planning and Budget Division will further enhance the guidelines on the use of general temporary assistance in the budget guide on the formulation of the proposed programme budget for 2026 and will request closure on that basis. The Administration wishes to further discuss with the Board the criteria for the closure of this recommendation in order to ensure that the recommendation can be considered as having been addressed in the 2024 financial year.	Given that the guidance has been updated, the Board considers the recommendation to be implemented.	X			

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54	2021	A/77/5 (Vol. I) , chap. II, para. 272	The Board recommended that the Administration strengthen monitoring to ensure that all the general temporary assistance positions are used in full compliance with related policies and regulations.	The revised administrative instruction on staff selection is expected to be issued by the second quarter of 2025.	Given that the revised administrative instruction on staff selection has not been issued, the Board considers the recommendation to be under implementation.		X		
55	2021	A/77/5 (Vol. I) , chap. II, para. 283	The Board recommended that the Administration ensure that all positions at the D-1 level and above to be established for a duration of more than one year are sufficiently reviewed and approved by the governing bodies.	The deputy humanitarian coordinator and regional humanitarian coordinator positions contracted through the United Nations Development Programme (UNDP) for the 2024 financial year were either eliminated in December 2024 or expected to be eliminated by mid-2025. As previously mentioned, this is due to the temporary nature of these positions, which are tied directly to evolving operational needs. These positions are not part of the nomenclature of the Office for the Coordination of Humanitarian Affairs. The recommendation should therefore be closed, given that it has been overtaken by events.	Given that the positions are temporary, the Board considers the recommendation to be overtaken by events.				X
56	2021	A/77/5 (Vol. I) , chap. II, para. 286	The Board recommended that the Administration ensure that a clear legal framework is in place for staff between the entities of the United Nations as reported in volume I and UNDP.	Office for the Coordination of Humanitarian Affairs: As noted in earlier updates, the text of the letter of appointment has been updated, and the new text has been in use for all new letters of appointment since May 2023.	Given that a similar modified recommendation has been put forward in this final audit, the Board considers the recommendation to be overtaken by events.				X
57	2021	A/77/5 (Vol. I) , chap. II, para. 309	The Board recommended that the Administration conduct a cost-benefit analysis before engaging personnel through UNOPS, UNDP or third-party service providers and clearly define the identity of personnel to ensure the correct application of the	The Department of Political and Peacebuilding Affairs (Mediation Support Unit) commissioned a cost-benefit analysis of its current financial agreements with UNOPS for the project of the Standby Team of Senior Mediation Advisers. The study, conducted by an external expert, was finalized in December 2022 and shared with the Board in March 2023 during field work relating to A/78/5 (Vol. I) . In the report, the current	Given that a cost-benefit analysis has been conducted, the Board considers this recommendation to be implemented.	X			

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			legal framework and contractual responsibilities.	arrangement between the Department of Political and Peacebuilding Affairs and the United Nations Office for Project Services (UNOPS) was found to be cost-effective, efficient, fit for purpose and compliant with the applicable administrative rules and regulations of the United Nations. In line with the new memorandum of understanding between UNOPS and the Secretariat released in May 2024, in December 2024 the Department of Political and Peacebuilding Affairs finalized two new financial agreements with UNOPS to cover the operation of the mechanism of the Standby Team of Senior Mediation Advisers in 2025. The Department also presented a cost-benefit analysis to the Board in May 2023, which illustrates the efficiency and cost-effectiveness of UNOPS support to the Department's innovation projects. In October 2024, the Department finalized a new financial agreement modality with UNOPS for innovation initiatives, following the updated memorandum of understanding between UNOPS and the Secretariat released in May. Office of Information and Communications Technology: In his report on the refined elements of the information and communications technology strategy (A/79/339), the Secretary-General outlined the information and communications technology (ICT) operating model and reiterated that the use of the contractual services of private technology and professional services companies would be guided by procurement processes, leverage the mutual recognition of contracts and capitalize on new or existing contracts to acquire skill sets to allow improved service delivery with the ability to scale up or down, depending on the demand and requirements. The Secretary-General also					

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58	2021	A/77/5 (Vol. I) , chap. II, para. 317	The Board recommended that the Administration review the current practice of rehiring consultants under vendor contracts in terms of its compliance with existing guidance, cost-effectiveness and appropriateness.	indicates that the ratio of 55 per cent of contractors to 45 per cent of staff in an ICT workforce is, in general, accepted in line with industry standard practice in the ICT area. The Administration considers the recommendation to be implemented and requests its closure. The Office of Information and Communications Technology has discontinued the practice of transferring consultants to vendor contracts since the Board made its recommendation regarding the need for compliance with the existing guidance. The Office has confirmed that there was no instance in 2024 of consultants being transferred to vendor contracts. The Office will continue to follow the guidance.	Given that the Office of Information and Communications Technology has confirmed that there was no instance in 2024 of consultants being transferred to vendor contracts, the Board considers the recommendation to be implemented.	X			
59	2021	A/77/5 (Vol. I) , chap. II, para. 329	The Board recommended that the Administration update the policy to address deficiencies in roster-based recruitment and clean up the roster data.	The revised administrative instruction on staff selection is expected to be issued by the first quarter of 2025.	Given that the revised administrative instruction on staff selection has not been promulgated, the Board considers the recommendation to be under implementation.		X		
60	2021	A/77/5 (Vol. I) , chap. II, para. 333	The Board recommended that the Administration establish a vetting system across the United Nations system to cover all types of misconduct under the leadership of the High-level Committee on Management and expedite the project of automating the vetting process to allow for a link between the Case Management Tracking System and Inspira through Clear Check.	The Administration considers this recommendation to be implemented. The link between Case Management Tracking System and Inspira through ClearCheck has been fully implemented for the Secretariat since late 2023 and has been in full use since 2024. On 1 March 2025, the ClearCheck database, which had previously included only the names of individuals dismissed from service by virtue of their engagement in sexual exploitation and abuse and/or sexual harassment, was expanded to include the names of individuals dismissed for other forms of serious misconduct, including racism and racial discrimination. This expanded version of ClearCheck,	Given that ClearCheck includes the names of individuals dismissed for serious misconduct, the Board considers this recommendation to be implemented.	X			

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61	2021	A/77/5 (Vol. I) , chap. II, para. 338	The Board recommended that the Administration continue to monitor the performance of heads of entities for achieving key performance indicators on geographical representation, issue guidance to entities and develop more proactive measures to improve geographical representation.	known as ClearCheck 2.0, has been fully implemented by the Secretariat and is being implemented by other members of the United Nations System Chief Executives Board for Coordination and other United Nations entities on different dates in 2025. With this expansion, it is held that ClearCheck fulfils the intent of the recommendation that these individuals should no longer be engaged in organizations participating in the ClearCheck system.	The Administration considers this recommendation to be implemented. The objective of the recommendation was for the Administration to continue to monitor the performance of heads of entities under key performance indicators relating to geographical distribution, issue guidance to entities and implement more proactive measures to improve geographical distribution. The Administration demonstrated that it had conducted outreach activities to increase the pool of eligible applicants from unrepresented and underrepresented Member States, provided continuous guidance and support to heads of entities, established monitoring of key performance indicators through management dashboards, included a "geographical appointments" indicator in senior manager's compacts and reported on geographical distribution in the report of the Secretary-General on the composition of the Secretariat: staff demographics. However, the hiring restrictions imposed owing to the Organization's financial crisis in the past few years has affected the achievement of geographical distribution. Therefore, it is not necessary to keep this recommendation open, given the Administration's efforts to continuously improve the monitoring of and reporting on geographical distribution.	Given the Administration's concerted and sustained efforts to enhance geographical representation, including through the special measures being carried out, the Board considers this recommendation to be implemented.	X		

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62	2021	A/77/5 (Vol. I) , chap. II, para. 358	The Board recommended that the Administration make the registration and recording of vaccines in Everbridge easier for country teams to overcome the challenges in accounting for all vaccines allocated to them, track the utilization of all deployed vaccines as accurately as possible, and produce a comprehensive report at the conclusion of the United Nations System-wide COVID-19 Vaccination Programme.	The Administration is in the final stage of reviewing the report. A few elements of the report are pending consultation with stakeholders and are expected to be completed by the second quarter of 2025.	Given that the comprehensive report has not been finished yet and is expected to be finished in the second quarter of 2025, the Board considers the recommendation to be under implementation.		X		
63	2021	A/77/5 (Vol. I) , chap. II, para. 426	The Board recommended that the Administration develop a resident coordinator handbook to provide more guidance to resident coordinators ad interim in delivering the expected results.	The development of the resident coordinator handbook has been delayed owing to the funding shortfall affecting the Development Coordination Office.	Given that the resident coordinator handbook has not been finalized, the Board considers the recommendation to be under implementation.		X		
64	2021	A/77/5 (Vol. I) , chap. II, para. 433	The Board recommended that the Administration expedite the promulgation of the permanent performance appraisal system for resident coordinators and ensure that a new mechanism is in place to properly measure the performance of United Nations country teams for delivering the expected results as defined in the United Nations Sustainable Development Cooperation Framework.	The draft administrative instruction on the resident coordinator performance management and appraisal system has been reviewed by the Office of Legal Affairs and approved by the Executive Office of the Secretary-General. The administrative instruction is expected to be published by the end of April 2025.	Given that the administrative instruction was published on 11 April 2025, the Board considers the recommendation to be implemented.	X			

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65	2021	A/77/5 (Vol. I) , chap. II, para. 519	The Board recommended that the Administration take systematic remedial action on the critical risk findings to mitigate the risks and improve the performance of funds in accordance with the revised operational handbook.	The revised guidelines on country-based pooled funds have addressed this concern and provided guidance on how the follow-up of critical findings should be conducted by the Humanitarian Financing Units, and on what happens when partners do not comply with the agreed-upon corrective action. Training for the Humanitarian Financing Units on how to implement the guidelines and manage critical findings has also been rolled out. The Units follow up on specific critical audit findings during the implementation of subsequent projects approved for the same partner. A proper audit recommendation follow-up plan is requested from partners and reviewed by Humanitarian Financing Units during field visits and financial spot checks. In addition, these high-risk findings are also shared with external audit firms to ensure that previous recommendations have been implemented. An audit report with high-risk findings directly affects the partner risk level.	Given that the guidelines on country-based pooled funds have been revised to address follow-up action on critical risk findings, the Board considers the recommendation to be implemented.	X			
66	2021	A/77/5 (Vol. I) , chap. II, para. 531	The Board recommended that the Administration conduct project audits within the time frame prescribed in the operational handbook for country-based pooled funds and carry out the financial spot checks in an effective manner by referring to the previous financial spot check and external audit outputs.	With the issuance in December 2022 of the new global guidelines for country-based pooled funds, the time frame for conducting project audits was increased from seven to nine months. An updated template for financial spot checks was implemented and has been in use since March 2023. However, the template is being reviewed, as requested by Humanitarian Financing Units during the most recent global fund managers' workshop, held in June 2024. A more recent update of the spot check template is being drafted by a designated working group and is expected to be finalized by the third quarter of 2025. Given that the guidance has been formulated and is now being updated further, this recommendation is considered to be implemented and its closure is requested.	Given that the time frame for conducting project audits has been updated in the new global guidelines for country-based pooled funds and the updated spot check template has been drafted, the Board considers the recommendation to be implemented.	X			

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67	2021	A/77/5 (Vol. I) , chap. II, para. 552	The Board recommended that the Administration draw experiences and lessons from the Department for General Assembly and Conference Management and the Department of Safety and Security collaboration and work out guidance on the establishment of ICT governance bodies at the entity level.	The Office of Information and Communications Technology is drafting guidance related to local governance. The implementation of this recommendation is ongoing.	Given that guidance related to local governance is in the process of being drafted, the Board considers the recommendation to be under implementation.		X		
68	2021	A/77/5 (Vol. I) , chap. II, para. 560	The Board recommended that the Administration ensure that an independent monitoring and accountability mechanism is in place to enforce ICT governance, policies and standards.	The ICT accountability framework is in its final stages of drafting. The draft document will then be reviewed with key stakeholders. It is expected that the draft ICT accountability framework will be circulated to stakeholders for consultation in the first quarter of 2025 and be ready for issuance in the second quarter of 2025.	Given that the ICT accountability framework is in its final stages of consultation, the Board considers the recommendation to be under implementation.		X		
69	2021	A/77/5 (Vol. I) , chap. II, para. 567	The Board recommended that the Administration amend the existing ICT governance structure to integrate information security, indicating clearly, among others, the ownership of processes, roles and responsibilities of relevant entities and reporting lines.	Information security is a priority of the Secretariat and is reflected as one of two critical ICT enterprise risks. The Office of Information and Communications Technology will align the meetings of the Information Security Board with those of the Information and Communications Technology Steering Committee and will introduce regular briefings on information security into the meetings of the Steering Committee.	The Board will review the records of the meetings of the Information Security Board and the Information and Communications Technology Steering Committee during the next audit in order to ascertain alignment. The Board considers the recommendation to be under implementation.		X		
70	2021	A/77/5 (Vol. I) , chap. II, para. 568	The Board recommended that the Administration ensure that all the stakeholders across the Secretariat commit themselves to the implementation of the seven-point information	Following a presentation to the Information and Communications Technology Steering Committee on feasible solutions, the Administration has decided to reconsider the matter on the basis of the outcome of an OIOS report on the findings of a horizontal audit of cybersecurity in the Secretariat. The report will inform an updated proposed action	Given that there are plans to update the information security action plan, the Board considers the recommendation to be under implementation.		X		

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71	2021	A/77/5 (Vol. I) , chap. II, para. 569	The Board recommended that the Administration enhance centralized technical monitoring of ICT security at the entity level and establish accountability mechanisms to ensure full compliance with the security-related policies and standards.	plan that will be considered by the Steering Committee. Pursuant to recommendation 5 contained in the report of the Joint Inspection Unit on cybersecurity in the United Nations system organizations (JIU/REP/2021/3), comprehensive information, including on resource requirements, was submitted in the report of the Secretary-General on capital investment planning (A/77/519). In that report, the Secretary-General provided detailed information on ICT spending globally across the Secretariat, including ICT capital expenditure and a capital investment plan, investment to support new modalities of work, upgrades and enhancements to the standardized access control systems for physical security, a comprehensive action plan for dealing with cybersecurity, ongoing and planned projects to improve the accessibility of premises, and investment in conference facilities to deal with the impact of the COVID-19 pandemic. Please refer to this report as evidence. The General Assembly took note of, but did not endorse, the Secretary-General's report.	Given that the resource requirements for this enhancement have been identified and taken note of, the Board considers the recommendation to be overtaken by events.				X
72	2021	A/77/5 (Vol. I) , chap. II, para. 576	The Board recommended that the Administration establish policies, procedures or mechanisms to clarify the roles and responsibilities in data centre operations, update the disaster recovery technical procedure in a timely manner and improve its emergency response coordination mechanism.	The Office of Information and Communications Technology requests that the recommendation be closed. The technical procedure on disaster recovery planning has been updated. The audit observation requesting clarification on the roles and responsibilities in data centre operations is now fully taken into account.	Given that the technical procedure on disaster recovery planning has been updated, the Board considers the recommendation to be implemented.	X			

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73	2021	A/77/5 (Vol. I) , chap. II, para. 588	The Board recommended that the Administration provide privacy-enhancing mechanisms in coordination with data stewards to ensure that only those nominated by the relevant entities are authorized to have access to the data under their purview.	The Office of Information and Communications Technology requests that this recommendation be closed. The data protection and privacy policy for the Secretariat of the United Nations, issued on 13 March 2024, outlines clear roles and responsibilities with respect to data privacy and establishes the role of the Chief Data Protection and Privacy Officer.	Given that the mechanisms have been enhanced owing to the issuance of the policy, the Board considers the recommendation to be implemented.	X			
74	2021	A/77/5 (Vol. I) , chap. II, para. 593	The Board recommended that the Administration develop a concept note for implementing global ICT asset management and sourcing and a road map for implementing this initiative, and clearly define the roles and responsibilities of the entities involved.	The concept note is submitted as evidence. The Office of Information and Communications Technology requests that the recommendation be closed.	Given that the concept note has been issued, the Board considers the recommendation to be implemented.	X			
75	2021	A/77/5 (Vol. I) , chap. II, para. 599	The Board recommended that the Administration ensure that ICT assets are properly recorded in Umoja for greater visibility and reliability to ensure improved monitoring and controls.	The Administration considers the recommendation to be implemented and requests its closure. United Nations entities are delegated the responsibility of managing all the assets (including ICT assets) that they control. Therefore, the responsibility of properly recording assets lies with the entities. The Office of Information and Communications Technology has demonstrated to the Board that it continues to update its Umoja records on the basis of the relevant guidance. The Office has taken the required action and demonstrated that its assets are now being recorded in line with the guidance.	Given that recent audit findings still reveal that the ICT assets are not being recorded with sufficient accuracy, the audit team considers the recommendation to be under implementation.		X		

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76	2021	A/77/5 (Vol. I) , chap. II, para. 600	The Board recommended that the Administration develop detailed guidelines for ICT asset and inventory management for Secretariat entities to support their effective and efficient management of ICT assets management and sourcing.	The Office of Information and Communications Technology requests that the recommendation be closed. Detailed guidelines for ICT asset and inventory management to support Secretariat entities in the management and sourcing of ICT assets are in place. Evidence was submitted to show the relevant policies and guidance documents, which cover all pertinent aspects of asset and inventory management. The evidence provided addresses ICT asset management and sourcing, along with roles and responsibilities, delegation, policies and tracking procedures. All these documents are readily available in the Knowledge Gateway portal.	Given that the guidelines are acceptable and in place, the Board considers the recommendation to be implemented.	X			
77	2021	A/77/5 (Vol. I) , chap. II, para. 608	The Board recommended that the Administration ensure that the Office of Information and Communications Technology conduct a cost-benefit analysis of the use of the personnel under the financial agreements with UNOPS and conduct comprehensive workforce planning to identify demands, key resources and potential risks.	The Office of Information and Communications Technology conducted a review of its contractual engagements. The review included cost-benefit analysis, workforce planning, demand management, key resources and potential risks. This resulted in the Office making the transition to a new service-based model in January 2023. Financial agreements have been updated to reflect the new model. Evidence submitted shows the revised financial agreements for the current period, which reflect eight clearly defined services. The financial agreements define the roles of UNOPS and the Office and the relevant deliverables. The revised financial agreements are in line with the recently approved memorandum of understanding between the United Nations Secretariat and UNOPS. The Board's advice will be sought regarding any additional information required to close this recommendation.	Given that a transition to a service-based model was made on the basis of the cost-benefit analysis, the Board considers the recommendation to be implemented.	X			

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78	2022	A/78/5 (Vol. I) , chap. II, para. 29	The Board recommends that the Administration make appropriate disclosure on the funds received in its budget documents to ensure transparency.	The Office of Programme Planning, Finance and Budget considers this recommendation to be implemented. It was implemented in the programme plan and budget for 2025, in which additional information on extrabudgetary resources was disclosed. For section 27 (Humanitarian assistance), the Administration disclosed in a footnote the estimated extrabudgetary resources for the Central Emergency Response Fund, country-based pooled funds and specially designated contributions (see supporting documentation). For section 3 (Political affairs), including the Department of Political and Peacebuilding Affairs, the footnote refers to the Peacebuilding Fund (see para. 29 of supporting document A/78/5 (Vol. I), chap. II). Peacebuilding Support Office: The report on the proposed programme budget for 2025 (A/79/6 (Sect. 3)) now includes the following footnote from the Peacebuilding Support Office: "Excludes the estimated allocations by the Peacebuilding Fund, which amounted to \$202.5 million for 2023 and are estimated to be \$150 million for 2024 and \$400 million for 2025". The Department of Political and Peacebuilding Affairs requests the closure of this recommendation.	Given that country-based pooled funds, the Central Emergency Response Fund and specially designated contributions have been disclosed in section 27 of the proposed programme budget for 2025 (A/79/6 (Sect. 27)/ Corr.1), the Board considers the recommendation to be implemented.	X			
79	2022	A/78/5 (Vol. I) , chap. II, para. 63	The Board recommends that the Administration ensure that the Special Political Missions conduct a comprehensive analysis of the root causes for the significant variances between actual vehicle and computing devices	Office for Disarmament Affairs: By the end of 2024, the disposal of four laptops had been processed and the laptops had been moved to the stockroom of the Office of Information and Communications Technology. United Nations Assistance Mission in Afghanistan (UNAMA): The difference between actual computing devices and standard allocations stems from the	Given that analysis of the root causes is still in process, the Board considers the recommendation to be under implementation.		X		

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			holdings and standard allocations.	following factors: (a) the holding of higher number of devices occurs because some functional areas receive shared or common-use devices, which include training rooms, radio rooms and conference rooms, Internet cafés, security gates and system monitoring facilities. In addition, the process of finding suitable recipients for personal laptop equipment has caused a delay in the write-off and disposal of such equipment. UNAMA has taken corrective action to resolve this situation. UNAMA retrieved 90 per cent of the surplus laptops assigned to staff members. The Mission has started the process of writing off 296 computing devices, while another 250 intended for disposal will be retrieved until suitable beneficiaries can be found. The Mission is implementing these measures to align the holdings of computing devices with the authorized holdings. United Nations Support Mission in Libya (UNSMIL): The Mission has 11 armoured vehicles and 1 ambulance, totalling 12 vehicles, in eastern Libya. The UNSMIL administration continues to monitor the security conditions diligently and adapts its strategies in order to maintain operational effectiveness, while prioritizing the safety of its personnel and assets. The host Government has released the computing devices, and the obsolete laptops are gradually being replaced. The write-off and replacement process is expected to be completed by the end of 2025.					
80	2022	A/78/5 (Vol. I), chap. II, para. 64	The Board also recommends that the Administration update the vehicle holding ratio and related guidance, as well as the computing device allocation “ratio” as part of	The Administration requests that the Board consider the part of recommendation on vehicle ratio to be overtaken by events. The Administration revised the Standard Cost and Ratio Manual on the basis of field entities’ inputs. However, in operationalizing the revised Manual, it	Given that the part of recommendation on the computing device allocation ratio has been implemented, although updating the vehicle ratios to reflect the diverse				X

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			the Standard Cost Ratio Manual in order to enable the missions to improve the transparency and quality of vehicles and computing devices budget proposals in the future.	became apparent that accurately updating the vehicle ratios to reflect the diverse operational realities of all field entities was not feasible. Moreover, under the delegation of authority framework, field entities are better suited to determine their vehicle ratios because they possess a deeper understanding of their unique operational needs and contexts.	operational realities of all field entities was not feasible, the Board considers the recommendation to be overtaken by events.				
81	2022	A/78/5 (Vol. I) , chap. II, para. 90	The Board recommends that the Administration continue to monitor budget implementation, in particular for those entities with continuous overexpenditure on furniture and equipment, in accordance with the parameters established by the General Assembly.	The Administration considers this recommendation to be implemented. The existence of variances against the approved budget is not a valid reason for keeping this recommendation open. Heads of entities are allowed to redeploy funds within their allotment in order to effectively implement entities' mandates and respond to operational requirements. Variances against the approved budget that arise during budget implementation and the related justifications are reported to the General Assembly in the supplementary information, ensuring transparency. Therefore, the Administration respectfully requests the closure of this recommendation.	Given that variances against the approved budget that arise during budget implementation and the related justifications are reported to the General Assembly in the supplementary information, the Board considers this recommendation to be implemented.	X			
82	2022	A/78/5 (Vol. I) , chap. II, para. 101	The Board recommends that the Administration update its policies to emphasize monitoring mobile device services usage for non-official purposes.	The Office of Information and Communications Technology requests that this recommendation be closed. The relevant policy has been updated to reflect mobile device service use for non-official purposes..	Given that the relevant policy has been updated, the Board considers the recommendation to be implemented.	X			
83	2022	A/78/5 (Vol. I) , chap. II, para. 102	The Board also recommends that the Administration inform respective entities to implement the mobile communication services recovery and refund mechanism to ensure non-	The Office of Information and Communications Technology requests that this recommendation be closed. The online billing system issues electronic bills to each user. The default setting for each call listed in the mobile bill is "private". If a user takes no action, all calls will be billed to the user as private. To move a call from	Given that the billing system is configured by default to charge private calls, the Board considers the recommendation to be implemented.	X			

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			official mobile communication service costs are recovered and refunded to the regular budget in a timely manner.	"private" to "official", a user must follow specific instructions. Otherwise, all calls are charged to the user, who incurs the costs. This is a very efficient and effective way to ensure that private calls are not charged as official calls. The responsibility for accurately reflecting official calls lies with the staff member.					
84	2022	A/78/5 (Vol. I) , chap. II, para. 109	The Board recommends that the Administration consider the actual deployment and the revised role of the videoconferencing team when updating the agreements with the United Nations Office for Project Services.	The Office of Information and Communications Technology requests that this recommendation be closed. The Office has revised the financial agreement with UNOPS and included language to reflect the changed/updated role of the videoconferencing team. The new service is called virtual events management.	Given that a transition to a service-based model was made to ensure better alignment between actual deployment and cost, the Board considers the recommendation to be implemented.	X			
85	2022	A/78/5 (Vol. I) , chap. II, para. 133	The Board recommends that the Administration expedite its cleaning up of the legacy accumulated surplus and attribute unassigned accumulated surplus to accountable offices/ departments.	The Administration has completed the attribution of the unassigned amounts and has nearly finished posting the legacy accumulated surplus.	Given the new developments in the situation related to the clean-up of the legacy accumulated surplus, the Board considers the recommendation to be overtaken by events.				X
86	2022	A/78/5 (Vol. I) , chap. II, para. 182	The Board recommends that the Administration improve the formulation of resource requirements for multi-year capital construction budgets based on actual project implementation and revised project schedules in order to limit the unspent balances of the projects at the end of each budget period.	Office of Programme Planning, Finance and Budget: The Administration considers the recommendation to be implemented and requests its closure, given that the unused balance of major capital projects has decreased in recent years. In addition, in the memorandum to all project owners on the preparation of the 2026 annual progress report, measures were taken to emphasize to the project team the need to continue to improve the accuracy of the projected resource requirements of these projects. United Nations Office at Nairobi: As at the end of 2024, the project for the replacement of office blocks A to J had a	Given that the Board has updated the recommendation on budget proposals and implementation progress for multi-year construction projects, the Board considers the recommendation to be overtaken by events.				X

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						Implemented	Under implementation	Not implemented	Overtaken by events
87	2022	A/78/5 (Vol. I), chap. II, para. 191	The Board recommends that the Administration expedite its review and revision of the administrative instruction on programme support accounts to ensure effective utilization of the programme support cost funds.	cash (allotment) balance of \$11 million in the construction fund (64CFA) and \$10.7 million in commitments. As at 30 March 2025, an additional \$3.3 million had been spent and an additional \$1.8 million committed. The project is at the final stage of contract amendments in order to commit the remaining \$6 million allotment balance (sect. 33) in the second quarter of 2025 and to disburse the commitments by the end of 2025, as indicated in the progress report of the Secretary-General on the replacement of office blocks A–J at the United Nations Office at Nairobi (A/79/267), following the acceptance of the final accounts for the substantial completion of the new building, scheduled for March 2025, and for the substantial completion of the flexible workspace strategies component, scheduled for December 2025. The Administration considers this recommendation to be implemented. The recommendation was for the Administration to review and revise the administrative instruction on programme support costs. The Administration provided evidence that new guidance on programme support costs had been issued and that the criteria for the closure of this recommendation had been met. Therefore, the Administration respectfully requests the closure of this recommendation.	As clarified by the Administration during the field audit, administrative instructions promulgate high-level key principles on the basis of relevant resolutions of the General Assembly, are issued by the Under-Secretary-General for Management Strategy, Policy and Compliance, and constitute part of the formal regulatory framework of the Organization. Guidelines cover operational processes and procedures, enable the appropriate interpretation and implementation of administrative instructions and are usually issued by heads of entity as internal Secretariat documents.		X		

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88	2022	A/78/5 (Vol. I) , chap. II, para. 199	The Board recommends that the Administration clearly define the meaning of each set of limits in the United Nations Investment Guidelines to avoid different interpretations, and that it amend the related Asset and Investment Manager compliance rule accordingly.	The relevant wording of the Investment Guidelines will be clarified to facilitate clear interpretation of the rules, without any ambiguity. The Bloomberg Asset and Investment Manager rules will also be updated.	The new guidance issued is not the administrative instruction referred to in the recommendation. Therefore, the Board considers the recommendation to be under implementation.		X		
89	2022	A/78/5 (Vol. I) , chap. II, para. 207	The Board recommends that the Administration clarify the credit rating rules in the Investment Guidelines to ensure that the actual investment practice is consistent with the rules.	The Investment Guidelines are being updated to ensure consistent references to the minimum credit rating criteria.	Given that the Investment Guidelines have not been updated yet, the Board considers the recommendation to be under implementation.		X		
90	2022	A/78/5 (Vol. I) , chap. II, para. 223	The Board recommends that the Administration establish an institutional mechanism for the United Nations Medical Insurance Plan management, to periodically review the performance of the Plan, propose premium rates adjustments and closely monitor the reserve balance of the Plan to ensure its sustainability.	The determination of an adequate governance mechanism for the Medical Insurance Plan has been delayed pending the finalization of the overall review of the financial sustainability of the plan.	Given that the determination of an adequate governance mechanism for the Medical Insurance Plan has been delayed, the Board considers the recommendation to be under implementation.		X		

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91	2022	A/78/5 (Vol. I) , chap. II, para. 229	The Board recommends that the Administration closely monitor the reserve balances of the health insurance plans and take appropriate action in due course, to ensure that the reserve remains within a reasonable range.	An actuarial review of the health insurance reserve balances is under way in order to ensure the long-term sustainability of the health insurance plans. The outcome of this review will provide important input for the annual review of premium requirements for the 2025/2026 plan year, while also providing the information required to assess and monitor the reasonable range for each reserve.	Given that an actuarial review of the health insurance reserve balances is under way in order to ensure the long-term sustainability of the health insurance plans, the Board considers the recommendation to be under implementation.		X		
92	2022	A/78/5 (Vol. I) , chap. II, para. 241	The Board recommends that the Administration expedite the reconciliation process of accounts receivable to ensure the visibility of actual outstanding amounts and continue to urge relevant agencies and entities to pay their share of contributions to the health insurance funds in a timely manner.	Office of Programme Planning, Finance and Budget: The Administration will continue to send monthly statements to the agencies on their outstanding receivables and to strengthen its efforts to encourage agencies and other United Nations entities to pay their dues, including their share of contributions to the health insurance funds, in a timely manner.	Given that the Administration will continue to send monthly statements to the agencies on their outstanding receivables and to strengthen its efforts to encourage them to pay their share of contributions to the health insurance funds, the Board considers the recommendation to be under implementation.		X		
93	2022	A/78/5 (Vol. I) , chap. II, para. 259	The Board further recommends that the Administration conduct a professional assessment of the warehouse's environment at United Nations Headquarters and take necessary measures to ensure the safe storage of heritage assets.	The professional assessment has not been conducted owing to the challenging liquidity situation. The Administration requests the Board to consider closing the recommendation, which has been overtaken by events because of the existing financial liquidity situation.	Given that the Administration has conducted the economic assessment and in view of the impact of the liquidity crisis, the Board considers the recommendation to be overtaken by events.				X

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94	2022	A/78/5 (Vol. I) , chap. II, para. 293	The Board recommends that the Administration closely monitor the project implementation progress, assess and manage the schedule risk in a timely manner and take remedial measures to speed up construction of the new building.	United Nations Office at Nairobi: Updated information on the implementation, schedules and status of the appropriation for the project for the replacement of office blocks A to J at the United Nations Office at Nairobi will be presented to the General Assembly on November 2025, at the Assembly's eightieth session. The project is on track to be substantially completed in December 2025 within the approved budget, as reported in A/79/267 , following the substantial completion of the new building, scheduled for March 2025, and of the flexible workspace strategies component, scheduled for December 2025.	Given that the project is on track to be substantially completed in December 2025, the Board is of the view that the relevant efforts and activities remain in progress. The Board therefore considers the recommendation to be under implementation.		X		
95	2022	A/78/5 (Vol. I) , chap. II, para. 330	The Board recommends that the Administration continue to support entities in expediting the process of integrating UNDP-administered staff into the Secretariat in a progressive and seamless manner, with due regard to ensuring the transparency and fairness of the selection process, in accordance with the Organization's regulatory framework.	The Human Resources Services Division of the Department of Operational Support has submitted a process guide, job aid and templates as evidence in support of the closure of this recommendation, and notes that the Division lacks the authority to mandate entities to integrate UNDP-administered staff, given that it remains a strategic decision under the authority of each head of entity. Any proposal by a head of entity to integrate and transition UNDP-administered staff also requires review by the Department of Management Strategy, Policy and Compliance (Office of Human Resources and Office of Programme Planning, Finance and Budget). Accordingly, the Human Resources Services Division has completed all the tasks necessary to facilitate the implementation of this recommendation and, under its regular mandate, will continue to support entities with guidance and operational support upon request.	Given that the process guide has been released, the Board considers the recommendation to be implemented.	X			

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96	2022	A/78/5 (Vol. I) , chap. II, para. 339	The Board recommends that the Administration conduct a thorough workforce review of the ICT staffing support service and avoid overreliance on third-party contract personnel.	The Office of Information and Communications Technology is continuously reviewing its workforce and the ICT staffing support services to avoid an overreliance on third-party contract personnel. Several steps have already been taken to assess and streamline the operations supported by service providers. As part of the workforce review, OICT is examining the modalities available for ICT service provision with a view to optimizing quality, cost and service levels.	Given that the workforce and the ICT staffing support services are under review, the Board considers the recommendation to be under implementation.		X		
97	2022	A/78/5 (Vol. I) , chap. II, para. 355	The Board recommends that the Administration review the procurement issues that arose from previous solicitations to ensure that lessons learned are incorporated into the new procurement process for the same requirements to ensure that the process is in accordance with the following United Nations procurement principles.	The Office of Information and Communications Technology requests that the recommendation be closed. The solicitation process for replacement contracts was completed in December 2023, and new contracts have been awarded to three vendors. The factual basis of this recommendation is therefore obsolete. Procurement Division: Following a previous solicitation for ICT professional services, which was unsuccessful owing primarily to the challenge of finding vendors capable of delivering all services across all United Nations locations, the Procurement Division and the requisitioner developed a new strategy, informed by the most recent category management review and stakeholder consultations. The key improvements included restructuring requirements into multiple technical categories and lots, introducing a more flexible workforce competency framework and dividing the global scope into four regions.	Given that multiple vendors are engaged in providing contractual services to the United Nations, the Board considers the recommendation to be implemented.	X			
98	2022	A/78/5 (Vol. I) , chap. II, para. 364	The Board recommends that the Administration review the policy on special post allowance to ensure that it is only applicable to exceptional cases.	The new administrative instruction on the special post allowance is expected to be issued in the last quarter of 2025.	Given that the new administrative instruction on the special post allowance has not been issued, the Board considers the recommendation to be under implementation.		X		

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99	2022	A/78/5 (Vol. I) , chap. II, para. 371	The Board recommends that the Administration ensure that the concerned entity, with the guidance of the Department of Management Strategy, Policy and Compliance, review the classification of those general temporary assistance replacement positions.	ECA has requested the regularization, in the 2026 programme plan and budget submission, of the D-1 general temporary assistance position under section 18 (position No. 30452897), entitled D1 1112, Principal Programme Management Officer, designated for the Director of the African Institute for Planning and Economic Development. The Administration is therefore requesting the closure of this recommendation.	Given that, in the budget guide for 2026, the Administration has requested entities to propose the conversion to posts of general temporary assistance positions of a continuing nature (both those classified as "finite duration" and those classified as "replacement"), and that ECA has requested the regularization of the D-1 general temporary assistance position in the 2026 programme plan and budget submission, the Board considers the recommendation to be implemented.	X			
100	2022	A/78/5 (Vol. I) , chap. II, para. 406	The Board also recommends that the Administration pilot, in some underrepresented and unrepresented countries, initiatives to ensure job opportunities are sufficiently publicized to attract more applicants and that more knowledge is shared on channels, pipelines, qualifications, etc., for them to be able to be selected.	The Administration is requesting the closure of this recommendation. To accelerate progress, the Secretariat recently launched a "Purposeful partnerships" programme with unrepresented and underrepresented Member States. This initiative emphasizes intentional collaboration to build talent pipelines and increase the number of qualified candidates from these Member States. To date, two "Purposeful partnership" agreements have been signed, covering all developing Member States that are unrepresented or underrepresented. Further partnerships are under discussion. Given that this is an ongoing initiative, the Administration is requesting closure of the recommendation.	The Board reviewed the outreach list and considers this recommendation to be implemented.	X			
101	2022	A/78/5 (Vol. I) , chap. II, para. 431	The Board recommends that the Administration, at the level of the Headquarters Committee on Contracts, issue an annual report based on its	The secretariat of the Headquarters Committee on Contracts will issue the report by 30 June 2025.	Given that the target date has been revised and the work is ongoing, the Board considers this recommendation to be under implementation.		X		

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			reviews, focusing on key areas of improvement and good practices that should be shared widely.						
102	2022	A/78/5 (Vol. I) , chap. II, para. 447	The Board recommends that the Administration strengthen the coordination on vendor sanctions with other agencies, funds and programmes of the United Nations system, with the objective of assessing the feasibility and benefits of establishing, in the medium term, a joint vendor committee to harmonize procedures and actions taken.	The Administration considers this recommendation to be implemented. As recommended by the Board, the Administration has strengthened coordination with other agencies, funds and programmes by participating in discussions and providing detailed feedback on the revised model policy framework for vendor sanction procedures. Although the revised model policy framework has not been formally adopted, the draft language (as shared before) clearly indicates a concerted effort to seek stronger coordination and harmonization on vendor sanctions. As part of this review process, an assessment has also been conducted regarding the feasibility of establishing a joint vendor committee, thereby fulfilling the second part of the recommendation. Any further action and decisions are beyond the Administration's control. Given that the Administration has already provided its input to the system-wide effort, it respectfully requests the closure of this recommendation.	The Board notes the progress made in updating the model policy framework. The Board also notes that the adoption of the revised model policy framework has been pushed forward by the Secretariat, and that the subject has been placed on the agenda of the October 2025 session of the Procurement Network of the High-level Committee on Management. Given that the Secretariat is not solely responsible for the adoption of the model policy framework, the Board considers the recommendation to be implemented.	X			
103	2022	A/78/5 (Vol. I) , chap. II, para. 455	The Board recommends that the Administration expedite the review and release of the delegation of authority policy framework and put in place a more agile process to update the delegation of authority policy framework in response to changes to the wider policy framework.	The revision of the delegation of authority policy is in its final stage. The delegation of authority portal, with related enhancements, will be released at the time of the promulgation of the revised policy.	Given that the revision of the policy is in its final stage but has not been issued formally, the Board considers the recommendation to be under implementation.		X		

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104	2022	A/78/5 (Vol. I) , chap. II, para. 458	The Board recommends that the Administration conduct a review of the existing key performance indicators to ensure that only those key performance indicators measuring the impact of decisions are used for monitoring delegation of authority before the shift to Umoja Analytics, and conduct more granular and targeted analysis on the priority results of delegation of authority monitoring.	The Administration considers this recommendation to be implemented, given that, as demonstrated to the audit team, the review of the existing key performance indicators has been completed. The Administration has continued its targeted monitoring of and outreach to entities in order to help them to improve their performance. Results from several response mechanism pilots (e.g., Umoja roles requiring authority, human resources exception reporting and performance against the advance purchase policy) have helped to improve the first and second lines of defence and shown positive performance trends in some areas. New monitoring tests and analytical procedures have been developed under the "Response mechanism" initiative, in response to emerging risks and events. This is an area on which the Business Transformation and Accountability Division will continue to focus as part of its continuous improvement approach. Given that this is not time-bound, the Administration requests the closure of the recommendation.	Given that the delegation of authority monitoring framework of key performance indicators and analytical procedures has continuously improved in 2024, with successful pilots leading to planned expansions and the identification of priorities for 2025 and beyond, and that the team is making the best possible use of the available capabilities, notwithstanding the challenges faced, the Board considers the recommendation to be implemented.	X			
105	2022	A/78/5 (Vol. I) , chap. II, para. 486	The Board recommends that the Administration take measures to ensure adequate liquidity to finance operational requirements in the short-term, including ensuring measures for the timely recovery of outstanding receivables, and formulate a comprehensive scenario analysis which covers short-, medium- and long-term plans to address the potential liquidity challenge.	The Administration considers this recommendation to be implemented. The objective of the recommendation was to implement measures to ensure adequate liquidity in order to finance operational requirements. The Administration provided evidence that it continuously monitors the liquidity situation and evaluates and manages projected cashflows. Furthermore, the Development Coordination Office has remained fully engaged in mobilizing resources from all funding streams to the special purpose trust fund. The comment by the audit team significantly expanded the scope of the recommendation and tied it to issuance of	Given that the \$53 million commitment authority granted to the Development Coordination Office is for 2025 only, and that it remains uncertain whether the Office will receive funding from the regular budget for 2026 onwards, the Board considers the recommendation to be under implementation.		X		

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106	2022	A/78/5 (Vol. I) , chap. II, para. 496	The Board recommends that the Administration ensure recruitment on as wide a geographical basis as possible of resident coordinators and resident coordinator pool members.	the report of the Secretary-General on the financing of and governance over the resident coordinator system. The issuance of the report was not required by the recommendation and the audit team cannot change the criteria for the closure of recommendations. Therefore, the Administration respectfully request the closure of this recommendation. As at 1 April 2025, 58 per cent of the resident coordinators originated from programme countries (compared with 41 per cent pre-reform, in 2018), a historic high. In addition, 62 nationalities were represented, compared with 57 pre-reform. The percentage of resident coordinators from non-programme countries steadily decreased to 42 per cent (compared with 60 per cent pre-reform, in 2018), while the percentage of resident coordinators from other geographical regions, notably Africa, gradually increased. For example, the percentage of resident coordinators from Africa increased to 34 per cent, up from 22 per cent pre-reform, in 2018. As at 1 April 2025, 51 per cent of resident coordinator pool members were from programme countries, compared with 36 per cent pre-reform, in 2018. Furthermore, 67 nationalities are represented among resident coordinator pool members. This attests to the efforts of the Development Coordination Office to increase geographical diversity in the resident coordinator pool.	Given that, as at 1 April 2025, 42 per cent of resident coordinators originated from non-programme countries and 49 per cent of resident coordinator pool members were from non-programme countries – ratios that both reflect a high concentration of resident coordinators from such countries – the Board considers the recommendation to be under implementation.		X		
107	2022	A/78/5 (Vol. I) , chap. II, para. 514	The Board recommends that the Administration ensure that the accountability structure and coordination mechanism under the United Nations Sustainable Development Group is	The United Nations Sustainable Development Group remains fully operational and continues to support the implementation of development reform initiatives, as outlined in the management and accountability framework. A review of the framework is being undertaken and will be completed later in 2025.	Given that the comprehensive review of the management and accountability framework is being undertaken, the Board considers the recommendation to be under implementation.		X		

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			fully functional with regard to the implementation of the development reform initiatives.						
108	2022	A/78/5 (Vol. I) , chap. II, para. 522	The Board recommends that the Administration reference the shared structure under the relevant subprogramme to better reflect the reform structures, and also reflect the shared structures and their mandates in relevant work plans and associated performance reporting.	The Department of Political and Peacebuilding Affairs integrated the references to the single shared regional political-operational structure into the proposed programme plan for 2026 (sect. 3, Political affairs). The draft has been submitted to the Department of Management Strategy, Policy and Compliance. The Department of Political and Peacebuilding Affairs is requesting the closure of this recommendation.	Given that the Department of Political and Peacebuilding Affairs has integrated the references to the single shared regional political-operational structure into the proposed programme plan for 2026, the Board considers the recommendation to be implemented.	X			
109	2022	A/78/5 (Vol. I) , chap. II, para. 563	The Board recommends that the Administration ensure that the global guidelines for country-based pooled funds provide guidance on requirements for the disclosure of the specific preselection criteria for partners invited to participate in the reserve allocations.	Guidance was drafted and shared with all fund managers and Humanitarian Financing Units in December 2024. The guidelines will continue to be updated, as necessary. It is requested that the recommendation be closed.	Given that the guidance on the disclosure of the specific preselection criteria has been drafted and shared with all fund managers and Humanitarian Financing Units, the Board considers the recommendation to be implemented.	X			
110	2022	A/78/5 (Vol. I) , chap. II, para. 569	The Board recommends that the Administration clarify the process of selecting supplementary partners outside the initial list of preselected partners for reserve allocations in relevant guidance, including but not limited to requirements to document the process, and duly disclose any changes to the initial list of preselected partners.	A guidance note clarifying the process of preselecting partners was drafted and shared with all fund managers and Humanitarian Financing Units in December 2024. The guidelines will continue to be updated, as necessary. It is requested that the recommendation be closed.	Given that the guidance note clarifying the process for preselecting partners has been drafted, the Board considers the recommendation to be implemented.	X			

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111	2022	A/78/5 (Vol. I) , chap. II, para. 579	The Board recommends that the Administration highlight the potential discrepancies identified to the project auditors, conclude ongoing audit processes for the final verification of project deliverables and the determination of any ineligible expenditures and refunds, and follow up on compliance concerns in line with the established procedures.	The sampled projects subject to this recommendation had already been audited by project auditors in 2021. Ineligible expenditure identified was submitted to the implementing partners for refunds. However, the administrators of country-based pooled funds will ensure that no similar discrepancies occur moving forward. With this update, it is requested that the recommendation be closed.	Given that the ineligible expenditure has been submitted to the implementing partners for refunds, the Board considers the recommendation to be implemented.	X			
112	2022	A/78/5 (Vol. I) , chap. II, para. 588	The Board recommends the Administration clarify the balance between the Office of Information and Communications Technology's central control and the entities' operational freedom in the procurement and management of ICT assets as part of the proposed information and communication technology accountability framework, and that the Office of Information and Communications Technology should also establish standards and assessment methods when designating entities as ICT certified.	The ICT accountability framework is in its final stages of drafting. The draft document will then be reviewed with key stakeholders. It is expected that the draft framework will be circulated to stakeholders for consultation in the first quarter of 2025 and be ready for issuance in the second quarter of 2025.	Given that the ICT accountability framework is in its final stages of drafting, subject to consultation, the Board considers the recommendation to be under implementation.		X		
113	2022	A/78/5 (Vol. I) , chap. II, para. 591	The Board recommends the Administration include a clear definition of the roles and duties of the Chief Information and Technology Officer in the	The Office of Information and Communications Technology requests that this recommendation be closed. The roles and duties of the Chief Information and Technology Officer have been defined over the years in various legislative documents.	Given that the roles and duties of the Chief Information and Technology Officer have been defined, the Board considers the	X			

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			ICT governance framework and accountability framework.	The most recently updated definitions are included in paragraphs 11 to 13 of the report of the Secretary-General on the refined elements of the information and communications technology strategy (A/79/339). Reports of the Secretary-General and General Assembly resolutions are the appropriate documents in which to define the roles and duties of the Chief Information and Technology Officer. We therefore request that the recommendation be closed, given that its content is addressed in the appropriate legislative documentation.	recommendation to be implemented.				
114	2022	A/78/5 (Vol. I), chap. II, para. 596	The Board recommends that the Administration review the membership of the ICT governance bodies to ensure sufficient and appropriate representation in the committees and ensure that the ICT governance bodies meet at the required frequency, in accordance with their terms of reference.	The Office of Information and Communications Technology requests that this recommendation be closed. Emails showing the new members of the ICT technical committees, the Project Review Committee and the Information and Communications Technology Steering Committee were submitted to the Board, as well as minutes of all the meetings of these governance entities held in 2025.	Given that the composition of the committees has been expanded to include additional members, the Board considers the recommendation to be implemented.	X			
115	2022	A/78/5 (Vol. I), chap. II, para. 601	The Board recommends that the Administration define the specific areas of cybersecurity that need to be accountable to a central governance function, and encourage all entities to participate in global cybersecurity initiatives to increase visibility of and strengthen cybersecurity.	This recommendation overlaps with the recommendation contained in paragraph 531 of A/79/5 (Vol. I). In that recommendation, the Board requested the Administration to clearly define the scope of ICT security, including key central and local roles and responsibilities, in the accountability framework. The Office of Information and Communications Technology is in the process of incorporating the definition of the scope of ICT security, including specific central and local roles and responsibilities, into the ICT accountability framework. When the recommendation contained in paragraph 531 of A/79/5 (Vol. I) is implemented, the recommendation contained in paragraph	Given that the accountability framework contains information on cybersecurity roles and responsibilities, the Board considers the recommendation to be implemented.	X			

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116	2023	A/79/5 (Vol. I), chap. II, para. 28	The Board recommends that the Administration reclassify the hedging gains and losses to be shown separately in the statement of financial performance to enhance the disclosure of the hedging programme and present the fair value gains/losses on revaluation of investments as reserves in net assets.	601 of A/78/5 (Vol. I) is expected to be closed. Given this overlap, the Office requests that the recommendation contained in paragraph 601 of A/78/5 (Vol. I) be closed and that the recommendation contained in paragraph 531 of A/79/5 (Vol. I) be maintained.	The Administration has implemented the changes for the 2024 financial statements and requests that this recommendation be closed.	Given that, in the 2024 financial statements, the necessary changes have been made in relation to the disclosure of the hedging programme and the presentation of the fair value gains/losses, the Board considers the recommendation to be implemented.	X		
117	2023	A/79/5 (Vol. I), chap. II, para. 34	The Board recommends that the Administration expedite the audits of implementing partners and financial closure processes of projects to ensure timely refunds and project closure, with a view to improving the efficient utilization of funds thereof.	The Office for the Coordination of Humanitarian Affairs has ensured that audits are conducted, where operational context allows, within the nine-month time frame provided for in the global guidelines for country-based pooled funds. Furthermore, with the existence of the new audit-related long-term agreements, which have been available since December 2024, we expect a shorter lead time for audit completion and financial closure. We therefore consider this recommendation to be implemented and request that it be closed.	Given that the delay in external audit and financial closing procedures has persisted during the audit of the 2024 financial year, the Board considers the recommendation to be under implementation.		X		
118	2023	A/79/5 (Vol. I), chap. II, para. 43	The Board recommends that the Administration collaborate with relevant departments/entities to strengthen the internal control related to advances to staff and expedite the collection of overdue staff advances.	The Administration has been working on the one-time review of open items for inactive staff. Where needed, work with client entities and the Office of Programme Planning, Finance and Budget is ongoing to clear open items. These items must be cleared on a case-by-case basis. The target deadline to complete the clearance of open items is the fourth quarter of 2025.	Given that the target deadline to complete the clearance of open items is the fourth quarter of 2025, the Board considers the recommendation to be under implementation.		X		

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119	2023	A/79/5 (Vol. I) , chap. II, para. 48	The Board recommends that the Administration strengthen the implementation of the timely recovery process of education grant and travel advances and, more specifically, liaise with Headquarters and other entities to discuss the feasibility of automated recovery for all travel advances processes in order to ensure the collection of any due payments and consistency with staff rules and regulations.	This recommendation has been implemented. As part of the year-end closure, in November, the United Nations Office at Geneva sent a communication in which it requested the staff members with outstanding travel advances to take appropriate action to close them. A reminder was sent in December. In the absence of an automated recovery solution, the Office decided that, starting in March 2025, a monthly reminder would be sent to all staff members with outstanding travel advances.	Given that a monthly reminder is sent to all staff members with outstanding travel and education grant advances to request them to take appropriate action to close those advances, the Board considers the recommendation to be implemented.	X			
120	2023	A/79/5 (Vol. I) , chap. II, para. 60	The Board recommends that the Administration continue to monitor the relevant reserve levels, ensure that the overall 10RCR fund balance is maintained at an appropriate level in accordance with the relevant policies and guidelines, and utilize the fund more efficiently and effectively.	The Administration will continue its review of the reserve levels of the cost-recovery funds. Initial estimates for staff liabilities have been made and funds have been set aside for the liabilities. In addition, the Office of Programme Planning, Finance and Budget has requested service providers to work on medium-term plans to provide more detail on the amounts that must be held for operating and capital costs.	Given that the review of the reserve levels remains in progress, the Board considers the recommendation to be under implementation.		X		
121	2023	A/79/5 (Vol. I) , chap. II, para. 66	The Board recommends that the Administration update the policy guidance to disclose to the various business owners how the investment revenue of the 10RCR fund will be used.	The Administration has updated the policy guidance and disclosed the intended use of the investment revenue. The Administration requests the closure of the recommendation.	Given that similar issues still exist, the Board considers the recommendation to be under implementation.		X		

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						Implemented	Under implementation	Not implemented	Overtaken by events
122	2023	A/79/5 (Vol. I) , chap. II, para. 75	The Board recommends that the Administration comply with relevant cost-recovery guidelines to charge for only necessary and reasonable costs in the future.	The Office of Programme Planning, Finance and Budget continues to work with UNSMIL staff to review their cost-recovery activities and rates. UNSMIL continues to diligently engage with the Office on the review and approval of its revised service catalogue, which is in its final stage. The 2025 cost plan developed by UNSMIL was successfully submitted in December 2024 and was approved by the necessary parties in February 2025. The target completion date is 30 June 2025.	Given that the review of cost recovery activities and rates remains under way, the Board considers the recommendation to be under implementation.		X		
123	2023	A/79/5 (Vol. I) , chap. II, para. 81	The Board recommends that the Administration conduct a comprehensive cost analysis of the services provided, and comply with relevant cost-recovery guidelines to charge for only necessary and reasonable costs for office rental charges.	The recommendation has been implemented. The Administration has decreased the standard rate for the rental of office space for two consecutive years, from \$17,000 to \$16,000 in 2024 and from \$16,000 to \$15,000 in 2025, in order to reduce the 10RCR surplus in compliance with relevant guidelines. The new rates for 2025 have not been updated in Umoja. The Facilities and Commercial Activities Service has requested that the new rates be reflected.	Given that the Administration has conducted analysis and reduced the rental rate, and that the rental revenue remains substantial in 2024, the Board considers the recommendation to be implemented.	X			
124	2023	A/79/5 (Vol. I) , chap. II, para. 85	The Board recommends that the Administration conduct a comprehensive cost analysis of the services provided to calculate the updated total cost of ownership and to align the relevant cost recovery with appropriate and reasonable charges.	The final review date of the total cost of ownership project has been extended to April 2025 and, on March 2025, four annual rates were approved for computing and telephony. The specific dates for the implementation of the approved rates will be determined. The Office of Information and Communications Technology, with assistance from the Office of Programme Planning, Finance and Budget, has been updating system information to improve the alignment of revenue and expenditure monitoring and reporting within Umoja.	Given that the total cost of ownership project is ongoing, the Board considers the recommendation to be under implementation.		X		
125	2023	A/79/5 (Vol. I) , chap. II, para. 91	The Board recommends that the Administration re-examine the basis of the preparation of the cost plans to minimize the variation between the	United Nations Office at Nairobi: In September 2024, the United Nations Office at Nairobi submitted to the Office of the Controller a revised cost plan for 2024, reflecting the revised estimates for the year based on the information available during	Given that a revised cost plan for 2024 has been submitted to the Office of the Controller and that the indirect costs charged to expenses in 2024 did not	X			

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			projected revenue and expenditure and to avoid any unreasonable overcharging of overhead.	the third quarter of 2024. The revised cost plan includes an explanation of the variance between the projected revenue and estimated expenditure for the year. At the end of 2024, the United Nations Office at Nairobi reviewed the indirect costs applied to the fund centres of its Division of Administrative Services and confirmed that the indirect costs charged to expenses (actual and consumed) did not exceed 7 per cent. Therefore, the United Nations Office at Nairobi requests the closure of this recommendation.	exceed seven per cent, the Board considers the recommendation to be implemented.				
126	2023	A/79/5 (Vol. I) , chap. II, para. 98	The Board recommends that the Administration review the use of 10RCR for after-service health insurance and other staff related transactions to determine if they are relevant to 10RCR and cost recovery.	The Administration will review those transactions and find a solution that is not related to cost recovery.	Given that the review of those transactions is still under way, the Board considers the recommendation to be under implementation.		X		
127	2023	A/79/5 (Vol. I) , chap. II, para. 105	The Board recommends that the Administration guide responsible entities to conduct a comprehensive review of the receivables in the 10RCR fund and actively attempt to collect overdue receivables.	The Administration has updated the cost recovery policy document to include specific guidance on receivables. The Administration recommends the closure of the recommendation.	Given that the updated policy guidelines contain specific guidance on billing and the collection of receivables, the Board considers the recommendation to be implemented.	X			
128	2023	A/79/5 (Vol. I) , chap. II, para. 116	The Board recommends that the Administration improve the presentation of budget resources under income section 2 to ensure more transparency of budget information with regard to spendable revenue and expenditure.	Office of Programme Planning, Finance and Budget: The Administration has implemented this recommendation in the context of the proposed programme budget for 2025. In the supplementary information provided to the Advisory Committee on Administrative and Budgetary Questions in relation to the budget fascicle for income section 2, the Administration has provided additional information on the total estimated income of the Organization from	Given that the estimated rental income for 2025, including spendable and non-spendable income, is disclosed in the supplementary information relating to income section 2 of the proposed programme budget for 2025, the Board considers the recommendation to be implemented.	X			

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129	2023	A/79/5 (Vol. I) , chap. II, para. 127	The Board recommends that the Administration develop a clear policy guide on spendable rental income and specify the purpose, standards and methodology for calculation of the retention of spendable revenue, as well as its usage, scope and oversight.	the rental of premises by entity, including justifications for the spendable resources. The implementation of this recommendation is in progress. A working group on rental practices has begun its work, with one of its objectives being the development of a policy guide on spendable rental income. The working group plans to propose the guidance in the second half of 2025 and publish it by the end of 2025.	Given that the working group plans to propose the relevant guidance in the second half of 2025 and publish it by the end of 2025, the Board considers the recommendation to be under implementation.		X		
130	2023	A/79/5 (Vol. I) , chap. II, para. 139	The Board recommends that the Administration update the budget guide to request respective special political missions to conduct a comprehensive analysis of their own communications and information technology equipment demand plan and to align the plan with budget proposals and implementation in the future.	The Administration considers the recommendation to be implemented and requests its closure. The budget guide has been updated to include additional instructions for special political missions to conduct a comprehensive analysis of the communications and information technology equipment demand plan and to align the plan with their budget proposals and implementation. To strengthen oversight of ICT spending across the Secretariat by the Chief Information Technology Officer, all special political missions were required, for the 2026 programme budget, to submit their proposed ICT projects and activities to the Office of Information and Communications Technology for review and technical clearance prior to the submission of the related resource requirements to the Office of Programme Planning, Finance and Budget.	Given that the 2026 budget preparation guide has been updated to include additional instructions requesting special political missions to conduct a comprehensive analysis of the communications and information technology equipment demand plan, the Board considers the recommendation to be implemented.	X			
131	2023	A/79/5 (Vol. I) , chap. II, para. 152	The Board recommends that the Administration continue to reinforce guidance on multi-year project budget proposals, as well as on budget implementation.	The Administration considers the recommendation to be implemented and requests its closure. The Administration has included, in the 2026 budget guide, additional guidelines and requests relating to multi-year project budget proposals in order to ensure that all information concerning the budgets of specific projects	Given that the relevant updates have been made to the budget guide for the proposed programme budget for 2026, the Board considers the	X			

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				is consolidated and disclosed more coherently and consistently. To that effect, the Administration has expanded the content and requirements of the project proposal submissions and is conducting thorough reviews and validation.	recommendation to be implemented.				
132	2023	A/79/5 (Vol. I) , chap. II, para. 153	The Board also recommends that the Administration use an appropriate way to disclose the budget implementation for the two projects, including the extended retention of commitments, to increase information transparency.	The Programme Planning and Budget Division is planning to include the information on budget implementation for the two Headquarters maintenance projects (a water tank replacement project and an exit ramp project), including the extended retention of commitments, in the financial performance report for the 2024 financial year, which is being prepared. Supporting documentation will be provided as soon as the financial performance report is finalized (at the end of May), and the Programme Planning and Budget Division will request closure of this recommendation before the end of the audit for the 2024 financial year (by the end of May).	Given that the financial performance report for the 2024 financial year is still being prepared and the supporting documentation has not been provided, the Board considers the recommendation to be under implementation.		X		
133	2023	A/79/5 (Vol. I) , chap. II, para. 163	The Board recommends that the Administration ensure that overtime is correctly calculated to avoid overpayment and continue to provide adequate justification when requiring respective additional regular budget resources.	The Executive Office of the Department of Safety and Security has established internal controls to ensure that overtime is calculated accurately, thereby preventing overpayments. Owing to changes in the current budget, overtime has been significantly limited. Quarterly reviews have not revealed any discrepancies. The Administration considers this recommendation to be implemented.	Given that the Administration has established internal controls to prevent overpayments and overtime has been significantly limited, the Board considers the recommendation to be implemented.	X			
134	2023	A/79/5 (Vol. I) , chap. II, para. 170	The Board recommends that the Administration continue to reinforce guidance on multi-year project budget proposals to ensure that all budget information on specific projects is disclosed in a	The Administration considers this recommendation to be implemented and requests its closure. The Administration has included, in the 2026 budget guide, additional guidelines and requests relating to multi-year project budget proposals in order to ensure that all information concerning the budgets of specific projects is consolidated and disclosed more coherently and consistently. To that effect,	Given that the relevant updates have been made to the budget guide for the proposed programme budget for 2026, the Board considers the recommendation to be implemented.	X			

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			more coherent and consistent way.	the Administration has expanded the content and requirements of the project proposal submissions and is conducting thorough reviews and validation.					
135	2023	A/79/5 (Vol. I) , chap. II, para. 180	The Board recommends that the Administration formalize the criteria for selecting investment counterparties, in addition to the existing criteria, to enhance transparency and ensure that the decision-making process is well documented.	Efforts are under way to formalize, within the Investment Guidelines, an additional minimum criterion, specifically a minimum shareholder equity threshold for the selection of recommended banks. This measure is aimed at enhancing transparency in the selection process and will be formally approved by the Controller, Assistant Secretary-General for Programme Planning, Finance and Budget.	Given that the relevant work is ongoing, the Board considers the recommendation to be under implementation.		X		
136	2023	A/79/5 (Vol. I) , chap. II, para. 185	The Board recommends that the Administration review and update the relevant policy documents to better clarify the credit rating criteria for foreign currency exchange counterparties.	Work is ongoing to align the minimum long-term credit rating criteria for forward transaction counterparties with the minimum long-term credit-rating criteria for general foreign exchange (spot transaction) counterparties by updating the United Nations foreign currency hedging and budget rate-setting guidelines. The short-term credit-rating criteria are already aligned and the change to the minimum long-term credit-rating criteria will not affect the foreign exchange counterparties that the United Nations uses for forward transactions. For these forward transaction counterparties, the United Nations has International Swaps and Derivatives Association agreements in place with the counterparties that it uses. These agreements provide a standardized set of terms and conditions for derivatives, thereby ensuring certainty and consistency, as well as clear procedures for terminating and closing out transactions in the event of a default or other termination event, which can help to further mitigate counterparty credit risk.	Given that the relevant work is ongoing, the Board considers the recommendation to be under implementation.		X		

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137	2023	A/79/5 (Vol. I) , chap. II, para. 192	The Board recommends that the Administration conduct a comprehensive review of the current policy for and management of the reserve for end-of-service liabilities under extrabudgetary resources, including reserve accrual and adjustment methods, to ensure that funding is maintained at a reasonable level.	A proposed approach was formulated and a first draft was prepared as a basis for further discussion with relevant stakeholders and for engagement with the independent actuary in order to enable the development of an accurate financial estimate, which will be subject to further review and revision.	Given that the proposed policy has not been formally developed, the Board considers the recommendation to be under implementation.		X		
138	2023	A/79/5 (Vol. I) , chap. II, para. 200	The Board recommends that the Administration expedite the process of formalizing the investment guidelines for end-of-service liability reserves (including after-service health insurance) and engage with the asset management entity to better align assets with respective liabilities.	A separate investment guideline for extrabudgetary after-service health insurance liability reserves has been drafted and an asset management institution has been preliminarily identified. The asset allocation study has been finalized. Once the investment guidelines have been approved, procurement steps and contract negotiation will continue, along with the implementation of the necessary information technology system.	Given that the investment guidelines have not been formally approved, the Board considers the recommendation to be under implementation.		X		
139	2023	A/79/5 (Vol. I) , chap. II, para. 207	The Board recommends that the Administration expedite the completion of the review of the additional considerations deemed necessary to determine and implement the application of updated distribution rates to allocate after-service health insurance expenditures between the regular budget, the budgets for peacekeeping operations and extrabudgetary resources.	The analysis is ongoing, with the completion of the necessary actuarial review anticipated during the second quarter of 2025. The receipt and consideration of the actuarial input is required to enable the finalization of the review and determine the appropriate after-service health insurance distribution rates.	Given that the analysis of the appropriate after-service health insurance distribution rates is ongoing, the Board considers the recommendation to be under implementation.		X		

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140	2023	A/79/5 (Vol. I) , chap. II, para. 218	The Board recommends that the Administration conduct comprehensive reviews of equipment records to ensure the accuracy of data in Umoja and take proactive measures to avoid the potential waste of assets.	The Administration considers the recommendation to be implemented and requests its closure. The Administration has conducted a comprehensive review to ensure data accuracy and reduce inconsistencies. The results were shared with the Board. Furthermore, the Administration has mainstreamed data accuracy into its ongoing performance management framework through the development of a dedicated key performance indicator on data quality. In the recommendation contained in paragraph 218 of its report (A/79/5 (Vol. I)), the Board called for the Administration to conduct a comprehensive review of the data. The relevant steps have been taken and the required results have been demonstrated.	Given that, according to the most recent Umoja systems data for special political missions, there remains an equipment idleness rate of approximately 20 per cent, the Board considers the recommendation to be under implementation.		X		
141	2023	A/79/5 (Vol. I) , chap. II, para. 228	The Board recommends that the Administration improve the monitoring of equipment status and the clean-up of data in Umoja to ensure the effectiveness and efficiency of computing devices management.	The Administration considers the recommendation to be implemented and requests its closure. The Administration has conducted a comprehensive review to ensure data accuracy and reduce inconsistencies. The results were shared with the Board. Furthermore, the Administration has mainstreamed data accuracy into its ongoing performance management framework through the development of a dedicated key performance indicator on data quality. In the recommendation contained in paragraph 228 of its report (A/79/5 (Vol. I)), the Board called for the Administration to improve the monitoring of equipment status and the clean-up of data in Umoja. The relevant steps have been taken and the required results have been demonstrated.	Given that some special political missions continue to implement this recommendation, the Board considers the recommendation to be under implementation.		X		

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142	2023	A/79/5 (Vol. I) , chap. II, para. 232	The Board recommends that relevant departments/offices enhance user access, guidance materials and monitoring mechanisms to improve the timeliness of intangible asset capitalization to ensure that expenditure is appropriately classified and recorded in Umoja in the future.	The Administration requests that this recommendation be closed. Department of Political and Peacebuilding Affairs: Following instructions from and with the assistance of the Office of Programme Planning, Finance and Budget, the Department capitalized three internally developed intangible assets in 2024, including the two applications identified in the previous audit. Office of Programme Planning, Finance and Budget: The Office has further enhanced its year-end instructions and presentation to enforce more prudent management of intangible asset development projects and to emphasize the need for entities to capitalize intangible assets, including internally developed intangible assets. For 2024, entities will be required to provide an overview of all ongoing intangible asset development projects with expected completion dates and will receive additional guidance on the completion or termination of intangible asset projects. Furthermore, the Office has updated the Umoja user access guide to clarify who can obtain access to the Umoja roles needed for the capitalization of intangible assets. United Nations Office at Nairobi: In May 2024, the Office completed the recognition of the cost calculator application of the Division for Conference Services in Nairobi as an internally generated intangible asset. The Office has updated the standard operating procedure for its intangible assets and its clients and launched the standard operating procedure during the closure of the 2024 accounts. Department for General Assembly and Conference Management: In close coordination with the Department of Management Strategy, Policy and	Given that the Administration has taken a series of measures to deal with this issue, the Board considers the recommendation to be implemented.	X			

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143	2023	A/79/5 (Vol. I) , chap. II, para. 239	The Board recommends that the Administration strengthen oversight on utilization of websites/applications to improve their efficiency and effectiveness.	Compliance, the Department for General Assembly and Conference Management has simplified and streamlined financial accounting to capture project costs. Given that the Office of Programme Planning, Finance and Budget agreed to record regular budget post funding in Umoja at the project level, effective 1 January 2025, all project costs, including position costs (regular budget and extrabudgetary), have been captured in Umoja at the work breakdown structure element (individual project account) level. In the first quarter of 2025, the Department for General Assembly and Conference Management closely monitored Umoja transactions and adapted to changes in funding sources, given the challenging liquidity environment. With the improved reporting capabilities, the Department for General Assembly and Conference Management is able to accurately report project costs on a monthly basis and to release additional budgets based on the progress made.	The Economic and Social Commission for Asia and the Pacific (ESCAP) requests that this recommendation be closed. The ESCAP senior management team was briefed on the usage analytics and compliance status of ESCAP websites and applications. The Commission then initiated the annual self-assessment of websites and web applications in the Unite Apps portals of the Office of Information and Communications Technology, updated outdated/missing information, began to brief the business owners on their division's website landscape and made recommendations for consolidating websites and improving compliance. ESCAP has also instituted biannual reporting on website compliance to the ESCAP committee on information	Given that ESCAP has initiated an annual self-assessment of websites and applications, the Board considers the recommendation to be implemented.	X	

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144	2023	A/79/5 (Vol. I) , chap. II, para. 245	The Board recommends that the Administration continue to integrate duplicative system functionalities and data into the further development of new systems under the newly signed service-level agreement with the Office of Information and Communications Technology, thereby enhancing management efficiency and quality.	technology security. In 2025, the Commission completed the annual self-assessment of websites and applications in Unite Apps in coordination with the business focal points and increased to 100 per cent the rate of compliance with reporting requirements.	In accordance with the established service-level agreement, the teams of both the Office of Information and Communications Technology and the Office of Administration of Justice are proactively working on addressing the Board's recommendations. An application programming interface to introduce automatic synchronization between the court case management system application and the case law portal is in its final stage of development. The actual judgments and orders (in the form of PDF files) are included as part of the data push between the two systems. The Office of Administration of Justice is performing full validation of the replication mechanism to ensure an accurate representation of all metadata fields in the targeted system (jurisprudence database). Additional labels, fields and categories for orders have been made available in both the court case management system and the case law portal, in which the registries are planning to publish the digests of selected orders. The current case law portal search engine was also enhanced to support the use of operators, and development efforts focused on introducing an additional functionality to enable users to search the content of uploaded documents, including PDF documents, and the digests of judgments and orders.	Given that the teams of the Office of Information and Communications Technology and the Office of Administration of Justice are proactively working on addressing the Board's recommendations, the Board considers the recommendation to be under implementation.		X	

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145	2023	A/79/5 (Vol. I) , chap. II, para. 258	The Board reiterates the previous recommendation that fully disclose and justify all general temporary assistance positions in the proposed programme budget, especially those exceeding one year in duration, and strengthen the monitoring of long-term general temporary assistance positions.	The Office of Programme Planning, Finance and Budget considers this recommendation to be implemented. As demonstrated in paragraph 10 (c) of the budget guide for the proposed programme budget for 2026, issued in January 2025, and in template 2 for the supplementary information to the budget fascicle, the Programme Planning and Budget Division emphasized the need for full disclosure, during the preparation of the budget fascicle, of information on general temporary assistance by requesting from entities more complete information on posts, including a table of general temporary assistance positions (both those classified as "finite duration" and those classified as "replacement") encumbered for more than 729 days, in line with paragraph 20 of General Assembly resolution 79/257 . In addition, the Division, in accordance with paragraph 20 of that resolution, introduced a key change into the budget guide for the proposed programme budget for 2026 by requesting entities to ensure that general temporary assistance positions were used to meet surge and short-term requirements, and therefore to propose the conversion to posts of general temporary assistance positions of a continuing nature (both those classified as "finite duration" and those classified as "replacement").	Given that, under paragraph 10 (c) of the budget guide for the proposed programme budget for 2026, entities are required to provide an explanation of the continued need for general temporary assistance positions, which are then expected to be considered for potential conversion to posts, and a table of general temporary assistance positions (both those classified as "finite duration" and those classified as "replacement") encumbered for more than 729 days, the Board considers the recommendation to be implemented.	X			
146	2023	A/79/5 (Vol. I) , chap. II, para. 259	The Board recommends that the Administration remind concerned entities to report long-vacant positions funded by the regular budget in the budget documentation, as required in the budget guide.	The Programme Planning and Budget Division considers this recommendation to be implemented. As demonstrated in paragraph 7 of the budget guide for the proposed programme budget for 2026, issued in January 2025 and in template 2 for the supplementary information to the budget fascicle, the Division emphasized the need for full disclosure, during the preparation of the budget fascicle, of	Given that, under paragraph 10 (c) of the budget guide for the proposed programme budget for 2026, entities are required to report on the findings of the review of all actual and anticipated vacant posts (as at 31 March 2025), and to provide eventual	X			

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				information on long-vacant posts. Evidence was provided by the Division to entities for the preparation of the supplementary information to the budget fascicle. The file with the list of long-vacant posts is extracted, prepared by the Division and provided to entities for confirmation, in order to ensure that the information is complete. On the basis of the supporting documentation provided, the Division respectfully requests the closure of this recommendation.	justification for the continued need for posts that have been vacant for two or more years, and that the Programme Planning and Budget Division has provided to entities by email the list of long-vacant positions in order to ensure that the report is complete, the Board considers the recommendation to be implemented.				
147	2023	A/79/5 (Vol. I) , chap. II, para. 271	The Board recommends that the Administration remind entities to review their current practice of using the fixed-term appointment limited modality and reiterate to all entities the need to abide by the recent policy guideline on the fixed-term appointment limited modality.	The Office of Human Resources requests that this recommendation be closed, given that it issued updated guidance on fixed-term limited appointments on 7 January 2025. The updated policy guidance is applicable to all Secretariat entities, including the Office for the Coordination of Humanitarian Affairs, and supersedes any guidance on fixed-term limited appointments that was in place before the issuance of the updated guidance.	Given that the updated guidance has been issued, the Board considers the recommendation to be implemented.	X			
148	2023	A/79/5 (Vol. I) , chap. II, para. 274	The Board recommends that the Administration ensure a timely recruitment process for geographical posts and ensure that appointments from unrepresented or underrepresented countries are in line with relevant targets.	In coordination with relevant stakeholders, the Office of Human Resources, together with the Business Transformation and Accountability Division, will continue to raise awareness among heads of entities of the need to ensure that appointments from unrepresented and underrepresented Member States are aligned with relevant targets.	Given that similar issues continue to be noted, the Board considers the recommendation to be under implementation.		X		
149	2023	A/79/5 (Vol. I) , chap. II, para. 278	The Board recommends that the Administration review the incumbency of geographical posts temporarily occupied by staff without geographical status and make the necessary system changes.	The Office of Human Resources will conduct a review and make system changes, as necessary.	Given that the review is expected to be conducted and system changes are expected to be made, as necessary, the Board considers the recommendation to be under implementation.		X		

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150	2023	A/79/5 (Vol. I) , chap. II, para. 282	The Board recommends that the Administration map the young professionals programme rostering process to identify the challenges in adhering to the established timeline with a view to expediting the process.	The Administration requests that this recommendation be closed because it has developed workflows mapping the young professionals programme rostering process. This initiative enhances the rostering process and helps to identify areas in which efficiency gains may be achieved.	Given that the workflow has been developed to map the young professionals programme rostering process, the Board considers the recommendation to be implemented.	X			
151	2023	A/79/5 (Vol. I) , chap. II, para. 286	The Board recommends that the Administration ensure that the concerned entities prioritize filling P-2 geographical posts by focusing on ageing vacant posts.	The Administration continued, throughout 2024, to prioritize the recruitment of candidates from unrepresented and underrepresented Member States to fill positions in the young professionals programme. Between 8 May and 31 December 2024, the period following the acceptance of the audit recommendation, 39 external candidates were selected for the programme, of which 2 were from unrepresented countries and 37 were from underrepresented countries. This demonstrates that the referenced practice is now being followed. On the basis of the action taken, the Administration requests the closure of this recommendation by the Board.	Given that all external candidates recruited in 2024 are from unrepresented or underrepresented countries, and that recruitment efforts focused on ageing vacant posts, the Board considers the recommendation to be implemented.	X			
152	2023	A/79/5 (Vol. I) , chap. II, para. 290	The Board recommends that the Administration ensure adherence to the newly established process of prioritizing the placement of candidates from unrepresented or underrepresented Member States.	The recommendation has been implemented. The attached table indicates the candidates selected for the young professional programme after the Administration's acceptance (in May 2024) of the recommendation contained in paragraph 286 of A/79/5 (Vol. I) , published on 24 July 2024. The data show that all external candidates selected are from unrepresented or underrepresented Member States and demonstrate that the referenced practice is now being followed. On the basis of the action taken, the Administration requests the closure of this recommendation by the Board.	Given that the recruitment list shows that the external candidates selected in 2024 are from unrepresented or underrepresented Member States, the Board considers the recommendation to be implemented.	X			

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153	2023	A/79/5 (Vol. I) , chap. II, para. 297	The Board recommends that the Administration update the budget guidance to provide more clarity on the establishment, use and reporting of voluntary contribution project positions.	The Administration considers the recommendation to be implemented and requests its closure. While the Office of Programme Planning, Finance and Budget does not have authority over an entity's establishment or use of voluntary contribution project positions, the Office ensures, through the regular-budget guide and the provision of templates (form 4), that entities expecting to have such positions in the next budget cycle disclose them in the regular budget fascicle in a detailed manner. In addition, the Office supports entities in managing these positions during the year, notably by maintaining regular liaison with entities and assisting in clean-up exercises (e.g. upon request, with customized organizational management reports to help them to clean up their staffing tables). During the meeting held on 29 April 2025, the Office explained to the Board the enhancement included in the budget guide for the proposed programme budget for 2026 with regard to the disclosure of voluntary contribution project positions, presented form 4 and explained the support provided to entities throughout the year, notably through clean-up exercises and communication.	Given that entities, through the regular-budget guide and the provision of templates (form 4), will be requested to provide detailed information on all voluntary contribution project posts and that regular clean-up exercises will be conducted for voluntary contribution projects lasting one year or longer, the Board considers the recommendation to be implemented.	X			
154	2023	A/79/5 (Vol. I) , chap. II, para. 303	The Board recommends that the Administration request the entities to review the use of temporary appointments and reiterates to entities the need to use temporary appointments to meet only short-term needs that are of temporary nature.	The Administration considers this recommendation to be implemented. The Administration has reiterated to entities, through the revised policy and broadcast, that temporary appointments should be used only for short-term needs. The Administration has also reiterated that entities should consider the use of fixed-term appointments or the fixed-term appointment-limited modality in lieu of temporary appointments for positions of one year or longer. The Administration respectfully requests the closure of the	Given that the Administration has reiterated to entities the need to use the fixed-term appointment-limited modality instead of temporary appointments in the scenario mentioned in the audit finding that led to the recommendation, the Board considers the recommendation to be implemented.	X			

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						Implemented	Under implementation	Not implemented	Overtaken by events
155	2023	A/79/5 (Vol. I) , chap. II, para. 312	The Board recommends that the Administration revise the organization of the implementation of the 40 category strategies by classifying them as core or bespoke to ensure a manageable and efficient workplan, in line with the available resources, and consider setting appropriate key performance indicators.	recommendation because it has clearly demonstrated that it has implemented the measures required. The Administration has revised the 40 category strategies by classifying them as core and bespoke. The minutes of the meeting in which the revision was approved were made available to the Board.	The Board reviewed the minutes of the governance board for category management and obtained the strategy for some core categories. Therefore, the Board acknowledges the efforts made and considers this recommendation to be implemented.	X			
156	2023	A/79/5 (Vol. I) , chap. II, para. 323	The Board recommends that the Administration develop a strategy to increase the number of potential vendors in the engineering, design and construction category that are interested in working with the United Nations.	The recommendation is under implementation. The Enabling and Outreach Service of the Office of Supply Chain Management continues to collaborate with relevant category management teams to offer support in organizing outreach activities to increase the number of potential vendors for the various core categories. The Administration wishes to highlight that engineering, design and construction is considered a bespoke category; the Office of Supply Chain Management provides support for this category as and when needed. In that regard, the strategy to enable the Office to increase the number of potential vendors for this category is to: (a) identify upcoming solicitation requirements by reviewing the rolling supply chain plan; (b) collaborate with client entities and other stakeholders on major solicitation processes entailing design and construction services in order to obtain better feedback from clients on the specificity of their requirements, so that the outreach strategy can provide effective results; (c) analyse the specific market	The initial target date is June 2025 and work is ongoing. The Board considers this recommendation to be under implementation.		X		

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				conditions, including by identifying qualified vendors already registered with the United Nations Global Marketplace and (d) reach out to other qualified vendors that can contribute to achieving the end results of effective international competition, including through advertisements, category-specific business seminars and/or outreach to Member States in order to inform them of upcoming solicitation requirements and request them to share such information with their business communities, so as to broaden outreach to the relevant vendor base. In view of these considerations, the target date for the development and implementation of the strategy will be the fourth quarter of 2025, with relevant solicitation processes expected to be conducted by then.					
157	2023	A/79/5 (Vol. I), chap. II, para. 330	The Board recommends that the Administration take steps to more accurately forecast the estimated value of a contract as an additional element in the effective assessment of the reasonableness of quoted prices during the financial evaluation for the engineering, design and construction category.	The Administration does not have any recently completed capital projects that would enable it to demonstrate, with concrete examples, the steps being taken to ensure a more accurate estimate. Given the liquidity situation, it is unlikely that the Administration will be able to obtain the funding required for such a project this year, especially considering that there are no approved projects under section 33 for 2025. The recommendation should therefore remain open, with a target implementation date of December 2026. This target date may be further delayed depending on the availability of funding for capital projects in 2026. The Administration would like to reiterate that the implementation of the other projects is contingent on the financial liquidity situation, which remains uncertain.	The Board has not received new information that would enable the closure of the recommendation on the grounds that it has either been implemented or overtaken by events. The Board cannot consider the recommendation to be overtaken by events because the lack of construction projects is temporary and related to the liquidity crisis.		X		

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158	2023	A/79/5 (Vol. I) , chap. II, para. 338	The Board recommends that the Administration ensure that there is a guideline indicating clearly who should take responsibility to follow up, track and report on the referred cases, which should contain guidance on actions to be taken in a timely manner on those cases referred by the United Nations Dispute Tribunal/the United Nations Appeals Tribunal for possible action to enforce accountability.	The draft standard operating procedures relevant to this matter are being prepared; the Administration proposes that the target implementation date be amended to 31 December 2026.	Given that the standard operating procedures relevant to this matter are being prepared and that the Administration proposes that the target implementation date be amended to 31 December 2026, the Board considers the recommendation is under implementation.		X		
159	2023	A/79/5 (Vol. I) , chap. II, para. 343	The Board recommends that, subject to the legal framework, the Administration better track recoveries that were identified in the recommendations of the Office of Internal Oversight Services.	The Organization has taken steps to coordinate a review of the end-to-end process, including mechanisms for quantifying losses and updating the guidelines on fraud and presumptive fraud. With regard to the implementation of a mechanism to track recoveries, the Administration emphasizes that case investigations and recoveries are monitored at the entity level, in line with the delegation of authority framework, with heads of entities being accountable as the first line of defence. However, the Administration recognizes the need for a mechanism to track recoveries at the corporate level. To enable corporate-level tracking, beyond the annual information-gathering exercise conducted by the Office of Programme Planning, Finance and Budget, additional capacity would be required to establish a dedicated unit for managing fraud risks, including recovery tracking and the development of a centralized platform to consolidate cases, enabling efficient monitoring and reporting. This initiative would increase	Given that the Office of Human Resources, together with the Office of Programme Planning, Finance and Budget, will coordinate with relevant stakeholders and closely collaborate with OIOS to carry out the relevant work, the Board considers the recommendation to be under implementation.		X		

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				the workload of the Financial Policy and Internal Controls Service, which is already responsible for compiling annual fraud case data. Additional resources would need to be budgeted and approved to support its implementation. In the light of the current liquidity constraints and recent progress on process improvements, the Administration proposes that the recommendation be closed.					
160	2023	A/79/5 (Vol. I) , chap. II, para. 349	The Board recommends that the Administration develop clear guidelines to provide more clarity on the criteria adopted to determine, in the context of management evaluation reviews, whether and how managers who have made inappropriate decisions warrant possible actions to enforce accountability.	The relevant standard operating procedures are under preparation.	Given that the relevant standard operating procedures are under preparation, the Board considers the recommendation to be under implementation.		X		
161	2023	A/79/5 (Vol. I) , chap. II, para. 354	The Board recommends that the Administration establish guidelines or standard operating procedures for determining the cost-effectiveness of further action to ascertain the amount of losses, and, subject to the applicable legal framework: (a) for recovering financial losses resulting from established misconduct; and (b) for ensuring that financial losses identified by the Office of Internal Oversight Services or through other investigative processes are duly recovered to the greatest extent possible.	The recommendation is under review; the Administration proposes that the target implementation date be amended to December 2026.	Given that the recommendation is under review and the Administration proposes that the target implementation date be amended to December 2026, the Board considers the recommendation to be under implementation.		X		

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162	2023	A/79/5 (Vol. I) , chap. II, para. 359	The Board recommends that the Administration review the approach to granting the within-grade increment to ensure that it aligns with delivery of results, creating a culture of accountability in the Organization	The revised administrative instruction on performance management and development system (ST/AI/2021/4/Rev.1), which, in its section 15, contains provisions relating to the withholding of within-grade increments, took effect on 1 October 2024. The recommendation should therefore be closed.	Given that the revised administrative instruction on performance management and development system (ST/AI/2021/4/Rev.1), which, in its section 15, contains provisions relating to the withholding of within-grade increment, took effect on 1 October 2024, the Board considers the recommendation to be implemented.	X			
163	2023	A/79/5 (Vol. I) , chap. II, para. 366	The Board recommends that the Administration review its existing processes under the current legal framework in cases where the Organization has suffered a financial loss due to possible gross negligence, to enforce accountability, where appropriate.	The Administration considers this recommendation to be implemented. The Administration conducted a review of existing processes in cases in which the Organization has suffered a financial loss. These processes clarify that the occurrence of a financial loss does not automatically imply gross negligence. Investigations by OIOS are initiated only when there is evidence suggesting gross negligence. OIOS receives investigation requests from the Administration, referrals from internal audits and confidential reports of waste, fraud or mismanagement through the OIOS hotline. When assessing a report, indications of either significant financial loss or reputational risk to the Organization are considered as part of the OIOS investigation intake criteria and result in priority investigation. Where an investigation supports the complaint, an investigation report is sent to the Office of Human Resources for review and consideration of disciplinary action. Staff rule 10.1 (b) provides for the imposition of the administrative measure of financial recovery in cases of established misconduct that is determined to be wilful, reckless or grossly negligent. All quantifiable loss to the	Given that there remains a lack of clear guidelines for the investigation of financial losses incurred by the United Nations, the Board considers the recommendation to be under implementation.		X		

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164	2023	A/79/5 (Vol. I), chap. II, para. 370	The Board recommends that the Administration continue efforts to strengthen the accountability framework for delegation of authority by enhancing the analytical approach to identify systemic issues hampering the improvement of entities' performance against targets, and make concrete recommendations to entities involved on how to improve their performance against the key performance indicators.	Organization is specified for recovery in appropriate cases. The Office of Human Resources prioritizes cases that entail significant financial loss or reputational risk to the Organization. When a disciplinary process is initiated, each relevant entity is notified of the pending process and requested to provide an update on the status of the staff member's employment. This facilitates the timely withholding of final entitlements, as appropriate, in cases in which the staff member resigns in the middle of the disciplinary process. In some cases, the transmission of the necessary documentation to the United Nations Joint Staff Pension Fund may be withheld to delay the payment of a withdrawal settlement or pension entitlements. In addition, OIOS is reviewing the case referred to by the Board of Auditors, as requested in General Assembly resolution 79/246. The Administration has increased targeted monitoring and outreach to entities in 2024 to help them to improve their performance. Results from several response mechanism pilots have helped to improve the first and second lines of defence and shown positive performance trends in some areas. New monitoring tests and analytical procedures are being developed in response to emerging risks and events. This is an area on which the Business Transformation and Accountability Division will continue to focus as part of its continuous improvement approach. As part of the 2025 project for the continuous improvement of the monitoring framework, the Administration plans to document its approach in a standard operating procedure on monitoring of delegation of authority, at which point the recommendation will be implemented.	Given that, in 2024, the Administration enhanced monitoring and developed new mechanisms, and that, as part of its 2025 project for continuous improvement, it is working on documenting its approach in a standard operating procedure on monitoring, the Board considers the recommendation to be under implementation.			X	

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165	2023	A/79/5 (Vol. I) , chap. II, para. 380	The Board recommends that the Administration address the high concentration of geographical representation in the resident coordinator/humanitarian coordinator talent pipeline by attracting and nurturing more personnel from programme countries.	As at 31 December 2024, 62 per cent of the 45 members of the resident coordinator/humanitarian coordinator talent pipeline were from programme countries. A call for expressions of interest to join the talent pipeline was issued in January 2025 in order to replenish the pipeline and continue to increase geographical diversity. Eligible candidates are being assessed and the outcome of the selection process will be communicated by July 2025.	Geographical diversity is crucial in aligning the resident coordinator's abilities with the needs of countries and the 2030 Agenda for Sustainable Development. Although many measures have been taken, the concentration of geographical representation has not been duly addressed. The Board considers the recommendation to be under implementation.		X		
166	2023	A/79/5 (Vol. I) , chap. II, para. 392	The Board recommends that the Administration engage with the United Nations Sustainable Development Group governance to draw attention to and address the gaps in the implementation of the efficiency gains road map in a timely manner.	The Development Coordination Office continues to work with the United Nations Sustainable Development Group to advance the implementation of the road map. In the meantime, work is ongoing to frame a new road map for the period 2025–2028, based on the lessons learned during the 2022–2024 period.	Given that the objectives of the efficiency road map for 2022–2024 remain unfulfilled and that the new road map for 2025–2028 has yet to be finalized, the Board considers the recommendation to be under implementation.		X		
167	2023	A/79/5 (Vol. I) , chap. II, para. 401	The Board recommends that the Administration work with the United Nations Sustainable Development Group to strengthen the Group's coordination levy operational guidance to ensure the completeness and accuracy of the contributions subject to levy and that adequate information related to the collection of levies and earmarked contributions is obtained from Group member entities.	Notwithstanding its limited capacity, the Development Coordination Office has continued to engage with the members of the United Nations Sustainable Development Group and Member States to promote the application of the coordination levy by continuing to raise the matter at every opportunity, including in bilateral meetings with Member State delegations. Further to the update provided in November 2024, the template has been revised and is now being used by United Nations Sustainable Development Group entities. Moreover, the General Assembly, in its resolution 79/258 , requested the Secretary-General to explore, with a commitment to increasing, revenue generated by the levy through predictable	Given that the Development Coordination Office is now enhancing its capacities with respect to the coordination levy and strengthening the coordination levy operational guidance, the Board considers the recommendation to be under implementation.		X		

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168	2023	A/79/5 (Vol. I) , chap. II, para. 410	The Board reiterates its recommendation that the Administration closely monitor the ongoing recruitment process of resident coordinators to ensure that the posts of resident coordinator and the key posts at resident coordinator offices are filled in an expeditious manner.	measures applied equally to donors. The Office is now enhancing its resource mobilization capacity in order to boost close engagement with the Office's financial management functions on matters relating to the coordination levy and strengthen the coordination levy operational guidance. The Administration is already closely monitoring the ongoing recruitment processes for resident coordinator posts to ensure that resident coordinators are recruited expeditiously. As at 20 March 2025, 118 resident coordinator positions were encumbered (91 per cent), 1 was vacant and 11 were covered by a resident coordinator ad interim (8 per cent), the lowest share since the reform and well below the average vacancy rate in United Nations system agencies. Among the 11 resident coordinator positions covered by a resident coordinator ad interim, 2 are pending government clearance, 3 are under recruitment and 5 have been filled, with the relevant candidates approved to begin their duties in the coming months. Of the 12 posts that had been vacant as at December 2024, 2 had been vacant for a long time, for reasons that are not within the control of the Administration, but rather of Member States. The Administration respectfully reminds the Board that the Administration cannot be held accountable for factors that are not within its control. Of the remaining 10 positions, recruitment for 8 had already been completed, with 6 candidates awaiting government clearance and 2 candidates about to be deployed. Government clearance is the prerogative of Member States; therefore, the Administration cannot be held accountable for it. As for the other two candidates, one	Given that the number of encumbered resident coordinator positions was only 114 (87.7 per cent) as at 26 May 2025, with 16 positions (12.3 per cent) to be filled, the Board is of the view that the vacancy issue has not been duly resolved and therefore considers the recommendation to be under implementation.		X		

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169	2023	A/79/5 (Vol. I) , chap. II, para. 411	The Board recommends that the Administration strengthen measures for reducing the early turnover of resident coordinators to ensure the effective performance of the resident coordinator system.	was deployed on 5 January 2025 and the other was deployed later in 2025, given that his clearance was not received until December 2024, after which he had to complete the required notice period with his previous employer. In conclusion, the Administration can be held accountable only for the fact that, in December 2024, 2 resident coordinator positions of 130 were vacant (1.5 per cent of the total). This fully warrants the closing of this recommendation. The Administration considers the recommendation to be implemented and requests its closure. There is no official definition of early turnover, and each of the alleged cases of early turnover are attributable to one of the three causes enumerated below, all of which are legitimate. The Administration respectfully points out that all the alleged cases of early turnover are provided for in the normative framework of the Organization and are therefore legitimate. The Administration cannot be held accountable for practices that fall squarely within its normative framework. 1. The fact that resident coordinators leave their positions during the last year of their tour of duty is fully in accordance with administrative instruction ST/AI/2022/1 on resident coordinator selection. See paragraph 4.8: "Currently serving resident coordinators are normally eligible to apply if, by the position start date, they have one year or less of service remaining in their current tour of duty." 2. When early departure is due to early retirement or resignation, the Development Coordination Office cannot be held accountable, given that such departures are attributable to the individual decisions of staff members.	In 2024, among the 130 established resident coordinator positions, there were 28 separations that occurred before the end of the resident coordinator's term. While the Administration had provided explanations for these premature departures, the persistently high turnover rate in 2024 continued to impair the resident coordinator system's capacity to effectively deliver its mandate at the country level. The Board considers the recommendation to be under implementation.		X		

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				3. It is within the rights of the Organization to move resident coordinators prematurely for operational reasons and/or exigencies of service. This ensures that the right resident coordinator is in the right location at the right time, as expected by Member States.					
170	2023	A/79/5 (Vol. I) , chap. II, para. 418	The Board recommends that relevant management at Headquarters reviews donor reports to ensure that the appropriate level of information is shared with donors after due scrutiny process.	All donor reporting is conducted in line with the terms outlined in the relevant signed agreements and notes verbales. A thorough due diligence process is followed to ensure that the appropriate level of information is shared with donors. The Administration considers the recommendation to be implemented and requests its closure by the Board.	Given that the relevant due diligence has been done, the Board considers the recommendation to be implemented.	X			
171	2023	A/79/5 (Vol. I) , chap. II, para. 425	The Board recommends that the Administration ensure that a standard and consistent approach is followed in reporting Standby Team of Senior Mediation Advisers activities to donors and ensure that there is equal access by all Member States to non-confidential information on Standby Team activities in a publicly accessible format.	In the third quarter of 2024, the Mediation Support Unit of the Department of Political and Peacebuilding Affairs began to publish, on a quarterly basis on its website, peacemaker.un.org , its updates on the recent activities of the Unit and the Standby Team of Senior Mediation Advisers. This practice ensures a consistent approach to reporting, providing all Member States and donors with equal access to non-confidential information about the activities of the Unit and the Standby Team in a publicly accessible format. The Administration requests the closure of this recommendation by the Board.	Given that the updates have been published quarterly, the Board considers the recommendation to be implemented.	X			
172	2023	A/79/5 (Vol. I) , chap. II, para. 430	The Board recommends that the Administration review the tripartite agreement and ensure that it clearly identifies the responsibilities of the peace and development advisers, as well as of the managers of the agreement, and that the advisers' reports are submitted in a timely,	The tripartite agreement was updated and approved by the Joint Programme Steering Committee on 4 December 2024 and is being circulated to country offices for signature. The revised tripartite agreement was circulated to peace and development advisers at the end of December 2024 and is included in the induction package for newly deployed peace and development advisers.	Given that the tripartite agreement was updated and approved by the Joint Programme Steering Committee on 4 December 2024 and is being circulated to country offices for signature, the Board considers the recommendation to be implemented.	X			

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			consistent manner, following a standardized report template.	Reporting requirements are clarified in section 2.3. of the revised document. The peace and development advisers are also expected to maintain close contact with relevant focal points in UNDP and the Department of Political and Peacebuilding Affairs through regular exchanges. The peace and development advisers are responsible for providing regular analytical reports and context-specific updates to the resident coordinator, UNDP (Regional Representative, Regional Bureau), and the Department of Political and Peacebuilding Affairs-Department of Peace Operations regional division. Reports should be prepared monthly unless otherwise agreed. A different reporting frequency can be adopted, if required by the country context, and agreed upon by the managers of the tripartite agreement. Recipients are invited to provide feedback on the reports and to share information with peace and development advisers to ensure mutual exchange and information-sharing. In the analytical reporting guidelines for the peace and development advisers, more information is provided on the expected frequency and format of, and the responsibilities relating to, reporting. The Department of Political and Peacebuilding Affairs requests the closure of this recommendation.					
173	2023	A/79/5 (Vol. I), chap. II, para. 435	The Board recommends that the Administration use appropriate methods and reporting channels, in particular multi-year appeal reports, to provide additional information on Member States' requests for assistance and the nature of any assistance provided.	The Administration has taken action to implement this recommendation by creating a specific section in the multi-year appeal reports of the Department of Political and Peacebuilding Affairs, including in the most recent multi-year appeal report, which contains additional information about requests from Member States and the nature of the assistance provided, including examples of such assistance.	Given that a specific section has been created in multi-year appeal reports, the Board considers the recommendation to be implemented.	X			

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174	2023	A/79/5 (Vol. I) , chap. II, para. 447	The Board recommends that the Administration, in alignment with the global guidelines for country-based pooled funds, clearly disclose, for allocations that are not fully competitive, the partner preselection criteria.	The preselection process was clarified in the guidance note distributed to all fund managers and Humanitarian Financing Units in December 2024 and shared with the Board of Auditors. Therefore, the Administration considers this recommendation to be implemented and requests its closure by the Board.	Given that the preselection process has been clarified in the guidance note, which has been drafted and shared with all fund managers and Humanitarian Financing Units, the Board considers the recommendation to be implemented.	X			
175	2023	A/79/5 (Vol. I) , chap. II, para. 448	The Board also recommends that the Administration continue to conduct a substantive review of the allocation strategies to ensure their quality and alignment with the global guidelines for country-based pooled funds.	The Humanitarian Financing Units shares the draft allocation strategy with Headquarters for review and feedback, and meetings are held for clarification purposes, as necessary. The process has been clarified in the global fund managers' workshop and other forums. We consider this recommendation to be implemented and request that it be closed.	Given that the review process for the allocation strategy has been clarified, the Board considers the recommendation to be implemented.	X			
176	2023	A/79/5 (Vol. I) , chap. II, para. 453	The Board recommends that the Administration follow the global guidelines for country-based pooled funds on the pre-identification of partners in the reserve allocation only.	A guideline emphasizing that funding may be provided to pre-identified partners in the reserve allocation modality only has been prepared to increase awareness among all Humanitarian Financing Units. We consider this recommendation to be implemented and request that it be closed.	Given that a guideline has been formulated to emphasize that funding may be provided to pre-identified partners in the reserve allocation modality only, the Board considers the recommendation to be implemented.	X			
177	2023	A/79/5 (Vol. I) , chap. II, para. 461	The Board recommends that the Administration enhance oversight of the management of funds, especially regarding the use of a separate interest-bearing bank account, where available, accounting separately for the project expenditures, and inform the third-party auditors of the funds of \$7.83 million and take follow-up actions.	The global guidelines address the use of separate interest-bearing accounts. The Office for the Coordination of Humanitarian Affairs verified the relevant bank records, which confirmed that no loss had been incurred, and the availability of supporting documents relating to the \$7.83 million. However, the Office will, in the future, ensure that implementing partners maintain proper documentation for audit verifications. We consider this recommendation to be implemented and request that it be closed.	Given that the issue of projects failing to use separate interest-bearing accounts when required was identified, once again, in the audit for the 2024 financial year, the Board considers the recommendation to be under implementation.		X		

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178	2023	A/79/5 (Vol. I) , chap. II, para. 469	The Board recommends that the Administration continue to verify the eligibility of all project expenditures through third-party audit firms following completion of the projects, especially with regard to the eligibility of the above-mentioned non-project overhead costs, in accordance with the global guidelines for country-based pooled funds.	Third-party audits are under way to verify the eligibility of the relevant project expenditure, and a response regarding the eligibility of the expenditure will be provided once the audits are complete.	Given that third-party audits are under way to verify the eligibility of relevant project expenditure, the Board considers the recommendation to be under implementation.		X		
179	2023	A/79/5 (Vol. I) , chap. II, para. 477	The Board recommends that the Administration expand actions to hold accountable partners that do not refund losses due to fraud by strengthening arrangements for sharing information with other United Nations agencies about those partners.	The Office for the Coordination of Humanitarian Affairs is working on strengthening arrangements for sharing information with other United Nations agencies about partners that have not refunded losses due to fraud and will provide an update in accordance with the timeline previously indicated (June 2025).	Given that information is being shared with other United Nations agencies about partners who have not refunded fraud-related losses, the Board considers the recommendation to be under implementation.		X		
180	2023	A/79/5 (Vol. I) , chap. II, para. 484	The Board recommends that the Administration review and update the guidance on the sharing of fraud case-related information to provide clear minimum criteria for identifying recipients to ensure the security of sensitive information of the Organization, while recognizing that discretion may be required in certain cases to include additional recipients.	The Office for the Coordination of Humanitarian Affairs is working on updating the communication guidelines, in accordance with the timeline previously indicated (June 2025).	Given that the Office for the Coordination of Humanitarian Affairs is working on updating the communication guidelines, the Board considers the recommendation to be under implementation.		X		

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181	2023	A/79/5 (Vol. I) , chap. II, para. 492	The Board recommends that the Administration continue to regularly monitor the composition and rotation of Advisory Board members, which should include periodic rotation of members to the extent possible and in view of practical considerations, to ensure that the actual composition is optimized in support of its remit.	Humanitarian Financing Units, in line with the global guidelines and operational manuals, monitor the rotation of the members of their Advisory Boards on the basis of their respective rotational-in-country cycles. This varies by fund. The relevant information is collected regularly and included in each fund's annual report. We consider this recommendation to be implemented and request that it be closed.	Given that Humanitarian Financing Units monitor the rotation of the members of their Advisory Boards and that information about rotation is collected regularly and included in each fund's annual report, the Board considers the recommendation to be implemented.	X			
182	2023	A/79/5 (Vol. I) , chap. II, para. 500	The Board reiterates its previous recommendation that the Administration ensure all ICT budget proposals are reviewed on the basis of the same standard and method.	The Office of Information and Communications Technology requests the closure of the recommendation. The Office has implemented several measures to enhance the compliance, consistency and accuracy of ICT budget proposal submissions. This consistent approach has led to a significant improvement in compliance. A total of 90 per cent of regular budget entities and special political missions submitted their budget proposals to the Office for review, compared with 70 per cent in the previous cycles. In 2024, the Office was working on the 2026 budget submissions. The attachments provided as evidence were generated in 2024 but apply to 2026.	Given that the budget review conducted in 2024 for 2026 had a compliance rate of 90 per cent, the Board considers the recommendation to be implemented.	X			
183	2023	A/79/5 (Vol. I) , chap. II, para. 501	The Board also recommends that the Administration ensure that all United Nations Secretariat entities submit ICT projects with a cost of over \$1 million (over a four-year period) to the ICT Steering Committee for approval.	The Office of Information and Communications Technology requests that this recommendation be closed. To ensure that all Secretariat entities submit to the Information and Communications Technology Steering Committee for approval ICT projects with a cost exceeding \$1 million (over a four-year period), the Office has taken the following steps:	Given that, although total ICT expenditure amounted to \$790 million in 2024, the Information and Communications Technology Steering Committee reviewed only one project, valued at \$1.48 million, and that the Project Review Committee held no meetings during 2024, the Board considers the		X		

No.	Audit report year	Report reference	Recommendation of the Board	Administration's response	Board's assessment	Status after verification			
						Implemented	Under implementation	Not implemented	Overtaken by events
				- On 18 November 2024, the Office issued a memo to Secretariat entities in which reference was made to a previous memo issued in January 2023. Both memos emphasized the requirement for entities to comply with the ICT governance and accountability framework, specifically highlighting the need for entities to submit projects for approval by ICT governance bodies, such as the Information and Communications Technology Steering Committee. - The Office has established an ICT budget review process with Secretariat entities to identify projects that require approval by the Information and Communications Technology Steering Committee. The Office is following up directly with entities to ensure that projects meeting the Information and Communications Technology Steering Committee threshold are submitted for approval. - On 19 February 2025, the Office issued another memo to Secretariat entities regarding the tracking of the implementation of the ICT strategy. This tracker includes a list of projects identified by entity, along with their associated costs and timelines. The Office is working with entities to identify which projects meet the Information and Communications Technology Steering Committee approval threshold to enforce adherence to the ICT governance processes. In line with the evidence provided above and the attached documentation, the Office requests that the recommendation be considered implemented.	recommendation to be under implementation.				

No.	Audit report year	Report reference	Recommendation of the Board	Administration's response	Board's assessment	Status after verification			
						Implemented	Under implementation	Not implemented	Overtaken by events
184	2023	A/79/5 (Vol. I) , chap. II, para. 507	The Board recommends that the Administration ensure that the Office of Information and Communications Technology, in coordination with the Procurement Division and end-user entities, follows up with the contractors to ensure that the discounts due for information and communications technology contracts are collected in full and in a timely manner.	The Administration has resolved discount-related matters across contracts between the United Nations and vendors. This included the reconciliation of outstanding amounts, implementation of a credit note mechanism, proactive discount application resulting in cost savings, mutual offsetting of dues and acknowledgement of additional discretionary discounts in certain cases. Some vendor negotiations will proceed to an additional round.	Given that negotiations with vendors on discounts due are ongoing, the Board considers the recommendation to be under implementation.		X		
185	2023	A/79/5 (Vol. I) , chap. II, para. 518	The Board recommends that the Administration ensure that the Office of Information and Communications Technology, together with respective entities, updates the cloud strategy in a timely manner to align it with the latest information and communications technology landscape and business requirements, enhances public cloud resource utilization and implements cost-saving measures, as appropriate.	The Administration considers the recommendation to be implemented and requests its closure. The role of the Office of Information and Communications Technology is to ensure that the relevant contractual arrangements are in place and that the cloud strategy is updated, promulgated and implemented. The Office believes that it has successfully performed its role in this regard and has provided evidence to that end. The utilization of cloud resources is a business decision made by entities. Cloud utilization will always be variable and will change constantly. Details on the variable nature of the utilization of cloud resources have been provided. Given that there are effective contracts in place and as a new cloud strategy has been approved and promulgated, the Office requests that this recommendation be closed.	Given that the Board could not determine the extent of the improvement of cloud utilization from the details provided, the Board will request further evidence during the next audit. The Board considers the recommendation to be under implementation.		X		

No.	Audit report year	Report reference	Recommendation of the Board	Administration's response	Board's assessment	Status after verification				
						Implemented	Under implementation	Not implemented	Overtaken by events	
186	2023	A/79/5 (Vol. I) , chap. II, para. 525	The Board recommends that the Administration ensure that the Office of Information and Communications Technology strengthens its monitoring and reminder mechanisms to guide entities in Microsoft 365 accounts management and reduce any financial losses.	The Office of Information and Communications Technology requests that this recommendation be closed. Sample email communications regarding the deprovisioning of inactive Microsoft 365 user accounts, which were previously shared with the relevant entities, have been provided to the Board of Auditors as supporting evidence. The updated lists of the inactive accounts affected were also submitted to the Board.	Given that various United Nations departments have actively addressed the audit recommendations by cleaning up redundant Microsoft 365 accounts, resulting in a significant reduction in the total number of accounts from more than 65,000 to just over 60,000, the Board considers the recommendation to be implemented.	X				
187	2023	A/79/5 (Vol. I) , chap. II, para. 531	The Board recommends that the Administration clearly define the scope of ICT security, including key central and local roles and responsibilities in the United Nations ICT accountability framework as part of the ICT governance structure, and ensure that they are properly implemented.	The Office of Information and Communications Technology is in the process of incorporating the definition of the scope of ICT security, including specific central and local roles and responsibilities, into the ICT accountability framework.	Given that the scope of ICT security, including specific central and local roles and responsibilities, are included in the draft ICT accountability framework, the Board considers the recommendation to be under implementation.		X			
Total						187	84	86	–	17
Percentage						100	45	46	–	9

Annex II

Status of implementation of recommendations up to the financial year ended 31 December 2022 on the Umoja system

No.	Audit report year	Report reference	Recommendation of the Board	Administration's response	Board's assessment	Status after verification			
						Implemented	Under implementation	Not implemented	Overtaken by events
1	2017	A/73/169 , para. 38	The Board recommends that: (a) the Administration should develop an Umoja benefit realization plan, with an emphasis on improvements resulting from Umoja-based business processes and monitoring of the processes to leverage further benefit realization; (b) the Administration should maintain adequate documentation supporting the computation of quantitative figures for benefit realization; and (c) the Administration should identify a coordinating division/unit as a primary process owner of benefit realization responsible for (i) monitoring the process of benefit realization, (ii) engaging stakeholders of the various units and divisions, and (iii) continuous monitoring.	The Administration notes that, during the meeting held in September 2022 of the Benefits Working Group, it was agreed that benefits from previous Umoja deployments would not be tracked. This decision was based on several factors, including the absence of meaningful data and a baseline for measurement, the limited added value of such an exercise, the diversion of resources currently allocated to Umoja enhancements and support, and the potential need for additional resources to initiate this task. The Administration considers this recommendation to have been overtaken by events and requests its closure by the Board.	Given the meeting notes provided as supporting documentation, the Board considers the recommendation to be overtaken by events.				X
2	2017	A/73/169 , para. 57	The Board recommends that the Administration complete the clean-up exercise in time for the annual time certification exercise.	The Administration completed the clean-up activity for the 58 cases involving negative home leave balances. In addition, on 14 April 2023, a solution was successfully implemented in Umoja to prevent the accrual of negative home leave balances going forward. The Administration considers this recommendation to have been implemented and requests its closure by the Board.	Given that the clean-up exercise has been completed, the Board considers the recommendation to be implemented.	X			

No.	Audit report year	Report reference	Recommendation of the Board	Administration's response	Board's assessment	Status after verification			
						Implemented	Under implementation	Not implemented	Overtaken by events
3	2018	A/74/153 , para. 82	The Board recommends that the Administration automate the execution of the main payment proposal in Umoja and minimize the exceptions for which the execution of an ad hoc payment proposal may be required.	The Administration has centralized the execution of the main payment proposal in Umoja, which is scheduled daily as part of the daily cash management processes performed by the Cashier Section at United Nations Headquarters. The Enterprise Resource Planning Solution Division conducted a monitoring exercise in which it found that there had been very few exceptions, which indicates that transaction code F110 is used responsibly by a limited number of cashiers for the specific purposes agreed upon by the Administration. This demonstrates that the risk resulting from cashiers using ad hoc payment proposals is low. The Administration considers that the risk is more than offset by the benefits of sharing – with a limited number of cashiers outside the Cashier Section – the responsibility for diagnosing issues preventing payment.	Given that the Administration has centralized the execution of the main payment proposal in Umoja, the Board considers this audit recommendation to be implemented.	X			
4	2018	A/74/153 , para. 83	The Board recommends that the Administration review the master data for banking details to identify and correct cases, where necessary, of multiple vendors associated with the same bank account.	The Administration has made substantial progress in reviewing the records of business partners that share bank accounts. Data from multiple sources in Umoja have been extracted and integrated to provide a comprehensive view of all elements relevant to assessing the legitimacy of shared bank accounts among specific business partners. The Administration is taking steps to block records for which there is no valid justification for the sharing of bank accounts. As part of this exercise, the Administration also identifies and blocks inactive	Given that global sourcing allows access to new suppliers and a broader market, with the potential to reduce costs and increase the variety of offerings in the global marketplace, the Board considers this recommendation to be overtaken by events.		X		

No.	Audit report year	Report reference	Recommendation of the Board	Administration's response	Board's assessment	Status after verification			
						Implemented	Under implementation	Not implemented	Overtaken by events
				business partners, regardless of whether they share bank accounts. The Administration remains committed to strengthening data integrity and expects to complete the review and related documentation by 2026.					
5	2019	A/75/159 , para. 120	The Board recommends that the Administration put in place a strong internal control mechanism to ensure the deprovisioning of user roles in Umoja at the time of separation of staff and appropriate updating of the user roles in Umoja when they leave their functions.	The Administration has completed testing for the implementation of an automatic deprovisioning programme in Umoja, and the deployment details are being finalized.	Given that no further supporting documents have been provided, the Board considers the recommendation to be under implementation.		X		
6	2019	A/75/159 , para. 144	The Board recommends that the Administration take action to develop and use tools to assess whether the learner can use Umoja functionalities effectively after the training programme.	The Administration has developed a methodology to measure learning impact and has used it as part of the human resources partner e-certification training programme, the most comprehensive recent Umoja-related learning offering. The Administration considers the recommendation to have been fully implemented and requests its closure by the Board.	Given that a methodology to measure learning impact has been developed, the Board considers the recommendation to be implemented.	X			
7	2020	A/76/131 , para. 145	The Board recommends that the Administration prepare a detailed plan to achieve a prescribed first level resolution rate calculated on the basis of service requests (not just incidents) and a prescribed overall resolution rate for all service requests received to assess the performance of production support and allocate resources to the different tiers.	On 30 April 2024, the Administration published the updated Umoja production support manual (standard operating procedure) after extensive review and consultation with stakeholders. The standard operating procedure includes a prescribed first level resolution rate calculated on the basis of service requests and a prescribed overall resolution rate for all service requests received to assess the performance of production support.	Given that the updated Umoja production support manual (standard operating procedure) has been published, the Board considers the recommendation to be implemented.	X			

No.	Audit report year	Report reference	Recommendation of the Board	Administration's response	Board's assessment	Status after verification			
						Implemented	Under implementation	Not implemented	Overtaken by events
8	2020	A/76/131 , para. 154	The Board reiterates the recommendation that the Administration put in place a clear governance structure for the continuous improvement monitoring programme, with clearly defined responsibilities, and that it continue working on identifying critical business processes and including them in the programme.	The Administration considers the recommendation to have been fully implemented and requests its closure by the Board. The Administration successfully concluded the continuous improvement monitoring programme in 2019. The workflows monitored had, in large part, reached their peak efficiency, as reported in paragraphs 91–92 of A/74/478 . Following the conclusion of the activities under the continuous improvement monitoring programme, the lessons learned were used for the formulation of the framework of the Benefits Working Group, established in December 2020. A robust change governance framework was established to track ongoing continuous improvements and related benefits. Benefits are reported on by the Benefits Working Group. The Administration considers this recommendation to have been implemented and requests its closure by the Board.	Given that a robust change governance framework was established to track ongoing continuous improvements and related benefits, the Board considers the recommendation to be overtaken by events.				X
9	2020	A/76/131 , para. 162	The Board recommends that the Administration conduct a survey for user adoption of the iLearn Umoja forum and evaluate the utilization of this training resource.	The Administration has finalized its analysis of a cross-cutting survey on Umoja learning needs, which will guide Umoja learning priorities and approaches from mid-2023 onward, including by providing insights into the effectiveness of the forum modality within iLearn Umoja. The executive summary of the Umoja learning needs analysis, along with a two-page companion document, was shared with the Board. The Administration considers this recommendation to be implemented and requests its closure by the Board.	Given that the executive summary of the Umoja learning needs analysis and a two-page companion document has been published, the Board considers the recommendation to be implemented.	X			

No.	Audit report year	Report reference	Recommendation of the Board	Administration's response	Board's assessment	Status after verification			
						Implemented	Under implementation	Not implemented	Overtaken by events
10	2020	A/76/131 , para. 182	The Board recommends that the Administration reflect the updated quantitative benefits in the next progress report.	The Administration notes that, during the Umoja Steering Committee meeting held in December 2020, the Committee endorsed the benefits realization plan, which provides for the transfer of responsibility for the monitoring and tracking of Umoja benefits to the Business Transformation and Accountability Division. Benefits realized through the implementation of the Umoja Foundation and Extension 1 solutions were fully absorbed within the Umoja system. Any future benefits arising from the implementation of Umoja Extension 2 solutions and from continuous improvements would be reported in the business owners' budgetary proposals, rather than in the progress report of the Secretary-General on the functioning and development of the Umoja system, and would be monitored by the Business Transformation and Accountability Division and the Office of Programme Planning, Finance and Budget.. The Administration considers this recommendation to have been overtaken by events and requests its closure by the Board.	Given that the benefits realization plan, which provides for the transfer of responsibility for the monitoring and tracking of Umoja benefits to the Business Transformation and Accountability Division, was endorsed, the Board considers the recommendation to be overtaken by events.				X
11	2021	A/77/135 , para. 43	The Board recommends that the Administration establish a common standard for project planning and monitoring across different tools, such as clear documentation of scheduled dates, actual completion dates and the identification of critical paths.	The Administration rolled out a common standard project management tool in 2023 and it has since been used for all major projects, namely, the Umoja EhP8 upgrade and the implementation of Umoja Analytics. The tool provides clear documentation of scheduled dates, actual completion dates and critical paths, as required. The	Given that a common standard project management tool was rolled out in 2023 and has since been used for all major projects, the Board considers the recommendation to be implemented.	X			

No.	Audit report year	Report reference	Recommendation of the Board	Administration's response	Board's assessment	Status after verification			
						Implemented	Under implementation	Not implemented	Overtaken by events
12	2021	A/77/135 , para. 109	The Board recommends that the Administration continue to conduct user satisfaction surveys for each Umoja Extension 2 solution to identify areas for improvement and further optimization in order to drive user adoption.	Administration considers this recommendation to have been implemented and requests its closure by the Board. Since 2020, the Administration has established a robust change management process that encompasses the entire Umoja system, not just Umoja Extension 2 solutions, and is overseen by a strong governance structure under the Umoja Change Board. In addition, significant effort has been put into organizational and business transformation through continuous improvements to the system, along with ongoing outreach to business users to better understand customer satisfaction with the Umoja system. Supporting documents from meetings of the Umoja Change Board and the Benefits Working Group were submitted as evidence. The Administration considers this recommendation to have been addressed.	Given that the Administration has implemented a large-scale management enhancement for Umoja, the Board considers this audit recommendation to be implemented.	X			
13	2021	A/77/135 , para. 132	The Board recommends that the Administration establish a data verification mechanism for the interface between Umoja and Inspira, on a quarterly basis, for the data fields identified.	In March 2023, the Administration implemented a new interface between Umoja and Inspira to address the data quality issues identified by the Board during its previous audit. This interface is based on a Simple Object Access Protocol (SOAP)-based web service to ensure increased interoperability between systems. The relevant business requirement document includes the Inspira interface requirements. The Administration considers this recommendation to have been implemented and requests its closure by the Board.	Given that the new interface has been implemented, the Board considers the recommendation to be implemented.	X			

No.	Audit report year	Report reference	Recommendation of the Board	Administration's response	Board's assessment	Status after verification			
						Implemented	Under implementation	Not implemented	Overtaken by events
14	2021	A/77/135 , para. 138	The Board recommends that the Administration review and rectify, as required, the inaccurate grant values and/or total billing amounts in grant master data that have been identified, and update job aids with additional guidance to reinforce the process as required.	A review of the inaccurate grant values and/or total billing amounts in grant master data has been conducted for more than one year, resulting in the initial discovery of 908 discrepancies, 504 of which remained as at 31 January 2025. Most of the remaining items are not real discrepancies because they are attributable to manual billing and funds transfers between offices, and two documents were submitted as evidence to support this conclusion. More important, such information does not affect the balance reported in the financial statements directly. Given that action has been taken to monitor and correct the information stated in the master data, where applicable, and there is no direct financial impact on the official book of record, the Administration considers this recommendation to have been addressed.	Given that the Administration has conducted a review of the discrepancies and eliminated the risk of false reporting, the Board considers the recommendation to be implemented.	X			
15	2021	A/77/135 , para. 147	The Board recommends that the Administration finalize the United Nations business intelligence standard operating procedure in a timely manner and consider the certification of data models that are used with a high frequency as a high priority.	The Administration successfully completed the migration of certified data models to Umoja Analytics on schedule, on 31 December 2023. A total of 327 models across various business areas have been migrated, as prioritized by the functional subgroups. The overall objective of certifying and integrating vital and high-usage data models into the Umoja data catalogue has been achieved. The number of models is less than the 400 anticipated because some are no longer being used and the data from others were merged. This resulted in fewer but more robust models.	Given that the certification of data models in Umoja Analytics has been standardized, the Board considers the recommendation to be implemented.	X			

No.	Audit report year	Report reference	Recommendation of the Board	Administration's response	Board's assessment	Status after verification			
						Implemented	Under implementation	Not implemented	Overtaken by events
16	2021	A/77/135 , para. 154	The Board recommends that the Administration evaluate the current Umoja production support model, clearly document an oversight and accountability mechanism to address the service requests as required by the service-level agreement, and update production support standard operating procedures accordingly.	Umoja business intelligence has been transformed into Umoja Analytics. This shift will improve decision-making and provide the Organization with data-driven insights from advanced analytics to empower better decision-making at all levels. It will also enhance efficiency, providing real-time access to information to help to streamline operations and improve resource allocation. The use of Umoja Analytics will also increase agility, improving forecasting and scenario planning, which will enable the Organization to swiftly adapt to changing conditions. The Administration considers the recommendation to have been fully implemented and requests its closure. On 30 April 2024, the Administration published the updated Umoja production support manual (standard operating procedure) after extensive review and consultation with stakeholders. The standard operating procedure includes a documented oversight, monitoring and reporting mechanism to address the service requests as required by the service-level agreement. The Administration considers the recommendation to have been fully implemented and requests its closure by the Board.	Given that the updated Umoja production support manual (standard operating procedure) has been published, the Board considers the recommendation to be implemented.	X			

No.	Audit report year	Report reference	Recommendation of the Board	Administration's response	Board's assessment	Status after verification			
						Implemented	Under implementation	Not implemented	Overtaken by events
17	2021	A/77/135 , para. 206	The Board recommends that the Administration update the estimation of total cost of ownership by considering the cost impact of technology upgrades, once the technology path has been approved.	The Administration continues to estimate, monitor and report on the total cost of ownership for the period up to 2030. The current estimated total cost of ownership reflects the total cost of Umoja during its life cycle, which includes any known or anticipated future technology upgrades. The Administration considers this recommendation to have been implemented and requests its closure by the Board.	Given that new information relating to the total cost of ownership, including the estimated cost of the technology upgrades, was provided, the Board considers the recommendation to be implemented.	X			
Total						17	12	2	–
Percentage						100	70	12	–

Annex III

Status of implementation of recommendations up to the financial year ended 31 December 2020 on information and communications technology affairs

No.	Audit report year	Report reference	Recommendation of the Board	Administration's response	Board's assessment	Status after verification			
						Implemented	Under implementation	Not implemented	Overtaken by events
1	2012	A/67/651 , para. 31	The Board recommends that, in order to enable greater consistency and transparency with regard to information and communications technology funding and budgets and allow better management of costs and effective prioritization, the Controller require that proposed ICT budgets set out: (a) the cost of running day-to-day services; (b) the cost of licences and maintenance costs for existing systems; (c) costs related to upgrading existing service delivery (e.g. to improve security); and (d) new costs, including strategic requirements.	The Office of Information and Communications Technology considers this recommendation to have been implemented. In their joint memo, issued on 20 December 2024 under reference No. DOS-2023-04868, the Assistant Secretary-General, Chief Information and Technology Officer, and the Controller instructed all entities to submit ICT-related budget proposals to be reviewed and technically cleared by the Office of Information and Communications Technology. This is done prior to the submission of the complete budget proposals to the Office of Programme Planning, Finance and Budget by the established deadlines, and the review includes points (a), (b), (c) and (d) set out in paragraph 31 of A/67/651 .	Given that requirements have been introduced for draft ICT budget proposals to be submitted to the Office of Information and Communications Technology for review and technical clearance, the Board considers the recommendation to be implemented.	X			
2	2012	A/67/651 , para. 68	The Board recommends that the Administration develop a fit-for-purpose governance framework to oversee the strategic development of ICT across the United Nations. This governance framework should clearly set out roles, accountabilities and responsibilities and ensure that decision-making bodies operate distinctly from consultative and advisory forums.	The ICT accountability framework is in its final stages of drafting. The draft document will then be reviewed with key stakeholders. It is expected that the draft framework will be circulated to stakeholders for consultation in the first quarter of 2025 and be ready for issuance in the second quarter of 2025.	Given that this recommendation requires the same action as the recommendation set out in paragraph 560 in chapter II of A/77/5 (Vol. I) , the Board considers the recommendation to be overtaken by events.				X

No.	Audit report year	Report reference	Recommendation of the Board	Administration's response	Board's assessment	Status after verification			
						Implemented	Under implementation	Not implemented	Overtaken by events
3	2017	A/72/151 , para. 40	The Board recommends that the Office of Information and Communications Technology complete the task of formulating and promulgating ICT policies in a time-bound manner and establish the proposed self-regulatory compliance function.	Secretary-General's bulletin ST/SGB/2024/3 was promulgated on 13 March 2024. The Office of Information and Communications Technology will provide a quarterly update on the revision of the technical policies and guidance. The policy revision is an ongoing process. The Administration considers this recommendation to be implemented and requests its closure by the Board.	Given that Secretary-General's bulletin ST/SGB/2024/3 has been promulgated, the Board considers the recommendation to be implemented.	X			
4	2017	A/72/151 , para. 106	The Board recommends that a clear road map be developed to realize cost optimization benefits through global sourcing.	Global sourcing opens the Organization to international trade and all Member States, thereby allowing access to new suppliers and a broader market, with the potential to reduce costs and increase the variety of offerings in the global marketplace. The use of competitive bidding for large-scale Secretariat-wide requirements represents the most effective means of ensuring cost optimization. The Administration considers this recommendation to be implemented and requests its closure by the Board.	Given that the category management strategy remains under development, the Board considers this recommendation to be overtaken by events.				X
5	2018	A/73/160 , para. 126	The Board recommends that the Administration identify and document global sourcing opportunities along with an estimation of savings.	The seventh and final category management strategy, covering the area of communication infrastructure and radio systems, was approved on 20 December 2022. The Administration considers this recommendation to be implemented and requests its closure by the Board.	Given the information provided by the Administration, the Board considers the recommendation to be implemented.	X			

No.	Audit report year	Report reference	Recommendation of the Board	Administration's response	Board's assessment	Status after verification			
						Implemented	Under implementation	Not implemented	Overtaken by events
6	2019	A/74/177 , para. 20	The Board recommends that the Office of Information and Communications Technology develop an appropriate compliance model including a self-assessment mechanism for all policies, where feasible, and coordinate with stakeholders to ensure better compliance.	A compliance model has been developed; it represents a coherent, independent and holistic approach to monitoring and compliance. The compliance model is now available for the Board's review. The Administration considers this recommendation to be implemented and requests its closure by the Board.	Given the information provided by the Administration, the Board considers the recommendation to be implemented.	X			
7	2020	A/75/156 , para. 34	The Board recommends that the Office map the functions, roles and responsibilities of the divisions, sections and services within the Office, based on the report of the Secretary-General (A/72/492/Add.2), in order to avoid overlapping and duplication of functions.	The Office of Information and Communications Technology requests the closure of the recommendation. Please see Secretary-General's bulletin ST/SGB/2016/11 , in which the functions and responsibilities of each division and service are outlined. Please also see paragraphs 261–274 of the report of the Secretary-General on shifting the management paradigm in the United Nations: implementing a new management architecture for improved effectiveness and strengthened accountability (A/72/492/Add.2), in which this is described further.	Given that this recommendation requires the same action as the recommendation set out in paragraph 721 in chapter II of A/76/5 (Vol. I) , the Board considers the recommendation to be overtaken by events.				X
8	2020	A/75/156 , para. 50	The Board recommends that the Office develop an accountability framework for ICT and that it monitor its implementation in line with its role as a second line of defence for ICT functions.	The ICT accountability framework is in its final stages of drafting. The draft document will then be reviewed with key stakeholders. It is expected that the draft ICT accountability framework will be circulated to stakeholders for consultation in the first quarter of 2025 and be ready for issuance in the second quarter of 2025.	Given that this recommendation requires the same action as the recommendation set out in paragraph 560 in chapter II of A/77/5 (Vol. I) , the Board considers the recommendation to be overtaken by events.				X

No.	Audit report year	Report reference	Recommendation of the Board	Administration's response	Board's assessment	Status after verification			
						Implemented	Under implementation	Not implemented	Overtaken by events
9	2020	A/75/156 , para. 181	The Board recommends that the Office prepare a consolidation road map for all pending activities to achieve a fully unified Enterprise Service Desk.	The road map for a fully unified Enterprise Service Desk has been implemented on the basis of funding priorities. The Office of Information and Communications Technology requests that this recommendation be closed.	Given the information provided by the Administration, the Board considers the recommendation to be implemented.	X			
10	2020	A/75/156 , para. 204	The Board recommends that the Administration develop a policy on information management and data privacy, in line with the personal data protection and privacy principles established by CEB.	Secretary-General's bulletin ST/SGB/2024/1 has been promulgated. The Administration requests that this recommendation be closed.	Given that Secretary-General's bulletin ST/SGB/2024/1 has been promulgated, the Board considers the recommendation to be implemented.	X			
11	2020	A/75/156 , para. 210	The Board recommends that the Office of Information and Communications Technology complete the creation of a central repository of data sources or organization-wide data catalogue in consultation with the Executive Office of the Secretary-General.	The pilot data catalogue was implemented and is fully functional and available. Using recently procured software, the Office of Information and Communications Technology has also begun to work on an upgrade to enhance, on the basis of an industry standard platform, the pilot catalogue and integrate it with the data architecture. The Administration considers this recommendation to be implemented and requests its closure by the Board.	Given that the pilot data catalogue is now available, the Board considers the recommendation to be implemented.	X			
12	2020	A/75/156 , para. 226	The Board recommends that the Office of Information and Communications Technology take the necessary steps, in consultation with the Office of Supply Chain Management, to draw up a timeline and complete the revised solicitation process and award of contract for ICT services.	The Procurement Division completed the solicitation process, which was reviewed by the Headquarters Committee on Contracts. Upon the approval by the Assistant Secretary-General for Supply Chain Management of the relevant recommendation made by the Committee, the United Nations awarded three contracts to several vendors. The Office of Information and Communications Technology	Given that the three new contracts for ICT professional services have been approved and awarded, the Board considers the recommendation to be implemented.	X			

No.	Audit report year	Report reference	Recommendation of the Board	Administration's response	Board's assessment	Status after verification				
						Implemented	Under implementation	Not implemented	Overtaken by events	
13	2020	A/75/156 , para. 227	The Board recommends that the Office of Information and Communications Technology prepare detailed transition plans for each of the global sourcing projects for smooth onboarding of the new service providers.	requests that this recommendation be closed. Following the contract award, the Office of Information and Communications Technology issued a memorandum to guide user entities on this transition. The Procurement Division likewise provided a standard operating procedure on the proper use of the three new contracts for ICT professional services. Moreover, the Office of Information and Communications Technology, together with the United Nations Logistics Base at Brindisi, Italy, established a working group to monitor the transition and respond to any queries until the transition is finalized (by the end of June 2024). The Administration and the Office of Information and Communications Technology request that this recommendation be closed.	Given that the three new contracts for ICT professional services have been awarded and operational guidance has been issued, the Board considers the recommendation to be implemented.	X				
Total						13	9	–	–	4
Percentage						100	69	–	–	31

Annex IV

Status of implementation of recommendations up to the financial year ended 31 December 2017 on the capital master plan

No.	Audit report year/biennium	Report reference	Recommendation of the Board	Administration's response	Board's assessment	Status after verification			
						Implemented	Under implementation	Not implemented	Overtaken by events
1	2013–2014	A/70/5 (Vol. V) , summary, para. 17 (d)	The Board recommends that the Administration report the full amount of any savings arising from contract closure and introduce appropriate governance mechanisms to determine the use that can be made of such savings, including specific consideration of returning savings to Member States.	The partial award with respect to phase II of the arbitration was issued in April 2024. Pursuant to the partial award for phase II, the total liability of the United Nations for phase II is \$5,661,654.73. The current cash balance of the capital master plan fund is \$4,053,412. Given that the full amount of the remaining capital master plan savings will be required to settle this award, the Administration requests the closure of this recommendation because there will be no savings to be returned to Member States.	Given that there will be no savings to be returned to Member States, the Board considers the recommendation to be implemented.	X			
Total						1	1	–	–
Percentage						100	100	–	–

Chapter III

Certification of the financial statements

Letter dated 31 March 2025 from the Assistant Secretary-General, Controller, addressed to the Chair of the Board of Auditors

The financial statements of the United Nations for the year ended 31 December 2024 have been prepared in accordance with regulation 6.1 of the Financial Regulations and Rules of the United Nations. The statements cover all funds except peacekeeping operations and the International Residual Mechanism for Criminal Tribunals, which are the subject of separate financial statements.

The summary of significant accounting policies applied in the preparation of these statements is included as notes to the financial statements. The notes provide additional information on and clarification of the financial activities undertaken by the Organization during the period covered by these statements for which the Secretary-General has administrative responsibility.

I certify that the appended financial statements of the United Nations, numbered I to V, are correct in all material respects.

(Signed) Chandramouli **Ramanathan**
Assistant Secretary-General, Controller

Chapter IV

Financial report for the year ended 31 December 2024¹

¹ Please note that, on an exceptional basis for this year, chapter IV, namely the financial report of the Secretary-General for the year ended 31 December 2024, has not been subject to translation in the official languages or publication. The financial report is an integral component of the United Nations statutory reporting, together with the audited financial statements. The United Nations regrets its non-availability. An English version of the 2024 financial report may be obtained from the Office of Programme Planning, Finance and Budget, in the Department of Management Strategy, Policy and Compliance.

Chapter V

Financial statements for the year ended 31 December 2024

Operations of the United Nations as reported in volume I

I. Statement of financial position as at 31 December 2024

(Thousands of United States dollars)

	Reference	31 December 2024	31 December 2023 (restated)
Assets			
Current assets			
Cash and cash equivalents	Note 7	711 719	729 288
Investments	Note 8	3 980 744	3 614 961
Assessed contributions receivable	Note 9	505 853	652 379
Voluntary contributions receivable	Note 10	1 045 083	1 071 830
Other receivables	Note 11	96 745	136 255
Inventories	Note 12	30 163	34 835
Other assets	Note 13	180 434	239 368
Total current assets		6 550 741	6 478 916
Non-current assets			
Investments	Note 8	1 637 809	1 285 953
Voluntary contributions receivable	Note 10	437 746	753 943
Property, plant and equipment	Note 15	3 098 871	3 028 646
Intangible assets	Note 16	163 041	147 164
Share of joint arrangements accounted for using the equity method	Note 25	8 581	8 479
Total non-current assets		5 346 048	5 224 185
Total assets		11 896 789	11 703 101
Liabilities			
Current liabilities			
Accounts payable and accrued liabilities	Note 17	604 128	671 597
Advance receipts and deferred revenue	Note 18	131 493	122 612
Employee benefits liabilities	Note 19	281 075	278 848
Provisions	Note 20	510 867	353 652
Tax equalization liability	Note 21	228 805	291 439
Liabilities for conditional arrangements	Note 22	85 026	101 725
Other liabilities	Note 23	39 847	22 228
Total current liabilities		1 881 241	1 842 101

Operations of the United Nations as reported in volume I**I. Statement of financial position as at 31 December 2024 (continued)**

(Thousands of United States dollars)

	<i>Reference</i>	<i>31 December 2024</i>	<i>31 December 2023 (restated)</i>
Non-current liabilities			
Transfers payable		1 779	2 933
Employee benefits liabilities	Note 19	5 494 753	5 214 774
Provisions	Note 20	602	495
Liabilities for conditional arrangements	Note 22	20 970	24 975
Other liabilities	Note 23	345 841	367 941
Share of joint arrangements accounted for using the equity method	Note 25	61 931	59 122
Total non-current liabilities		5 925 876	5 670 240
Total liabilities		7 807 117	7 512 341
Net of total assets and total liabilities		4 089 672	4 190 760
Net assets			
Accumulated surplus	Note 26	4 000 728	4 118 732
Reserves	Note 26	88 944	72 028
Total net assets		4 089 672	4 190 760

The accompanying notes to the financial statements are an integral part of these financial statements.

II. Statement of financial performance for the year ended 31 December 2024

(Thousands of United States dollars)

	<i>Reference</i>	<i>2024</i>	<i>2023</i>
Revenue			
Assessed contributions	Note 27	3 305 005	3 278 226
Voluntary contributions	Note 27	3 199 614	3 111 963
Contributions for self-insurance funds	Note 29	520 463	495 425
Other revenue	Note 28	269 757	315 055
Other transfers and allocations	Note 27	133 085	132 535
Investment revenue	Note 31	303 165	254 242
Total revenue		7 731 089	7 587 446
Expenses			
Employee salaries, allowances and benefits	Note 30	3 427 184	3 321 045
Grants and other transfers	Note 30	1 980 087	2 405 254
Other operating expenses	Note 30	846 875	765 147
Self-insurance claims and expenses	Note 29	815 913	711 105
Non-employee compensation and allowances		223 421	231 289
Travel		172 403	189 465
Depreciation and amortization	Notes 15, 16	164 497	157 397
Contributions to and share of deficit of joint arrangements accounted for using the equity method	Note 25	77 655	80 376
Supplies and consumables		54 745	52 464
Other expenses	Note 30	1 909	1 068
Impairment		34	445
Total expenses		7 764 723	7 915 055
Deficit for the year		(33 634)	(327 609)

The accompanying notes to the financial statements are an integral part of these financial statements.

Operations of the United Nations as reported in volume I

III. Statement of changes in net assets for the year ended 31 December 2024

(Thousands of United States dollars)

	<i>Reference</i>	<i>Accumulated surplus</i>	<i>Reserves</i>	<i>Total net assets</i>
Net assets as at 1 January 2023	Note 26	4 621 715	87 300	4 709 015
Changes in net assets				
Actuarial losses on employee benefits liabilities	Note 26	(250 724)	–	(250 724)
Share of changes recognized by joint arrangements directly in net assets	Note 25	8 834	–	8 834
Fair value gain on revaluation of investments recognized directly in net assets	Note 31	51 244	–	51 244
Transfers (from)/to reserves		5 600	(5 600)	–
Deficit for the year		(327 609)	–	(327 609)
Total changes in net assets		(512 655)	(5 600)	(518 255)
Net assets as at 31 December 2023	Note 26	4 109 060	81 700	4 190 760
Fair value transferred to reserves		9 672	(9 672)	–
Net assets as at 1 January 2024 (restated)	Note 4	4 118 732	72 028	4 190 760
Changes in net assets				
Actuarial losses on employee benefits liabilities	Note 26	(78 240)	–	(78 240)
Share of changes recognized by joint arrangements directly in net assets	Note 25	(6 130)	–	(6 130)
Fair value gain on revaluation of investments recognized directly in net assets	Note 31	–	16 916	16 916
Deficit for the year		(33 634)	–	(33 634)
Total changes in net assets		(118 004)	16 916	(101 088)
Net assets as at 31 December 2024	Note 26	4 000 728	88 944	4 089 672

The accompanying notes to the financial statements are an integral part of these financial statements.

Operations of the United Nations as reported in volume I

IV. Statement of cash flows for the year ended 31 December 2024

(Thousands of United States dollars)

	Reference	2024	2023
Cash flows from operating activities			
(Deficit)/surplus for the year		(33 634)	(327 609)
<i>Non-cash movements</i>			
Depreciation and amortization	Notes 15, 16	164 497	157 397
Impairment of inventory, property, plant and equipment and intangibles	Notes 15, 16	46	302
Transfers, donations of assets and other additions	Notes 15, 16	(11 011)	338
Net loss on disposal of property, plant and equipment and inventory		4 061	3 782
Actuarial gain/(loss) on employee benefits liabilities	Note 26	(78 240)	(250 724)
Share of changes in net assets recognized by joint arrangements	Note 25	(6 130)	8 834
Fair value gain on revaluation of investments recognized directly in net assets	Note 31	16 916	51 244
<i>Changes in assets</i>			
(Increase)/decrease in assessed contributions receivable	Note 9	146 526	(528 384)
(Increase)/decrease in voluntary contributions receivable	Note 10	342 944	118 106
(Increase)/decrease in other receivables	Note 11	39 510	37 614
(Increase)/decrease in inventories	Note 12	4 672	(1 618)
(Increase)/decrease in other assets	Note 13	58 934	142 806
(Increase)/decrease in share of joint arrangements assets accounted for using the equity method	Note 25	(102)	(983)
<i>Changes in liabilities</i>			
Increase/(decrease) in accounts payable and accrued liabilities	Note 17	(67 469)	141 987
Increase/(decrease) in advance receipts and deferred revenue	Note 18	8 881	(6 930)
Increase/(decrease) in transfers payable		(1 154)	1 485
Increase/(decrease) in employee benefits liabilities	Note 19	282 206	476 520
Increase/(decrease) in provisions	Note 20	157 322	(137 771)
Increase/(decrease) in Tax Equalization Fund liability	Note 21	(62 634)	41 249
Increase/(decrease) in liabilities for conditional arrangements	Note 22	(20 704)	(9 565)
Increase/(decrease) in other liabilities excluding borrowings	Note 23	6 159	(2 440)
Increase/(decrease) in share of joint arrangements liabilities accounted for using the equity method	Note 25	2 809	(6 891)
Investment revenue presented as investing activities	Note 31	(303 165)	(254 242)
Net cash flows (used)/from operating activities		651 240	(345 493)

Operations of the United Nations as reported in volume I**IV. Statement of cash flows for the year ended 31 December 2024 (continued)**

(Thousands of United States dollars)

	<i>Reference</i>	<i>2024</i>	<i>2023</i>
Cash flows from investing activities			
Pro rata share of net decrease/(increase) in cash pool	Note 31	(717 639)	95 973
Investment revenue presented as investing activities	Note 31	303 165	254 242
Acquisitions of property, plant and equipment	Note 15	(209 550)	(158 899)
Proceeds from disposal of plant and equipment		1 296	653
Acquisitions of intangibles	Note 16	(35 441)	(30 113)
Net cash flows from/(used) in investing activities		(658 169)	161 856
Cash flows from financing activities			
Proceeds from borrowings	Note 23	(10 640)	61 054
Net cash flows from financing activities		(10 640)	61 054
Net (decrease)/increase in cash and cash equivalents		(17 569)	(122 583)
Cash and cash equivalents – beginning of year		729 288	851 871
Cash and cash equivalents – end of year	Note 7	711 719	729 288

The accompanying notes to the financial statements are an integral part of these financial statements.

Operations of the United Nations as reported in volume I

V. Statement of comparison of budget and actual amounts for the year ended 31 December 2024

(Thousands of United States dollars)

	Publicly available budget ^a		Actual amount (budget basis)	Difference – original and final budget (percentage)	Difference – final budget and actual (percentage)
	Original	Final ^b			
Income					
Assessed contributions (net of staff assessment)	3 243 033	3 269 006	3 150 887	0.8	(3.6)
Staff assessment	314 724	316 024	304 781	0.4	(3.6)
General income	30 675	30 675	66 425	—	116.5
Services to the public	—	—	(4 237)	—	—
Total income	3 588 432	3 615 705	3 517 856	0.8	(2.7)
Expenditure					
Regular budget by part					
Overall policymaking, direction and coordination	463 777	464 140	413 333	0.1	(10.9)
Political affairs	879 517	901 680	836 265	2.5	(7.3)
International justice and law	101 743	101 743	95 447	—	(6.2)
International cooperation for development	290 183	290 183	275 435	—	(5.1)
Regional cooperation for development	352 918	352 918	327 037	—	(7.3)
Human rights and humanitarian affairs	340 639	343 606	311 914	0.9	(9.2)
Global communications	117 917	118 368	102 156	0.4	(13.7)
Common support services	344 975	344 975	320 782	—	(7.0)
Internal oversight	24 837	24 837	24 304	—	(2.1)
Jointly financed administrative activities and special expenses	97 939	97 939	100 761	—	2.9
Capital expenditure	101 476	101 476	94 933	—	(6.4)
Security and safety	141 234	141 263	137 624	—	(2.6)
Development Account	18 503	18 503	18 503	—	—
Staff assessment	312 774	314 074	302 706	0.4	(3.6)
Total expenditure	3 588 432	3 615 705	3 361 200	0.8	(7.0)
Net total	—	—	156 656	—	—

^a Refers to the United Nations regular budget for 2024. See note 6.

^b Excludes commitment authorities without assessment of \$14.577 million.

The accompanying notes to the financial statements are an integral part of these financial statements.

Operations of the United Nations as reported in volume I

Notes to the financial statements

Note 1

Reporting entity

The United Nations and its activities

1. The United Nations is an international organization founded in 1945 after the Second World War. The Charter of the United Nations, which was signed on 26 June 1945 and became effective on 24 October 1945, sets out the primary objectives of the United Nations as follows:

- (a) The maintenance of international peace and security;
- (b) The promotion of international economic and social progress and development programmes;
- (c) The universal observance of human rights;
- (d) The administration of international justice and law.

2. These objectives are implemented through the principal organs of the United Nations, as follows:

(a) The General Assembly, which focuses on a wide range of political, economic and social issues, as well as financial and administrative aspects of the Organization;

(b) The Security Council, which is responsible for various aspects of peacekeeping and peacebuilding, including efforts to resolve conflicts, restore democracy, promote disarmament, provide electoral assistance, facilitate post-conflict peacebuilding, engage in humanitarian activities to ensure the survival of groups deprived of basic needs, and oversee the prosecution of persons responsible for serious violations of international humanitarian law;

(c) The Economic and Social Council, which plays a specific role in economic and social development, including a major oversight role in the efforts of other organizations of the United Nations system to address international economic, social and health problems;

(d) The International Court of Justice, which has jurisdiction over disputes between Member States brought before it for advisory opinions or binding resolutions.

3. The United Nations has its headquarters in New York. It has major offices in Geneva, Vienna and Nairobi, and peacekeeping and political missions, economic commissions, tribunals, training institutes and other centres around the world.

Operations of the United Nations as reported in volume I

4. The present financial statements relate to the operations of the United Nations as reported in volume I, a separate financial reporting entity of the United Nations for the purposes of IPSAS-compliant reporting. The operations of the United Nations, as reported in volume I, comprise the core operations of the Secretariat and are under the direction of the General Assembly in its role as lead organ for the financial and administrative aspects of the United Nations. The core operations of the Secretariat are funded by the regular budget, which has a unique scale of assessments and budgetary process, by trust funds established by the Assembly or the Secretary-General, which supplement the activities of the regular budget, or by special accounts or funds established to facilitate mandate implementation by the Secretary-General in his role as Chief Administrative Officer of the United Nations.

5. The reporting entity – the operations of the United Nations as reported in volume I – is regarded as an autonomous reporting entity that, owing to the uniqueness of the governance and budgetary process of each of the reporting entities of the United Nations, neither controls nor is controlled by any other United Nations financial reporting entity. Therefore, consolidation is not applicable to the operations of the United Nations, and its financial statements include only its activities as reported in volume I.

6. However, given the existence of a joint venture between the United Nations and the World Trade Organization for the International Trade Centre (ITC) and the significant influence of the United Nations over the operations of ITC, the United Nations has accounted for its investment in ITC using the equity method of accounting. The Organization participates in a number of jointly financed administrative activities with other United Nations system organizations. The Organization's share of those activities is also included in the financial statements using the equity method.

7. The United Nations regular budget includes an assessed portion of the budget of other United Nations reporting entities, comprising the United Nations Environment Programme, the United Nations Office on Drugs and Crime, the United Nations Human Settlement Programme (UN-Habitat), the United Nations Relief and Works Agency for Palestine Refugees in the Near East, the Office of the United Nations High Commissioner for Refugees and the United Nations Entity for Gender Equality and the Empowerment of Women (UN-Women). Those amounts are accounted for as grants in volume I.

8. The financial statements comprise activities managed through various funds, as follows:

(a) **General Fund and related funds.** The General Fund relates to regular budget activities, and related funds consist of the Special Account and the Working Capital Fund;

(b) **Trust funds.** Trust funds are established to record the receipt of voluntary contributions to support various activities, including emergency assistance, political, economic and social development and humanitarian and human rights activities and those that relate to security issues, international justice and law, global communications and support services;

(c) **Capital funds.** Capital funds include capital assets and construction-in-progress funds at various locations worldwide. Major projects under these funds are the refurbishment and renovation of the Palais des Nations under the strategic heritage plan of the United Nations Office at Geneva, the replacement of office blocks A to J at the United Nations Office at Nairobi, the renovation of Africa Hall at the Economic Commission for Africa (ECA) in Addis Ababa and the seismic retrofitting of the secretariat building at the Economic and Social Commission for Asia and the Pacific (ESCAP) in Bangkok;

(d) **Tax Equalization Fund.** The Tax Equalization Fund was established to equalize the net pay of all staff members, whatever their national tax obligations;

(e) **End-of-service and post-retirement benefits.** Such funds were established to account for end-of-service liabilities in respect of benefits payable to staff separating from service, and comprise after-service health insurance, repatriation benefits and unused annual leave;

(f) **Other funds.** These comprise self-insurance funds; special accounts for administrative cost recoveries; common support services; conferences and conventions; special multi-year funds accounting for supplementary development activities; and other funds.

Note 2**Basis of preparation and authorization for issue***Basis of preparation*

9. In accordance with the Financial Regulations and Rules of the United Nations, these financial statements have been prepared on an accrual basis in accordance with IPSAS. They have been prepared on a going-concern basis and the accounting policies have been applied consistently in their preparation and presentation. In accordance with the requirements of IPSAS, the financial statements, which present fairly the assets, liabilities, revenue and expenses of the Organization, consist of the following:

- (a) Statement of financial position (statement I);
- (b) Statement of financial performance (statement II);
- (c) Statement of changes in net assets (statement III);
- (d) Statement of cash flows (using the indirect method) (statement IV);
- (e) Statement of comparison of budget and actual amounts (statement V);
- (f) Notes to the financial statements comprising a summary of significant accounting policies and other explanatory notes;
- (g) Comparative information in respect of all amounts presented in the financial statements indicated in (a) to (d) above and, where relevant, comparative information for narrative and descriptive information presented in the notes to these financial statements.

Going concern

10. The going-concern assertion is based on the approval by the General Assembly of the regular budget appropriations for 2025 in its resolution [79/259](#), the positive historical trend of collection of assessed and voluntary contributions over the past years and the fact that the Assembly has taken no decision to cease the operations of the United Nations.

Authorization for issue

11. These financial statements are certified by the Controller and approved by the Secretary-General. In accordance with financial regulation 6.2, the Secretary-General transmitted the financial statements as at 31 December 2024 to the Board of Auditors by 31 March 2025. In accordance with financial regulation 7.12, the reports of the Board of Auditors are to be transmitted to the General Assembly through the Advisory Committee on Administrative and Budgetary Questions, together with the audited financial statements.

Measurement basis

12. These financial statements are prepared using the historical-cost convention, except for investments held in the cash pool recorded at fair value through net assets/equity and derivatives held at fair value through surplus and deficit.

Functional and presentation currency

13. The functional currency and the presentation currency of the Organization is the United States dollar. The financial statements are expressed in thousands of United States dollars unless otherwise stated.

14. Transactions in currencies other than the functional currency (foreign currencies) are translated into United States dollars at the United Nations operational rate of

exchange at the date of the transaction. The United Nations operational rates of exchange approximate the spot rates prevailing at the dates of the transactions. At year end, monetary assets and liabilities denominated in foreign currencies are translated at the United Nations operational rates of exchange. Non-monetary foreign currency-denominated items that are measured at fair value are translated at the United Nations operational rate of exchange at the date on which the fair value was determined. Non-monetary items measured at historical cost in a foreign currency are not translated at year-end.

15. Foreign exchange gains and losses resulting from the settlement of foreign currency transactions and from the translation of monetary assets and liabilities denominated in foreign currencies at year-end exchange rates are recognized in the statement of financial performance on a net basis.

Materiality and use of judgment and estimation

16. Materiality is central to the preparation and presentation of the Organization's financial statements, and its materiality framework provides a systematic method in guiding accounting decisions relating to presentation, disclosure, aggregation, offsetting and retrospective versus prospective application of changes in accounting policies. In general, an item is considered material if its omission or its aggregation would have an impact on the conclusions or decisions of the users of the financial statements.

17. Preparing financial statements in accordance with IPSAS requires the use of estimates, judgments and assumptions in the selection and application of accounting policies and in the reported amounts of specific assets, liabilities, revenue and expenses.

18. Accounting estimates and underlying assumptions are reviewed on an ongoing basis and revisions to estimates are recognized in the year in which the estimates are revised and in any future year affected. Significant estimates and assumptions that may result in material adjustments in future years include actuarial measurement of employee benefits; selection of useful lives and the depreciation/amortization methods for property, plant and equipment/intangible assets; impairment of assets; classification of financial instruments; valuation of inventory; inflation and discount rates used in the calculation of the present value of provisions; and classification of contingent assets/liabilities.

Recent and future requirements of the International Public Sector Accounting Standards

19. The progress and impact of the following significant future IPSAS Board accounting pronouncements on the Organization's financial statements continue to be monitored:

(a) Exposure draft 1: Climate-related disclosures, proposes requirements for public sector entities to disclose information about climate-related risks to and opportunities for their own operations and climate-related public policy programmes and their outcomes;

(b) Exposure draft 92: Tangible natural resources, proposes accounting for tangible natural resources and fills a gap in the Board's framework;

(c) Other pronouncements issued during the year, which include the following:

(i) A project on concessionary leases and other arrangements conveying rights over assets, which introduced amendments to IPSAS 43, IPSAS 47 and IPSAS 48 (on, respectively, leases, revenue and transfer expenses). It was approved in June 2024 and will come into effect in January 2027. Concessionary leases are leases at below-market rate and are very common in the public sector. The goal of the project was to enhance the transparency of and comparability between financial statements of entities that acquire assets or right-to-use assets without the exchange of consideration;

- (ii) “Amendments to IPSAS Standards: Specific IFRIC Interpretations”, which introduces additional guidance to clarify the application of existing accounting principles. These amendments were approved in December 2024 and will come into effect on 1 January 2026;
 - (iii) “Improvements to IPSAS, 2023”, published in April 2024, which includes minor improvements to accrual basis IPSAS that arise through publications of the International Accounting Standards Board.
20. The IPSAS Board issued the following standards:
- (a) IPSAS 43: Leases, issued in January 2022 and effective 1 January 2025;
 - (b) IPSAS 44: Non-current assets held for sale and discontinued operations, issued in May 2022 and effective 1 January 2025;
 - (c) IPSAS 45: Property, plant and equipment, issued in May 2023 and effective 1 January 2025;
 - (d) IPSAS 46: Measurement, issued in May 2023 and effective 1 January 2025;
 - (e) IPSAS 47: Revenue, issued in May 2023 and effective 1 January 2026;
 - (f) IPSAS 48: Transfer expenses, issued in May 2023 and effective 1 January 2026;
 - (g) IPSAS 49: Retirement benefit plans, approved in September 2023 and effective 1 January 2026;
 - (h) IPSAS 50: Exploration for and evaluation of mineral resources, approved in September 2024 and effective 1 January 2027.

21. The impact of these standards on the Organization’s financial statements and the comparative period therein has been evaluated as follows:

<i>Standard</i>	<i>Anticipated impact in the year of adoption</i>
IPSAS 43	IPSAS 43: Leases, replaced IPSAS 13: Leases aligning guidance, with International Financial Reporting Standard 16. The newly issued standard introduces new contract and leases definitions and prescribes a right-of-use recognition and measurement model for all leases, apart from those meeting short-term and low-value exemption categories. IPSAS 43 also provides additional guidance on the application of the risks and rewards model for lessor accounting. Adoption of the standard is mandatory for the financial year ending 31 December 2025 for United Nations operations as reported in volume I. The policy guidance is currently being updated to reflect the implementation of IPSAS 43, which will be reported in the financial statements for the year ended 31 December 2025. The broadened leases definition is estimated to result in the recognition of more binding arrangements as leases, with a corresponding increase in lease liabilities and right-of-use assets.
IPSAS 44	IPSAS 44: Non-current assets held for sale and discontinued operations, promulgates accounting for assets held for sale and the presentation and disclosure requirements of discontinued operations, in alignment with International Financial Reporting Standard 5. Adoption of the standard is mandatory for the volume I financial year ending 31 December 2025. Given the definitions and scope of non-current assets held for sale, the recognition and measurement impacts are, on a preliminary basis, estimated as not significant for the Organization, as the presentation and disclosure changes will depend on the identification of discontinued operations, if any, in the future, starting on 1 January 2025.

<i>Standard</i>	<i>Anticipated impact in the year of adoption</i>
IPSAS 45	IPSAS 45: Property, plant and equipment, replaces IPSAS 17: Property, plant and equipment. IPSAS 45 changes the scope exclusion for heritage property, plant and equipment, provides application and implementation guidance on infrastructure assets and captures property, plant and equipment-related measurement impacts from IPSAS 46. The measurement basis will not change and the application of the updated standard will have no significant impact on the financial statements.
IPSAS 46	IPSAS 46: Measurement, is the IPSAS Board's first measurement-dedicated standard that draws upon International Financial Reporting Standard 13: Fair value measurement, with the addition of public sector-specific elements, including the current operational value measurement basis. The adoption of IPSAS 46 will not change the Organization's accounting policy choice to apply the historical cost model to tangible and intangible assets.
IPSAS 47	IPSAS 47: Revenue, replaces the three existing revenue standards: (a) IPSAS 9: Revenue from exchange transactions; (b) IPSAS 11: Construction contracts; (c) IPSAS 23: Revenue from non-exchange transactions (taxes and transfers). IPSAS 47 aligns to the IPSAS Board's Conceptual Framework for General Purpose Financial Reporting by Public Sector Entities and presents two accounting models on the basis of the existence of a binding arrangement. Where a binding arrangement exists, revenue accounting is aligned with International Financial Reporting Standard 15: Revenue from contracts with customers. Otherwise, the accounting model is consistent with the core principles of IPSAS 23. Adoption of the standard is mandatory for the financial reporting for the year ending 31 December 2026. The impact of IPSAS 47 will be assessed prior to the 1 January 2026 effective date of the standard.
IPSAS 48	IPSAS 48: Transfer expenses, provides guidance on accounting for transfer expenses. The transfer expense model aligns with the Conceptual Framework and presents two accounting models on the basis of the existence of a binding arrangement. Adoption of the standard is mandatory for the volume I financial year ending 31 December 2026. The impact of IPSAS 48 will be assessed prior to the 1 January 2026 effective date of the standard.
IPSAS 49	IPSAS 49: Retirement benefit plans, aligns to International Accounting Standard 26: Accounting and reporting by retirement benefit plans, and prescribes the accounting and reporting requirements for public sector retirement benefit plans, which provide retirement benefits to public sector employees and other eligible participants. A retirement benefit plan that prepares and presents financial statements under the accrual basis of accounting shall apply IPSAS 49. The standard does not deal with other forms of employment benefits such as employment termination benefits or health and welfare plans. Adoption of the standard is mandatory for the volume I financial year ending 31 December 2026. The preliminary assessment is that IPSAS 49 will have no impact on financial reporting of volume I operations.

Standard	Anticipated impact in the year of adoption
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IPSAS 50	IPSAS 50: Exploration for and evaluation of mineral resources, is aligned with International Financial Reporting Standard 6 and provides guidance related to the costs incurred for exploration for and evaluation of mineral resources, as well as the costs of determining the technical feasibility and commercial viability of extracting the mineral resources. The preliminary assessment is that IPSAS 50 will have no impact on financial reporting of United Nations operations as reported in volume I.
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Note 3**Significant accounting policies***Financial assets measurement and classification*

22. The classification of financial assets depends primarily on the purpose for which the financial assets are acquired. The Organization classifies its financial assets in one of the categories shown below at initial recognition and re-evaluates the classification at each reporting date.

Classification	Financial assets
Fair value through net assets/equity	Investments in cash pools and the investments for the United Nations Staff Mutual Insurance Society against Sickness and Accidents
Amortized cost	Cash and cash equivalents and receivables
Fair value through surplus or deficit	Derivatives

23. Financial assets with maturities in excess of 12 months as at the reporting date are categorized as non-current assets in the financial statements. Assets denominated in foreign currencies are translated into United States dollars at the United Nations operational rates of exchange prevailing at the reporting date, with net gains or losses recognized in surplus or deficit in the statement of financial performance.

24. With the adoption of IPSAS 41, financial assets previously designated at fair value through surplus or deficit have been reclassified to fair value through net assets/equity after an assessment of their contractual cash flow characteristics and the determination of the Organization's management model, which is to both collect contractual cash flows and sell the financial assets. These assets are measured at fair value at each reporting date, and any gains or losses arising from changes in the fair value are now presented within a fair value reserve in the statement of net assets in the year in which they arise.

25. Financial assets at amortized cost are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. They are initially recorded at fair value, plus transaction costs, and are subsequently reported at amortized cost calculated using the effective interest method. Interest revenue is recognized on a time proportion basis using the effective interest rate method on the respective financial asset.

26. Financial assets are assessed at each reporting date to determine whether there is objective evidence of impairment. Evidence of impairment includes default or delinquency of the counterparty or permanent reduction in the value of the asset. Impairment losses are recognized in the statement of financial performance in the year in which they arise.

27. Financial assets are derecognized when the rights to receive cash flows have expired or have been transferred and the Organization has transferred substantially all risks and rewards of the financial asset. Financial assets and liabilities are offset and the net amount is reported in the statement of financial position when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis or realize the asset and settle the liability simultaneously.

Financial assets: investment in cash pools

28. The United Nations Treasury invests funds pooled from Secretariat entities and other participating entities. These pooled funds are combined into two internally managed cash pools. Participation in a cash pool implies sharing the risk and returns on investments with the other participants. Given that the funds are commingled and invested on a pool basis, each participant is exposed to the overall risk of the investment portfolio to the extent of the amount of cash invested.

29. The Organization's investments in the cash pools are included as part of cash and cash equivalents, short-term investments and long-term investments in the statement of financial position depending on the maturity period of the investment.

30. The investment pools are subject to an expected credit loss assessment for the reporting period, and the assessment is done using Fitch Ratings, which is a provider of credit ratings, research and analysis for the global financial markets. The expected credit loss on investments is calculated using the Fitch default rating with a combination of the Fitch issuer rating and the type of issuer. Those default rates are derived by Fitch using historical data over a period of three years. The Fitch rating by type of issuer is obtained for each investment position. The default rate is obtained from the transition matrix for the specific type of issuer (e.g., supranational, sovereign and corporate).

31. Owing to the conservative and risk-averse investment strategy/model, the United Nations invests only in highly rated instruments. Consequently, most of the investments carry a zero-default rating and there is no history of non-collection. The Organization will therefore assess expected credit loss at the end of each reporting period and recognize an impairment loss only if material.

Financial assets: cash and cash equivalents

32. Cash and cash equivalents comprise cash at bank and on hand, and short-term, highly liquid investments with a maturity of three months or fewer from the date of acquisition.

Financial assets: receivables from non-exchange transactions – contributions receivable

33. Contributions receivable represent uncollected revenue from assessed and voluntary contributions committed to the Organization by Member States, non-Member States and other donors on the basis of enforceable agreements. These non-exchange receivables are stated at nominal value, less impairment for estimated irrecoverable amounts (i.e. the loss allowance). Voluntary contributions receivable that will mature in more than 12 months are reported at a discounted value calculated using the effective interest method. Voluntary contributions receivable, trade receivables and other receivables are subject to impairment using the expected credit loss model applicable to the donor or customer type.

Financial assets: assessed contributions receivable

34. For assessed contributions receivable, the loss allowance is calculated using objective historical evidence of the collections of receivables (in this case, Member States).

35. Payment data are monitored for any indication of changes in payment patterns. Where data are indicative of expected credit loss, a loss allowance is recognized.

36. On the basis of the analysis of historical data of collection for assessed contributions receivable, no expected credit loss has been established where no evidence of any loss pattern for Member States exists, except for the specific receivables detailed below, where, under the forward-looking model, the expected credit loss shall be provided for:

(a) Assessed contributions receivable from Member States that are subject to Article 19 of the Charter of the United Nations on voting rights restrictions in the General Assembly because of arrears equalling or exceeding the amount of the contributions due from them for the preceding two full years are included in the loss allowance. These receivables carry a higher credit risk owing to a historical pattern of non-payment or delays over a specific number of years;

(b) Assessed contributions receivable that are past due for which the General Assembly has granted special treatment, for example, unpaid assessed contributions from Member States that were transferred to a special account pursuant to Assembly resolutions;

(c) Assessed contributions receivable outstanding for completed projects, for closed missions and for contested balances that are at a higher risk of credit loss, are included in the loss allowance as collection is uncertain.

Financial assets: voluntary contributions receivable

37. Voluntary contributions receivable have distinct characteristics, compared with conventional receivables classified as financial assets. These distinctions include the following:

(a) Variability in amounts: owing to their voluntary nature, the amounts associated with voluntary contributions receivable can vary, given that they may fluctuate on the basis of future funding requirements for project implementation and the intentions of donors;

(b) Flexible due date: due dates for voluntary contributions receivable are highly adaptable and subject to adjustment in alignment with the progress of the related project implementation.

38. The inherent variability of the pledged amounts and the flexibility of due dates pose substantial challenges in formulating a reasonable estimation of loss allowance for voluntary contributions receivable. The historical amount of write-off instances over the aggregate value of voluntary contributions receivable is relatively small. The Organization has therefore assessed loss allowance on voluntary contributions on a case-by-case basis, thereby creating a 100 per cent loss allowance for delinquent receivables that are identified specifically as uncollectible.

39. The non-trust funds voluntary contributions receivable and trust funds with a partially assessed nature will be assessed for loss allowance from historical payment patterns.

Financial assets: receivables from exchange transactions – other receivables

40. Other receivables include primarily amounts receivable for goods or services provided to other entities, amounts receivable for leased-out assets and receivables from staff. Receivables from other United Nations reporting entities are also included in this category.

41. The loss allowance calculation for these receivables uses a forward-looking model applying historical percentages of previous credit losses as the basis for determining the expected credit losses of receivable balances. This historical percentage is updated at each year-end. The United Nations operates in a worldwide environment with dynamic macroeconomic variables, and it is therefore difficult to factor the worldwide gross domestic product growth rate into the calculation of the loss allowance. Other receivables are categorized by customer types with homogeneous characteristics, for example, with the same debt settlement patterns. The evolution of the outstanding balances is analysed over a period of years to determine the historical transition rate of outstanding receivable balances. The transition rate is reassessed at the end of each reporting period and is applied to the exposure balance to determine the loss allowance.

Other assets

42. Other assets include education grant advances and prepayments that are recorded as an asset until goods are delivered or services are rendered by the other party, at which point the expense is recognized.

Inventories

43. Inventory balances are recognized as current assets and include the categories set out below.

<i>Categories</i>	<i>Subcategories</i>
Held for sale or external distribution	Books and publications, stamps
Raw materials and work in progress associated with items held for sale or external distribution	Construction materials/supplies and work in progress
Strategic reserves	Fuel reserves, bottled water and rations reserves
Consumables and supplies	Material holdings of consumables and supplies, including spare parts and medicine

44. The cost of inventory in stock is determined using the average price cost basis. The cost of inventories includes the cost of purchase, plus other costs incurred in bringing the items to the destination and condition for use. Standard rates ranging from 4 to 27 per cent of the cost of purchase, depending on the location of each office and mission, are used in place of actual associated costs. Inventory acquired through non-exchange transactions (i.e. donated goods) is measured at fair value at the date of acquisition. Inventories held for sale are valued at the lower of cost and net realizable value. Inventories held for distribution at no or nominal charge or for consumption in the production of goods or services are valued at the lower of cost and current replacement cost.

45. The carrying amount of inventories is expensed when inventories are sold, exchanged, distributed externally or consumed by the Organization. Net realizable value is the net amount that is expected to be realized from the sale of inventories in the ordinary course of operations. Current replacement cost is the estimated cost that would be incurred to acquire the asset.

46. Holdings of consumables and supplies for internal consumption are capitalized in the statement of financial position only when material. Such inventories are valued by the moving average methods on the basis of records available in Umoja. Valuations are subject to impairment review, which takes into consideration the variances between moving average price valuation and current replacement cost, as well as slow-moving and obsolete items.

47. Inventories are subject to physical verification on the basis of value and risk as assessed by management. Valuations are net of write-downs from cost to current replacement cost/net realizable value, which are recognized in the statement of financial performance.

Heritage assets

48. Heritage assets are not recognized in the financial statements, but significant heritage assets transactions are disclosed in the notes thereto.

Property, plant and equipment

49. Property, plant and equipment are classified into different groups, based on their nature, functions, useful lives and valuation methodologies, such as vehicles; communications and information technology equipment; machinery and equipment; furniture and fixtures; and real estate assets (land, buildings, leasehold improvements, infrastructure and assets under construction). Recognition of property, plant and equipment is as follows:

(a) Property, plant and equipment are capitalized when their cost per unit is greater than or equal to the threshold of \$20,000, or \$100,000 for leasehold improvements and self-constructed assets. A lower threshold of \$5,000 applies to five commodity groups: vehicles; prefabricated buildings; satellite communication systems; generators; and network equipment;

(b) All property, plant and equipment, other than real estate assets, are stated at historical cost, less accumulated depreciation and accumulated impairment losses. Historical cost comprises the purchase price, any costs attributable directly to bringing the asset to its location and condition and the initial estimate of dismantling and site restoration costs. Standard rates ranging from 2 to 40 per cent of the cost of purchase, depending on the location of each office and mission, are used in place of actual associated costs;

(c) Owing to the absence of historical cost information, buildings and infrastructure real estate assets were initially recognized at fair value using a depreciated replacement cost methodology for initial IPSAS implementation. The method involved calculating the cost per unit of measurement, for example, cost per square metre, by collecting construction cost data, utilizing in-house cost data (where available) or using external cost estimators for each catalogue of real estate assets and multiplying that unit cost by the external area of the asset to obtain the gross replacement cost. Depreciation allowance deductions from the gross replacement cost to account for physical, functional and economic use of the assets have been made to determine the depreciated replacement cost of the assets. Any subsequent real estate construction or additions are recognized at historical cost, with the exception of special

political missions, which commenced recognition at historical cost as from January 2018;

(d) With regard to property, plant and equipment acquired at nil or nominal cost, including donated assets, the fair value at the date of acquisition is deemed to be the cost of acquiring equivalent assets.

50. Property, plant and equipment are depreciated over their estimated useful lives using the straight-line method up to their residual value, except for land and assets under construction, which are not subject to depreciation. Given that not all components of a building have the same useful lives or the same maintenance, upgrade or replacement schedules, significant components of owned buildings are depreciated using the component approach. Depreciation begins in the month in which the Organization gains control over an asset in accordance with international commercial terms, and no depreciation is charged in the month of retirement or disposal. Given the expected pattern of usage of property, plant and equipment, the residual value is nil unless residual value is likely to be significant. The estimated useful lives of property, plant and equipment classes used by the Organization are set out below.

51. As with other accounting estimates and underlying assumptions, estimated useful life assumptions are reviewed on an ongoing basis. Changes in accounting estimates result from new information, new developments or more experience, for example, adjustment of the periodic consumption of an asset arising from the assessment of the present status of and expected future benefits associated with assets. Such changes are accounted for as changes in accounting estimate. A change in accounting estimate is recognized prospectively by inclusion in the surplus or deficit in the period of change and future periods if the change affects both. Such prospective recognition is applied to transactions, other events and conditions from the date of the change in estimate.

52. Following recommendations of the Board of Auditors to review the useful lives of all classes of assets, and as other United Nations system entities also received similar recommendations, the Task Force on Accounting Standards, which reports to the Finance and Budget Network, carried out a system-wide survey on useful lives of assets. As a result of the exercise and in analysing the Task Force's own historical data on asset utilization, 13 of the 25 asset subclasses in the table below were revised. The updated useful lives were applied to the Organization's property, plant and equipment prospectively as from 1 January 2023.

<i>Class</i>	<i>Subclass</i>	<i>Estimated useful life</i>
Communications and information technology equipment	Information technology equipment	4–5 years ^a
	Communications	7–8 years ^a
	Audiovisual equipment	7–10 years ^a
Vehicles	Light-wheeled vehicles	6–7 years ^a
	Marine vessels	10 years
	Specialized vehicles, trailers and attachments	6–12 years
	Heavy-wheeled and engineering support vehicles	12 years

<i>Class</i>	<i>Subclass</i>	<i>Estimated useful life</i>
Machinery and equipment	Light engineering and construction equipment	5–8 years ^a
	Medical equipment	5–6 years ^a
	Security and safety equipment	5–6 years ^a
	Mine detection and clearing equipment	5 years
	Water treatment and fuel distribution equipment	7–10 years ^a
	Ground transportation equipment	7–10 years ^a
	Heavy engineering and construction equipment	10–12 years ^a
	Printing and publishing equipment	20 years
Furniture and fixtures	Library reference material	3 years
	Office equipment	4–5 years ^a
	Fixtures and fittings	7–10 years ^a
	Furniture	10 years
Buildings	Temporary and mobile buildings	7–10 years ^a
	Fixed buildings	Up to 50 years
	Major buildings components	Up to 50 years
	Finance lease or donated right-to-use buildings	Shorter of term of arrangement or life of building
Infrastructure assets	Telecommunications, energy, protection, transport, waste and water management, recreation and landscaping	Up to 50 years
Leasehold improvements	Fixtures, fittings and minor construction work	Shorter of lease term or 5 years

^a In 2023, following the review of the estimates of the periods over which asset subclasses were expected to be available for use, estimated useful lives for 12 subclasses were increased by between one and three years and the estimated useful life for one subclass, heavy engineering and construction equipment, was reduced by two years. These changes are applicable to acquisitions on or after 1 January 2023.

53. In exceptional cases, the recorded useful lives for some assets converted for IPSAS reporting may be different from the useful lives prescribed at the asset subclass level as set out above (although it would remain within the range at the asset class level), because, when preparing the 2014 IPSAS opening balance, a thorough review of the remaining economic useful lives for these assets was made and the result had been entered in the master record of the asset. Although the total useful life entered in the asset master record looks beyond standard useful life, the remaining useful life when calculated from the date of capitalization remains within the asset class prescribed range. The useful lives applied for the Vienna International Centre buildings are based on the valuation report, which was agreed upon by the Vienna-based organizations, with some components' lives extending up to 100 years.

54. Where there is a material cost value of fully depreciated assets that remain in use, adjustments to accumulated depreciation are incorporated into the financial

statements to reflect a residual value of 10 per cent of historical cost based on an analysis of the classes and useful lives of the fully depreciated assets.

55. The Organization chose the cost model for measurement of property, plant and equipment after initial recognition instead of the revaluation model. Costs incurred after initial acquisition are capitalized only when it is probable that future economic benefits or service potential associated with the item will flow to the Organization, and the subsequent cost exceeds the threshold for initial recognition. Repairs and maintenance are expensed in the statement of financial performance in the year in which they are incurred.

56. A gain or loss resulting from the disposal or transfer of property, plant or equipment arises when proceeds from disposal or transfer differ from the carrying amount. Those gains or losses are recognized in the statement of financial performance as part of other revenue or other expenses.

57. Impairment assessments are conducted during annual physical verification procedures and when events or changes in circumstance indicate that carrying amounts may not be recoverable. Land, buildings and infrastructure assets with a year-end net book value greater than \$500,000 per unit are reviewed for impairment at each reporting date. The equivalent threshold for other property, plant and equipment items (excluding assets under construction and leasehold improvements) is \$25,000.

Intangible assets

58. Intangible assets are carried at cost, less accumulated amortization and accumulated impairment loss. For intangible assets acquired at nil or nominal cost, including donated assets, the fair value at the date of acquisition is deemed to be the cost of the asset. The thresholds for recognition are \$100,000 per unit for internally generated intangible assets and \$20,000 per unit for externally acquired intangible assets.

59. Acquired computer software licences are capitalized on the basis of the costs incurred to acquire and bring into use the specific software. Development costs that are directly associated with the development of software for use by the Organization are capitalized as an intangible asset. Directly associated costs include software development employee costs, consultant costs and other applicable overhead costs. Intangible assets with finite useful lives are amortized on a straight-line method, starting from the month of acquisition or when they become operational. The useful lives of major classes of intangible assets have been estimated as shown below.

<i>Class</i>	<i>Range of estimated useful life</i>
Licences and rights	2–6 years (period of licence/right)
Software acquired externally	3–10 years
Software developed internally	3–10 years
Copyrights	3–10 years
Assets under development	Not amortized

60. Annual impairment reviews of intangible assets are conducted where assets are under development or have an indefinite useful life. Other intangible assets are subject to impairment review only when indicators of impairment are identified.

Financial liabilities: classification

61. Financial liabilities are classified as “other financial liabilities”. They include accounts payable, transfers payable, unspent funds held for future refunds and other liabilities such as balances payable to other United Nations system reporting entities. Financial liabilities classified as other financial liabilities are initially recognized at fair value and subsequently measured at amortized cost. Financial liabilities with a duration of fewer than 12 months are recognized at their nominal value. The Organization re-evaluates the classification of financial liabilities at each reporting date and derecognizes financial liabilities when its contractual obligations are discharged, waived, cancelled or expired. The adoption of IPSAS 41 has no impact on the classification or measurement of the financial liabilities of the Organization.

Financial liabilities: accounts payable and accrued liabilities

62. Accounts payable and accrued liabilities arise from the purchase of goods and services that have been received but not paid for at the reporting date. Payables are measured at their nominal value if classified as current liabilities, or at the fair value if classified as non-current liabilities.

Advance receipts and deferred revenue

63. Advance receipts and deferred revenue consist of contributions or payments received in advance and other deferred revenue.

Liabilities for conditional arrangements

64. Liabilities for conditional arrangements are liabilities arising from funding arrangements with stipulations imposed by donors on the use of the contributions that are classified as conditions.

*Leases**The Organization as “lessee”*

65. Leases of property, plant and equipment where the Organization has substantially all the risks and rewards of ownership are classified as finance leases. Finance leases are capitalized at the start of the lease at the lower of fair value or the present value of the minimum lease payments. The rental obligation, net of finance charges, is reported as a liability in the statement of financial position. Assets acquired under finance leases are depreciated in accordance with property, plant and equipment policies. The interest element of the lease payment is charged to the statement of financial performance as an expense over the lease term on the basis of the effective interest rate method.

66. Leases in which all the risks and rewards of ownership are not substantially transferred to the Organization are classified as operating leases. Payments made under operating leases are charged to the statement of financial performance as an expense on a straight-line basis over the term of the lease.

The Organization as “lessor”

67. The Organization often leases out assets under operating leases. Leased-out assets are reported under property, plant and equipment, and lease revenue is recognized in the statement of financial performance over the term of the lease on a straight-line basis.

Donated right-to-use

68. Land, buildings, infrastructure assets, machinery and equipment are frequently granted to the Organization, primarily by host Governments at nil or nominal cost, through donated right-to-use arrangements. These arrangements are accounted for as operating leases or finance leases depending on whether an assessment of the agreement indicates that control over the underlying assets is transferred to the Organization.

69. Where a donated right-to-use arrangement is treated as an operating lease, an expense and corresponding revenue equal to the annual rental value of the asset or similar property are recognized in the financial statements. Where a donated right-to-use arrangement is treated as a finance lease (principally with a lease term of over 35 years for premises), the fair market value of the property is capitalized and depreciated over the shorter of the useful life of the property or the term of the arrangement. In addition, a liability for the same amount is recognized, which is progressively recognized as revenue over the lease term. Donated right-to-use land arrangements are accounted for as operating leases where the Organization does not have exclusive control over the land, and/or title to the land is transferred under restricted deeds.

70. Where title to land is transferred to the Organization without restrictions, the land is accounted for as donated property, plant and equipment and recognized at fair value at the acquisition date.

71. The threshold for the recognition of revenue and expense is a yearly rental value equivalent of \$20,000 per unit for donated right-to-use premises and \$5,000 per unit for machinery and equipment.

Employee benefits

72. Employees comprise staff members, as described under Article 97 of the Charter of the United Nations, whose employment and contractual relationship with the Organization are defined by a letter of appointment subject to regulations promulgated by the General Assembly pursuant to Article 101, paragraph 1, of the Charter. Employee benefits are classified into short-term benefits, long-term benefits, post-employment benefits and termination benefits.

Short-term employee benefits

73. Short-term employee benefits are employee benefits (other than termination benefits) that are payable within 12 months after the end of the year in which the employee renders the related services. Short-term employee benefits comprise first-time employee benefits (assignment grants), regular daily/weekly/monthly benefits (wages, salaries and allowances), compensated absences (paid sick leave and maternity/paternity leave) and other short-term benefits (death grant, education grant, reimbursement of taxes and home leave travel) provided to current employees on the basis of services rendered. All such benefits that are accrued but not paid at the reporting date are recognized as current liabilities within the statement of financial position.

Post-employment benefits

74. Post-employment benefits comprise after-service health insurance, end-of-service repatriation benefits and a pension through the United Nations Joint Staff Pension Fund.

Defined benefit plans

75. The following benefits are accounted for as defined benefit plans: after-service health insurance; repatriation benefits (post-employment benefits); and accumulated annual leave that is commuted to cash upon separation from the Organization (other long-term benefits). Defined benefit plans are those in which the Organization's obligation is to provide agreed benefits, and therefore the Organization bears the actuarial risks. The liability for defined benefit plans is measured at the present value of the defined benefit obligation. Changes in the liability for defined benefit plans, excluding actuarial gains and losses, are recognized in the statement of financial performance in the year in which they occur. The Organization has chosen to recognize changes in the liability for defined benefit plans from actuarial gains and losses directly through the statement of changes in net assets. As at the end of the reporting year, the Organization held no plan assets as defined by IPSAS 39: Employee benefits.

76. The defined benefit obligations are calculated by independent actuaries using the projected unit credit method. The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows using the interest rates of high-quality corporate bonds with maturity dates approximating those of the individual plans.

77. **After-service health insurance.** Worldwide coverage for medical expenses of eligible former staff members and their dependants is provided through after-service health insurance. Upon end of service, staff members and their dependants may elect to participate in a defined benefit health insurance plan of the United Nations, provided that they have met specific eligibility requirements, including 10 years of participation in a United Nations health plan for those who were recruited after 1 July 2007, and 5 years for those recruited before that date. The after-service health insurance liability represents the present value of the share of the Organization's medical insurance costs for retirees and the post-retirement benefit accrued to date by active staff. A factor in the after-service health insurance valuation is to consider contributions from all plan participants in determining the Organization's residual liability. Contributions from retirees are deducted from the gross liability together with a portion of the contributions from active staff in order to arrive at the Organization's residual liability in accordance with cost-sharing ratios authorized by the General Assembly.

78. **Repatriation benefits.** Upon end of service, staff who meet specific eligibility requirements, including residency outside their country of nationality at the time of separation, are entitled to a repatriation grant, which is based on length of service, and travel and removal expenses. A liability is recognized from when the staff member joins the Organization and is measured as the present value of the estimated liability for settling these entitlements.

79. **Annual leave.** The liabilities for annual leave represent unused accumulated leave days that are projected to be settled through a monetary payment to employees upon their separation from the Organization. The United Nations recognizes as a liability the actuarial value of the total accumulated unused leave days of all staff members, up to a maximum of 60 days (18 days for temporary staff) as at the date of the statement of financial position. The methodology applies a last-in-first-out assumption in the determination of the annual leave liabilities, whereby staff members gain access to current-period leave entitlements before they gain access to accumulated annual leave balances relating to prior periods. Effectively, the accumulated annual leave benefit is accessed more than 12 months after the end of the reporting period in which the benefit arose and, overall, there is an increase in the level of accumulated annual leave days, pointing to the commutation of accumulated

annual leave to a cash settlement at end of service as the true liability of the Organization. The accumulated annual leave benefit reflecting the outflow of economic resources from the Organization at end of service is therefore classified under the category of other long-term benefits, while the portion of the accumulated annual leave benefit that is expected to be settled through monetary payment within 12 months after the reporting date is classified as a current liability. In line with IPSAS 39: Employee benefits, other long-term benefits must be valued similarly to post-employment benefits; therefore, the United Nations values its accumulated annual leave benefit liability as a defined, post-employment benefit that is actuarially valued.

Pension plan: United Nations Joint Staff Pension Fund

80. The Organization is a member organization participating in the United Nations Joint Staff Pension Fund, which was established by the General Assembly to provide retirement, death, disability and related benefits to employees. The Pension Fund is a funded, multi-employer defined benefit plan. As specified in article 3 (b) of the Regulations of the Fund, membership in the Fund shall be open to the specialized agencies and to any other international, intergovernmental organization that participates in the common system of salaries, allowances and other conditions of service of the United Nations and the specialized agencies.

81. The Pension Fund exposes participating organizations to actuarial risks associated with the current and former employees of other organizations participating in the Fund, with the result that there is no consistent and reliable basis for allocating the obligation, plan assets and costs to individual organizations participating in the plan. The Pension Fund and the Organization, in line with the other organizations participating in the Fund, are not in a position to identify the Organization's proportionate share of the defined benefit obligation, the plan assets and the costs associated with the plan with sufficient reliability for accounting purposes. Therefore, the Organization has treated this plan as if it were a defined contribution plan in line with the requirements of IPSAS 39: Employee benefits. The Organization's contributions to the Pension Fund during the financial period are recognized as employee benefit expenses in the statement of financial performance.

Termination benefits

82. Termination benefits are recognized as an expense only when the Organization is demonstrably committed, without realistic possibility of withdrawal, to a formal detailed plan to either terminate the employment of a staff member before the normal retirement date or provide termination benefits as a result of an offer made in order to encourage voluntary redundancy. Termination benefits to be settled within 12 months are reported at the amount expected to be paid. Where termination benefits fall due more than 12 months after the reporting date, they are discounted if the impact of discounting is material.

Other long-term employee benefits

83. Other long-term employee benefit obligations are benefits, or portions of benefits, that are not due to be settled within 12 months after the end of the year in which employees provide the related service. Accumulated annual leave is an example of long-term employee benefits.

84. Appendix D to the Staff Rules of the United Nations governs compensation in the event of death, injury or illness attributable to the performance of official duties on behalf of the United Nations. These benefits are actuarially valued, with actuarial gains or losses recognized in the statement of changes in net assets.

Provisions

85. Provisions are liabilities recognized for future expenditure of uncertain amount or timing. A provision is recognized if, as a result of a past event, the Organization has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation. The amount of the provision is the best estimate of the expenditure expected to be required to settle the present obligation as at the reporting date. Where the effect of the time value of money is material, the provision is the present value of the amount required to settle the obligation.

86. Uncommitted balances of the appropriations at the end of the budget period and expired balances of appropriations retained from prior periods are to be reported as provisions for credits to Member States. These provisions will remain until the General Assembly decides on the manner of their disposal.

Contingent liabilities

87. Any possible obligations that arise from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Organization are disclosed as contingent liabilities. Contingent liabilities are also disclosed where present obligations that arise from past events cannot be recognized because it is not probable that an outflow of resources embodying economic benefits or service potential will be required to settle the obligations, or the amount of the obligations cannot be reliably measured.

88. Provisions and contingent liabilities are assessed continually to determine whether an outflow of resources embodying economic benefits or service potential has become more or less probable. If it becomes more probable that such an outflow will be required, a provision is recognized in the financial statements of the year in which the change of probability occurs. Similarly, where it becomes less probable that such an outflow will be required, a contingent liability is disclosed in the notes to the financial statements.

89. An indicative threshold of \$10,000 applies in recognizing provisions and/or disclosing contingent liabilities in the notes to the financial statements.

Contingent assets

90. Contingent assets are possible assets that arise from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the effective control of the Organization. Contingent assets are disclosed in the notes when it is more likely than not that economic benefits will flow to the Organization.

91. Voluntary pledges and other promised donations that are not supported by binding agreements that include offer and acceptance conditions, or that are supported by agreements that have not yet been formalized by acceptance, are considered contingent assets, provided that the receipt is measurable and probable within the subsequent financial period.

Commitments

92. Commitments are future expenses to be incurred by the Organization with respect to open contracts which the Organization has minimal, if any, discretion to avoid in the ordinary course of operations. Commitments include capital commitments (the number of contracts for capital expenses that are not paid or

accrued by the reporting date), contracts for the supply of goods and services that are not delivered as at the end of the reporting period, non-cancellable minimum lease payments and other non-cancellable commitments.

Non-exchange revenue

Assessed contributions

93. Appropriations are financed by contributions from Member States that are assessed according to the scale of assessments determined by the General Assembly. These assessments are subject to adjustments in respect of, among other things, supplementary appropriations for which contributions have not previously been assessed, revenue attributable to Member States, contributions resulting from the assessment of new Member States, any uncommitted balance of the appropriations at the end of the budget period, expired balances of the appropriations retained from prior periods that are due to be surrendered to Member States, and credits in the Tax Equalization Fund not required to meet charges for tax reimbursements. Appropriations for the regular budget are approved and assessed for a one-year budget period; the relevant portion of assessed contributions is recognized as revenue at the beginning of each year.

Voluntary contributions

94. Voluntary contributions and other transfers that are supported by legally enforceable agreements are recognized as revenue at the time when the agreement becomes binding, which is the point when the Organization is deemed to acquire control of the asset. However, when cash is received subject to specific conditions, recognition of revenue is deferred until those conditions have been satisfied. Revenue will be recognized up front for all conditional arrangements up to the threshold of \$50,000.

95. The full amounts relating to unconditional multi-year voluntary contribution agreements, pledges and other promised donations are recognized as revenue when the arrangement becomes binding, except for the Junior Professional Officers programme and fundraising activities conducted by another party, such as contributions from the United Nations Foundation to the United Nations Fund for International Partnerships. In the case of the Junior Professional Officers programme, revenue is recognized in the period that the Junior Professional Officer provides service, and in the case of United Nations Foundation contributions to the Fund, the revenue is recognized when a cash disbursement authorization is received. Unused funds returned to the donors are netted against voluntary contributions.

96. Revenue received under interorganizational arrangements represents allocations of funding from agencies to enable the Organization to administer projects or other programmes on their behalf.

97. In-kind contributions of goods above the recognition threshold of \$20,000 (per discrete contribution) are recognized as assets and revenue once it is probable that future economic benefits or service potential will flow to the Organization and the fair value of those assets can be measured reliably. For vehicles, prefabricated buildings, satellite communication systems, generators and network equipment, a lower threshold of \$5,000 applies. Contributions in kind are measured initially at their fair value at the date of receipt, which is determined by reference to observable market values or by independent appraisals. The Organization has elected not to recognize in-kind contributions of services, but rather to disclose in-kind contributions of services above the threshold of \$20,000 per discrete contribution in the notes to the financial statements.

Exchange revenue

98. Exchange transactions are those in which the Organization sells goods or services in exchange for compensation. Revenue comprises the fair value of consideration received or receivable for the sale of goods and services. Revenue is recognized when it can be reliably measured, when the inflow of future economic benefits is probable and when specific criteria have been met, as follows:

(a) Revenue from sales of publications, books and stamps and from sales by the United Nations Gift Centre is recognized when the sale occurs and risks and rewards have been transferred;

(b) Revenue from commissions and fees for technical, procurement, training, administrative and other services rendered to Governments, United Nations entities and other partners is recognized when the service is performed. As a practical expedient, operationally, revenue may be billed in advance, with service provision following shortly thereafter;

(c) Exchange revenue also includes revenue from the rental of premises, the sale of used or surplus property, guided tours and net currency exchange gains.

99. An indirect cost recovery called a “programme support cost” is charged to trust funds as a percentage of direct costs, including commitments and other “extrabudgetary” activities to ensure that the additional costs of supporting activities financed from extrabudgetary contributions are not borne by assessed funds and/or other core resources of the Secretariat. The programme support cost is eliminated for the purposes of financial statement preparation, as disclosed in note 5. The funding for the programme support cost charge agreed upon with the donor is included as part of voluntary contributions.

Investment revenue

100. Investment revenue includes the Organization’s share of net cash pool revenue and other interest revenue. The net cash pool revenue includes any gains and losses on the sale of investments, which are calculated as the difference between the sale proceeds and book value. Transaction costs that are attributable directly to the investment activities are netted against revenue and the net revenue is distributed proportionately to all cash pool participants on the basis of their average daily balances.

Expenses

101. Expenses are decreases in economic benefits or service potential during the reporting year in the form of outflows or consumption of assets or incurrence of liabilities that result in decreases in net assets and are recognized on an accrual basis when goods are delivered and services are rendered, regardless of the terms of payment.

102. Employee salaries include international, national and general temporary staff salaries, post adjustment and staff assessment. The allowances and benefits include other staff entitlements, such as pension and insurance subsidies and staff assignment, repatriation, hardship and other allowances. Non-employee compensation and allowances consist of living allowances and end-of-service benefits for United Nations Volunteers, fees for consultants, contractors and ad hoc experts, allowances for International Court of Justice judges, and compensation and allowances for non-military personnel.

103. Grants and other transfers include outright grants and transfers to implementing agencies, partners and other entities, as well as quick-impact projects. For outright

grants, an expense is recognized at the point at which the Organization has a binding obligation to pay.

104. Supplies and consumables relate to the cost of inventory used and expenses for supplies and consumables.

105. Other operating expenses include acquisition of goods and intangible assets under capitalization thresholds, maintenance, utilities, contracted services, training, security services, shared services, rent, insurance, loss allowance and foreign exchange losses. Other expenses relate to contributions in kind, hospitality and official functions, donations and transfers of assets.

106. Programmatic activities, distinct from commercial or other arrangements where the United Nations expects to receive equal value for funds transferred, are implemented by the United Nations or executing entities or implementing partners to service a target population that typically includes Governments, non-governmental organizations and United Nations agencies. Transfers to implementing partners are fully expensed when disbursed. Binding agreements to fund executing entities or implementing partners, other than outright grants, not paid out by the end of the reporting period are shown as commitments in the notes to the financial statements.

Joint arrangements

107. A joint arrangement is an arrangement by which two or more parties have joint control through a binding arrangement that gives those parties joint control of the arrangement. This is a contractual arrangement whereby the Organization and one or more parties undertake an economic activity that is subject to joint control and can be classified, under IPSAS 37: Joint arrangements, as either of the following:

(a) A joint operation whereby the parties to the arrangement have rights to assets and obligations for liabilities. The Organization will account for the assets, liabilities, revenue and expenses relating to its interest in a joint operation in accordance with the IPSAS standard applicable to the particular assets, liabilities, revenue and expenses;

(b) A joint venture whereby the parties to the arrangement have rights to the net assets and/or obligations for net liabilities. The Organization will account for its interest using the equity method. The equity method initially records the interest at cost and is adjusted thereafter for the post-acquisition changes in the Organization's share of net assets. The Organization's share of the surplus or deficit of the investee is recognized in the statement of financial performance. The interest is recorded as a non-current asset unless there is a net liability position, in which case it is recorded as a non-current liability.

Multi-partner trust funds

108. Multi-partner trust fund activities are pooled resources from multiple financial partners that are allocated to multiple implementing entities to support specific national, regional or global development priorities.

109. They are assessed to determine the existence of control and whether the Organization is considered to be the principal of the programme or activity. Where control exists and the Organization is exposed to the risks and rewards associated with the multi-partner trust fund activities, such programmes or activities are considered to be the Organization's operations and are therefore reported in full in the financial statements.

110. Where joint control exists but the Organization is not considered to be the principal, the activities are considered joint operations and accounted for as described above.

Note 4

Prior-period reclassification

111. During the financial year ended 31 December 2023, the Organization adopted, in line with the requirements of IPSAS 41, Financial instruments, a policy of measuring its investments at fair value through net asset/equity. As a result, a gain of \$7.2 million (2023: loss of \$9.7 million) was reclassified from unrestricted accumulated surplus to reserves. The reclassification made as at 1 January 2024 represents the initial adjustment to reflect the fair value of the investments separately. There was no material impact on the financial statements other than a reclassification of the fair value reserve from accumulated surplus, within net assets.

Note 5

Segment reporting

112. A segment is a distinguishable activity or group of activities for which financial information is reported separately in order to evaluate an entity's past performance in achieving its objectives and to make decisions about the future allocation of resources. Intersegment transactions are priced at cost recovery under normal operating policies and are eliminated for the purposes of consolidated financial statements.

113. In order to provide details on how the Organization's activities are managed and financed, segment reporting information by fund group for the statement of financial position and the statement of financial performance is presented through the segments below.

<i>Segment</i>	<i>Activities in segment</i>
Regular budget and related funds	Activities relating to regular budget activities, the Working Capital Fund, the Special Account and the revenue producing funds.
Trust funds	Activities relating to trust funds, including emergency assistance, political, economic and social development and humanitarian and human rights activities and those that relate to security issues, international justice and law, global communications and support services.
Capital assets and construction in progress	Capital assets and construction-in-progress funds at various locations worldwide. Major projects under these funds are the refurbishment and renovation of the Palais des Nations under the strategic heritage plan of the United Nations Office at Geneva, the replacement of office blocks A to J at the United Nations Office at Nairobi, the renovation of Africa Hall at ECA in Addis Ababa and the seismic retrofitting of the secretariat building at ESCAP.
Common support services	Provision of finance, human resources, information and communications technology and services to support United Nations operations, projects and fund activities.
Long-term employee benefits	Activities relating to end-of-service and post-employment benefits comprising after-service health insurance coverage, repatriation benefits and commutation of unused annual leave days.

<i>Segment</i>	<i>Activities in segment</i>
Insurance/workers' compensation	Accounts for activities with regard to the various health, dental and life insurance plans and compensation for general liability of the United Nations.
Other	All other funds, including the United Nations Development Account, the Tax Equalization Fund and conventions.
Eliminations	Inter-fund allocations between various segments that are eliminated upon consolidation of the funds of the Organization (i.e. the financial reporting entity). Among eliminated values are programme support costs allocated to recoup administrative costs relating to administering extrabudgetary activities. In addition, allocations from regular budget activities to subactivities in other funds are eliminated as expenses of the regular budget against revenue of other funds.

114. Segment reporting information by fund group is supplemented by segment reporting on the performance by pillar, which is presented on the basis of the pillars below.

<i>Segment</i>	<i>Activities in segment</i>
Political and peacekeeping affairs	Maintain international peace and security by providing assistance to resolve potentially violent disputes or conflicts peacefully, support efforts in the areas of disarmament and non-proliferation, promote the peaceful uses of outer space and support the maintenance of peace and security through the deployment of peacekeeping operations.
International justice and law	Advise the principal and subsidiary organs of the United Nations and promote among Member States a better understanding of and respect for the principles and norms of international law.
Cooperation and development	Promote and support international and regional cooperation and development in the pursuit of sustained economic growth, the eradication of poverty and hunger, the development of trade, gender equality and empowerment of women, and sustainable human settlements in an urbanizing world.
Human rights and humanitarian affairs	Promote and protect the effective enjoyment by all of all human rights by making development equitable, sustainable and responsive to the needs of people, ensure the timely, coherent and coordinated response of the international community to disasters and emergencies, and ensure the provision of international protection to refugees.
Global communications	Provide global communications about the ideals and work of the United Nations, interact and partner with diverse audiences and build support for peace, development and human rights for all.
Security and safety	Provide leadership, operational support and oversight of the United Nations security management system.
Crime prevention	Work with Member States to enhance their efforts to combat the intertwined problems of transnational crime, corruption and terrorism by helping to create and strengthen legislative, judicial and health systems in order to safeguard some of the most vulnerable persons in society.

<i>Segment</i>	<i>Activities in segment</i>
Common support services	Consists of General Assembly and Economic and Social Council affairs and conference management to ensure effective and efficient decision-making processes of intergovernmental bodies and United Nations conferences. It also includes internal oversight functions encompassing the responsibilities of monitoring, internal audit, joint inspection and evaluation and investigations, as well as finance, human resources, information and communications technology and services to support United Nations operations, projects and fund activities.
Other	Consists of other activities not specifically mapped to other pillar segments, such as library endowments, international partnerships, environmental affairs and special projects.
Self-insurance plans and other insurance plans	Accounts for activities concerning the various health, dental and life insurance plans, as well as compensation for general liability of the United Nations. Health and dental self-insurance were established as part of the social security scheme for United Nations staff and retirees and for the coverage of general third-party liabilities.
Eliminations	Comprises inter-fund allocations between various segments that are eliminated upon consolidation of funds of the Organization (i.e. the financial reporting entity). Among eliminated values are programme support costs allocated to recoup administrative costs relating to administering extrabudgetary activities. In addition, allocations from regular budget activities to subactivities in other funds are eliminated as expenses of the regular budget against revenue of other funds.

All funds

Statement of financial position by fund group as at 31 December 2024

(Thousands of United States dollars)

	<i>Regular budget and related funds</i>	<i>Trust funds</i>	<i>Capital assets and construction in progress</i>	<i>Common support services</i>	<i>Long-term employee benefits</i>	<i>Insurance/ workers' compensation</i>	<i>Other</i>	<i>Eliminations</i>	<i>Total</i>
Assets									
Current assets									
Cash and cash equivalents	39 445	350 520	14 595	85 522	59 855	127 124	34 658	—	711 719
Investments	230 329	2 102 839	87 610	513 531	359 565	478 672	208 198	—	3 980 744
Assessed contributions receivable	505 853	—	—	—	—	—	—	—	505 853
Voluntary contributions receivable	28	1 044 175	—	11	—	1	3 074	(2 206) ^a	1 045 083
Other receivables	19 587	15 059	398	41 699	—	18 890	1 112	—	96 745
Inventories	26 301	40	5	3 817	—	—	—	—	30 163
Other assets	49 906	107 204	657	10 619	1	11 550	497	—	180 434
Total current assets	871 449	3 619 837	103 265	655 199	419 421	636 237	247 539	(2 206)	6 550 741
Non-current assets									
Investments	84 241	769 099	32 043	187 820	131 509	356 950	76 147	—	1 637 809
Voluntary contributions receivable	—	437 746	—	—	—	—	—	—	437 746
Property, plant and equipment	313 874	38 040	2 705 777	33 756	—	—	7 424	—	3 098 871
Intangible assets	14 694	6 721	134 624	4 159	—	2 722	121	—	163 041
Share of joint ventures accounted for using the equity method	7 026	—	1 555	—	—	—	—	—	8 581
Total non-current assets	419 835	1 251 606	2 873 999	225 735	131 509	359 672	83 692	—	5 346 048
Total assets	1 291 284	4 871 443	2 977 264	880 934	550 930	995 909	331 231	(2 206)	11 896 789

	<i>Regular budget and related funds</i>	<i>Trust funds</i>	<i>Capital assets and construction in progress</i>	<i>Common support services</i>	<i>Long-term employee benefits</i>	<i>Insurance/ workers' compensation</i>	<i>Other</i>	<i>Eliminations</i>	<i>Total</i>
Liabilities									
Current liabilities									
Accounts payable and accrued liabilities	382 623	140 885	18 723	28 353	—	25 896	9 854	(2 206) ^a	604 128
Advance receipts and deferred revenue	70 660	40 544	28	4 303	—	2	15 956	—	131 493
Employee benefits liabilities	63 052	22 343	306	4 310	174 125	16 751	188	—	281 075
Provisions	363 167	138	1 275	—	—	145 509	778	—	510 867
Tax equalization liability	—	—	—	—	—	—	228 805	—	228 805
Liabilities for conditional arrangements	—	85 026	—	—	—	—	—	—	85 026
Other liabilities	123	2 596	13 815	13 496	—	—	9 817	—	39 847
Total current liabilities	879 625	291 532	34 147	50 462	174 125	188 158	265 398	(2 206)	1 881 241
Non-current liabilities									
Transfers payable	23	1 589	—	167	—	—	—	—	1 779
Employee benefits liabilities	24 546	—	—	—	5 441 750	28 457	—	—	5 494 753
Provisions	144	32	426	—	—	—	—	—	602
Liabilities for conditional arrangements	—	20 970	—	—	—	—	—	—	20 970
Other liabilities	281	201	345 357	2	—	—	—	—	345 841
Share of joint ventures accounted for using the equity method	61 931	—	—	—	—	—	—	—	61 931
Total non-current liabilities	86 925	22 792	345 783	169	5 441 750	28 457	—	—	5 925 876
Total liabilities	966 550	314 324	379 930	50 631	5 615 875	216 615	265 398	(2 206)	7 807 117
Net of total assets and total liabilities	324 734	4 557 119	2 597 334	830 303	(5 064 945)	779 294	65 833	—	4 089 672
Net assets									
Accumulated surplus/(deficit)	325 149	4 560 862	2 597 479	831 218	(5 064 306)	684 388	65 938	—	4 000 728
Reserves	(415)	(3 743)	(145)	(915)	(639)	94 906	(105)	—	88 944
Total net assets	324 734	4 557 119	2 597 334	830 303	(5 064 945)	779 294	65 833	—	4 089 672

^a Intersegment voluntary contributions receivable within insurance/workers' compensation segment of \$1.999 million against the payables of the regular budget and related funds segment. In addition, \$0.207 million in eliminations of voluntary contributions receivable against the payables of the insurance/workers' compensation segment.

All funds

Statement of financial position by fund group as at 31 December 2023 (restated)

(Thousands of United States dollars)

	<i>Regular budget and related funds</i>	<i>Trust funds</i>	<i>Capital assets and construction in progress</i>	<i>Common support services</i>	<i>Long-term employee benefits</i>	<i>Insurance/ workers' compensation</i>	<i>Other</i>	<i>Eliminations</i>	<i>Total</i>
Assets									
Current assets									
Cash and cash equivalents	10 169	362 784	23 778	93 877	58 112	132 771	47 797	—	729 288
Investments	68 273	1 869 243	129 105	484 133	299 773	517 869	246 565	—	3 614 961
Assessed contributions receivable	652 379	—	—	—	—	—	—	—	652 379
Voluntary contributions receivable	1 642	1 069 145	—	2 535	—	4	2 618	(4 114) ^a	1 071 830
Other receivables	16 552	53 143	763	48 175	—	17 616	6	—	136 255
Inventories	28 653	35	5	6 142	—	—	—	—	34 835
Other assets	56 691	128 612	2 303	10 735	—	40 581	446	—	239 368
Total current assets	834 359	3 482 962	155 954	645 597	357 885	708 841	297 432	(4 114)	6 478 916
Non-current assets									
Investments	14 870	584 717	38 369	151 441	93 772	325 656	77 128	—	1 285 953
Voluntary contributions receivable	—	753 943	—	—	—	—	—	—	753 943
Property, plant and equipment	268 623	65 513	2 668 114	25 110	—	—	1 286	—	3 028 646
Intangible assets	18 747	7 966	113 721	4 768	—	1 826	136	—	147 164
Share of joint ventures accounted for using the equity method	6 952	—	1 527	—	—	—	—	—	8 479
Total non-current assets	309 192	1 412 139	2 821 731	181 319	93 772	327 482	78 550	—	5 224 185
Total assets	1 143 551	4 895 101	2 977 685	826 916	451 657	1 036 323	375 982	(4 114)	11 703 101

	<i>Regular budget and related funds</i>	<i>Trust funds</i>	<i>Capital assets and construction in progress</i>	<i>Common support services</i>	<i>Long-term employee benefits</i>	<i>Insurance/ workers' compensation</i>	<i>Other</i>	<i>Eliminations</i>	<i>Total</i>
Liabilities									
Current liabilities									
Accounts payable and accrued liabilities	364 190	216 373	30 365	31 513	—	24 621	8 649	(4 114) ^a	671 597
Advance receipts and deferred revenue	70 185	40 631	28	3 567	—	2	8 199	—	122 612
Employee benefits liabilities	47 108	27 763	490	1 113	172 228	29 747	399	—	278 848
Provisions	202 586	155	18 620	—	—	131 820	471	—	353 652
Tax equalization liability	—	—	—	—	—	—	291 439	—	291 439
Liabilities for conditional arrangements	—	101 725	—	—	—	—	—	—	101 725
Other liabilities	116	4 288	6 192	145	—	23	11 464	—	22 228
Total current liabilities	684 185	390 935	55 695	36 338	172 228	186 213	320 621	(4 114)	1 842 101
Non-current liabilities									
Transfers payable	—	2 933	—	—	—	—	—	—	2 933
Employee benefits liabilities	23 324	—	—	—	5 170 108	21 342	—	—	5 214 774
Provisions	145	32	318	—	—	—	—	—	495
Liabilities for conditional arrangements	—	24 975	—	—	—	—	—	—	24 975
Other liabilities	442	226	367 269	4	—	—	—	—	367 941
Share of joint ventures accounted for using the equity method	59 122	—	—	—	—	—	—	—	59 122
Total non-current liabilities	83 033	28 166	367 587	4	5 170 108	21 342	—	—	5 670 240
Total liabilities	767 218	419 101	423 282	36 342	5 342 336	207 555	320 621	(4 114)	7 512 341
Net of total assets and total liabilities	376 333	4 476 000	2 554 403	790 574	(4 890 679)	828 768	55 361	—	4 190 760
Net assets									
Accumulated surplus/(deficit)	377 834	4 484 729	2 554 927	792 837	(4 889 271)	742 067	55 609	—	4 118 732
Reserves	(1 501)	(8 729)	(524)	(2 263)	(1 408)	86 701	(248)	—	72 028
Total net assets	376 333	4 476 000	2 554 403	790 574	(4 890 679)	828 768	55 361	—	4 190 760

^a Intersegment payables of \$2.490 million between capital assets and construction in progress and receivables of common support services segment; intersegment payables of \$1.624 million between capital assets and construction in progress and receivables of the regular budget and related funds segment.

Statement of financial performance by fund group for the period ended 31 December 2024

(Thousands of United States dollars)

	<i>Regular budget and related funds</i>	<i>Trust funds</i>	<i>Capital assets and construction in progress</i>	<i>Common support services</i>	<i>Long-term employee benefits</i>	<i>Insurance/ workers' compensation</i>	<i>Other</i>	<i>Eliminations</i>	<i>Total</i>
Revenue									
Assessed contributions	3 305 005	—	—	—	—	—	—	—	3 305 005
Voluntary contributions	43 038	3 129 808	19 202	2 072	—	—	5 494	—	3 199 614
Contributions for self-insurance funds	—	—	—	—	—	779 413	—	(258 950) ^a	520 463
Other revenue	90 581	5 691	74 658	471 404	77 159	11 198	2 252	(463 186) ^b	269 757
Other transfers and allocations	—	152 009	79 396	32 331	—	—	18 503	(149 154) ^c	133 085
Investment revenue	43 969	149 304	6 413	36 956	24 901	37 621	4 001	—	303 165
Total revenue	3 482 593	3 436 812	179 669	542 763	102 060	828 232	30 250	(871 290)	7 731 089
Expenses									
Employee salaries, allowances and benefits	2 390 266	892 069	518	245 060	196 816	25 240	3 254	(326 039)	3 427 184
Grants and other transfers	344 646	1 770 588	—	13 532	—	—	2 387	(151 066)	1 980 087
Other operating expenses	496 204	456 953	17 964	214 368	(389)	48 854	2 848	(389 927)	846 875
Self-insurance claims and expenses	2 657	7	—	(11)	—	813 260	—	—	815 913
Non-employee compensation/allowances	102 862	103 598	140	12 355	—	23	5 716	(1 273)	223 421
Travel	58 376	104 313	49	6 762	—	6	5 700	(2 803)	172 403
Depreciation and amortization	30 772	10 578	118 335	4 664	—	133	15	—	164 497
Contributions to and share of deficit of joint ventures on an equity basis	77 782	—	(127)	—	—	—	—	—	77 655
Supplies and consumables	26 178	20 963	138	7 645	—	2	1	(182)	54 745
Other expenses	326	1 580	—	3	—	—	—	—	1 909
Impairment	4	30	—	—	—	—	—	—	34
Total expenses	3 530 073	3 360 679	137 017	504 378	196 427	887 518	19 921	(871 290)	7 764 723
Surplus/(deficit) for the year	(47 480)	76 133	42 652	38 385	(94 367)	(59 286)	10 329	—	(33 634)
Capital expenditure	50 448	14 062	136 842	36 473	—	1 029	6 138	—	244 992

(Footnotes on following page)

(Footnotes to table)

^a Contributions for health insurance of \$258.950 million from the insurance/workers' compensation segment against employee salaries of \$258.395 million and non-employee compensation of \$0.555 million.

^b Internal cost recovery of \$272.731 million from the common support services segment, funding of long-term employee benefits (after-service health insurance and repatriation grant) of \$65.966 million, internal transfer of property, plant and equipment of \$123.069 million (\$74.228 million from the capital assets and construction-in-progress segment, \$44.663 million from the regular budget and related funds segment, \$4.033 million from the trust funds segment and \$0.145 million from the common support services segment), and travel fee allocation of \$1.420 million. Corresponding expenses were employee salaries, allowances and benefits, non-employee compensation and allowances, grants and other transfers, supplies and consumables, travel expenses and other operating expenses.

^c Internal cross-funding of \$149.154 million, consisting of \$79.396 million from capital assets and construction in progress, \$42.775 million from trust funds, \$18.503 million from other and \$8.480 million from common support services.

Statement of financial performance by fund group for the period ended 31 December 2023

(Thousands of United States dollars)

	Regular budget and related funds	Trust funds	Capital assets and construction in progress	Common support services	Long-term employee benefits	Insurance/ workers' compensation	Other	Eliminations	Total
Revenue									
Assessed contributions	3 278 226	—	—	—	—	—	—	—	3 278 226
Voluntary contributions	42 128	3 040 073	21 179	2 329	—	—	6 254	—	3 111 963
Contributions for self-insurance funds	—	—	—	—	—	737 955	—	(242 530) ^a	495 425
Other revenue	51 370	5 193	234 859	468 404	71 187	31 100	2 773	(549 831) ^b	315 055
Other transfers and allocations	—	145 767	53 990	37 959	—	—	16 491	(121 672) ^c	132 535
Investment revenue	35 182	130 945	8 512	27 052	17 911	31 140	3 500	—	254 242
Total revenue	3 406 906	3 321 978	318 540	535 744	89 098	800 195	29 018	(914 033)	7 587 446
Expenses									
Employee salaries, allowances and benefits	2 340 872	838 433	455	216 254	206 153	19 168	3 321	(303 611)	3 321 045
Grants and other transfers	299 369	2 217 324	—	9 088	—	—	2 998	(123 525)	2 405 254
Other operating expenses	438 341	322 285	267 241	194 705	(297)	20 633	4 332	(482 093)	765 147
Self-insurance claims and expenses	1 760	17	—	—	—	709 328	—	—	711 105
Non-employee compensation/allowances	113 118	101 487	10	12 891	—	22	5 070	(1 309)	231 289
Travel	72 201	108 524	89	6 526	—	1	5 430	(3 306)	189 465
Depreciation and amortization	29 150	8 508	115 388	4 203	—	133	15	—	157 397
Contributions to and share of deficit of joint ventures on an equity basis	80 361	—	15	—	—	—	—	—	80 376
Supplies and consumables	34 103	14 298	(53)	4 489	—	2	(186)	(189)	52 464
Other expenses	537	466	—	65	—	—	—	—	1 068
Impairment	438	—	—	7	—	—	—	—	445
Total expenses	3 410 250	3 611 342	383 145	448 228	205 856	749 287	20 980	(914 033)	7 915 055
Surplus/(deficit) for the year	(3 344)	(289 364)	(64 605)	87 516	(116 758)	50 908	8 038	—	(327 609)
Capital expenditure	33 940	14 087	103 588	5 998	—	—	1 286	—	158 899

(Footnotes on following page)

(Footnotes to table)

^a Contributions for health insurance of \$242.530 million from insurance/workers' compensation segment against employee salaries of \$241.984 million and non-employee compensation of \$0.546 million.

^b Internal cost recovery of \$277.671 million from the common support services segment, internal transfer of property, plant and equipment of \$240.647 million (\$230.547 million from the capital assets and construction-in-progress segment, \$9.616 million from the regular budget and related funds segment, \$0.356 million from the common support services segment, \$0.113 million from the trust funds segment and \$0.015 million from the insurance/workers' compensation segment), funding of long-term employee benefits (after-service health insurance and repatriation grant) of \$60.173 million from the long-term employee benefits segment, and travel fee allocation of \$2.085 million from the other segment, offset by foreign exchange gains of \$30.745 million. Corresponding expenses were employee salaries, allowances and benefits, non-employee compensation and allowances, grants and other transfers, supplies and consumables, travel expenses and other operating expenses.

^c Internal cross-funding of \$121.672 million (\$60.702 million from the capital assets and construction-in-progress segment, \$31.537 million from the trust funds segment, \$12.942 million from the common support services segment and \$16.491 million from the other segment).

Statement of financial performance by pillar for the period ended 31 December 2024

(Thousands of United States dollars)

	<i>Political and peacekeeping affairs</i>	<i>International justice and law</i>	<i>Cooperation and development</i>	<i>Human rights and humanitarian affairs</i>	<i>Global communications</i>	<i>Security and safety</i>	<i>Crime prevention</i>	<i>Common support services</i>	<i>Other</i>	<i>Self-insurance plans and other insurance plans</i>	<i>Eliminations</i>	<i>Total</i>
Revenue												
Assessed contributions	898 595	102 946	773 261	312 915	110 748	143 599	34 834	928 107	—	—	—	3 305 005
Voluntary contributions	312 600	15 525	366 134	2 187 630	12 985	—	23 065	216 543	65 132	—	—	3 199 614
Contributions for self-insurance funds	—	—	—	—	—	—	—	—	—	779 413	(258 950) ^a	520 463
Other revenue	54 478	1 541	38 647	91 504	535	111	1	457 763	7	88 356	(463 186) ^b	269 757
Other transfers and allocations	8 312	186	32 597	41 501	490	—	1 552	194 785	2 816	—	(149 154) ^c	133 085
Investment revenue	20 888	1 607	59 086	95 394	798	—	1 894	57 902	3 075	62 521	—	303 165
Total revenue	1 294 873	121 805	1 269 725	2 728 944	125 556	143 710	61 346	1 855 100	71 030	930 290	(871 290)	7 731 089
Expenses												
Employee salaries, allowances and benefits	736 949	88 449	742 452	712 275	109 465	115 500	20 728	988 085	17 264	222 056	(326 039)	3 427 184
Grants and other transfers	143 507	6 030	109 356	1 660 178	583	5 181	48 425	130 829	27 064	—	(151 066)	1 980 087
Other operating expenses	256 132	16 888	141 932	292 135	11 859	2 887	6 986	452 048	7 472	48 463	(389 927)	846 875
Self-insurance claims and expenses	(1)	2	2 658	12	—	(3)	—	(15)	—	813 260	—	815 913
Non-employee compensation/ allowances	89 197	11 034	63 527	29 691	1 530	109	1 646	26 366	1 571	23	(1 273)	223 421
Travel	27 589	5 478	50 174	59 300	721	2 098	2 534	25 485	1 821	6	(2 803)	172 403
Depreciation and amortization	16 238	1 238	3 069	6 324	629	340	1 172	134 813	541	133	—	164 497
Contributions to and share of deficit of joint ventures on an equity basis	131	1	27 553	—	—	25 339	—	24 631	—	—	—	77 655
Supplies and consumables	34 128	57	2 592	3 992	95	1 079	61	12 820	101	2	(182)	54 745

	<i>Political and peacekeeping affairs</i>	<i>International justice and law</i>	<i>Cooperation and development</i>	<i>Human rights and humanitarian affairs</i>	<i>Global communications</i>	<i>Security and safety</i>	<i>Crime prevention</i>	<i>Common support services</i>	<i>Other</i>	<i>Self-insurance plans and other insurance plans</i>	<i>Eliminations</i>	<i>Total</i>
Other expenses	130	13	97	1 359	2	–	2	292	14	–	–	1 909
Impairment	33	–	–	32	–	8	–	(37)	(2)	–	–	34
Total expenses	1 304 033	129 190	1 143 410	2 765 298	124 884	152 538	81 554	1 795 317	55 846	1 083 943	(871 290)	7 764 723
Surplus/(deficit) for the year	(9 160)	(7 385)	126 315	(36 354)	672	(8 828)	(20 208)	59 783	15 184	(153 653)	–	(33 634)
Capital expenditure	17 759	–	2 808	10 936	–	254	–	209 958	2 248	1 029	–	244 992

^a Contributions for health insurance of \$258.950 million from the self-insurance plans and other insurance plans segment against employee salaries of \$258.395 million and non-employee compensation of \$0.555 million.

^b Internal cost recovery of \$272.731 million from the common support services segment, internal transfer of property, plant and equipment of \$123.069 million (\$86.472 million from the common support services segment, \$31.270 million from the political and peacekeeping affairs segment, \$5.135 million from the human rights and humanitarian affairs segment, \$0.191 million from the cooperation and development segment, and \$0.001 million from the crime prevention segment), funding of long-term employee benefits (after-service health insurance and repatriation grant) of \$65.966 million, and travel fee allocation of \$1.420 million. Corresponding expenses were employee salaries, allowances and benefits, non-employee compensation and allowances, grants and other transfers, supplies and consumables, travel expenses and other operating expenses.

^c Internal cross-funding of \$149.154 million, consisting of \$103.578 million from common support services, \$23.774 million from cooperation and development, \$11.309 million from human rights and humanitarian affairs, \$7.277 million from political and peacekeeping affairs, \$1.555 million from crime prevention, \$1.292 million from other and \$0.369 million from global communications.

Statement of financial performance by pillar for the period ended 31 December 2023

(Thousands of United States dollars)

	<i>Political and peacekeeping affairs</i>	<i>International justice and law</i>	<i>Cooperation and development</i>	<i>Human rights and humanitarian affairs</i>	<i>Global communications</i>	<i>Security and safety</i>	<i>Crime prevention</i>	<i>Common support services</i>	<i>Other</i>	<i>Self-insurance plans and other insurance plans</i>	<i>Eliminations</i>	<i>Total</i>
Revenue												
Assessed contributions	1 007 059	100 120	766 415	288 460	117 611	137 502	34 294	826 765	—	—	—	3 278 226
Voluntary contributions	294 279	16 260	248 529	2 269 600	4 335	—	26 644	206 051	46 265	—	—	3 111 963
Contributions for self-insurance funds	—	—	—	—	—	—	—	—	—	737 955	(242 530) ^a	495 425
Other revenue	16 112	1 483	29 280	98 858	465	193	—	616 199	9	102 287	(549 831) ^b	315 055
Other transfers and allocations	1 442	385	38 430	29 601	104	—	3 326	178 163	2 756	—	(121 672) ^c	132 535
Investment revenue	17 875	1 493	48 220	85 539	470	—	1 712	47 076	2 805	49 052	—	254 242
Total revenue	1 336 767	119 741	1 130 874	2 772 058	122 985	137 695	65 976	1 874 254	51 835	889 294	(914 033)	7 587 446
Expenses												
Employee salaries, allowances and benefits	741 117	80 611	720 472	653 223	109 068	108 579	23 064	946 295	16 906	225 321	(303 611)	3 321 045
Grants and other transfers	193 851	9 497	104 967	2 045 290	1 048	4 916	44 704	103 262	21 244	—	(123 525)	2 405 254
Other operating expenses	249 304	17 330	113 981	198 741	13 766	2 978	8 592	615 015	7 197	20 336	(482 093)	765 147
Self-insurance claims and expenses	—	—	1 758	18	—	—	—	1	—	709 328	—	711 105
Non-employee compensation/allowances	80 622	11 295	69 311	36 509	1 896	174	1 465	29 609	1 695	22	(1 309)	231 289
Travel	33 782	5 336	49 298	65 659	977	2 007	3 589	29 579	2 543	1	(3 306)	189 465
Depreciation and amortization	17 389	1 264	3 090	4 326	678	316	1 165	128 510	526	133	—	157 397
Contributions to and share of deficit of joint ventures on an equity basis	75	1	28 293	—	—	23 668	—	28 339	—	—	—	80 376
Supplies and consumables	32 507	151	3 472	4 250	203	1 436	33	10 504	95	2	(189)	52 464

	<i>Political and peacekeeping affairs</i>	<i>International justice and law</i>	<i>Cooperation and development</i>	<i>Human rights and humanitarian affairs</i>	<i>Global communications</i>	<i>Security and safety</i>	<i>Crime prevention</i>	<i>Common support services</i>	<i>Other</i>	<i>Self-insurance plans and other insurance plans</i>	<i>Eliminations</i>	<i>Total</i>
Other expenses	282	17	164	225	12	–	–	343	25	–	–	1 068
Impairment	337	–	–	–	–	37	–	71	–	–	–	445
Total expenses	1 349 266	125 502	1 094 806	3 008 241	127 648	144 111	82 612	1 891 528	50 231	955 143	(914 033)	7 915 055
Surplus/(deficit) for the year	(12 499)	(5 761)	36 068	(236 183)	(4 663)	(6 416)	(16 636)	(17 274)	1 604	(65 849)	–	(327 609)
Capital expenditure	10 054	1 137	2 233	11 121	134	–	221	129 860	4 139	–	–	158 899

^a Contributions for health insurance of \$242.530 million from the self-insurance plans and other insurance plans segment against employee salaries of \$241.984 million and non-employee compensation of \$0.546 million.

^b Internal cost recovery of \$277.671 million from the common support services segment, internal transfer of property, plant and equipment of \$240.647 million (\$240.501 million from the common support services segment, \$0.079 million from the human rights and humanitarian affairs segment, \$0.05 million from the international justice and law segment, \$0.015 million from the self-insurance plans and other insurance plans segment and \$0.002 million from the cooperation and development segment), funding of long-term employee benefits (after-service health insurance and repatriation grant) of \$60.173 million from the self-insurance plans and other insurance plans segment, and travel fee allocation of \$2.085 million from the common support services segment, offset by foreign exchange gains of \$30.745 million. Corresponding expenses were employee salaries, allowances and benefits, non-employee compensation and allowances, grants and other transfers, supplies and consumables, travel expenses and other operating expenses.

^c Internal cross-funding of \$121.672 million (\$88.459 million from the common support services segment, \$22.016 million from the cooperation and development segment, \$3.965 million from the political and peacekeeping affairs segment, \$3.141 million from the human rights and humanitarian affairs segment, \$2.758 million from the crime prevention segment, \$1.244 million from the other segment, \$0.064 million from the global communications segment and \$0.025 million from the international justice and law segment).

Note 6

Comparison to budget

115. The statement of comparison of budget and actual amounts (statement V) presents the difference between budget amounts, which are prepared on a modified cash basis, and actual income and expenditure on a comparable basis.

116. For IPSAS reporting purposes, approved budgets are the appropriations, commitment authorities with assessment, and income estimates authorized by resolutions of the General Assembly.

117. The original budget for 2024 is the budget approved by the General Assembly for 2024 in its resolution [78/254](#) A–C. Actual income and expenditure amounts include commitments and actuals incurred in the period on the budget basis.

118. Explanations for material differences between the original and final budget amounts, as well as material differences between the final budget amounts and actual income and expenditure on a modified cash basis, which are deemed to be those greater than 5 per cent, are considered below.

Budget part

Material differences greater than 5 per cent

Income:

General income

Actual income 116.5 per cent more than the final budget

The variance is attributable mainly to higher-than-budgeted income relating to: (a) higher interest earned due to the higher actual interest rate environment and higher average balances available for investment; (b) miscellaneous income, mostly from foreign net exchange gains; (c) higher actual reimbursements for services provided to specialized agencies by special political missions, including for air transportation services provided by the United Nations Assistance Mission in Afghanistan (UNAMA) and the United Nations Mission to Support the Hudaydah Agreement (UNMHA); (d) refunds of prior year's expenditure, including unused repatriation grant provisions older than two years, in line with the Financial Regulations and Rules of the United Nations; (e) higher income from rental of premises due to the unanticipated continuation of the lease with tenant entities in the DC1 building at Headquarters, the increase in rentable space in Nairobi and the increase in rental rates and accommodation of new tenants on the premises of ECA; and (f) the sale of used equipment, including from special political missions and other United Nations entities.

Expenditure:

Overall
policymaking,
direction and
coordination

Actual expenditure 10.9 per cent less than the final budget

The variance, which arose mainly under section 2, General Assembly and Economic and Social Council affairs and conference management, is attributable primarily to the lower availability of funding for the implementation of the 2024 programme of work, which made austerity measures necessary. Owing to such austerity measures, the Department maintained higher-than-budgeted vacancy rates by delaying the onboarding of the language staff who had been selected from the rosters of the competitive examination for language positions, and by not filling positions that had become vacant owing to the retirement of core staff.

*Budget part**Material differences greater than 5 per cent*

In addition, to address the liquidity constraints, the Department incurred lower expenditure under other staff costs, as a result of which it was unable to supplement its core staff capacity with temporary assistance for meetings. Instead, the Department utilized, to a limited extent, commercial contractual and individual contractual capacities for documentation processing. In that regard, while the intergovernmental processes supported by the Department remained uninterrupted in large part, a backlog accumulated in some areas of documentation services, including the issuance of verbatim records, summary records, treaties and publications.

Political affairs

Actual expenditure 7.3 per cent less than the final budget

The variance is attributable to the spending restrictions imposed owing to the liquidity situation and the efforts made to curtail expenditure across all special political missions. In UNAMA, the cost-avoidance measures taken resulted largely in lower fuel consumption, a reduced number of flight hours and a reduction in the acquisition of equipment. In the United Nations Transitional Assistance Mission in Somalia (UNTMIS), the austerity measures implemented resulted mostly in reduced expenditure for telecommunications and network services, reduced fuel consumption and reduced services under facilities and infrastructure. The reduced expenditure for the United Nations Assistance Mission for Iraq (UNAMI) is attributable primarily to the non-renewal of the Learjet aircraft in view of the termination of the Mission's mandate, and to the curtailment of the acquisition of equipment, maintenance services and construction projects.

International
justice and law**Actual expenditure 6.2 per cent less than the final budget**

The variance falls mainly under section 8, Legal affairs, and is due primarily to the liquidity situation.

The underexpenditure in section 8 was offset in part by expenditure incurred in respect of the commitment authorities approved for the Residual Special Court for Sierra Leone and the Extraordinary Chambers in the Courts of Cambodia, for which no appropriations were approved.

The underexpenditure under section 8, which arose mostly under posts and other staff costs, is attributable mainly to the need to operate with fewer staff to contain expenditure, which resulted in higher-than-budgeted vacancy rates under the Office of Legal Affairs, the Independent Investigative Mechanism for Myanmar and the International, Impartial and Independent Mechanism to Assist in the Investigation and Prosecution of Persons Responsible for the Most Serious Crimes under International Law Committed in the Syrian Arab Republic since March 2011. Non-post expenditure was also reduced, mainly under consultants, experts, travel of representatives, travel of staff, contractual services, and grants and contributions. That reduction reflects the efforts made to curtail expenditure due to the challenging liquidity situation, and the decrease in the number of requests from States for technical assistance in the implementation of the Agreement under the United Nations Convention on the Law of the Sea on the Conservation and Sustainable Use of Marine Biological Diversity of Areas beyond National Jurisdiction.

Budget part

Material differences greater than 5 per cent

International
cooperation for
development

Actual expenditure 5.1 per cent less than the final budget

The variance, which fell mainly under section 9, Economic and social affairs, was attributable primarily to the liquidity situation, which resulted in the imposition of hiring restrictions and of limits on non-post spending. Consequently, fewer in-person meetings were organized owing to the impossibility of supporting the participation of experts and panellists. Although the Department of Economic and Social Affairs conducted virtual meetings to mitigate the impact of the decrease in the number of in-person meetings, the discussions were challenging, and balance in terms of the regional representation and seniority of participants was not always ensured. In addition, some reports had to be delayed, scaled down or produced in English only. Furthermore, the preparation of reports, publications and other analytical products was affected by the impossibility of augmenting or complementing the Department's research capacity with additional expertise. The reduced expenditure also reflected the non-renewal of licences and subscriptions and the limited investment in the applications, website and databases maintained by the Department.

Regional
cooperation for
development

Actual expenditure 7.3 per cent less than the final budget

The liquidity situation hindered the ability of the Economic Commission for Latin America and the Caribbean (ECLAC) to implement its programme, disrupting key operations and events such as the Forum of the Countries of Latin America and the Caribbean on Sustainable Development. In addition, several strategic initiatives remained unimplemented. Key institutional innovations and digital modernization efforts, such as the regional data platform, innovation labs and website renewal, have been hindered by funding shortfalls. In addition, ECLAC had to reduce in-person technical missions, and participation in training events was reduced.

Human rights
and humanitarian
affairs

Actual expenditure 9.2 per cent less than the final budget

The variance falls mainly under section 24, Human rights, and section 27, Humanitarian assistance.

The underexpenditure under section 24 reflects the liquidity situation, which resulted in: (a) lower-than-budgeted post expenditure due to higher-than-budgeted vacancy rates; (b) lower-than-budgeted other staff costs due mainly to the inability to recruit personnel to general temporary assistance positions; and (c) the curtailment of expenditure under other non-post expenditure line items, notably travel of representatives, general operating expenses, and grants and contributions, including the suspension of planned capacity-building workshops and side meetings.

The variance under section 27, which arose mainly under other staff costs and grants and contributions, reflects the non-renewal by the Security Council of the mandate for the United Nations Monitoring Mechanism for the Syrian Arab Republic, and the non-renewal of the Initiative on the Safe Transportation of Grain and Foodstuffs from Ukrainian Ports.

The underexpenditure under section 27 was offset in part by additional expenditure incurred in respect of commitment authorities approved to support the Office of Senior Humanitarian and Reconstruction Coordinator for Gaza, which was established pursuant to Security Council resolution [2720 \(2023\)](#).

*Budget part**Material differences greater than 5 per cent*Global
communications**Actual expenditure 13.7 per cent less than the final budget**

The variance is due mainly to the liquidity situation, which limited hiring, resulting in lower expenditure under posts and other staff costs (e.g. no personnel were recruited to the 20 general temporary assistance positions approved for 2024). In addition, planned acquisitions were put on hold, a number of evaluations were not undertaken and the scope of the fellowship programme was reduced. All those developments contributed to lower-than-budgeted non-post expenditure.

Common support
services**Actual expenditure 7.0 per cent less than the final budget**

The overall underexpenditure reflects the impact of the liquidity situation throughout 2024. The Department of Management Strategy, Policy and Compliance had to prioritize the use of available liquidity to cover fixed costs (e.g. salaries, communications software licences/fees). As a result, a large part of the funds appropriated for central learning, which is budgeted entirely under contractual services, could not be spent.

The Department of Operational Support was forced to delay or cancel the maintenance of critical infrastructure components and planned minor alteration projects at United Nations Headquarters. The purchase of equipment and supplies essential for maintaining the ageing infrastructure was also delayed or cancelled. In addition, several complex-wide cleaning services, including window and carpet cleaning, were suspended. Lastly, expenditure on utilities was significantly lower than expected.

At the United Nations Office at Geneva, building closures were imposed; opening hours at access points were reduced; energy consumption decreased; and purchases and projects were postponed. There were also reductions in maintenance, travel, training and the purchase of equipment.

Capital
expenditure**Actual expenditure 6.4 per cent less than the final budget**

The variance is attributable mainly to the liquidity situation, which resulted in the postponement or cancellation of projects. The replacement of a security booth at the delegates' entrance at United Nations Headquarters was affected by a delay in obtaining a construction permit from the host city. In addition, various projects were postponed, such as: (i) the establishment of bicycle parking facilities at United Nations Headquarters; (ii) the renovation and reconstruction of the old Yaoundé building housing the regional office of ECA in West Africa; (iii) the upgrading of the heating, ventilation and air conditioning system, the planned improvements to conference rooms to enable access for persons with disabilities, and the revamping of the parking facilities at the Economic and Social Commission for Western Asia; and (iv) at ECLAC and the United Nations Office at Nairobi, the upgrading of facilities to enable access for persons with disabilities.

Reconciliation between actual amounts on a comparable basis and the statement of cash flows

119. The reconciliation between the actual amounts on a comparable basis in the statement of comparison of budget and actual amounts and the actual amounts in the statement of cash flows is reflected below.

Reconciliation of actual amounts on a comparable basis to statement of cash flows

(Thousands of United States dollars)

	<i>Operating</i>	<i>Investing</i>	<i>Financing</i>	<i>Total</i>
Actual amounts on a comparable basis (statement V)	(3 361 200)	–	–	(3 361 200)
Basis differences	530 856	(243 695)	–	287 161
Entity differences	(4 249 505)	–	(10 640)	(4 260 145)
Presentation differences	7 731 089	(414 474)	–	7 316 615
Actual amounts in statement of cash flows (statement IV)	651 240	(658 169)	(10 640)	(17 569)

120. Basis differences capture the differences resulting from preparing the budget on a modified cash basis. To reconcile the budgetary results to the statement of cash flows, the modified-cash elements, such as unliquidated commitments against the budget, which do not represent a cash flow, must be eliminated. Similarly, IPSAS-specific differences, such as payments against prior-year commitments and investing cash flows relating to acquisition of property, plant and equipment or intangibles, are included as basis differences to reconcile to the statement of cash flows.

121. Entity differences arise when the actual amounts on the budget basis omit programmes or fund groups that are part of the Organization, as reported in the statement of cash flows, or vice versa. Those differences represent cash flows to or from fund groups other than the regular budget that are reported in the financial statements. The financial statements include results for all the Organization's fund groups.

122. Presentation differences are differences in the format and classification schemes in the statement of cash flows and the statement of comparison of budget and actual amounts, which include the latter not presenting revenue and the net changes in cash pool balances. Other presentation differences are that the amounts included in the statement of comparison of budget and actual amounts are not segregated into operating, investing and financing activities.

123. Timing differences occur when the budget period differs from the reporting period reflected in the financial statements. There are no timing differences because the budget reflects the 2024 annual budget.

Note 7

Cash and cash equivalents

(Thousands of United States dollars)

	<i>31 December 2024</i>	<i>31 December 2023</i>
Main pool (notes 31 and 32)	656 141	683 104
Euro pool (notes 31 and 32)	10 127	11 612
United Nations Staff Mutual Insurance Society against Sickness and Accidents investments (note 31)	37 091	30 603
Other cash and cash equivalents (note 31)	8 360	3 969
Total	711 719	729 288

124. Cash and cash equivalents include \$350.5 million (2023: \$362.8 million) held for the specific purposes of the relevant trust funds. Similarly, \$127.1 million (2023: \$132.7 million) in insurance funds and \$59.8 million in long-term employee benefits funds (2023: \$58.1 million) are restricted to specific purposes. Other cash and cash equivalents comprise cash at bank, petty cash and imprest cash.

Note 8 Investments

31 December 2024

(Thousands of United States dollars)

	<i>Trust fund investments</i>	<i>Insurance/ workers' compensation funds</i>	<i>Long-term employee benefits</i>	<i>Other investments</i>	<i>Total 31 December 2024</i>
Current					
Main pool (notes 31 and 32)	2 102 839	439 539	359 565	1 039 668	3 941 611
Euro pool (note 31)	—	4 257	—	—	4 257
United Nations Staff Mutual Insurance Society against Sickness and Accidents investments (note 31)	—	34 876	—	—	34 876
Subtotal	2 102 839	478 672	359 565	1 039 668	3 980 744
Non-current					
Main pool (notes 31 and 32)	769 099	160 758	131 509	380 251	1 441 617
Euro pool (note 31)	—	1 014	—	—	1 014
United Nations Staff Mutual Insurance Society against Sickness and Accidents investments (note 31)	—	195 178	—	—	195 178
Subtotal	769 099	356 950	131 509	380 251	1 637 809
Total	2 871 938	835 622	491 074	1 419 919	5 618 553

31 December 2023

(Thousands of United States dollars)

	<i>Trust fund investments</i>	<i>Insurance/ workers' compensation funds</i>	<i>Long-term employee benefits</i>	<i>Other investments</i>	<i>Total 31 December 2023</i>
Current					
Main pool (notes 31 and 32)	1 869 243	453 910	299 773	900 895	3 523 821
Euro pool (note 31)	—	3 062	—	—	3 062
United Nations Staff Mutual Insurance Society against Sickness and Accidents investments (note 31)	—	60 897	—	—	60 897
Derivative instruments: currency forwards (note 31)	—	—	—	27 181	27 181
Subtotal	1 869 243	517 869	299 773	928 076	3 614 961

	<i>Trust fund investments</i>	<i>Insurance/ workers' compensation funds</i>	<i>Long-term employee benefits</i>	<i>Other investments</i>	<i>Total 31 December 2023</i>
Non-current					
Main pool (notes 31 and 32)	584 717	141 988	93 772	281 808	1 102 285
Euro pool (note 31)	—	481	—	—	481
United Nations Staff Mutual Insurance Society against Sickness and Accidents investments (note 31)	—	183 187	—	—	183 187
Subtotal	584 717	325 656	93 772	281 808	1 285 953
Total	2 453 960	843 525	393 545	1 209 884	4 900 914

125. The principal amounts of \$3.2 million (2023: \$3.2 million) for two trust funds (United Nations Library Endowment Fund and Sasakawa-UNDRO Disaster Prevention Award Endowment Fund) remain restricted and are unavailable for use in the operations of those trust funds. The investment revenue from the funds is used for the operations of the funds. The principal portion of the investment is kept separate until further advised by the donor.

Note 9

Assessed contributions: receivables from non-exchange transactions

(Thousands of United States dollars)

	<i>31 December 2024</i>	<i>31 December 2023</i>
Member States ^a	783 766	882 304
Non-member States	859	685
Loss allowance on assessed contributions receivable	(278 772)	(230 610)
Assessed contributions receivable, net	505 853	652 379

^a This amount includes outstanding regular budget assessments due from current Member States of \$760.319 million as at 31 December 2024 and \$858.854 million as at 31 December 2023.

Note 10

Voluntary contributions: receivables from non-exchange transactions

(Thousands of United States dollars)

	<i>Current</i>	<i>Non-current</i>	<i>Total 31 December 2024</i>
Voluntary contributions	1 064 996	437 746	1 502 742
Loss allowance on voluntary contributions receivable	(19 913)	—	(19 913)
Voluntary contributions receivable, net	1 045 083	437 746	1 482 829

(Thousands of United States dollars)

	<i>Current</i>	<i>Non-current</i>	<i>Total 31 December 2023</i>
Voluntary contributions	1 089 833	753 943	1 843 776
Loss allowance on voluntary contributions receivable	(18 003)	–	(18 003)
Voluntary contributions receivable, net	1 071 830	753 943	1 825 773

126. The non-current voluntary contributions receivable of \$437.7 million (2023: \$753.9 million) represent the discounted value of future year receivables. The current voluntary contributions receivable include \$40.2 million (2023: \$61.8 million) and non-current voluntary contributions receivable include \$31.6 million (2023: \$61.6 million) from the consolidation of the United Nations Development Programme (UNDP) multi-partner trust funds.

Note 11**Other receivable: receivables from exchange transactions and loans**

(Thousands of United States dollars)

	<i>31 December 2024</i>	<i>31 December 2023</i>
Loans receivable – loans provided by the Central Emergency Response Fund (note 33)	–	30 000
Receivables due from peacekeeping operations (note 33)	47 376	47 376
Receivables from other United Nations entities	76 034	76 556
Other accounts receivable	26 405	34 024
Subtotal	149 815	187 956
Loss allowance for receivables due from peacekeeping operations (note 33)	(47 376)	(47 376)
Loss allowance for receivables due from other United Nations entities	(2 534)	(1 780)
Loss allowance for other receivables	(3 160)	(2 545)
Total other receivables, net	96 745	136 255

Note 12**Inventories**

127. Inventory balances held as at 31 December 2024 decreased by 13 per cent compared with the balances held at the end of the previous year. Purchased inventory decreased by 41 per cent and consumption decreased by 16 per cent. During the year, consumption of inventory was greater than inventory purchased by 20 per cent. Owing to the improved recording of strategic fuel reserves, the purchase and consumption of strategic reserves increased, while purchase and consumption of consumables and supplies decreased. The largest reductions in inventory balances occurred at United Nations Headquarters (\$2.1 million, mainly as a result of expired vaccines), the United Nations Investigative Team to Promote Accountability for Crimes Committed by Da'esh/Islamic State in Iraq and the Levant (\$0.85 million) and the United Nations Assistance Mission in Somalia (UNSOM) (\$0.8 million), and the highest increase was reported in UNAMI (\$0.6 million) and the United Nations Office for West Africa and the Sahel (UNOWAS) (\$0.3 million).

128. In 2024, \$1.6 million (2023: \$2.3 million) in impairments and write-offs was reported, relating mainly to expired vaccines from United Nations Headquarters (\$2.3 million) and price and quantity adjustments.

(Thousands of United States dollars)

	<i>Held for sale</i>	<i>Raw materials</i>	<i>Strategic reserves</i>	<i>Consumables and supplies</i>	<i>Total</i>
Opening inventory as at 1 January 2023	2 824	156	1 107	29 130	33 217
Purchase	1 752	61	1 256	23 201	26 270
Consumption	(1 714)	(67)	(641)	(19 886)	(22 308)
Impairment and write-offs	—	—	(441)	(1 903)	(2 344)
Total inventory as at 31 December 2023	2 862	150	1 281	30 542	34 835
Purchase	1 659	41	5 218 ^a	8 654	15 572
Consumption	(1 270)	(47)	(5 760) ^a	(11 575)	(18 652)
Impairment and write-offs	(1)	178	189	(1 958)	(1 592)
Total inventory as at 31 December 2024	3 250	322	928	25 663	30 163

^a The increase in 2024 compared with 2023 is due to improved recording of the purchase and consumption of strategic fuel reserve purchases. Restatement of 2023 figures is impractical due to insufficient data.

Note 13 Other assets

(Thousands of United States dollars)

	<i>31 December 2024</i>	<i>31 December 2023</i>
Advances to the United Nations Development Programme and other United Nations agencies ^a	27 253	26 144
Advances to vendors	1 886	7 385
Advances to staff	33 360	32 617
Advances to military and other personnel	5 075	5 195
Deferred charges	36 577	63 066
United Nations Development Programme multi-partner trust fund advances ^b	59 909	82 984
Other	16 374	21 977
Total other assets	180 434	239 368

^a Includes amount advanced to the United Nations Development Programme for the resident coordinator system.

^b See note 24 for the multi-partner trust funds administered by the United Nations Development Programme.

Note 14 Heritage assets

129. Specific assets are categorized as heritage assets because of their cultural, educational or historical significance. The Organization's heritage assets were acquired over many years by various means, including donation and bequest. Heritage assets are not held to generate any future economic benefits or service potential; accordingly, the Organization elected not to recognize them in the statement of financial position. Significant heritage assets owned by the Organization comprise works of art, statues, monuments, historical buildings and books and maps.

Note 15**Property, plant and equipment**

130. The net book value of property, plant and equipment as at 31 December 2024 was \$3,098.9 million (2023: \$3,028.6 million). The total cost of acquisitions and transfers during the year was \$211.4 million (2023: \$163.1 million).

131. During the year, the Organization disposed of assets in the amount of \$4.8 million at net book value (2023: \$3.8 million). Of that amount, \$2.6 million of equipment at net book value (2023: \$0.9 million) was written off owing to: (a) damages, normal wear and tear and other losses of \$0.6 million (2023: \$0.5 million); and (b) hostile action and theft of \$2 million (2023: \$0.4 million). In addition, buildings and infrastructure were written off by \$0.9 million (2023: \$0.6 million) owing mainly to damage to a solar roof at the United Nations Office at Nairobi and the replacement of portions of existing buildings and infrastructure as part of the construction projects being conducted at the United Nations Office at Geneva.

132. An impairment review was conducted, and no other significant impairment was identified.

Assets under construction

133. During the year, additions of \$167.8 million (2023: \$117.6 million) were capitalized as assets under construction, relating mainly to the refurbishment and renovation of the Palais des Nations under the strategic heritage plan of the United Nations Office at Geneva (\$61.45 million), the replacement of office blocks A to J at the United Nations Office at Nairobi (\$41.0 million), the renovation of Africa Hall at ECA (\$23.5 million), leasehold improvements in the ESCAP building in Bangkok (\$12.9 million), and the renovation of the North Building at ECLAC (\$9.0 million).

134. The strategic heritage plan of the United Nations Office at Geneva has a total projected cost of 836.5 million Swiss francs (equivalent to \$921.6 million). Construction work is expected to continue until late 2027, and the project is co-financed by the United Nations and an interest-free refundable loan from the Government of Switzerland for the maximum amount of 400 million Swiss francs (see note 23, para. 190).

135. Assets under construction amounting to \$34.3 million (2023: \$47.3 million) were completed and became operational, relating mainly to the completion of the following construction projects: the replacement of office blocks A to J at the United Nations Office at Nairobi (\$15.0 million), projects at the Palais des Nations under the strategic heritage plan of the United Nations Office at Geneva (\$5.8 million), and projects at UNAMI (\$5.7 million) and UNAMA (\$3.2 million).

136. Assets under construction at year-end in the amount of \$ 601.0 million (2023: \$467.5 million) comprise primarily the refurbishment and renovation of the Palais des Nations (\$424.7 million), the replacement of office blocks A to J at the United Nations Office at Nairobi (\$50.5 million), the renovation of Africa Hall at ECA (\$48.1 million), leasehold improvements for ESCAP (\$34.1 million), construction works at United Nations Headquarters (\$19.4 million) and construction works at ECLAC (\$17.0 million).

Finance lease assets

137. As at 31 December 2024, the cost of assets under finance leases amounted to \$142.6 million (\$44.2 million net book value), comprising donated right-to-use assets of \$138.1 million at replacement cost (\$44.2 million net book value). The donated-right-to-use mainly represents the cost of the Vienna International Centre (\$135.4 million at cost, \$43.3 million at net book value).

138. The Vienna International Centre leases were established in 1979 for 99 years for four United Nations system entities (United Nations Office at Vienna, International Atomic Energy Agency, United Nations Industrial Development Organization and Preparatory Commission for the Comprehensive Nuclear-Test-Ban Treaty Organization). As at 1 January 2015 (IPSAS adoption), the cost and net book value of the Centre were valued at 489.2 million euros (\$596.6 million) and 288.0 million euros (\$351.2 million), respectively. An annual review of the buildings management services ratio resulted in no change in the cost sharing ratio, which remains at 23.20 per cent. As a result, it was not necessary to recalculate the Centre's share for United Nations financial reporting. Accordingly, no change has been made to the costs of \$135.8 million and the net book value of \$79.9 million that were recognized as at 1 January 2015.

139. In 2024, a share of leasehold improvements made to the Vienna International Centre buildings in the amount of \$1.3 million (2023: \$1.6 million) was capitalized.

140. The land of the Vienna International Centre is treated as an operating lease. The Organization's share of the fair rental value of the land is recognized as a contribution in kind.

Property, plant and equipment: 2024

(Thousands of United States dollars)

	<i>Land</i>	<i>Buildings</i>	<i>Infrastructure</i>	<i>Vehicles</i>	<i>Communications and information technology equipment</i>	<i>Machinery and equipment</i>	<i>Furniture and fixtures</i>	<i>Assets under construction</i>	<i>Leasehold improvements</i>	<i>Total</i>
Cost as at 31 December 2023	835 698	4 054 493	329 961	180 980	177 026	57 868	14 222	467 542	14 073	6 131 863
Additions	–	5 075	8 055	14 121	8 357	5 132	115	167 841	854	209 550
Disposals	–	(3 733)	(704)	(14 999)	(7 117)	(3 809)	–	–	–	(30 362)
Completed assets under construction	–	19 758	8 525	–	–	–	–	(34 334)	6 051	–
Transfers and others ^a	–	(1 419)	1 084	2 477	1 066	407	1	–	(1 771)	1 845
Cost as at 31 December 2024	835 698	4 074 174	346 921	182 579	179 332	59 598	14 338	601 049	19 207	6 312 896
Accumulated depreciation as at 31 December 2023	–	2 563 309	230 894	122 633	131 703	39 563	7 247	–	7 868	3 103 217
Depreciation	–	94 933	9 450	12 338	13 299	3 149	1 341	–	1 646	136 156
Disposals	–	(2 697)	(646)	(11 778)	(6 926)	(3 502)	–	–	–	(25 549)
Transfers and others ^a	–	(3 425)	33	2 128	951	357	1	–	110	155
Impairment losses	–	–	–	32	–	14	–	–	–	46
Accumulated depreciation as at 31 December 2024	–	2 652 120	239 731	125 353	139 027	39 581	8 589	–	9 624	3 214 025
Net carrying amount										
31 December 2023	835 698	1 491 185	99 067	58 347	45 323	18 305	6 974	467 542	6 205	3 028 646
31 December 2024	835 698	1 422 054	107 190	57 226	40 305	20 017	5 749	601 049	9 583	3 098 871

^a Others includes in-year adjustments to property, plant and equipment.

Property, plant and equipment: 2023

(Thousands of United States dollars)

	<i>Land</i>	<i>Buildings</i>	<i>Infrastructure</i>	<i>Vehicles</i>	<i>Communications and information technology equipment</i>	<i>Machinery and equipment</i>	<i>Furniture and fixtures</i>	<i>Assets under construction</i>	<i>Leasehold improvements</i>	<i>Total</i>
Cost as at 31 December 2022	835 698	4 019 239	331 584	178 743	177 284	57 793	14 318	397 182	11 309	6 023 150
Additions	–	7 338	671	14 844	14 695	3 135	683	117 618	(85)	158 899
Disposals	–	(19 184)	(3 701)	(11 341)	(16 290)	(3 124)	(779)	–	–	(54 419)
Completed assets under construction	–	42 201	1 407	–	821	–	–	(47 258)	2 829	–
Transfers	–	4 899	–	(1 266)	516	64	–	–	20	4 233
Cost as at 31 December 2023	835 698	4 054 493	329 961	180 980	177 026	57 868	14 222	467 542	14 073	6 131 863
Accumulated depreciation as at 31 December 2022	–	2 483 268	224 204	122 790	136 114	39 417	6 675	–	5 907	3 018 375
Depreciation	–	93 509	10 391	9 437	11 071	2 982	1 333	–	1 911	130 634
Disposals	–	(17 535)	(3 701)	(10 172)	(15 655)	(2 813)	(761)	–	–	(50 637)
Transfers	–	4 031	–	373	125	(36)	–	–	50	4 543
Impairment losses	–	36	–	205	48	13	–	–	–	302
Accumulated depreciation as at 31 December 2023	–	2 563 309	230 894	122 633	131 703	39 563	7 247	–	7 868	3 103 217
Net carrying amount										
31 December 2022	835 698	1 535 971	107 380	55 953	41 170	18 376	7 643	397 182	5 402	3 004 775
31 December 2023	835 698	1 491 185	99 067	58 347	45 323	18 305	6 974	467 542	6 205	3 028 646

Note 16**Intangible assets**

141. The net book value of intangible assets as at 31 December 2024 was \$163.0 million (2023: \$147.2 million). The total costs of acquisitions and amortization during 2024 were \$35.4 million and \$28.3 million, respectively.

142. The total carrying value of the Organization's enterprise resource planning system (Umoja) as at year-end was \$113.9 million (2023: \$113.7 million). Umoja-related development and enhancement costs are capitalized as assets under development until the relevant phase becomes operational, at which time the completed asset under development is transferred to intangible operational assets.

143. During the year, assets under development amounting to \$31.1 million were completed and became operational. Additions of \$22.7 million (2023: \$19.3 million) were capitalized to assets under development, relating primarily to Umoja software. Additions of \$8.8 million (2023: \$1.9 million) were capitalized to other software developed internally, mainly by the Department for General Assembly and Conference Management and the Department of Political and Peacebuilding Affairs.

144. Assets under development at year-end amounting to \$17.5 million (2023: \$21.9 million) relate primarily to major Office of Information and Communications Technology enhancements, including related software (\$11.9 million), improvements to the grants management system of the Office for the Coordination of Humanitarian Affairs (\$1.7 million) and upgrades to the new health insurance information system (\$2.5 million). All enhancements relating to the Umoja project were capitalized as integration enhancements, and no parts remain under development as at 31 December 2024.

145. During the year, the Organization disposed of intangible software assets in the amount of \$0.4 million at net book value (2023: nil), owing to obsolescence.

Intangible assets: 2024
(Thousands of United States dollars)

	Umoja	Other software developed internally	Software acquired externally	Licences and rights	Assets under development		Total
					Umoja	Other	
Cost as at 31 December 2023	334 679	26 079	17 039	154	–	21 881	399 832
Additions	–	8 695	26	–	22 674	4 046	35 441
Disposals	–	(734)	(112)	–	–	–	(846)
Completed assets under development	22 674	8 465	–	–	(22 674)	(8 465)	–
Transfers and others	–	9 321	(228)	–	–	–	9 093
Cost as at 31 December 2024	357 353	51 826	16 725	154	–	17 462	443 520
Accumulated amortization as at 31 December 2023	220 957	21 034	10 523	154	–	–	252 668
Amortization	22 514	4 247	1 580	–	–	–	28 341
Disposals	–	(421)	(28)	–	–	–	(449)
Transfers and others	–	148	(229)	–	–	–	(81)
Accumulated amortization as at 31 December 2024	243 471	25 008	11 846	154	–	–	280 479
Net carrying amount							
31 December 2023	113 722	5 045	6 516	–	–	21 881	147 164
31 December 2024	113 882	26 818	4 879	–	–	17 462	163 041

Intangible assets: 2023

(Thousands of United States dollars)

	<i>Umoja</i>	<i>Other software developed internally</i>	<i>Software acquired externally</i>	<i>Licences and rights</i>	<i>Assets under development</i>		<i>Total</i>
					<i>Umoja</i>	<i>Other</i>	
Cost as at 31 December 2022	315 372	22 722	16 364	154	–	15 202	369 814
Additions	–	1 442	675	–	19 307	8 689	30 113
Disposals	–	–	–	–	–	–	–
Completed assets under development	19 307	1 915	–	–	(19 307)	(1 915)	–
Transfers	–	–	–	–	–	(95)	(95)
Cost as at 31 December 2023	334 679	26 079	17 039	154	–	21 881	399 832
Accumulated amortization as at 31 December 2022	197 935	18 118	8 929	154	–	–	225 136
Amortization	23 022	2 147	1 594	–	–	–	26 763
Disposals	–	–	–	–	–	–	–
Transfers	–	769	–	–	–	–	769
Accumulated amortization as at 31 December 2023	220 957	21 034	10 523	154	–	–	252 668
Net carrying amount							
31 December 2022	117 437	4 604	7 435	–	–	15 202	144 678
31 December 2023	113 722	5 045	6 516	–	–	21 881	147 164

Note 17
Accounts payable and accrued liabilities

(Thousands of United States dollars)

	31 December 2024	31 December 2023
Payable to vendors	85 298	75 608
Transfers payable	10 496	28 804
Payable to other United Nations entities	50 035	132 077
Accruals for goods and services	110 143	124 803
Accounts payable – other	95 399	58 054
Subtotal	351 371	419 346
Payable to Member States	2 757	2 251
Working Capital Fund payable to Member States ^a	250 000	250 000
Subtotal	252 757	252 251
Total accounts payable and accrued liabilities	604 128	671 597

^a The Working Capital Fund represents advances from Member States to finance budgeted or extraordinary expenses and for other purposes as authorized by the General Assembly.

Note 18
Advance receipts and deferred revenue

(Thousands of United States dollars)

	31 December 2024	31 December 2023
Deferred revenue	128 159	121 514
Advance receipts from Member States	3 334	1 098
Total advance receipts and deferred revenue	131 493	122 612

Note 19
Employee benefits liabilities

(Thousands of United States dollars)

	Current	Non-current	Total 31 December 2024
After-service health insurance	87 438	3 900 421	3 987 859
Repatriation benefits	27 772	196 171	223 943
Annual leave	20 257	136 345	156 602
Total attributable to regular budget	135 467	4 232 937	4 368 404
After-service health insurance	17 488	1 042 714	1 060 202
Repatriation benefits	9 793	97 128	106 921
Annual leave	8 113	68 963	77 076
Total attributable to extrabudgetary resources	35 394	1 208 805	1 244 199
Defined end-of-service/post-employment benefits liabilities	170 861	5 441 742	5 612 603

	<i>Current</i>	<i>Non-current</i>	<i>Total 31 December 2024</i>
Appendix D/workers' compensation	3 378	52 986	56 364
Pension contribution liabilities	774	–	774
Insurance liabilities	10 920	–	10 920
Accrued salaries and allowances	95 142	25	95 167
Total employee benefits liabilities	281 075	5 494 753	5 775 828

(Thousands of United States dollars)

	<i>Current</i>	<i>Non-current</i>	<i>Total 31 December 2023</i>
After-service health insurance	78 153	3 696 703	3 774 856
Repatriation benefits	32 541	200 752	233 293
Annual leave	23 753	144 429	168 182
Total attributable to regular budget	134 447	4 041 884	4 176 331
After-service health insurance	15 704	962 059	977 763
Repatriation benefits	11 327	96 027	107 354
Annual leave	7 327	70 130	77 457
Total attributable to extrabudgetary resources	34 358	1 128 216	1 162 574
Defined end-of-service/post-employment benefits liabilities	168 805	5 170 100	5 338 905
Appendix D/workers' compensation	2 834	44 618	47 452
Pension contribution liabilities	775	–	775
Insurance liabilities	10 217	–	10 217
Accrued salaries and allowances	96 217	56	96 273
Total employee benefits liabilities	278 848	5 214 774	5 493 622

146. The liabilities arising from end-of-service/post-employment benefits and the workers' compensation programme under Appendix D to the Staff Rules of the United Nations are determined by independent actuaries in accordance with IPSAS 39: Employee benefits. The full actuarial valuation for after-service health insurance, annual leave and repatriation benefits is usually undertaken every two years. In years between full valuations, independent actuaries perform a roll-forward exercise using participation data from the prior year with a partial update of actuarial assumptions. The most recent full actuarial valuation was conducted as at 31 December 2023, while actuarially valued balances as at 31 December 2024 represent a roll-forward of the December 2023 valuation results.

147. The after-service health insurance programme provides eligible staff members with continued health insurance coverage throughout their retirement under the same health insurance schemes available to active United Nations staff. Premium rates established for all such health plans are reviewed and, where necessary, revised annually to ensure that a sufficient level of operational reserves is available to maintain each plan.

148. The General Assembly establishes contribution ratios for the United Nations health insurance plans between the share of the Organization and that of the staff.

Currently, contribution ratios between the Organization and active and retired staff for the health insurance plans are a maximum of 2 to 1 for all United States-based plans, approximately 1 to 1 for non-United States-based plans administered by Headquarters, and between 75 per cent for single coverage and 80 per cent for family coverage for the Medical Insurance Plan.

149. The after-service health insurance programme is funded on a pay-as-you-go basis for assessed funding sources as medical benefits are accessed by retirees, with increasing costs attributable mainly to changing demographics, changing life expectancy and increased cost of healthcare services. To address the growing costs of health insurance, the Organization has, over the years, adopted cost containment initiatives while ensuring that participants continue to have access to appropriate insurance coverage to meet their healthcare needs. Health insurance costs are managed through ongoing reviews of the structure and provisions of the plan and the benefits offered under it. To manage the inherent risks relating to funding, the Organization periodically carries out a funding study of the after-service health insurance programme to analyse and explore options for the improvement of efficiency and the containment of costs and liabilities associated with the Organization's health insurance obligations.

Defined end-of-service/post-employment benefits liabilities

Actuarial valuation: main assumptions

150. The principal actuarial assumptions used to determine the employee benefits obligations at 31 December 2024 and 31 December 2023 are shown below. Discount rates and healthcare trend costs were updated as at 31 December 2024. All other assumptions were reviewed and updated, as applicable, as at 31 December 2023.

Discount rates

(Percentage)

<i>Assumptions</i>	<i>After-service health insurance</i>	<i>Repatriation benefits</i>	<i>Annual leave</i>
Discount rates 31 December 2024	4.45	5.55	5.58
Discount rates 31 December 2023	4.10	4.95	4.93

151. The yield curves used in the calculation of the discount rates in respect of the United States dollar, the eurozone euro and the Swiss franc are those developed by Aon, a human capital and management consulting firm, in line with the decision of the Task Force on Accounting Standards to harmonize actuarial assumptions across the United Nations system.

152. Another assumption that had an impact on the actuarially valued employee benefits liabilities, in addition to the discount rates discussed above, included changes in the per capita claims cost by age. The table below shows the per capita claims cost assumption at 65 years of age.

Per capita claims cost (at 65 years of age)

(United States dollars)

<i>Plan</i>	<i>2024</i>	<i>2023</i>
United States plans		
Aetna/HIP/HMO – no Medicare	13 567	12 562
Aetna/HIP/HMO – Medicare	10 469	9 748
Blue Cross – no Medicare	14 944	13 837
Blue Cross – Medicare	8 592	8 000
Cigna Dental	927	894
Non-United States plans		
UNSMIS	6 578	6 093
Cigna WWP and FMIP/SMIP/GKK	3 771	3 494
MIP administered by UN	2 489	2 305
MIP administered by UNDP	1 552	1 438

Abbreviations: FMIP, full medical insurance plan; GKK, Wiener Gebietskrankenkasse; HIP, health insurance plan of New York; HMO, health maintenance organization; MIP, medical insurance plan; SMIP, supplemental medical insurance plan; UNSMIS, United Nations Staff Mutual Insurance Society against Sickness and Accidents; WWP, worldwide plan.

153. The per capita claim costs for the after-service health insurance plans are updated to reflect recent claims and enrolment experience.

Healthcare cost trend assumptions

154. The healthcare cost trend rate assumption reflects the current short-term expectations of the after-service health insurance plan cost changes in future years. The healthcare cost trend rates are based on Aon long-term assumptions for various currencies as shown below.

(Percentage)

<i>Cost trend assumptions</i>	<i>2024</i>			<i>2023</i>		
	<i>Initial</i>	<i>Final</i>	<i>Grade down^a</i>	<i>Initial</i>	<i>Final</i>	<i>Grade down^a</i>
United States non-Medicare	9.00	3.85	8 years	8.00	3.65	8 years
United States Medicare	8.85	3.85	8 years	7.40	3.65	8 years
United States dental	6.80	3.85	8 years	3.65	3.65	n/a
Non-United States (Switzerland)	6.00	2.15	8 years	8.00	2.35	5 years
Non-United States (eurozone)	6.90	3.75	10 years	7.70	3.95	13 years

^a Updated to include last year of the grade down.

Mortality rates

155. For defined benefit plans, assumptions regarding future mortality are based on published statistics and mortality tables. Pre-retirement mortality, withdrawal and retirement assumptions are consistent with those used by the United Nations Joint Staff Pension Fund in making its actuarial valuation. The Fund's post-retirement mortality rates have been used by Buck, a firm that provides pensions and employee benefits consulting services, to produce the weighted headcount mortality table, applied for the December 2023 and December 2024 valuations in line with the recommendations of the Task Force on Accounting Standards.

Actuarial valuation: other assumptions

156. With regard to the valuation of repatriation benefits, inflation in travel costs was assumed to be 2.50 per cent, in line with the guidance of the Task Force on Accounting Standards and on the basis of the projected consumer price index over the coming 20 years (Aon).

157. Annual leave balances were assumed to increase at the following annual rates during the staff member's projected years of service: 0–1 year, 8.1 days; 2–3 years, 4.1 days; 4–8 years, 1.9 days; 9–15 years, 1 day; and 16 or more years, 0.4 days, up to the maximum of 60 days. The attribution method is used for annual leave actuarial valuation.

158. The estimated duration of the benefit plans as at 31 December 2024 is as follows:

<i>Benefits plan</i>	<i>Estimated duration (years)</i>
After-service health insurance	21
Repatriation grant	7
Annual leave	7

159. The table below presents the currency allocation used to determine the discount rates and healthcare cost trend rates applicable to each plan. For currencies other than the United States dollar, euro or Swiss franc, the United States dollar was used as a proxy for the computation of the rates.

(Percentage)

<i>Benefits plan</i>		<i>United States dollar</i>	<i>Swiss franc</i>	<i>Euro</i>
After-service health insurance	Cigna WWP	73	6	21
	MIP	95	–	5
	UNSMIS	12	75	13
	GKK	–	–	100
	Other medical plans	100	–	–
Repatriation grant		100	–	–
Annual leave		100	–	–

Abbreviations: GKK, Wiener Gebietskrankenkasse; MIP, medical insurance plan; UNSMIS, United Nations Staff Mutual Insurance Society against Sickness and Accidents; WWP, worldwide plan.

Movement in post-employment benefit liabilities accounted for as defined benefit plans

(Thousands of United States dollars)

	<i>2024</i>	<i>2023</i>
Net defined benefits liability as at 1 January	5 338 905	4 884 776
Current service cost	152 321	144 808
Interest cost	209 513	213 829
Total costs recognized in the statement of financial performance	361 834	358 637
Benefits paid	(168 805)	(155 695)
Actuarial (gains)/losses recognized directly in the statement of changes in net assets ^a	80 669	251 187

	2024	2023
<i>Due to changes in financial assumptions</i>	67 997	680 615
<i>Due to changes in demographic assumptions</i>	–	(101 622)
<i>Due to experience adjustment</i>	12 672	(327 806)
Net defined benefits liability as at 31 December	5 612 603	5 338 905

^a The net cumulative amount of actuarial gains recognized in the statement of changes in net assets is \$83.594 million (cumulative actuarial gain 2023: \$164.263 million).

160. The actuarial loss of \$80.7 million from valuation of the end-of-service benefits in 2024 is attributed to:

(a) An increase in healthcare trend rates and economic inflation rates (loss of \$339.1 million), offset in part by the increase in discount rate (gain of \$271.1 million);

(b) Experience adjustment (loss of \$12.7 million) due to application of the revised salary scales.

161. The after-service health insurance portion of the actuarially valued liability is the largest defined benefit liability among those reported in the financial statements and therefore has the most impact on the calculation of the actuarial gains and losses. The actuarial loss due to financial assumptions of \$91.5 million from valuation of the after-service health insurance benefit in 2024 is a net result of an increase in economic and health trend cost inflation (\$337.1 million), offset in part by an increase in the discount rates (\$245.6 million).

Discount rate sensitivity analysis

162. The changes in discount rates are driven by the discount curve, which is calculated on the basis of corporate bonds. The bonds markets varied over the reporting period, and volatility has an impact on the discount rate assumption. Should the assumption vary by 0.5 per cent, its impact on the obligations would be as shown below.

(Thousands of United States dollars)

<i>31 December 2024</i>	<i>After-service health insurance</i>	<i>Repatriation benefits</i>	<i>Annual leave</i>
Increase of discount rate by 0.5 per cent	(473 724)	(10 496)	(7 664)
As a percentage of year-end liability	(9)	(3)	(3)
Decrease of discount rate by 0.5 per cent	549 630	11 176	8 186
As a percentage of year-end liability	11	3	4
<i>31 December 2023</i>	<i>After-service health insurance</i>	<i>Repatriation benefits</i>	<i>Annual leave</i>
Increase of discount rate by 0.5 per cent	(455 928)	(11 028)	(8 331)
As a percentage of year-end liability	(10)	(3)	(3)
Decrease of discount rate by 0.5 per cent	529 663	11 774	8 928
As a percentage of year-end liability	11	3	4

Medical costs sensitivity analysis

163. The principal assumption in the valuation of the after-service health insurance is the rate at which medical costs are expected to increase in the future. The sensitivity analysis looks at the change in liability resulting from changes in the medical cost

rates while holding other assumptions, such as the discount rate, constant. Should the medical cost trend assumption vary by 0.5 per cent, this would have an impact on the measurement of the defined benefit obligations as shown below.

(Thousands of United States dollars and percentage)

2024	Increase		Decrease	
Effect on the defined benefit obligation	11.59%	585 293	(10.05%)	(507 365)
Effect on the aggregate of the current service cost and interest cost	0.89%	45 048	(0.74%)	(37 534)
Total effect		630 341		(544 899)
2023	Increase		Decrease	
Effect on the defined benefit obligation	10.79%	512 682	(9.39%)	(446 337)
Effect on the aggregate of the current service cost and interest cost	0.89%	42 319	(0.74%)	(35 269)
Total effect		555 001		(481 606)

Claims cost sensitivity analysis, at 65 years of age

Scenario	After-service health insurance defined benefit liability as at 31 December 2024	Impact (thousands of United States dollars)
Central	5 048 061	–
Increase by 1 per cent	5 096 540	48 479
Decrease by 1 per cent	4 999 582	(48 479)

Sensitivity analysis for changes in life expectancy

Scenario	After-service health insurance defined benefit liability as at 31 December 2024	Impact (thousands of United States dollars)
Central	5 048 061	–
Increase by 1 year	5 274 904	226 843
Decrease by 1 year	4 826 028	(222 033)

Other defined benefit plan information

164. The benefits paid are estimates of what would have been paid to separating staff and/or retirees during the year based on the pattern of rights acquisition under each scheme: after-service health insurance; repatriation; and commutation of accrued annual leave.

Benefits paid, net of participant contributions

(Thousands of United States dollars)

Year ended	After-service health insurance	Repatriation benefits	Annual leave	Total
31 December 2024	93 857	43 868	31 080	168 805
31 December 2023	87 907	43 247	24 541	155 695

Historical information: total liability for after-service health insurance, repatriation benefits and annual leave as at 31 December

(Millions of United States dollars)

	2024	2023	2022	2021	2020
Present value of the defined benefit obligations	5 613	5 339	4 885	6 177	6 447

*Funding of defined benefit liabilities: extrabudgetary resources**After-service health insurance*

165. With effect from 1 January 2017, the Organization began to accrue 3 per cent on gross salary plus post adjustment for staff funded from extrabudgetary resources in respect of staff retiring from positions funded from extrabudgetary resources. The rate was subsequently increased to 6 per cent on 1 January 2019.

Repatriation benefits

166. The Organization accrues 8 per cent on gross salary less staff assessment for staff funded from extrabudgetary resources as a reserve to cover the Organization's repatriation grant obligation.

167. The following tables provide a summary of the funding position of actuarially valued liabilities pertaining to extrabudgetary resources as at 31 December 2024 and 31 December 2023.

2024

(Thousands of United States dollars)

<i>Attributable to extrabudgetary resources</i>	<i>Liability</i>	<i>Funded</i>	<i>Unfunded</i>	<i>Percentage of liability funded</i>
After-service health insurance	1 060 202	321 258	738 944	30.3
Repatriation benefits	106 921	230 311	–	215.4
Annual leave	77 076	–	77 076	–
Total	1 244 199	551 569	816 020	44.3

2023

(Thousands of United States dollars)

<i>Attributable to extrabudgetary resources</i>	<i>Liability</i>	<i>Funded</i>	<i>Unfunded</i>	<i>Percentage of liability funded</i>
After-service health insurance	977 763	250 896	726 867	25.7
Repatriation benefits	107 354	200 278	–	186.5
Annual leave	77 457	–	77 457	–
Total	1 162 574	451 174	804 324	38.8

168. Defined benefit liabilities pertaining to the regular budget have not been funded. The pertinent budget is provided on the basis of claims experience in previous years.

Other employee benefit liabilities

Appendix D/workers' compensation costs actuarial valuation

169. The appendix D/workers' compensation fund covers payment of compensation in the event of death, injury or illness attributable to the performance of official duties by staff and other eligible personnel funded from extrabudgetary resources. The rules governing the compensation payments are set out in appendix D to the Staff Regulations and Rules of the United Nations. The fund derives its revenue from a charge of 1 per cent of the net base remuneration, including post adjustment for active staff funded from extrabudgetary resources, as well as from charges applied to individual consultancy and similar arrangements for other eligible personnel funded from extrabudgetary resources. It covers appendix D claims submitted by personnel, relating to monthly death and disability benefits and lump-sum payments for injury or illness, as well as medical expenses.

Assumptions

170. The workers' compensation liability is actuarially valued. The liabilities are determined from the projected benefits, which are increased for the cost-of-living allowance, decreased for mortality and then discounted to the present value. Obligations as at 31 December 2024, estimated at \$56.4 million (2023: \$47.5 million), are based on an actuarial valuation as at the same date.

171. The cost-of-living adjustment for 2024, as determined by Aon, is 2.5 per cent (2023: 2.3 per cent) and is calculated using market-based inflation. As with defined benefit liabilities, the Aon yield curves were used in determining the 31 December 2024 obligation. Appendix D/workers' compensation uses mortality assumptions based on World Health Organization statistical tables.

Sensitivity analysis

172. The sensitivity analysis looks at the change in liability resulting from changes in the cost-of-living adjustment, as well as changes in assumed discount rates. A change in the cost-of-living adjustment and a change in the assumed discount rates of 1 per cent would have an impact on the measurement of the appendix D obligation as shown below.

Appendix D costs: effect of 1 per cent movement in cost-of-living adjustment sensitivity to end-of-year liability

(Thousands of United States dollars and percentage)

	31 December 2024	31 December 2023
Increase of cost-of-living adjustment by 1 per cent	8 000	5 869
As a percentage of year-end liability	14.19	12.37
Decrease of cost-of-living adjustment by 1 per cent	(6 525)	(5 437)
As a percentage of year-end liability	(11.58)	(11.46)

**Appendix D costs: effect of 1 per cent movement in assumed discount rates
sensitivity to end-of-year liability**

(Thousands of United States dollars and percentage)

	31 December 2024	31 December 2023
Increase of discount rate by 1 per cent	(6 043)	(3 515)
As a percentage of year-end liability	(10.72)	(7.41)
Decrease of discount rate by 1 per cent	7 491	7 363
As a percentage of year-end liability	13.29	15.52

Funding

173. The liabilities pertaining to the regular budget of \$26.2 million (2023: \$24.9 million) have not been funded. The pertinent budget is provided on the basis of claims experience in previous years.

174. The liabilities pertaining to extrabudgetary resources of \$30.2 million (2023: \$22.6 million) are funded from a charge of 1 per cent of the net base remuneration, including post adjustment, for eligible personnel. The net surplus of the fund is \$115.8 million as at 31 December 2024 (2023: \$107.5 million).

Accrued salaries and allowances

175. Accrued salaries and allowances include \$34.1 million (2023: \$31.9 million) in accrued salaries and home leave benefits of \$50.2 million (2023: \$53.2 million).

United Nations Joint Staff Pension Fund

176. It is stated in the Regulations of the Pension Fund that the United Nations Joint Staff Pension Board shall have an actuarial valuation made of the Fund at least once every three years by the consulting actuary. The practice of the Pension Board has been to carry out an actuarial valuation every two years using the open group aggregate method. The primary purpose of the actuarial valuation is to determine whether the current and estimated future assets of the Pension Fund will be sufficient to meet its liabilities into perpetuity. The Fund's published funding policy (available on the Fund's website) sets out the methods, processes and targets that are used to monitor the funding position and associated risks. This also includes the practice of utilizing an actuarial value of assets, which smooths short-term investment gains and losses for the purpose of reporting long-term solvency.

177. The Organization's financial obligation to the Pension Fund consists of its mandated contribution, at the rate established by the General Assembly (currently 7.90 per cent for participants and 15.80 per cent for member organizations), together with a share of any actuarial deficiency payments under article 26 of the Regulations of the Fund. Such deficiency payments are payable only if and when the Assembly invokes the provision of article 26, following a determination that there is a requirement for deficiency payments based on an assessment of the actuarial sufficiency of the Pension Fund as at the valuation date. Each member organization shall contribute to this deficiency an amount proportionate to the total contributions that each paid during the three years preceding the valuation date. It has never been necessary to invoke article 26, and no deficiency payments have ever been requested.

178. The most recent actuarial valuation for the Pension Fund was completed as at 31 December 2023, and a roll-forward of the participation data as at 31 December 2023 to 31 December 2024 will be used by the Fund for the purpose of reporting an actuarial present value of accumulated plan benefits in its 2024 financial statements.

179. The actuarial valuation as at 31 December 2023 revealed a funded ratio of actuarial assets to actuarial liabilities of 111.0 per cent (117.0 per cent in the 2021 valuation) when future expected pension adjustments (cost-of-living indexation of benefits) were taken into account. The reported funded ratio was 152.0 per cent (158.2 per cent in the 2021 valuation) when the current system of pension adjustments was not taken into account and would be the measure by which actuarial sufficiency is established under article 26.

180. After assessing the actuarial sufficiency of the Pension Fund, the consulting actuary concluded that there was no requirement, as at 31 December 2023, for deficiency payments under article 26 of the Regulations of the Fund, given that the actuarial value of assets exceeded the actuarial value of all accrued liabilities under the plan. At the time of reporting, the General Assembly had not invoked the provision of article 26.

181. Should article 26 be invoked because of an actuarial deficiency, either during the ongoing operation or owing to the termination of the Pension Fund, deficiency payments required from each member organization would be based on the proportion of that member organization's contributions to the total contributions paid to the Fund during the three years preceding the valuation date. Total contributions paid to the Pension Fund during the preceding three years (2021, 2022 and 2023) amounted to \$9,499.41 million, of which 17.8 per cent was contributed by the Organization.

182. During 2024, the Organization's contributions, including the staff portion, paid to the Pension Fund amounted to \$640.6 million (2023: \$606.6 million). The Organization expects to contribute approximately the same amount in 2025.

183. Membership in the Pension Fund may be terminated by a decision of the General Assembly, upon the affirmative recommendation of the Pension Board. A proportionate share of the total assets of the Pension Fund at the date of termination shall be paid to the former member organization for the exclusive benefit of its staff who were participants in the Fund at that date, pursuant to an arrangement mutually agreed between the organization and the Fund. The amount is determined by the Pension Board on the basis of an actuarial valuation of the assets and liabilities of the Pension Fund on the date of termination; no part of the assets that are in excess of the liabilities are included in the amount.

184. The Board of Auditors carries out an annual audit of the Pension Fund and reports to the Pension Board and to the General Assembly on the audit every year. The Pension Fund publishes quarterly reports on its investments, which can be viewed on the Fund's website (www.unjspf.org).

Note 20 Provisions

2024

(Thousands of United States dollars)

	<i>Credits to Member States</i>	<i>Litigation and claims</i>	<i>Restoration</i>	<i>Insurance claims (incurred but not reported)</i>	<i>Total</i>
Provisions as at 31 December 2023	201 466	19 847	1 014	131 820	354 147
Additional provisions made	273 274	1 648	108	230 665	505 695
Amounts reversed	—	—	(41)	—	(41)
Amounts used	(112 172)	(19 182)	(2)	(216 976)	(348 332)
Provisions as at 31 December 2024	362 568	2 313	1 079	145 509	511 469

	<i>Credits to Member States</i>	<i>Litigation and claims</i>	<i>Restoration</i>	<i>Insurance claims (incurred but not reported)</i>	<i>Total</i>
Current	362 568	2 313	477	145 509	510 867
Non-current	—	—	602	—	602
Total	362 568	2 313	1 079	145 509	511 469

2023

(Thousands of United States dollars)

	<i>Credits to Member States</i>	<i>Litigation and claims</i>	<i>Restoration</i>	<i>Insurance claims (incurred but not reported)</i>	<i>Total</i>
Provisions as at 31 December 2022	361 521	1 088	849	128 460	491 918
Additional provisions made	89 102	19 787	228	131 820	240 937
Amounts reversed	—	(960)	(9)	—	(969)
Amounts used	(249 157)	(68)	(54)	(128 460)	(377 739)
Provisions as at 31 December 2023	201 466	19 847	1 014	131 820	354 147
Current	201 466	19 847	519	131 820	353 652
Non-current	—	—	495	—	495
Total	201 466	19 847	1 014	131 820	354 147

185. The provisions for credits to Member States are composed mainly of net adjustments to prior-period expenditure of \$51.0 million, net unencumbered balances of appropriations of \$253.3 million and a net change of \$57.4 million from staff assessment income, general income and income from services to the public. Provisions for \$2.3 million (2023: \$19.8 million) were set up for various ongoing legal claims for which it was assessed that the probability of a pay-out was greater than 50 per cent. Provisions for insurance claims (incurred but not reported) amounting to \$145.5 million represent estimated costs that may be required to settle medical and dental claims that have been incurred during the year for which claims were not yet filed.

Note 21**Tax Equalization Fund liability**

186. The Tax Equalization Fund was established under the provisions of General Assembly resolution [973 \(X\)](#) to equalize the net pay of all staff members, irrespective of their national tax obligations. The Fund operationally reports as income, staff assessment with respect to staff members financed under the regular budget, assessed peacekeeping operations and the International Residual Mechanism for Criminal Tribunals.

187. The Fund includes as expenditure credits against the assessed contributions for the regular budget, peacekeeping and the International Residual Mechanism for Criminal Tribunals to Member States that do not levy taxes on the United Nations income of their nationals. Member States that do levy income taxes on their nationals working for the Organization do not receive this credit in full. Instead, their share is utilized in the first instance to reimburse staff members financed by the regular budget, peacekeeping and the Residual Mechanism for taxes paid on their United Nations income. Such reimbursements for taxes paid are reported as expenditure by the Tax Equalization Fund. Staff members financed by extrabudgetary funds who are

required to pay income tax are reimbursed directly from the resources of those funds. Given that the Organization acts as an agent in this arrangement, net of the related revenue and expenses is reported as a payable in these financial statements.

Operational revenue and expenses of the Tax Equalization Fund^a

(Thousands of United States dollars)

	United States of America	Other Member States	31 December 2024	31 December 2023
Staff assessment receipts from:				
United Nations regular budget	67 052	237 729	304 781	307 429
Peacekeeping operations	47 490	128 730	176 220	178 419
International Residual Mechanism for Criminal Tribunals	1 514	4 671	6 185	6 937
Investment revenue	733	2 345	3 078	4 159
Total staff assessment revenue	116 789	373 475	490 264	496 944
Staff costs and other	88 297	—	88 297	87 158
Contractual services	219	—	219	224
Credits given to other Member States for:				
United Nations regular budget	—	245 485	245 485	228 065
Peacekeeping operations	—	124 394	124 394	137 724
International Residual Mechanism for Criminal Tribunals	—	3 590	3 590	4 973
Total expenses	88 516	373 469	461 985	458 144
Net excess of revenue over expense	28 273	6	28 279	38 800

^a This summary information presented in a table format shows the revenue and expenses of the Tax Equalization Fund, which have been eliminated in the financial statements of the United Nations as reported in volume I. An amount of \$28.279 million, representing excess of revenue over expenses, has been added to cumulative surplus balances during 2024 and transferred to the tax equalization liability financial statement line.

188. The cumulative surplus accumulated in the Tax Equalization Fund as at 31 December 2024 was \$170.0 million (2023: \$229.2 million), consisting of amounts payable to the United States of America at year-end of \$133.9 million (2023: \$193.1 million) and to other Member States of \$36.1 million (2023: \$36.1 million). The overall amount payable of the Fund is \$228.8 million (2023: \$291.4 million), which includes other liabilities of \$2.4 million (2023: \$1.8 million) and an estimated tax liability of \$56.5 million relating to the 2024 and prior tax years (2023: \$60.4 million), of which approximately \$35.6 million was disbursed in January 2025 and approximately \$20.9 million was expected to be settled in April 2025.

Note 22

Liabilities for conditional arrangements

(Thousands of United States dollars)

	31 December 2024	31 December 2023
Current		
Liabilities – cash received	41 930	42 159
Liabilities – cash not received	43 096	59 566
Subtotal	85 026	101 725

	31 December 2024	31 December 2023
Non-current		
Liabilities – cash not received	20 970	24 975
Total conditional liabilities	105 996	126 700

189. Liabilities for conditional arrangements include cash received from donors, identified as conditional and not yet utilized, in the amount of \$41.9 million (2023: \$42.2 million). Liabilities classified as cash not received have a contra amount reported within voluntary contributions receivable (see note 10).

Note 23

Other liabilities

(Thousands of United States dollars)

	Current	Non-current	Total 31 December 2024
Liabilities under donated right-to-use arrangements	3 286	45 598	48 884
Straight-lining of operating lease	9 924	–	9 924
Borrowings	2 777	291 549	294 326
Other liabilities	23 860	8 694	32 554
Total other liabilities	39 847	345 841	385 688

(Thousands of United States dollars)

	Current	Non-current	Total 31 December 2023
Liabilities under donated right-to-use arrangements	3 239	48 377	51 616
Straight-lining of operating lease	11 559	–	11 559
Borrowings	2 997	301 969	304 966
Other liabilities	4 433	17 595	22 028
Total other liabilities	22 228	367 941	390 169

Borrowings

190. The General Assembly, in its resolution [70/248 A](#), approved the financing of the strategic heritage plan project in part through an interest-free loan from the host country. A loan contract was signed in April 2017 between the Organization and the Fondation des immeubles pour les organisations internationales (a public entity under the Government of Switzerland), for a maximum loan amount of 400 million Swiss francs. The Organization withdraws funds available under the loan in several tranches each year. The loan is measured at amortized cost using the interest rate of a 30-year Swiss federal government bond. As at 31 December 2024, the nominal loan amount withdrawn was \$323.1 million (equivalent to 291.1 million Swiss francs), and the nominal loan amount reimbursed was \$11.1 million (equivalent to 10.0 million Swiss francs). Its corresponding fair value at amortized cost is \$294.3 million. The loan is received at below the normal market rates and is therefore treated as a concessionary loan. Owing to the positive interest rate of a 30-year Swiss federal bond as at 31 December 2024, the statement of financial performance includes notional finance

income of \$2.2 million (2023: \$3.6 million) relating to finance lease arrangements and associated strategic borrowings relating to the strategic heritage plan.

Note 24

Controlled multi-partner trust funds

191. Multi-partner trust funds are pooled resources from multiple financial partners that are allocated to multiple implementing entities to support specific national, regional or global development priorities. They are administered by the UNDP Multi-Partner Trust Fund Office.

Multi-partner trust funds in which the Organization has control and is the principal

192. Common humanitarian funds have been established as partnerships between the United Nations agencies for humanitarian activities in a number of countries. The Office for the Coordination of Humanitarian Affairs serves as the technical unit for the funds and is responsible for managing the allocation process. The Organization therefore controls the funds and is the principal in those multi-partner trust funds. Effective 1 April 2023, the Office has commenced administering these funds. The orderly closure of the multi-partner trust fund accounts with UNDP will take place once all projects funded have been implemented and closed.

193. The Peacebuilding Fund has financed numerous projects in multiple countries by delivering fast and flexible funding for peacebuilding initiatives in post-conflict countries. Given that the Fund is controlled and managed by the Peacebuilding Support Office, the Organization is the principal in the Fund.

194. The United Nations Haiti cholera response multi-partner trust fund was launched in 2016. The fund provides a rapid, flexible and accountable platform to support a coordinated response from the United Nations system and partners. The Resident and Humanitarian Coordinator in Haiti and the Director of the Sustainable Development Unit of the Executive Office of the Secretary-General act as the co-Chairs of the advisory committee of the fund. Accordingly, the Organization is considered as the principal in the fund.

195. The coronavirus disease (COVID-19) response and recovery multi-partner trust fund was established in 2020 to support countries in overcoming the health and development crisis caused by the pandemic. The fund operates under the overall leadership of the Secretary-General through his designate, who serves as the Chair of the advisory committee of the fund. The Organization controls the fund and is considered as the principal in the fund.

196. The digital cooperation fund was created in October 2023, in line with the Secretary-General's Road Map for Digital Cooperation (see [A/74/821](#)), and is intended to strengthen digital cooperation for the global common good. The fund is led by a steering committee, which is chaired by the Envoy of the Secretary-General on Technology. The Organization therefore controls the fund and is considered its principal.

197. The Spotlight Initiative 2.0 Fund, established in 2024, represents the second phase of the Spotlight Initiative. The Spotlight Initiative is a high-impact initiative to end violence against women and girls, representing a global effort to invest in gender as a precondition of and driver for the achievement of the Sustainable Development Goals. The Spotlight Initiative 2.0 Fund works with women and girls and builds strong partnerships with Governments, regional bodies, United Nations agencies, duty-bearers, civil society, development partners and academia at the global, regional and country levels to address the root causes and drivers of violence. The Fund is a multi-donor, inter-agency initiative anchored in the Executive Office of the Secretary-

General. The multi-partner trust funds in which the Organization has control and is the principal are therefore consolidated in full in the Organization's financial statements.

198. A summary of consolidated revenue, expenses and net assets of the controlled multi-partner trust funds is shown below.

(Thousands of United States dollars)

	Year ended 31 December 2024						Total
	Common humanitarian funds	Peacebuilding funds	Spotlight Initiative 2.0 Fund	Haiti cholera response fund	COVID-19 response and recovery multi-partner trust fund	Digital cooperation fund	
Revenue	7 973	108 310	13 233	49	121	6 074	135 760
Expenses	(47 253)	(157 649)	(181)	65	404	(3 247)	(207 861)
Net surplus/(deficit)	(39 280)	(49 339)	13 052	114	525	2 827	(72 101)
Net assets as at 31 December 2023	45 596	142 007	–	1 241	2 705	1 600	193 149
Net assets as at 31 December 2024	6 316	92 668	13 052	1 355	3 230	4 427	121 048

(Thousands of United States dollars)

	Year ended 31 December 2023						Total
	Common humanitarian funds	Peacebuilding funds	Spotlight Initiative 2.0 Fund	Haiti cholera response fund	COVID-19 response and recovery multi-partner trust fund	Digital cooperation fund	
Revenue	90 665	133 806	–	35	76	2 210	226 792
Expenses	(273 488)	(182 935)	–	22	1 115	(610)	(455 896)
Net surplus/(deficit)	(182 823)	(49 129)	–	57	1 191	1 600	(229 104)
Net assets as at 31 December 2022	228 419	191 136	–	1 184	1 514	–	422 253
Net assets as at 31 December 2023	45 596	142 007	–	1 241	2 705	1 600	193 149

Note 25
Interests in joint arrangements

Interests in joint arrangements accounted for using the equity method

Joint arrangements accounted for using the equity method, as at 31 December 2024

(Thousands of United States dollars)

	Statement of changes in net assets				
	Net assets/ (liability) as at 1 January 2024	Actuarial gains/(losses) relating to valuation of employee benefits liabilities	Other changes	Statement of financial performance: surplus/(deficit) for the year	Net assets/ (liability) as at 31 December 2024
Interest in joint arrangements: non-current assets					
United Nations System Staff College	6 952	(1)	–	75	7 026
Vienna International Centre Major Repair and Replacement Fund	1 527	–	(99)	127	1 555
Total non-current assets	8 479	(1)	(99)	202	8 581
Interest in joint arrangements: non-current liabilities					
International Trade Centre	(6 322)	(8 236)	150	2 686	(11 722)
United Nations Office at Vienna	(32 487)	1 817	–	183	(30 487)
Other joint ventures	(20 313)	243	(4)	352	(19 722)
Total non-current liabilities	(59 122)	(6 176)	146	3 221	(61 931)
Net interest in joint arrangements	(50 643)	(6 177)	47	3 423	(53 350)
Net contribution to joint arrangements ^a				81 078	
Statement II: contributions to and share of deficit of joint arrangements accounted for using the equity method				77 655	

^a Represents the 2024 regular budget contribution to the funds accounted for under the joint venture equity method, comprising \$58.507 million to joint financing arrangements, \$21.627 million to the International Trade Centre, \$0.150 million to the United Nations System Staff College and \$0.794 million to the Vienna International Centre Major Repair and Replacement Fund.

Joint arrangements accounted for using the equity method, as at 31 December 2023

(Thousands of United States dollars)

	Statement of changes in net assets				
	Net assets/ (liability) as at 1 January 2023	Actuarial gains/(losses) relating to actuarial valuation of employee benefits liabilities	Other changes	Statement of financial performance: surplus/(deficit) for the year	Net assets/ (liability) as at 31 December 2023
Interest in joint arrangements: non-current assets					
United Nations System Staff College	6 044	—	—	908	6 952
Vienna International Centre Major Repair and Replacement Fund	1 452	—	90	(15)	1 527
Total non-current assets	7 496	—	90	893	8 479

	Statement of changes in net assets				Net assets/ (liability) as at 31 December 2023
	Net assets/ (liability) as at 1 January 2023	Actuarial gains/(losses) relating to valuation of employee benefits liabilities	Other changes	Statement of financial performance: surplus/(deficit) for the year	
Interest in joint arrangements: non-current liabilities					
International Trade Centre	(4 016)	(3 207)	531	370	(6 322)
United Nations Office at Vienna	(44 253)	14 817	(64)	(2 987)	(32 487)
Other joint ventures	(17 744)	(2 985)	(348)	764	(20 313)
Total non-current liabilities	(66 013)	8 625	119	(1 853)	(59 122)
Net interest in joint arrangements	(58 517)	8 625	209	(960)	(50 643)
Net contribution to joint arrangements ^a				79 416	
Statement II: contributions to and share of deficit of joint arrangements accounted for using the equity method				80 376	

^a Represents the 2023 regular budget contribution to the funds accounted for under the joint venture equity method, comprising \$58.408 million to joint financing arrangements, \$20.163 million to the International Trade Centre, \$0.150 million to the United Nations System Staff College and \$0.695 million to the Vienna International Centre Major Repair and Replacement Fund.

Joint arrangements accounted for using the equity method: non-current assets

199. The United Nations System Staff College was created by the General Assembly to improve the effectiveness of the United Nations system. It runs courses and delivers learning initiatives to United Nations personnel. The College operates on a biennial budget approved by its Board. A core portion of the budget is met by the members of the United Nations System Chief Executives Board for Coordination (CEB) in accordance with the cost-sharing formula decided upon by CEB. For the 2024 core contribution, the Organization's share is 29.61 per cent (2023: 29.61 per cent). A summary of the financial performance and net assets position of the College is shown below.

200. The Major Repair and Replacement Fund is a jointly financed administrative activity whose contributors are the organizations based at the Vienna International Centre. Its objective is to make major capital improvements to the Centre. The Organization contributed \$0.8 million to the Fund in 2024 (2023: \$0.7 million), which represents 11.83 per cent of the total revenue received by the Fund in 2024 (2023: 11.83 per cent). A summary of the financial performance and the net assets position of the Fund are presented below.

201. Annual contributions made by the Organization to the Major Repair and Replacement Fund may be used to acquire or upgrade physical assets required for major capital improvements to the Vienna International Centre. The Organization had not entered into any other capital commitments in relation to its interests in joint ventures as at 31 December 2024.

Joint arrangements accounted for using the equity method: non-current liabilities

202. ITC is a joint venture between the Organization and the World Trade Organization. Accordingly, the United Nations 50.0 per cent interest, based on its regular budget contribution of \$21.6 million in 2024 (2023: \$20.2 million), is

accounted for using the equity method. A summary of the financial performance and net assets position of ITC is provided below.

203. The jointly financed administrative activities are established under binding agreements, as follows:

(a) **United Nations Office at Vienna.** Jointly financed administrative activities of the United Nations in Vienna consist of three activities, each of which has a cost-sharing agreement:

- (i) Safety and security;
- (ii) Access control programme of the Vienna International Centre shooting range;
- (iii) Conference and administrative services;

Joint arrangements administered by United Nations Headquarters

(b) **Safety and security.** The Department of Safety and Security is a single security management framework responsible for providing leadership, operational support and oversight of the security management system, ensuring the maximum security for staff and eligible dependants and enabling the safest and most efficient conduct of the programmes and activities of the United Nations system;

(c) **International Civil Service Commission.** The International Civil Service Commission is an independent expert body established by the General Assembly with a mandate to regulate and coordinate the conditions of service of staff in the United Nations common system while promoting and maintaining high standards in the international civil service;

(d) **Joint Inspection Unit.** The Joint Inspection Unit is an independent external oversight body of the United Nations system established by the General Assembly to conduct evaluations, inspections and investigations system-wide;

(e) **CEB secretariat.** CEB is the longest-standing and highest-level coordination forum of the United Nations system. It was established as a standing committee of the Economic and Social Council and is chaired by the Secretary-General. While not a policymaking body, CEB supports and reinforces the coordinating role of intergovernmental bodies of the United Nations system on social, economic and related matters.

204. These jointly financed administrative activities have the same reporting period as the Organization and are accounted for using the equity method. The Organization's interest in these activities is its share of their net liabilities, which is based on the funding apportionment percentage. These cost-sharing ratios reflect key factors, such as the number of employees and the total space occupied, and are included in the statement of financial performance and statement of financial position tables below.

*Joint arrangements accounted for using the equity method: financial statements***Joint arrangements accounted for using the equity method: statement of financial position as at 31 December 2024**

(Thousands of United States dollars)

	<i>International Trade Centre</i>	<i>United Nations System Staff College</i>	<i>Vienna International Centre Major Repair and Replacement Fund</i>	<i>United Nations Office at Vienna</i>	<i>Joint arrangements administered by Headquarters</i>	<i>Total</i>
Current assets	295 180	25 560	14 204	1 195	30 122	366 261
Non-current assets	166 788	23 491	–	332	16 617	207 228
Total assets	461 968	49 051	14 204	1 527	46 739	573 489
Current liabilities	(102 866)	(5 798)	(1 056)	(3 134)	(12 249)	(125 103)
Non-current liabilities	(382 546)	(19 527)	–	(48 152)	(135 634)	(585 859)
Total liabilities	(485 412)	(25 325)	(1 056)	(51 286)	(147 883)	(710 962)
Net of total assets and total liabilities	(23 444)	23 726	13 148	(49 759)	(101 144)	(137 473)
Net assets: accumulated surplus/(deficit)	(23 444)	23 726	13 148	(49 759)	(101 144)	(137 473)

Joint arrangements accounted for using the equity method: statement of financial performance as at 31 December 2024

(Thousands of United States dollars)

	<i>International Trade Centre</i>	<i>United Nations System Staff College</i>	<i>Vienna International Centre Major Repair and Replacement Fund</i>	<i>United Nations Office at Vienna</i>	<i>Joint arrangements administered by Headquarters</i>	<i>Total</i>
Revenue	177 673	21 819	6 418	48 302	181 913	436 125
Expenses	(172 302)	(21 569)	(5 346)	(49 378)	(178 703)	(427 298)
Surplus/(deficit) for the year	5 371	250	1 072	(1 076)	3 210	8 827
Net assets/(liabilities) at beginning of year	(12 643)	23 478	12 911	(51 648)	(104 558)	(132 460)
Surplus/(deficit) for the year	5 371	250	1 072	(1 076)	2 187	7 804
Actuarial gains/(losses) on employee benefits liabilities	(16 471)	(2)	–	2 965	1 247	(12 261)
Other changes in net assets	299	–	(835)	–	(20)	(556)
Net assets/(liabilities) at year end	(23 444)	23 726	13 148	(49 759)	(101 144)	(137 473)
Organization's interest in the joint arrangements (percentage)	50.00	29.61	11.83	61.27	19.5	
Share of surplus/(deficit) for the year	2 686	75	127	183 ^a	352 ^b	3 423
Share of actuarial gains/(losses) recognized directly in net assets	(8 236)	(1)	–	1 817	243	(6 177)
Share of other changes in net assets	150	–	(99)	–	(4)	47
Share of net assets/(liabilities) at year end	(11 722)	7 026	1 555	(30 487)	(19 722)	(53 350)

^a Adjusted to reflect a change in the interest of the Organization from 62.9 per cent in 2023 to 61.27 per cent in 2024.^b Adjusted to reflect a change in the interest of the Organization from 19.4 per cent in 2023 to 19.5 per cent in 2024.

Joint arrangements accounted for using the equity method: statement of financial position as at 31 December 2023

(Thousands of United States dollars)

	<i>International Trade Centre</i>	<i>United Nations System Staff College</i>	<i>Vienna International Centre Major Repair and Replacement Fund</i>	<i>United Nations Office at Vienna</i>	<i>Joint arrangements administered by Headquarters</i>	<i>Total</i>
Current assets	249 948	30 419	14 319	908	28 823	324 417
Non-current assets	124 148	16 434	—	951	12 845	154 378
Total assets	374 096	46 853	14 319	1 859	41 668	478 795
Current liabilities	(85 585)	(6 187)	(1 408)	(3 875)	(14 136)	(111 191)
Non-current liabilities	(301 154)	(17 188)	—	(49 632)	(132 090)	(500 064)
Total liabilities	(386 739)	(23 375)	(1 408)	(53 507)	(146 226)	(611 255)
Net of total assets and total liabilities	(12 643)	23 478	12 911	(51 648)	(104 558)	(132 460)
Net assets: accumulated surplus/(deficit)	(12 643)	23 478	12 911	(51 648)	(104 558)	(132 460)

Joint arrangements accounted for using the equity method: statement of financial performance as at 31 December 2023

(Thousands of United States dollars)

	<i>International Trade Centre</i>	<i>United Nations System Staff College</i>	<i>Vienna International Centre Major Repair and Replacement Fund</i>	<i>United Nations Office at Vienna</i>	<i>Joint arrangements administered by Headquarters</i>	<i>Total</i>
Revenue	159 525	22 635	6 006	49 301	164 581	402 048
Expenses	(158 784)	(19 567)	(6 134)	(53 190)	(165 847)	(403 522)
Surplus/(deficit) for the year	741	3 068	(128)	(3 889)	(1 266)	(1 474)
Net assets/(liabilities) at beginning of year	(8 032)	20 411	12 513	(71 215)	(86 133)	(132 456)
Surplus/(deficit) for the year	741	3 068	(128)	(3 889)	(1 266)	(1 474)
Actuarial gains/(losses) on employee benefits liabilities	(6 414)	(1)	—	23 556	(15 366)	1 775
Other changes in net assets	1 062	—	526	(100)	(1 793)	(305)
Net assets/(liabilities) at year end	(12 643)	23 478	12 911	(51 648)	(104 558)	(132 460)
Organization's interest in the joint arrangements (percentage)	50.00	29.61	11.83	62.90	19.40	
Share of surplus/(deficit) for the year	370	908	(15)	(2 987) ^a	764 ^b	(960)
Share of actuarial gains/(losses) recognized directly in net assets	(3 207)	—	—	14 817	(2 985)	8 625
Share of other changes in net assets	531	—	90	(64)	(348)	209
Share of net assets/(liabilities) at year end	(6 322)	6 952	1 527	(32 487)	(20 313)	(50 643)

^a Adjusted to reflect a change in the interest of the Organization from 62.14 per cent in 2022 to 62.9 per cent in 2023.

^b Adjusted to reflect a change in the interest of the Organization from 20.6 per cent in 2022 to 19.4 per cent in 2023.

Note 26
Net assets**Net assets as at 31 December**

(Thousands of United States dollars)

	<i>General Fund and related funds</i>	<i>Trust funds</i>	<i>Long-term employee benefits funds</i>	<i>Insurance/workers' compensation funds</i>	<i>Other funds</i>	<i>Total</i>
Net assets as at 1 January 2023	365 292	4 744 342	(4 525 245)	762 636	3 361 990	4 709 015
Changes in net assets						
Actuarial gains/(losses) on employee benefits liabilities (note 19)	(476)	—	(251 187)	939	—	(250 724)
Share of changes recognized by joint ventures directly in net assets (note 25)	8 744	—	—	—	90	8 834
Fair value gain on revaluation of investments recognized directly in net assets	6 117	21 022	2 511	14 285	7 309	51 244
Surplus/(deficit) for the year	(3 344)	(289 364)	(116 758)	50 908	30 949	(327 609)
Total changes in net assets	11 041	(268 342)	(365 434)	66 132	38 348	(518 255)
Net assets as at 31 December 2023	376 333	4 476 000	(4 890 679)	828 768	3 400 338	4 190 760
Changes in net assets						
Actuarial gains/(losses) on employee benefits liabilities (note 19)	824	—	(80 669)	1 605	—	(78 240)
Share of changes recognized by joint ventures directly in net assets (note 25)	(6 031)	—	—	—	(99)	(6 130)
Fair value gain on revaluation of investments recognized directly in net assets	1 088	4 986	770	8 207	1 865	16 916
Surplus/(deficit) for the year	(47 480)	76 133	(94 367)	(59 286)	91 366	(33 634)
Total changes in net assets	(51 599)	81 119	(174 266)	(49 474)	93 132	(101 088)
Net assets as at 31 December 2024	324 734	4 557 119	(5 064 945)	779 294	3 493 470	4 089 672

Net assets as at 31 December 2024

(Thousands of United States dollars)

	<i>Accumulated surplus/deficit</i>	<i>Reserves</i>	<i>Total net assets</i>
General Fund and related funds	325 149	(415)	324 734
Trust funds	4 560 862	(3 743)	4 557 119
Long-term employee benefits funds	(5 064 306)	(639)	(5 064 945)
Insurance/workers' compensation funds	684 388	94 906	779 294
Other funds	3 494 635	(1 165)	3 493 470
Total net assets	4 000 728	88 944	4 089 672

Net assets as at 31 December 2023 (restated)^a

(Thousands of United States dollars)

	<i>Accumulated surplus/deficit</i>	<i>Reserves</i>	<i>Total net assets</i>
General Fund and related funds	377 834	(1 501)	376 333
Trust funds	4 484 729	(8 729)	4 476 000
Long-term employee benefits funds	(4 889 271)	(1 408)	(4 890 679)
Insurance/workers' compensation funds	742 067	86 701	828 768
Other funds	3 403 373	(3 035)	3 400 338
Total net assets	4 118 732	72 028	4 190 760

^a Refer to note 4.

Accumulated surplus

205. The accumulated surplus includes the accumulated surplus of the General Fund and related funds, trust funds, after-service employee benefits funds, self-insurance plan funds and other funds. Self-insurance plans are recorded fully in the financial statements because the Organization acts as the principal.

Reserves

206. Reserves comprise a premium stabilization reserve amounting to \$1.4 million (2023: \$1.4 million) for the United Nations Group Staff Life Insurance Reserve Fund, and a reserve balance of \$80.3 million (2023: \$80.3 million) held for the United Nations Staff Mutual Insurance Society against Sickness and Accidents, which is required under its statute. In addition, in accordance with IPSAS 1, the reserves include gains and losses on financial assets measured at fair value through net assets/equity. As at the reporting date, the unrealized gain reported under the fair value reserve amounted to \$7.2 million (2023: \$9.7 million net deficit), representing the net cumulative impact of the year-end revaluation on investments.

United Nations Special Account

207. Under the provisions of General Assembly resolutions [2053 A \(XX\)](#) of 15 December 1965 and [3049 A \(XXVII\)](#) of 19 December 1972, the Special Account has received voluntary contributions from Member States and private donors in order to overcome the financial difficulties of the United Nations and to resolve the Organization's short-term deficit. The year-end balance was \$232.3 million (2023: \$220.9 million), of which \$48.7 million (2023: \$48.7 million) relates to the Special Account principal from contributions and \$183.6 million (2023: \$172.2 million) to accumulated surplus. The Special Account is reported under the General Fund and related funds.

Note 27

Revenue from non-exchange transactions

Assessed contributions

208. Assessed contributions of \$3,305.0 million (2023: \$3,278.2 million) have been recorded in accordance with the Financial Regulations and Rules of the United Nations, the relevant resolutions of the General Assembly and the policies of the United Nations, on the basis of the regular budget scale of assessment. A reconciliation of assessed contributions to gross amounts assessed to Member States is presented below.

Assessed contributions

(Thousands of United States dollars)

	2024	2023
Gross amount assessed to Member States ^a	3 465 611	3 217 716
Additional assessment ^b	—	(47 120)
Additional appropriation approved for the year ^c	27 273	—
Net (increase)/decrease in income other than staff assessment	(12 526)	(9 087)
(Increase)/decrease in staff assessment income	17 889	(28 360)
Adjustments against prior-period expenditure	(25 463)	(25 564)
Unencumbered balances of the reporting year	(254 506)	(26 096)
Utilization of adjustments against prior-period expenditure	46 400	89 728
Utilization of unencumbered balances of prior-period appropriations	40 138	106 833
Non-member States' assessments	189	176
Amount reported in statement II: assessed contributions	3 305 005	3 278 226

^a In accordance with General Assembly resolution [78/254](#) C and [ST/ADM/SER.B/1067](#) for 2024 and Assembly resolution [77/264](#) C and [ST/ADM/SER.B/1052](#) for 2023.

^b 2023 adjustment pertains to 2022.

^c In accordance with General Assembly resolutions [78/273](#) and [78/274](#).

Voluntary contributions

(Thousands of United States dollars)

	2024	2023
Voluntary monetary contributions	3 159 831	3 057 109
Voluntary in-kind contributions	68 864	66 353
Total voluntary contributions	3 228 695	3 123 462
Refunds	(29 081)	(11 499)
Net voluntary contributions	3 199 614	3 111 963

209. All voluntary contributions under binding agreements signed during 2024 are recognized as revenue in 2024, including the future portion of multi-year agreements. Voluntary monetary contributions include \$5.5 million (2023: \$6.3 million) relating to assessments for conferences of States parties to treaties and conventions, which are levied on the basis of agreements among the States parties to the relevant treaty or convention, and \$130.6 million (2023: \$204.9 million) in consolidated voluntary contributions to the UNDP multi-partner trust fund.

210. During 2024, the total amount of voluntary contributions in kind recognized for right-to-use arrangements was \$64.5 million (2023: \$62.7 million) and the total amount of voluntary contributions in kind recognized for donated assets was \$4.4 million (2023: \$3.7 million).

211. Major funds that received more than 79 per cent of voluntary contributions revenue recognized in 2024 are listed below.

(Thousands of United States dollars)

	2024	2023
Trust fund for strengthening the Office of the Emergency Relief Coordinator ^a	1 276 507	1 729 038
Central Emergency Response Fund	578 623	251 049
Trust fund for the support of the Centre for Human Rights	220 607	168 587
Special purpose trust fund for the reinvigorated resident coordinator system	132 521	152 907
Trust fund for the Peacebuilding Support Office ^b	105 118	117 740
United Nations peace and development trust fund	94 304	2 024
Trust fund in support of the Multinational Security Support Mission in Haiti	89 627	10 947
Trust fund for the Junior Professional Officer Programme administered by the Department of Economic and Social Affairs	75 307	53 696
Total major funds that received voluntary contributions	2 572 614	2 485 988
Other funds	656 081	637 474
Total voluntary contributions received	3 228 695	3 123 462

^a Includes voluntary contributions received through the multi-partner trust funds of \$6.707 million (2023: \$85.166 million).

^b Includes voluntary contributions received through the multi-partner trust funds of \$104.864 million (2023: \$117.529 million).

212. Revenue for voluntary contributions recognized in 2024 is intended for the following years, as shown below.

(Thousands of United States dollars)

	<i>Voluntary contribution</i>
2024	2 034 808
2025	846 050
2026	184 547
2027	85 438
2028	27 489
Beyond 2028	50 363
Total voluntary contributions	3 228 695

Other transfers and allocations

(Thousands of United States dollars)

	2024	2023
Interorganizational arrangements	115 878	120 720
Other transfers and allocations	17 207	11 815
Total other transfers and allocations	133 085	132 535

Services in kind

213. In-kind contributions of technical assistance, experts, security and other services received during the year are not recognized as revenue and therefore are not included in the in-kind contributions revenue reflected above. In-kind technical assistance/expert services and other in-kind services received by the Organization during the year amounted to \$24.4 million (2023: \$20.5 million).

Note 28**Other revenue**

(Thousands of United States dollars)

	2024	2023
Revenue from services rendered	191 644	186 090
Rental income	35 722	34 232
Revenue-producing activities and other miscellaneous revenue	42 391	38 680
Net foreign exchange gains ^a	—	56 053
Total other revenue	269 757	315 055

^a See note 30 for net foreign exchange losses in 2024.

214. Revenue from services rendered comprises revenue generated from software support and maintenance, training and consultancy services provided to external parties. Revenue-producing activities include revenue from sales of publications, books and stamps. Miscellaneous revenue derives mainly from the sale of equipment and inventories and donation of fixed assets.

Note 29**Self-insurance plans***Self-insurance funds: contributions*

(Thousands of United States dollars)

	2024	2023
Health and dental insurance	514 849	485 145
Other contributions	5 614	10 280
Total contributions	520 463	495 425

Self-insurance funds: claims and expenses

(Thousands of United States dollars)

	2024	2023
Health and dental insurance	810 877	707 806
Other insurance claims paid	5 036	3 299
Total claims and expenses	815 913	711 105

Health and dental insurance plans

215. Health and dental insurance plans were established as part of the social security scheme for United Nations staff and retirees. Most of the plans are self-insured and most are managed in two locations:

(a) Headquarters in New York manages the United States-based health and dental plans, the worldwide plan for internationally recruited field staff and retirees and the medical insurance plan for locally recruited field staff and retirees at designated duty stations, as well as staff and retirees of some United Nations entities and agencies;

(b) The United Nations Office at Geneva manages the United Nations Staff Mutual Insurance Society against Sickness and Accidents for United Nations staff and retirees in Geneva, as well as staff and retirees of other organizations based mostly in Geneva.

216. There are also fully insured health insurance plans. At Headquarters, there is the health insurance plan of New York, which has been closed to new subscribers. In Vienna, staff and retirees are eligible to enrol in the Austrian national health insurance programme and the plans administered by the United Nations Industrial Development Organization (full medical insurance plan and supplementary medical insurance plan). In those instances, premiums collected from staff, retirees and the Organization are recorded as liabilities and paid to the relevant insurance providers.

217. In the case of self-insured plans, the Organization and the participating subscribers assume the financial risk of providing health insurance to members. These health insurance plans include:

(a) United States-based medical plans, administered by Anthem Blue Cross and Aetna, and the dental plan administered by Cigna;

(b) Worldwide plan for internationally recruited field staff and retirees, administered by Cigna International;

(c) Medical insurance plan for locally recruited staff and retirees at designated duty stations, administered by Cigna International;

(d) United Nations Staff Mutual Insurance Society against Sickness and Accidents for United Nations staff and retirees in Geneva, as well as staff and retirees of other Geneva-based organizations.

218. The plans are administered by third-party administrators on behalf of the Organization or, as in the case of the United Nations Staff Mutual Insurance Society against Sickness and Accidents, are self-administered.

219. The Organization is responsible for administering or appointing the administrators of the plans and acts as the principal for the self-insurance arrangements. External entities and agencies that participate in the Organization's health and dental insurance plans contribute only premiums and have no control over the plans. Major external entities and agencies are listed in the table below.

<i>External entity/agency</i>	<i>Number of staff members/retirees enrolled</i>	<i>Amount contributed in 2024 (thousands of United States dollars)</i>
Office of the United Nations High Commissioner for Refugees	6 606	69 350
United Nations Development Programme	6 528	77 479
United Nations Children's Fund	6 122	61 950
International Telecommunication Union	1 628	18 828
United Nations Environment Programme	1 593	12 424
World Meteorological Organization	723	7 785
United Nations Office for Project Services	678	4 830
International Trade Centre	634	8 482
International Residual Mechanism for Criminal Tribunals	597	3 353
Secretariat of the United Nations Framework Convention on Climate Change	529	4 427
United Nations Office on Drugs and Crime	522	1 801
United Nations Population Fund	499	1 665
United Nations Joint Staff Pension Fund	447	9 095
United Nations Relief and Works Agency for Palestine Refugees in the Near East	435	1 127
United Nations Human Settlements Programme (UN-Habitat)	371	1 137
United Nations Industrial Development Organization	113	286
Secretariat of the United Nations Convention to Combat Desertification	105	960
Others	1 123	6 871
	29 253	291 670

220. The statement of financial performance and statement of financial position for the health and dental self-insurance funds are shown below.

Health and dental self-insurance funds: statement of financial position as at 31 December 2024

(Thousands of United States dollars)

	<i>Anthem Blue Cross, Aetna and Cigna health plans</i>	<i>Medical insurance plan for field local staff</i>	<i>United Nations Staff Mutual Insurance Society against Sickness and Accidents</i>	<i>Total</i>
Assets				
Cash and cash equivalents	41 787	1 147	57 556	100 490
Investments	342 838	9 413	264 859	617 110
Other receivables	14 045	17	4 523	18 585
Other assets	9 678	319	2 835	12 832
Total assets	408 348	10 896	329 773	749 017
Liabilities				
Accounts payable and accrued liabilities	18 948	3 117	66	22 131
Employee benefits liabilities	5 431	59	9 411	14 901
Advance receipts and deferred revenue	2	—	—	2
Provisions	68 863	16 747	59 900	145 510
Total liabilities	93 244	19 923	69 377	182 544
Net of total assets and total liabilities	315 104	(9 027)	260 396	566 473

	<i>Anthem Blue Cross, Aetna and Cigna health plans</i>	<i>Medical insurance plan for field local staff</i>	<i>United Nations Staff Mutual Insurance Society against Sickness and Accidents</i>	<i>Total</i>
Net assets				
Accumulated surplus	315 551	(9 015)	166 147	472 683
Reserves	(447)	(12)	94 249	93 790
Total net assets	315 104	(9 027)	260 396	566 473

Health and dental self-insurance funds: statement of financial performance for the year ended 31 December 2024

(Thousands of United States dollars)

	<i>Anthem Blue Cross, Aetna and Cigna health plans</i>	<i>Medical insurance plan for field local staff</i>	<i>United Nations Staff Mutual Insurance Society against Sickness and Accidents</i>	<i>Total</i>
Revenue				
Contributions for self-insurance funds ^a	546 608	37 591	184 301	768 500
Other revenue	—	—	1 623	1 623
Investment revenue	19 071	179	6 969	26 219
Total revenue	565 679	37 770	192 893	796 342
Expenses				
Self-insurance claims and expenses	580 605	44 604	185 668	810 877
Employee salaries, allowances and benefits	1 471	—	7 055	8 526
Supplies and consumables	—	—	2	2
Depreciation and amortization	—	—	133	133
Travel	—	—	6	6
Other operating expenses	23 999	2 966	20 547	47 512
Total expenses	606 075	47 570	213 411	867 056
Surplus/(deficit) for the year	(40 396)	(9 800)	(20 518)	(70 714)

^a Eliminations of \$258.950 million not included.

Health and dental self-insurance funds: statement of financial position as at 31 December 2023

(Thousands of United States dollars)

	<i>Anthem Blue Cross, Aetna and Cigna health plans</i>	<i>Medical insurance plan for field local staff</i>	<i>United Nations Staff Mutual Insurance Society against Sickness and Accidents</i>	<i>Total</i>
Assets				
Cash and cash equivalents	54 082	1 130	48 031	103 243
Investments	353 281	7 655	282 629	643 565
Other receivables	12 723	37	4 786	17 546
Other assets	38 690	355	1 926	40 971
Total assets	458 776	9 177	337 372	805 325

	<i>Anthem Blue Cross, Aetna and Cigna health plans</i>	<i>Medical insurance plan for field local staff</i>	<i>United Nations Staff Mutual Insurance Society against Sickness and Accidents</i>	<i>Total</i>
Liabilities				
Accounts payable and accrued liabilities	13 814	1 980	15	15 809
Employee benefits liabilities	19 387	206	8 691	28 284
Advance receipts and deferred revenue	2	—	—	2
Provisions	70 889	6 231	54 700	131 820
Total liabilities	104 092	8 417	63 406	175 915
Net of total assets and total liabilities	354 684	760	273 966	629 410
Net assets				
Accumulated surplus	355 945	785	186 666	543 396
Reserves	(1 261)	(25)	87 300	86 014
Total net assets	354 684	760	273 966	629 410

Health and dental self-insurance funds: statement of financial performance for the year ended 31 December 2023

(Thousands of United States dollars)

	<i>Anthem Blue Cross, Aetna and Cigna health plans</i>	<i>Medical insurance plan for field local staff</i>	<i>United Nations Staff Mutual Insurance Society against Sickness and Accidents</i>	<i>Total</i>
Revenue				
Contributions for self-insurance funds ^a	507 998	36 731	177 924	722 653
Other revenue	—	—	26 931	26 931
Investment revenue	16 566	488	4 980	22 034
Total revenue	524 564	37 219	209 835	771 618
Expenses				
Self-insurance claims and expenses	507 589	37 113	163 104	707 806
Employee salaries, allowances and benefits	1 268	—	6 525	7 793
Supplies and consumables	—	—	2	2
Depreciation and amortization	—	—	133	133
Travel	—	—	1	1
Other operating expenses	17 372	2 149	156	19 677
Total expenses	526 229	39 262	169 921	735 412
Surplus/(deficit) for the year	(1 665)	(2 043)	39 914	36 206

^a Eliminations of \$237.508 million not included.

Note 30
Expenses

Employee salaries, allowances and benefits

221. Employee salaries include international, national and general temporary staff salaries, post adjustment and staff assessment. The allowances and benefits include other staff entitlements, including pension and insurance subsidies and staff assignment, repatriation, hardship and other allowances.

(Thousands of United States dollars)

	2024	2023
Salary and wages	2 791 155	2 706 442
Pension and insurance benefits	510 183	497 841
After-service health insurance	91 886	85 747
Repatriation benefits	13 729	6 580
Leave benefits	20 231	24 435
Total employee salaries, allowances and benefits	3 427 184	3 321 045

Grants and other transfers

222. Grants and other transfers include outright grants and transfers to implementing agencies, partners and other entities, as well as quick-impact projects. The grant and other transfers expenses incurred by the major funds utilizing the various grant-out mechanisms are listed below.

(Thousands of United States dollars)

	2024	2023
Trust fund for strengthening the Office of the Emergency Relief Coordinator ^a	949 983	1 208 975
Central Emergency Response Fund	528 503	687 046
United Nations General Fund ^b	224 917	196 379
Trust fund for the Peacebuilding Support Office ^a	134 691	168 133
Voluntary trust fund for assistance in mine action	29 484	26 098
Total major funds that incurred expenses of grants and other transfers	1 867 578	2 286 631
Other funds	112 509	118 623
Total grants and other transfers^a	1 980 087	2 405 254

^a Includes grants and transfers to implementing partners through the multi-partner trust funds of \$155.028 million (2023: \$281.194 million).

^b Includes grants provided to related party entities (note 33).

223. Expenses of outright grants are recognized when the Organization has a binding obligation to pay, primarily upon signing of the agreement by both parties. Transfers to executing agencies or implementing partners are presented as an expense when funds are disbursed by the Organization to the third parties in accordance with the current IPSAS policy, while the Organization monitors operationally the programme

and financial activities of its partners to ensure that funds are used efficiently, effectively and in accordance with donors' intentions. As at 31 December 2024, the net transfers held by the implementing partners for project implementation were \$2,669.7 million (2023: \$2,458.7 million). The Organization recognizes that there are differences in the accounting treatment of transfers to executing agencies and implementing partners across the United Nations system, reflecting differences in the business models of United Nations system entities.

Other operating expenses

224. Other operating expenses include maintenance, utilities, contracted services, training, security services, shared services, rent, insurance and loss allowances for receivables.

(Thousands of United States dollars)

	2024	2023
Net foreign exchange losses ^a	122 293	—
Facilities, maintenance and repair, and utilities	106 660	114 862
Rent – offices and premises	100 833	96 863
Communications and information technology	115 580	107 356
Contributions in kind	61 118	59 235
Acquisitions of goods and intangible assets	42 780	61 917
Security, consulting, audit and legal services	78 414	72 794
Air and ground transport	40 438	49 785
Bad debt write-off/loss allowance expenses	55 354	12 575
Other ^b	123 405	189 760
Total other operating expenses	846 875	765 147

^a See note 28 for net foreign exchange gains in 2023.

^b Includes administrative services, meeting facilitation services, medical, training, insurance, public information, language, freight and other expenses.

Other expenses

225. Other expenses relate to ex gratia and compensation claims and other miscellaneous expenses.

(Thousands of United States dollars)

	2024	2023
Ex gratia and compensation claims	1 525	435
Other/miscellaneous expenses	384	633
Total other expenses	1 909	1 068

Note 31
Financial instruments and financial risk management

Summary of financial instruments

(Thousands of United States dollars)

	Reference	31 December 2024	31 December 2023
Financial assets			
Fair value through net asset/equity			
Short-term investments: main pool ^a	Notes 8 and 32	3 941 611	3 523 821
Short-term investments: euro pool ^a	Notes 8 and 32	4 257	3 062
Short-term investments: United Nations Staff Mutual Insurance Society against Sickness and Accidents ^a	Note 8	34 876	60 897
Total short-term investments through net assets/equity		3 980 744	3 587 780
Fair value through surplus and deficit			
Derivative instruments: currency forward contracts ^b	Note 8	—	27 181
Total short-term investments		3 980 744	3 614 961
Long-term investments: main pool	Notes 8 and 32	1 441 617	1 102 285
Long-term investments: euro pool	Notes 8 and 32	1 014	481
Long-term investments: United Nations Staff Mutual Insurance Society against Sickness and Accidents	Note 8	195 178	183 187
Total long-term investments		1 637 809	1 285 953
Total fair value of investments^c		5 618 553	4 900 914
Cash and cash equivalents			
Cash and cash equivalents: main pool	Notes 7 and 32	656 141	683 104
Cash and cash equivalents: euro pool	Notes 7 and 32	10 127	11 612
Cash and cash equivalents: United Nations Staff Mutual Insurance Society against Sickness and Accidents	Note 7	37 091	30 603
Cash and cash equivalents – other	Note 7	8 360	3 969
Total cash and cash equivalents		711 719	729 288
Receivables from exchange and non-exchange transactions and loans			
Assessed contributions	Note 9	505 853	652 379
Voluntary contributions	Note 10	1 482 829	1 825 773
Other receivables	Note 11	96 745	136 255
Other assets (excluding advances and deferred charges)	Note 13	798	804
Total of cash and cash equivalents, receivables from exchange and non-exchange transactions and loans at amortized cost		2 797 944	3 344 499
Total carrying amount of financial assets		8 416 497	8 245 413
Of which relates to financial assets held in main pool	Note 32	6 039 369	5 309 210
Of which relates to financial assets held in euro pool	Note 32	15 398	15 155
Of which relates to financial assets held in the United Nations Staff Mutual Insurance Society against Sickness and Accidents	Note 32	267 145	274 687

	Reference	31 December 2024	31 December 2023
Financial liabilities at amortized cost			
Accounts payable and accrued liabilities	Note 17	604 128	671 597
Transfers payable		1 779	2 933
Tax Equalization Fund liability	Note 21	228 805	291 439
Other liabilities (excluding donated right-to-use arrangements)	Note 23	336 804	338 553
Total carrying amount of financial liabilities		1 171 516	1 304 522
Summary of net revenue from financial assets			
Net cash pool revenue		290 808	241 878
Net revenue – United Nations Staff Mutual Insurance Society against Sickness and Accidents		4 639	2 968
Other investment revenue		7 718	9 396
Total net revenue from financial assets		303 165	254 242

^a Short-term investments include accrued investment revenue of \$69.460 million (2023: \$50.730 million) for the main pool, \$0.014 million (2023: \$0.008 million) for the euro pool and \$0.544 million (2023: \$0.588 million) for the United Nations Staff Mutual Insurance Society against Sickness and Accidents. Also included is withholding tax refund receivable of \$0.079 million (2023: \$0.061 million) for the main pool and \$2.749 million (2023: \$2.651 million) for the United Nations Staff Mutual Insurance Society against Sickness and Accidents.

^b As at 31 December 2024, forward exchange contracts held a liability position of \$39.5 million.

^c Unrealized gain for \$ 16.916 million (2023: \$51.244 million) from cash pools mark to market revaluation is reported under the statement of net assets in accordance with IPSAS 41.

Financial risk management

Overview

226. The Organization has exposure to the following financial risks:

- (a) Credit risk;
- (b) Liquidity risk;
- (c) Market risk.

227. The present note and note 32 present information on the Organization's exposure to those risks, the objectives, policies and processes for measuring and managing risk, and the management of capital.

Risk management framework

228. The Organization's risk management practices are in accordance with its Financial Regulations and Rules and the United Nations Investment Management Guidelines. The United Nations Treasury is responsible for investment and risk management for the cash pools, including conducting investment activities in accordance with the Guidelines. The Organization manages its capital in the light of global economic conditions, the risk characteristics of the underlying assets and its current and future working capital requirements.

Financial risk management: credit risk

229. Credit risk is the risk of financial loss resulting from a counterparty to a financial instrument failing to meet its contractual obligations. Credit risk arises from cash and cash equivalents, investments, deposits and forward currency contracts with financial

institutions, as well as credit exposure to outstanding receivables. The carrying value of financial assets is the maximum exposure to credit risk.

230. The investment management function is centralized at the United Nations Treasury. Other areas are not permitted, in normal circumstances, to engage in investing. An area may receive exceptional approval when conditions warrant investing locally under specified parameters that comply with the Investment Management Guidelines.

Credit risk: cash pool investments and deposits

231. The Organization's Investment Management Guidelines and risk and investment strategies define specific limits and restrictions in order to limit the exposure of credit risk to the portfolio. The expected credit loss assessment was conducted using the Fitch annual global default rating by applying the default rates on the basis of the credit rating of each issuer in which the Organization holds an investment. Given that investments are limited to highly rated institutions, the impairment loss on such investment is relatively small and assessed as not material.

<i>Financial instrument</i>	<i>Expected credit loss calculation method</i>	<i>Calculation for 2024</i>
Commercial paper	Using the (Fitch) annual global default and rating transition study	Considered not material
Certificate of deposit	Using the (Fitch) annual global default and rating transition study	Considered not material
Term deposit	Using the (Fitch) annual global default and rating transition study	Considered not material
Bond investment	Using the (Fitch) annual global default and rating transition study	Considered not material

Credit risk: contributions receivable and other receivables

232. A large portion of the contributions receivable is due from sovereign Governments and supranational agencies, and other receivables are due from other United Nations entities that collectively do not have significant credit risk. The maximum exposure to credit risk of financial assets equals their carrying amount. As at the reporting date, the Organization held no collateral as security for receivables.

Credit risk: loss allowance

233. The Organization uses the simplified approach to evaluate the lifetime expected credit loss at each reporting date. The loss allowance is established on the basis of the historical loss rate and the exposure balance at year end for each financial asset category. Management-approved write-offs under the Financial Regulations and Rules or reversals of previously impaired receivables are recognized directly in the statement of financial performance. The movement in the allowances account during the year is shown below.

Movement in the loss allowance for receivables

(Thousands of United States dollars)

	<i>Loss allowance for receivables</i>			<i>Total</i>
	<i>Assessed contributions</i>	<i>Voluntary contributions</i>	<i>Other receivables</i>	
As at 1 January 2023	229 849	630	57 249	287 728
Loss allowance	761	17 373	(5 514)	12 620
Amounts written off	—	—	(34)	(34)
As at 31 December 2023	230 610	18 003	51 701	300 314
Loss allowance	48 162	1 910	1 557	51 629
Amounts written off	—	—	(188)	(188)
As at 31 December 2024	278 772	19 913	53 070	351 755

Amounts written off

(Thousands of United States dollars)

<i>Fund/activity</i>	<i>2024</i>	<i>2023</i>
United Nations General Fund and related funds	49	5
Trust funds	20	12
Other funds	119	17
Total	188	34

Ageing of assessed contributions receivable

234. The ageing and allowance of assessed contributions receivable are as shown below. The expected credit loss rate for assessed contributions receivable is 1.8 per cent for less than one year, 64.6 per cent for one to two years and 99.8 per cent for more than two years of assessed contributions receivable as at 31 December 2024.

(Thousands of United States dollars)

	<i>31 December 2024</i>		<i>31 December 2023</i>	
	<i>Gross receivable</i>	<i>Allowance</i>	<i>Gross receivable</i>	<i>Allowance</i>
Less than one year	506 038	9 241	582 327	957
One to two years	24 338	15 726	51 134	938
More than two years	254 249	253 805	249 528	228 715
Total	784 625	278 772	882 989	230 610

Other receivables and loss allowance

235. The ageing and loss allowance for receivables other than assessed contributions are as shown below. The historical outstanding balances for each customer type have been analysed and used to determine the historical loss rate. The expected credit loss rate for other receivables is then calculated by customer type. The rates vary and are applied to the current year's outstanding receivables balances for the loss allowance.

The expected loss rate in the table below is an average of loss rate for United Nations operations (as reported in volume I) loss allowance over the outstanding receivables in the relevant ageing categories.

Voluntary contributions receivable and loss allowance

236. No expected credit loss allowance rates have been established for voluntary contributions receivable relating to regular trust funds owing to the nature of these transactions; write-off instances are infrequent and immaterial. For specific delinquent receivables identified as uncollectible, these are subject to a loss allowance. Voluntary contributions receivable other than regular trust funds adhere to the loss allowance methodology for other receivables.

Ageing of voluntary contribution and other receivables

(Thousands of United States dollars)

<i>31 December 2024</i>	<i>Neither past due nor impaired</i>	<i>Less than one year</i>	<i>One to two years</i>	<i>Two to three years</i>	<i>More than three years</i>	<i>Total</i>
Trust fund voluntary contributions receivable	1 427 582	41 774	6 165	5 244	18 191	1 498 956
Allowance	—	793	956	1 725	15 767	19 241
Allowance rate (percentage)	—	1.9	15.5	32.9	86.7	1.3
Non-trust fund voluntary contributions receivable	1 970	650	543	115	508	3 786
Allowance	—	36	111	63	462	672
Allowance rate (percentage)	—	5.5	20.4	54.8	90.9	17.7
Other receivables	34 924	58 633	2 345	2 830	51 083	149 815
Allowance	—	702	218	1 140	51 010	53 070
Allowance rate (percentage)	—	1.2	9.3	40.3	99.9	35.4
<i>31 December 2023</i>	<i>Neither past due nor impaired</i>	<i>Less than one year</i>	<i>One to two years</i>	<i>Two to three years</i>	<i>More than three years</i>	<i>Total</i>
Trust fund voluntary contributions receivable	1 773 665	36 857	9 471	4 244	16 241	1 840 478
Allowance	—	655	1 357	731	14 646	17 389
Allowance rate (percentage)	—	1.8	14.3	17.2	90.2	0.9
Non-trust fund voluntary contributions receivable	1 903	780	92	135	388	3 298
Allowance	—	119	64	60	371	614
Allowance rate (percentage)	—	15.3	69.6	44.4	95.6	18.6
Other receivables	19 406	108 324	7 276	1 761	51 189	187 956
Allowance	—	627	417	211	50 446	51 701
Allowance rate (percentage)	—	0.6	5.7	12.0	98.5	27.5

Credit risk: cash and cash equivalents

237. At year-end, the Organization had cash and cash equivalents of \$711.7 million (2023: \$729.3 million), which is the maximum credit exposure on those assets.

Credit risk: currency forward contracts

238. The counterparty risk of forward contracts is limited to the profit or loss on the contract, not the notional amount. The outstanding forward contracts were performed with three banks. As at year-end, the counterparties met the required credit rating criteria.

Credit risk: investments of the United Nations Staff Mutual Insurance Society against Sickness and Accidents

239. The United Nations Treasury makes investments on behalf of the United Nations Staff Mutual Insurance Society against Sickness and Accidents. A significant proportion of these investments is in fixed-income securities comprising supranational securities, government agency securities, government securities and corporate bonds. A portion of the Society investment portfolio is also invested in iShares SMI (Switzerland), an exchange-traded fund, with the aim of achieving a return on investment that reflects the return of its benchmark index, the Swiss Market Index. At year end, the Organization owned 568,220 shares of iShares SMI (Switzerland).

240. The credit ratings used are those determined by major credit-rating agencies. S&P Global Ratings, Moody's and Fitch are used to rate bonds, certificates of deposit and discounted instruments, and the Fitch viability rating is used to rate bank term deposits. At year end, the United Nations Staff Mutual Insurance Society against Sickness and Accidents credit ratings, determined by major credit-rating agencies, were as shown below.

United Nations Staff Mutual Insurance Society against Sickness and Accidents investments credit ratings

(Percentage)

Ratings as at 31 December 2024					Ratings as at 31 December 2023						
Bonds (long-term ratings)					Bonds (long-term ratings)						
	AAA	AA+/AA/AA-	A+/A/A-	Not rated/ withdrawn		AAA	AA+/AA/AA-	A+/A-	Not rated/ withdrawn		
S&P Global Ratings	4.3	80.9	11.1	3.7		12.1	69.6	14.6	3.7		
Fitch	3.7	76.8	0.8	18.7		11.9	53.5	15.0	19.6		
	Aaa	Aa1/Aa2/Aa3	A1	Not rated		Aaa	Aa1/Aa2/Aa3	A1	Not rated		
Moody’s	5.8	79.4	7.5	7.3		13.7	77.8	3.8	4.7		
Commercial paper/certificate of deposit					Commercial paper/certificate of deposit						
	AAA	AA+	A-I+/A-I-	F1+/F1	Not rated		AAA	AA+/AA/AA-	A+/A-	F1+/F1	Not rated
S&P Global Ratings	—	—	—	—	—		—	—	100	—	—
Fitch	—	—	—	—	—		—	—	—	100	—
			P-1					P-1			
Moody’s			—					100			
Term deposit (Fitch viability ratings)					Term deposit (Fitch viability ratings)						
			a+/a					a+/a			
Fitch viability rating			100					100			

Financial risk management: liquidity risk

241. Liquidity risk is the risk that the Organization might not have adequate funds to meet its obligations as they fall due. The Organization's approach to managing liquidity is to ensure that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Organization's reputation.

242. Pursuant to the Financial Regulations and Rules of the United Nations, it is required that expenses be incurred after the receipt of funds from donors, thereby considerably reducing the liquidity risk with regard to contributions, which are a largely stable annual cash flow. Exceptions to incurring expenses before the receipt of funds are permitted only if specified risk management criteria are adhered to with regard to amounts receivable.

243. The Organization performs cash flow forecasting and monitors rolling forecasts of liquidity requirements to ensure that there is sufficient cash to meet operational needs. Investments are made with due consideration to the cash requirements for operating purposes based on cash flow forecasting. The Organization maintains a large portion of its investments in cash equivalents and short-term investments sufficient to cover its commitments as and when they fall due.

244. The General Assembly, in its resolution [76/272](#), authorized the use of \$100 million in unspent funds from the 2021 regular budget to increase, on an exceptional basis and without setting a precedent, the Working Capital Fund. Effective 1 January 2023, the Working Capital Fund of the regular budget increased to \$250 million. The periodic cash shortage in the regular budget persisted during 2024, with the regular budget fund having to borrow from the Working Capital Fund and Special Account. The full balance of liquidity reserves of the Working Capital Fund of \$250.0 million was borrowed in September 2024. The loan was outstanding as at 31 December 2024 (loan outstanding as at 31 December 2023: \$250.0 million).

245. In addition, an amount of \$226.9 million was borrowed from the Special Account in October 2024, which was paid up in full as at 31 December 2024, with some contributions being received in the last few days of the fiscal year (\$216.5 million was outstanding from the Special Account as at 31 December 2023). During 2024, the overall liquidity situation of the regular budget further deteriorated compared with 2023. As a result, in November 2024 the regular budget borrowed an additional \$130.0 million from closed tribunals, of which \$70.0 million was from the International Tribunal for the Former Yugoslavia, and \$60 million was from the International Criminal Tribunal for Rwanda. Similar to the Special Account loan, the closed tribunal loans were repaid in December 2024.

Liquidity risk: investments of the United Nations Staff Mutual Insurance Society against Sickness and Accidents

246. The United Nations Staff Mutual Insurance Society against Sickness and Accidents is exposed to low liquidity risk because there are only limited requirements to withdraw funds at short notice and it maintains sufficient cash and marketable securities, such as the exchange-traded fund, to meet commitments as and when they fall due. As at the reporting date, the Society had invested primarily in securities with short to medium-term maturity, with the maximum being fewer than 16 years (2023: fewer than 17 years). The Society's liquidity risk is therefore considered to be low.

Liquidity risk: financial liabilities

247. The exposure to liquidity risk is based on the notion that the Organization may encounter difficulty in meeting its obligations associated with financial liabilities.

This is highly unlikely owing to the cash and cash equivalents, receivables and investments available to the Organization and internal policies and procedures put in place to ensure that there are appropriate resources to meet its financial obligations. As at the reporting date, the Organization had pledged no collateral for any liabilities or contingent liabilities (2023: none), and during the year no accounts payable or other liabilities were forgiven by third parties. Maturities for financial liabilities based on the earliest date at which the Organization can be required to settle each financial liability are as shown below.

Maturities for financial liabilities as at 31 December 2024

(Undiscounted thousands of United States dollars)

	<3 months	3 to 12 months	>1 year	Total
Accounts payable and accrued liabilities	604 128	–	–	604 128
Transfers payable	–	–	1 779	1 779
Tax Equalization Fund liability	228 805	–	–	228 805
Other liabilities	36 561	–	300 243	336 804
Total	869 494	–	302 022	1 171 516

Maturities for financial liabilities as at 31 December 2023

(Undiscounted thousands of United States dollars)

	<3 months	3 to 12 months	>1 year	Total
Accounts payable and accrued liabilities	671 597	–	–	671 597
Transfers payable	–	–	2 933	2 933
Tax Equalization Fund liability	291 439	–	–	291 439
Other liabilities	18 990	–	319 564	338 554
Total	982 026	–	322 497	1 304 523

Financial risk management: market risk

248. Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates and prices of investment securities, will affect the Organization's revenue or the value of its financial assets and liabilities. The objective of market risk management is to manage and control market risk exposures within acceptable parameters while optimizing the Organization's fiscal position.

Market risk: interest rate risk

249. Interest rate risk is the risk of variability in financial instruments' fair values or future cash flows due to a change in interest rates. In general, as an interest rate rises, the price of a fixed-rate security falls, and vice versa. Interest rate risk is commonly measured by the fixed-rate security's duration, with duration being a number expressed in years. The longer the duration, the greater the interest rate risk. The main exposure to interest rate risks relates to the cash pools and is considered in note 32. The average duration of the investments of the United Nations Staff Mutual Insurance Society against Sickness and Accidents was 2.39 years (2023: 2.30 years), which, within the investment objectives of the Society, is considered to be an indicator of low interest rate risk.

Market risk: currency risk

250. Currency risk refers to the risk that the fair value or future cash flows of a financial instrument will fluctuate owing to changes in foreign exchange rates. The Organization has transactions, assets and liabilities in currencies other than in its functional currency and is exposed to currency risk arising from fluctuations in exchange rates. Pursuant to management policies and the Investment Management Guidelines, the Organization is required to manage its currency risk exposure.

251. The Organization's financial assets and liabilities are denominated primarily in United States dollars. Non-United States dollar financial assets relate primarily to investments, in addition to cash and cash equivalents and receivables held to support local operating activities where transactions are made in local currencies. The Organization maintains a minimum level of assets in local currencies and, whenever possible, maintains bank accounts in United States dollars. The Organization mitigates currency risk exposure by structuring contributions from donors in foreign currency to correspond to the foreign currency needs for operational purposes.

252. The most significant exposure to currency risk relates to cash pool, cash and cash equivalents and investment balances, in addition to the investments of the United Nations Staff Mutual Insurance Society against Sickness and Accidents. As at the reporting date, the non-United States dollar-denominated balances in those financial assets were primarily in euros, Swiss francs and British pounds, together with 62 other currencies, as shown below.

Currency exposure as at 31 December 2024

(Thousands of United States dollars)

	<i>United States dollar</i>	<i>Euro</i>	<i>Swiss franc</i>	<i>British pound</i>	<i>Other</i>	<i>Total</i>
Main cash pool	5 980 312	25 430	24 126	2 663	6 838	6 039 369
Euro cash pool	—	15 398	—	—	—	15 398
Subtotal	5 980 312	40 828	24 126	2 663	6 838	6 054 767
United Nations Staff Mutual Insurance Society against Sickness and Accidents investments	—	—	267 145	—	—	267 145
Total	5 980 312	40 828	291 271	2 663	6 838	6 321 912

Currency exposure as at 31 December 2023

(Thousands of United States dollars)

	<i>United States dollar</i>	<i>Euro</i>	<i>Swiss franc</i>	<i>British pound</i>	<i>Other</i>	<i>Total</i>
Main cash pool	5 246 433	42 174	6 142	4 273	10 188	5 309 210
Euro cash pool	—	15 155	—	—	—	15 155
Subtotal	5 246 433	57 329	6 142	4 273	10 188	5 324 365
United Nations Staff Mutual Insurance Society against Sickness and Accidents investments	—	—	274 687	—	—	274 687
Total	5 246 433	57 329	280 829	4 273	10 188	5 599 052

Currency risk: sensitivity analysis

253. A strengthening or weakening of the euro and Swiss franc United Nations operational rates of exchange as at the reporting date would have affected the measurement of investments denominated in a foreign currency and increased or decreased the net assets and surplus or deficit by the amounts shown below. This analysis is based on foreign currency exchange rate variances considered to be reasonably possible at the reporting date. The analysis assumes that all other variables, in particular interest rates, remain constant.

Currency exposure sensitivity analysis

(Thousands of United States dollars)

	As at 31 December 2024		As at 31 December 2023	
	Effect on net assets/surplus or deficit		Effect on net assets/surplus or deficit	
	Strengthening	Weakening	Strengthening	Weakening
Euro (10 per cent movement)	4 083	(4 083)	5 733	(5 733)
Swiss franc (10 per cent movement)	29 127	(29 127)	28 083	(28 083)
British pound (10 per cent movement)	266	(266)	427	(427)
Colombian peso (10 per cent movement)	139	(139)	405	(405)

Currency risk: forward contracts

254. In 2024, the Organization entered into United States dollar-to-Swiss franc and euro forward contracts to hedge against currency risk in relation to the operations of various United Nations offices in Geneva, Vienna and The Hague being exposed to risks arising primarily from fluctuations in payments for staff costs in Swiss francs and euros. Net realized foreign exchange loss from those contracts amounted to \$1.4 million for the year (2023: \$16.3 million gain). The gains/losses are recorded as foreign exchange loss under other operating expenses. There were 24 (2023: 24) forward contracts outstanding as at 31 December 2024, with a notional amount of 348.7 million Swiss francs and 124.0 million euros, and with an unrealized loss of \$39.5 million, maturing in 2025.

Other market price risk

255. The Organization is not exposed to other significant market price risk, given that it has limited exposure to price-related risk with respect to expected purchases of specific commodities used in normal operations. Therefore, a change in those prices can alter cash flows only by an immaterial amount.

Classification and measurement

256. Investment in the cash pool is carried at fair value through net assets/equity. Cash and cash equivalents and receivables, including non-current voluntary contributions receivable reported at amortized cost calculated using the effective interest method and accounts payable, are valued at amortized cost, which is a fair approximation of fair value as at 31 December 2024.

Fair value hierarchy

257. The table below presents an analysis of financial instruments carried at fair value, by the fair value hierarchy level. The levels are defined as:

(a) Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities;

(b) Level 2: inputs other than quoted prices included within level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices);

(c) Level 3: inputs for the asset or liability that are not based on observable market data (i.e. unobservable inputs).

258. The fair value of financial instruments traded in active markets is based on quoted market prices at the reporting date and is determined by the independent custodian on the basis of the valuation of securities sourced from third parties. A market is regarded as active if quoted prices are readily and regularly available from an exchange, dealer, broker, industry group, pricing service or regulatory agency, and those prices represent actual and regularly occurring market transactions on an arm's-length basis. The quoted market price used for financial assets held by the cash pools is the current bid price.

259. The fair value of financial instruments that are not traded in an active market is determined by using valuation techniques that maximize the use of observable market data. If all significant inputs required to determine the fair value of an instrument are observable, the instrument is included in level 2.

260. There were no level 3 financial assets or any liabilities carried at fair value or any transfers of financial assets between fair value hierarchy classifications. The fair value hierarchy for the cash pools is disclosed in note 32 (see para. 275).

Fair value hierarchy: United Nations Staff Mutual Insurance Society against Sickness and Accidents

(Thousands of United States dollars)

	31 December 2024			31 December 2023		
	Level 1	Level 2	Total	Level 1	Level 2	Total
Financial assets at fair value through net assets/equity						
Exchange – traded fund	75 844	—	75 844	79 235	—	79 235
Bonds – corporate	73 762	—	73 762	53 344	—	53 344
Bonds – non-United States agencies	60 292	—	60 292	84 011	—	84 011
Bonds – supranationals	11 314	—	11 314	12 272	—	12 272
Certificates of deposit	—	—	—	—	5 995	5 995
Term deposits	—	5 549	5 549	—	5 988	5 988
Total^a	221 212	5 549	226 761	228 862	11 983	240 845

^a The total amount does not include accrued investment revenue of \$0.544 million (2023: \$0.588 million) and withholding tax refund receivable of \$2.749 million (2023: \$2.651 million).

Note 32

Financial instruments: cash pools

261. In addition to directly held cash and cash equivalents and investments, the Organization participates in the United Nations Treasury cash pools. Pooling the funds has a positive effect on overall investment performance and risk because of economies of scale and the ability to spread yield curve exposures across a range of maturities. The allocation of cash pool assets (cash and cash equivalents, short-term investments and long-term investments) and revenue is based on each participating entity's principal balance.

262. The Organization participates in two United Nations Treasury-managed cash pools:

(a) The main pool, which comprises operational bank account balances in a number of currencies and investments in United States dollars;

(b) The euro pool, which comprises investments in euros from the pool participant, namely, the United Nations Staff Mutual Insurance Society against Sickness and Accidents.

263. As at 31 December 2024, the cash pools held total assets of \$12,091.5 million (2023: \$11,563.8 million), of which \$6,054.7 million (2023: \$5,324.4 million) was due to the Organization, and its share of revenue from cash pools was \$291.3 million (2023: \$241.9 million).

Summary of assets and liabilities of the cash pools as at 31 December 2024

(Thousands of United States dollars)

	<i>Main pool</i>	<i>Euro pool</i>	<i>Total</i>
Fair value through net assets/equity			
Short-term investments	7 742 472	4 243	7 746 715
Long-term investments	2 882 612	1 014	2 883 626
Total fair value through net assets/equity	10 625 084	5 257	10 630 341
Cash and cash equivalents and receivables held at amortized cost			
Cash and cash equivalents	1 312 000	10 127	1 322 127
Accrued investment revenue	139 050	14	139 064
Total amortized cost of financial assets	1 451 050	10 141	1 461 191
Total carrying amount of financial assets	12 076 134	15 398	12 091 532
Cash pool liabilities			
Payable to funds reported in volume I	6 039 369	15 398	6 054 767
Payable to other cash pool participants	6 036 765	–	6 036 765
Total liabilities	12 076 134	15 398	12 091 532
Net assets	–	–	–

Summary of revenue and expenses of the cash pools for the year ended 31 December 2024

(Thousands of United States dollars)

	<i>Main pool</i>	<i>Euro pool</i>	<i>Total</i>
Investment revenue			
Investment revenue from cash pools	577 165	529	577 694
Foreign exchange gains/(losses)	8 723	(12)	8 711
Bank fees	(733)	(1)	(734)
Operating revenue/(expenses) of cash pools	7 990	(13)	7 977
Total revenue from and expenses of cash pools	585 155	516	585 671

Summary of assets and liabilities of the cash pools as at 31 December 2023

(Thousands of United States dollars)

	<i>Main pool</i>	<i>Euro pool</i>	<i>Total</i>
Fair value through net assets/equity			
Short-term investments	7 554 712	3 054	7 557 766
Long-term investments	2 397 703	481	2 398 184
Total fair value through net assets/equity	9 952 415	3 535	9 955 950
Cash and cash equivalents and receivables held at amortized cost			
Cash and cash equivalents	1 485 897	11 612	1 497 509
Accrued investment revenue	110 348	8	110 356
Total amortized cost of financial assets	1 596 245	11 620	1 607 865
Total carrying amount of financial assets	11 548 660	15 155	11 563 815
Cash pool liabilities			
Payable to funds reported in volume I	5 309 210	15 155	5 324 365
Payable to other cash pool participants	6 239 450	–	6 239 450
Total liabilities	11 548 660	15 155	11 563 815
Net assets	–	–	–

Summary of revenue and expenses of the cash pools for the year ended 31 December 2023

(Thousands of United States dollars)

	<i>Main pool</i>	<i>Euro pool</i>	<i>Total</i>
Investment revenue	488 377	327	488 704
Investment revenue from cash pools	488 377	327	488 704
Foreign exchange gains/(losses)	9 194	5	9 199
Bank fees	(808)	(1)	(809)
Operating revenue/(expenses) of cash pools	8 386	4	8 390
Total revenue from and expenses of cash pools	496 763	331	497 094

Financial risk management

264. The United Nations Treasury is responsible for investment and risk management for the cash pools, including conducting investment activities in accordance with the Investment Management Guidelines.

265. The objective of investment management is to preserve capital and ensure sufficient liquidity to meet operating cash requirements while attaining a competitive market rate of return on each investment pool. Investment quality, safety and liquidity are emphasized over the market rate-of-return component of the objectives.

266. An investment committee evaluates investment performance periodically, assesses compliance with the Investment Management Guidelines and makes recommendations for updates thereto.

Financial risk management: credit risk

267. Pursuant to the Investment Management Guidelines, ongoing monitoring of issuer and counterparty credit ratings is required. Permissible cash pool investments may include, but are not restricted to, bank deposits, commercial papers, supranational securities, government agency securities and government securities with maturities of five years or fewer. The cash pools do not invest in derivative instruments such as asset-backed and mortgage-backed securities or equity products.

268. Pursuant also to the Investment Management Guidelines, it is required that investments not be made in issuers whose credit ratings are below specifications; they also provide for maximum concentrations with given issuers. These requirements were met at the time the investments were made.

269. The credit ratings used for the cash pools are those determined by major credit-rating agencies. S&P Global Ratings, Moody's and Fitch are used to rate bonds and discounted instruments, and the Fitch viability rating is used to rate bank term deposits. At year end, the credit ratings were as shown below.

Investments of the cash pools by credit ratings as at 31 December

(Percentage)

Main pool		Ratings as at 31 December 2024			Ratings as at 31 December 2023				
Bonds (long-term ratings)					Bonds (long-term ratings)				
	AAA/AAAu	AA+u/AA+/AA	Not applicable			AAA/AAAu	AA+u/AA+/AA	Not applicable	
S&P	22.2	77.8	–		S&P	37.1	62.9	–	
	AAA/AAAu	AA+/AA/AA-	A+	Not applicable		AAA/AAAu	AA+/AA/AA-	A+	Not applicable
Fitch	9.9	69.4	20.7		Fitch	28.4	53.3	1.3	17.0
	Aaa	Aa1/Aa2/Aa3	Not applicable			Aaa	Aa1/Aa2/Aa3	Not applicable	
Moody's	37.7	53.6	8.7		Moody's	61.9	30.5	7.6	
Commercial papers/certificates of deposit (short-term ratings)					Commercial papers/certificates of deposit (short-term ratings)				
	A-1+/A-1					A-1+/A-1			
S&P	100.0				S&P	100.0			
	F1+/F1	Not rated				F1+/F1	Not rated		
Fitch	97.6	2.4			Fitch	98.8	1.2		
	P-1/P2					P-1/P2			
Moody's	100.0				Moody's	100.0			
Term deposits/demand deposit account (Fitch viability ratings)					Term deposits demand deposit account (Fitch viability ratings)				
	aa/aa-	a+/a/a-	Not applicable			aa/aa-	a+/a/a-		
Fitch viability rating	33.7	64.9	1.4		Fitch viability rating	23.8	76.2		

<i>Euro pool</i>				<i>Ratings as at 31 December 2024</i>				<i>Ratings as at 31 December 2023</i>			
Bonds (long-term ratings)								Bonds (long-term ratings)			
				<i>AAA</i>				<i>AAA/</i>			
				<i>AA/AA+</i>				<i>AA/AA+</i>			
S&P				22.7				34.9			
				<i>AA-</i>				<i>AA/AA-</i>			
				<i>Not rated</i>				<i>FI+</i>			
Fitch				49.5				34.9			
				50.5				45.3			
								19.8			
				<i>Aa1/Aa3</i>				<i>Aaa</i>			
Moody's				100				34.9			
								65.1			
Commercial papers/certificates of deposit (short-term ratings)								Commercial papers/certificates of deposit (short-term ratings)			
				<i>A-1+</i>				<i>A-1</i>			
S&P				100				100.0			
				<i>FI+</i>				<i>FI+/FI</i>			
Fitch				100				100			
				<i>P-1</i>				<i>P-1</i>			
Moody's				100				100.0			
Term deposits/demand deposit account (Fitch viability ratings)								Term deposits/demand deposit account (Fitch viability ratings)			
				<i>a+</i>							
Fitch viability rating				100							

270. The United Nations Treasury actively monitors credit ratings and, because the Organization has invested only in securities with high credit ratings, management does not expect any counterparty to fail to meet its obligations, except for impaired investments.

Financial risk management: liquidity risk

271. The cash pools are exposed to liquidity risk associated with the requirement of participants to make withdrawals on short notice. They maintain sufficient cash and marketable securities to meet participants' commitments as and when they fall due. A major portion of cash and cash equivalents and investments is available within a day's notice to support operational requirements. The cash pool liquidity risk is therefore considered to be low.

Financial risk management: interest rate risk

272. The cash pools comprise the Organization's main exposure to interest rate risk, with fixed-rate cash and cash equivalents and investments being interest-bearing financial instruments. As at the reporting date, the cash pools had invested primarily in securities with shorter terms to maturity, with the maximum being fewer than five years (2023: fewer than four years) in the main pool and two years in the euro pool (2023: two years). The average duration of investments of the main pool as at 31 December 2024 was 0.78 years (2023: 0.65 years). In addition, the average duration of investments of the euro pool as at 31 December 2024 was 0.12 years (2023: 0.07 years). These are considered to be indicators of low risk.

Cash pool interest rate risk sensitivity analysis

273. The analysis shows how the fair value of the cash pools as at the reporting date would increase or decrease should the overall yield curve shift in response to changes in interest rates. Given that the investments are accounted for at fair value through net assets/equity, the change in fair value represents the increase or decrease in net assets. The impact of a shift up or down of up to 200 basis points in the yield curve is shown below (100 basis points equals 1 per cent). The basis point shifts are illustrative.

Organization's share of cash pool interest rate risk sensitivity analysis as at 31 December 2024

<i>Shift in yield curve (basis points)</i>	<i>-200</i>	<i>-150</i>	<i>-100</i>	<i>-50</i>	<i>0</i>	<i>50</i>	<i>100</i>	<i>150</i>	<i>200</i>
Increase/(decrease) in fair value (Millions of United States dollars)									
Total, main pool	90.44	67.83	45.22	22.61	—	(22.60)	(45.20)	(67.80)	(90.39)
Total, euro pool	0.04	0.03	0.02	0.01	—	(0.01)	(0.02)	(0.03)	(0.04)
Total	90.48	67.86	45.24	22.62	—	(22.61)	(45.22)	(67.83)	(90.43)

Organization's share of cash pool interest rate risk sensitivity analysis as at 31 December 2023

<i>Shift in yield curve (basis points)</i>	<i>-200</i>	<i>-150</i>	<i>-100</i>	<i>-50</i>	<i>0</i>	<i>50</i>	<i>100</i>	<i>150</i>	<i>200</i>
Increase/(decrease) in fair value (Millions of United States dollars)									
Total, main pool	66.56	49.92	33.28	16.64	—	(16.64)	(33.27)	(49.91)	(66.54)
Total, euro pool	0.02	0.01	0.01	0.00	—	(0.00)	(0.01)	(0.01)	(0.02)
Total	66.58	49.93	33.39	16.64	—	(16.64)	(33.28)	(49.92)	(66.56)

Other market price risk

274. The cash pools are not exposed to significant other price risks because they do not sell short, borrow securities or purchase securities on margin, which limits the potential loss of capital.

Accounting classifications and fair value hierarchy

275. All investments are reported at fair value through net assets/equity. Cash and cash equivalents carried at nominal value are deemed to approximate fair value. The following fair value hierarchy presents the cash pool assets that are measured at fair value as at the reporting date. There were no level 3 financial assets or any significant transfers of financial assets between fair value hierarchy classifications.

Fair value hierarchy for investments as at 31 December: cash pools

(Thousands of United States dollars)

	<i>31 December 2024</i>			<i>31 December 2023</i>		
	<i>Level 1</i>	<i>Level 2</i>	<i>Total</i>	<i>Level 1</i>	<i>Level 2</i>	<i>Total</i>
Financial assets at fair value through net assets/equity						
Main pool						
Bonds – corporate	94 875	—	94 875	118 115	—	118 115
Bonds – non-United States agencies	2 608 429	—	2 608 429	2 468 680	—	2 468 680
Bonds – supranational	478 759	—	478 759	770 234	—	770 234
Bonds – United States treasuries	793 328	—	793 328	1 185 059	—	1 185 059
Bonds – non-United States sovereigns	99 527	—	99 527	97 824	—	97 824
Commercial papers	—	934 677	934 677	—	510 193	510 193
Certificates of deposit	—	3 245 489	3 245 489	—	2 982 310	2 982 310
Term deposits	—	2 370 000	2 370 000	—	1 820 000	1 820 000
Total	4 074 918	6 550 166	10 625 084	4 639 912	5 312 503	9 952 415

	31 December 2024			31 December 2023		
	Level 1	Level 2	Total	Level 1	Level 2	Total
Euro pool						
Bonds – non-United States agencies	2 048	—	2 048	2 430	—	2 430
Commercial papers	—	2 067	2 067	—	—	—
Certificates of deposit	—	621	621	—	1 105	1 105
Term deposits	—	521	521	—	—	—
Subtotal, euro pool	2 048	3 209	5 257	2 430	1 105	3 535
Total^a	4 076 966	6 553 375	10 630 341	4 642 342	5 313 608	9 955 950

^a The total amount does not include accrued investment revenue of \$138.907 million (2023: \$110.224 million) and withholding tax refund receivable of \$0.157 million (2023: \$0.132 million).

Note 33

Related parties

Key management personnel

276. Key management personnel are those with the ability to exercise significant influence over the financial and operating decisions of the Organization. For the operations of the United Nations as reported in volume I, the key management personnel group is stratified into two main tiers as follows:

(a) **Executive.** This tier comprises the Secretary-General, the Deputy Secretary-General, the Chef de Cabinet, the Under-Secretaries-General for Management Strategy, Policy and Compliance, Operational Support, Economic and Social Affairs, Political and Peacebuilding Affairs and Peace Operations. It also consists of the Under-Secretaries-General for Policy, for the Office for Humanitarian Affairs, for Counter-Terrorism and for Legal Affairs. The High Commissioner for Human Rights and the Assistant-Secretary-General for Development Coordination are also part of the executive group;

(b) **Management.** This tier consists of the Controller, heads of offices away from Headquarters and heads of the regional commissions.

277. These persons have the relevant authority and responsibility for planning, directing and controlling the Organization's activities.

278. The aggregate remuneration paid to the 23 (full-time equivalent) key management personnel includes gross salaries, post adjustment and other entitlements such as grants, subsidies and employer pension and health insurance contributions.

(Thousands of United States dollars)

	2024	2023
Salary and post adjustment	8 078	7 796
Other monetary entitlements	1 787	1 902
Non-monetary benefits	900	780
Total remuneration for the year	10 765	10 478

279. A residence, with an estimated annual rental fair value equivalent of \$0.9 million (2023: \$0.8 million), is provided to the Secretary-General free of charge. Advances made to key management personnel are those made against entitlements in accordance with the Staff Regulations and Rules of the United Nations; any such advances against entitlements are widely available to all staff of the Organization.

Related entity transactions

280. The Organization provided grants to related party entities as shown below.

Grants provided to related party entities

(Thousands of United States dollars)

	2024	2023
United Nations Office on Drugs and Crime	37 180	34 657
United Nations Environment Programme	24 011	24 701
United Nations Human Settlements Programme (UN-Habitat)	15 619	16 578
International Trade Centre	21 627	20 163
United Nations Entity for Gender Equality and the Empowerment of Women (UN-Women)	10 788	10 474
United Nations Relief and Works Agency for Palestine Refugees in the Near East	71 621	37 998
Office of the United Nations High Commissioner for Refugees	47 141	44 664
Total	227 987	189 235

281. In 2024, the loans provided by the Central Emergency Response Fund were fully repaid, including a \$20.0 million loan to UNDP for the “Safer” project in Yemen and a \$10.0 million loan to the United Nations Relief and Works Agency for Palestine Refugees in the Near East (UNRWA).

Loans granted to related party entities as at 31 December 2024

(Thousands of United States dollars)

	<i>Amount outstanding as at 1 January 2024</i>	<i>Amount advanced in 2024</i>	<i>Amount reimbursed in 2024</i>	<i>Amount outstanding as at 31 December 2024</i>
United Nations Relief and Works Agency for Palestine Refugees in the Near East	10 000	—	10 000	—
United Nations Development Programme	20 000	—	20 000	—
Total	30 000	—	30 000	—

Loans granted to related party entities as at 31 December 2023

(Thousands of United States dollars)

	<i>Amount outstanding as at 1 January 2023</i>	<i>Amount advanced in 2023</i>	<i>Amount reimbursed in 2023</i>	<i>Amount outstanding as at 31 December 2023</i>
United Nations Relief and Works Agency for Palestine Refugees in the Near East	30 000	10 000	30 000	10 000
Office for the Coordination of Humanitarian Affairs	—	10 000	10 000	—
United Nations Development Programme	—	20 000	—	20 000
Total	30 000	40 000	40 000	30 000

Trust fund activities relating to peacekeeping and tribunal operations

282. All trust funds are consolidated in this set of volume I financial statements. There are specific trust funds that support peacekeeping operations. Those trust funds are precluded from the volume II financial statements according to United Nations financial rule 106.1, by which volume II is limited to peacekeeping operations with special accounts established by the Security Council.

Trust fund activities related to peacekeeping operations

(Thousands of United States dollars)

Trust fund	2024					2023				
	Net assets at the beginning of the period	Income	Expenses	Fair value changes in investments recognized directly in net assets	Net assets at the end of the period	Net assets at the beginning of the period	Income	Expenses	Fair value changes in investments recognized directly in net assets	Net assets at the end of the period
Trust fund in support of the delimitation and demarcation of the Ethiopia/Eritrea border	1 561	—	—	—	1 561	1 561	—	—	—	1 561
Trust fund for Somalia – unified command	455	23	—	—	478	436	19	—	—	455
Trust fund in support of the implementation of the agreement on a ceasefire and separation of forces signed in Moscow on 14 May 1994	9	1	—	—	10	9	—	—	—	9
Trust fund for the Police Assistance Programme in Bosnia and Herzegovina	359	17	—	—	376	343	16	—	—	359
Trust fund in support of United Nations peacemaking and peacekeeping activities	2 387	119	—	—	2 506	2 331	56	—	—	2 387
Trust fund in support of the Department of Peace Operations	53 373	30 401	29 900	91	53 965	44 810	33 189	24 916	290	53 373
Trust fund to support the peace process in the Democratic Republic of the Congo	2 479	273	(2)	4	2 758	2 357	104	—	18	2 479
Trust fund to support the United Nations Interim Administration in Kosovo	1 223	62	—	—	1 285	1 172	51	—	—	1 223
Trust fund to support the Ituri Pacification Commission	8	—	—	—	8	8	—	—	—	8
Trust fund in support of the peace process in the Sudan	504	25	—	—	529	483	21	—	—	504
Trust fund for the African Union-United Nations Joint Mediation Support Team for Darfur	6 304	313	(5)	12	6 634	5 993	266	—	45	6 304
Trust fund for the support of the activities of the United Nations Mission in the Central African Republic and Chad	1 952	98	—	—	2 050	1 870	82	—	—	1 952
Subfund of the trust fund in support of the African Union Mission in Somalia	12 154	21 568	20 617	12	13 117	3 680	21 106	12 639	7	12 154
Trust fund to support lasting peace in Darfur	381	19	—	1	401	362	16	—	3	381
Trust fund in support of the African-led International Support Mission in Mali	825	41	—	2	868	784	35	—	6	825
Trust fund in support of peace and security in Mali	22 386	(23 867)	(1 409)	72	—	41 733	(7 398)	12 318	369	22 386
Trust fund for the United Nations Operation in Côte d'Ivoire	188	10	—	—	198	179	8	—	1	188
Trust fund in support of the political transition in Haiti	266	13	—	1	280	253	11	—	2	266
Trust fund in support of the African-led International Support Mission in the Central African Republic	226	12	—	—	238	215	9	—	2	226
Trust fund for the United Nations Mission in South Sudan	5 458	1 466	1 396	5	5 533	2 374	3 958	881	7	5 458
Trust fund in support of the elimination of Syrian chemical weapons	340	16	78	—	278	326	14	—	—	340
Trust fund to support peace and security in Cyprus	28	1	—	—	29	27	1	—	—	28

	2024					2023				
	<i>Net assets at the beginning of the period</i>	<i>Income</i>	<i>Expenses</i>	<i>Fair value changes in investments recognized directly in net assets</i>	<i>Net assets at the end of the period</i>	<i>Net assets at the beginning of the period</i>	<i>Income</i>	<i>Expenses</i>	<i>Fair value changes in investments recognized directly in net assets</i>	<i>Net assets at the end of the period</i>
<i>Trust fund</i>										
Trust fund to provide assistance to human rights victims in Kosovo	11	—	—	—	11	10	1	—	—	11
Trust fund to support the United Nations Office to the African Union pursuant to Security Council resolutions 2320 (2016) , 2378 (2017) and 2457 (2019)	470	917	656	1	732	607	239	381	5	470
Trust fund for the United Nations Integrated Transition Assistance Mission in the Sudan	2 279	(2 210)	23	8	54	6 042	136	3 929	30	2 279
Total	115 626	29 318	51 254	209	93 899	117 965	51 940	55 064	785	115 626

Trust fund activities related to tribunal operations

(Thousands of United States dollars)

	2024					2023				
	<i>Net assets at the beginning of the period</i>	<i>Income</i>	<i>Expenses</i>	<i>Fair value changes in investments recognized directly in net assets</i>	<i>Net assets at the end of the period</i>	<i>Net assets at the beginning of the period</i>	<i>Income</i>	<i>Expenses</i>	<i>Fair value changes in investments recognized directly in net assets</i>	<i>Net assets at the end of the period</i>
<i>Trust fund</i>										
Trust fund to support the activities of the International Residual Mechanism for Criminal Tribunals	867	1 481	1 358	2	992	(502)	2 639	1 277	7	867
Total	867	1 481	1 358	2	992	(502)	2 639	1 277	7	867

The United Nations Foundation, Inc.

283. The United Nations Foundation, Inc., a not-for-profit corporation organized under the laws of the State of New York of the United States of America, entered into an agreement with the United Nations in 1998 to assist and support the United Nations in achieving the goals and objectives of the Charter of the United Nations. The revised and restated relationship agreement signed in 2014 reaffirmed the nature of the relationship, the terms of the partnership, the independent status of the parties and the conditions for use of the name “United Nations”; the relationship agreement also sets out the role, composition and functions of the joint coordination committee, which serves as the principal forum for strong communication and coordination on strategies to support the policies, aims, activities and causes of the United Nations. The committee is co-chaired by the United Nations and the United Nations Foundation and meets twice a year. A summary of the relationship agreement can be found through the following link: <https://unfoundation.org/who-we-are/our-financials/unfoundation-un-relationship>. During 2024, the Foundation made total contributions of \$23.4 million to the United Nations Fund for International Partnerships (2023: \$16.0 million). Audited financial statements of the Foundation can be found on its website (www.unfoundation.org).

Receivables due from peacekeeping operations

284. The Organization has receivables in the amount of \$37.4 million (2023: \$37.4 million) and \$10.0 million (2023: \$10.0 million) due from the United Nations Operation in the Congo and the United Nations Emergency Force, respectively. These missions were operational before the current financing mechanism for peacekeeping operations was established and closed on 30 June 1964 and 30 June 1967, respectively. The repayment by these United Nations peacekeeping operations is dependent upon collections of outstanding contributions from Member States. Given the age of these contributions, a full provision for loss allowance has been recorded.

Note 34

Leases and commitments

Finance leases

285. The Organization holds some donated right-to-use real estate arrangements that meet the criteria of finance leases. As at year end, commercial finance leased assets had been fully depreciated. The carrying value of donated right-to-use arrangements meeting the finance lease recognition criteria totalled \$44.2 million (2023: \$47.3 million). The main portion of the donated right-to-use amount relates to the \$43.3 million (2023: \$46.5 million) interest in the Vienna International Centre, with the remaining amount relating to the Asian and Pacific Centre for Transfer of Technology of ESCAP and the ESCAP Subregional Office for South and South-West Asia, both located in New Delhi, and the Department of Global Communications/United Nations Information Centre offices in Brazzaville and Ouagadougou. These donated right-to-use agreements indicate that host Governments will provide premises to the Organization for free for a period longer than 35 years or for as long as the United Nations remains in the relevant countries and uses the underlying premises for the intended purposes. Owing to the positive interest rate of a 30-year Swiss federal bond as at 31 December 2024, the statement of financial performance includes notional finance income of \$2.2 million (2023: \$3.6 million finance income) relating to finance lease arrangements and associated strategic heritage plan loan borrowings relating to the strategic heritage plan at the United Nations Office at Geneva. The net year-end carrying value for each class of asset is as shown below.

Net finance lease asset carrying value

(Thousands of United States dollars)

	<i>Donated right-to-use premises: Vienna International Centre</i>	<i>Other donated right-to-use premises</i>	<i>Total</i>
As at 31 December 2024	43 313	862	44 175
As at 31 December 2023	46 527	818	47 345

286. No future minimum finance lease payments exist under non-cancellable commercial finance lease arrangements.

Operating leases

287. The Organization has entered into several operating lease agreements for land, offices, residential space and machinery and equipment. While some of the agreements are under commercial terms, others are for space provided to the United Nations by host Governments on a free-of-charge or nominal-fee basis. Rental value equivalent was estimated and recognized as an expense, and in-kind contributions were presented in the statement of financial performance as voluntary contributions revenue. Operating lease expenses for the year total \$113.2 million (2023: \$104.7 million). Future minimum lease payments under non-cancellable operating leases are as shown below.

Obligations for operating leases: minimum lease payments

(Thousands of United States dollars)

	<i>As at 31 December 2024</i>	<i>As at 31 December 2023</i>
Due in less than 1 year	76 372	57 965
Due in 1 to 5 years	55 988	95 492
Due after 5 years	953	2 815
Total minimum operating lease obligations	133 313	156 272

288. The operating leases are, in general, for a term of between 1 and 10 years, with some leases allowing an extension beyond the expiry date and/or permitting early termination with notice to the landlord of 30, 60 or 90 days. The amounts present future obligations for the minimum contractual term, taking into consideration rent increases in accordance with the terms of the lease agreements. None of the leases and real estate agreements contain purchase options.

Leasing arrangements where the Organization is the lessor

289. The Organization leases out assets to other parties through operating leases. Future minimum lease receipts for those arrangements are shown below.

Operating leases receipts

(Thousands of United States dollars)

	<i>As at 31 December 2024</i>	<i>As at 31 December 2023</i>
Receipts due in less than 1 year	13 028	10 269
Receipts due in 1 to 5 years	406	484
Receipts due after 5 years	—	—
Total minimum operating lease receipts (undiscounted)	13 434	10 753

290. As at 31 December 2024, the total of future minimum sublease payments expected to be received under subleases was \$2.0 million (2023: \$2.2 million).

Contractual commitments

291. At year end, commitments to transfer funds to implementing partners and for property, plant and equipment, intangible assets and goods and services contracted but not delivered were as shown below.

Contractual commitments

(Thousands of United States dollars)

	<i>As at 31 December 2024</i>	<i>As at 31 December 2023</i>
Transfer of moneys to implementing partners	331 217	382 592
Property, plant and equipment	322 945	402 186
Intangibles	304	—
Goods and services	608 024	608 270
Total open contractual commitments	1 262 490	1 393 048

Note 35

Contingent liabilities and contingent assets

Contingent liabilities

292. The Organization is subject to a variety of claims that arise from time to time in the ordinary course of its operations. These claims are segregated into three main categories: commercial claims; administration of justice claims (cases brought by current or former United Nations staff members against the Secretary-General); and any other claims.

293. Consistent with IPSAS, contingent liabilities are disclosed for pending claims in which the probability of an obligation and the potential outflow of resources cannot be measured with sufficient reliability. As at 31 December 2024, contingent liabilities were estimated at \$23.8 million (2023: \$44.8 million).

294. No contingent liabilities arose from the Organization's interest in jointly controlled entities or joint arrangements over which the Organization has significant influence.

Contingent assets

295. In accordance with IPSAS 19: Provisions, contingent liabilities and contingent assets, the Organization discloses contingent assets when an event gives rise to a probable inflow of economic benefits or service potential to the Organization and there

is sufficient information to assess the probability of that inflow. As at 31 December 2024, no contingent assets (2023: none) arose from the Organization's legal actions and interests in joint ventures that were likely to result in a significant economic inflow.

296. The total estimated amount of voluntary pledges and other promised donations not formalized by acceptance or that were subject to fundraising activities as at 31 December 2024 is \$27.8 million (2023: \$45.2 million).

Note 36

Events after the reporting date

297. On 20 January 2025, the Government of a Member State announced a temporary suspension of foreign aid. As at the reporting date, approximately \$34.3 million in voluntary contributions receivable due from that Government, as recognized in the statement of financial position, were potentially affected by this suspension, representing 2.3 per cent of the Organization's total outstanding voluntary contributions. While the Organization receives funding from several sources from the relevant Member State, the suspension affects a limited proportion of the Organization's overall revenue base, and the Organization maintains financial flexibility through its diversified funding streams. At the time of issuance of the present financial statements, the overall impact of the suspension was still being assessed, and the funding freeze may result in delays in planned disbursements for specific projects.

298. As this event occurred after 31 December 2024, it is classified as a non-adjusting event under IPSAS 14 and has no impact on the reported financial position of the Organization. Management will continue to monitor the situation and will adjust its financial strategies, as necessary.

